

1 Business Categorization Summary

Name	Code	Status
Accounting & Financial Services	73938	acceptable
Actuarial & Appraisal Services	17514	acceptable
Advertising Agencies	34500	acceptable
Air Conditioning & Heating	54544	limited
(Sales/Service/Manufacturing)		
Alarm System Installation	42817	limited
Ambulance & Emergency Services	74359	acceptable
Animal & Veterinary Services	42563	limited
Answering & Telemarketing Services	25625	limited
Antique & Collectible Stores	77433	acceptable
Appliance Sales & Repair	10864	limited
Army/Navy/Military Surplus Stores	61442	limited
Art Galleries & Art Supply Stores	97850	limited
Artificial Flowers & Floral Supplies	86710	acceptable
Artists & Craft Studios	80468	limited
Asphalt & Paving Services	70879	limited
Assembly & Packaging Services	64315	limited
Audio & Visual Equipment Sales/Service	62926	acceptable
Auto Parts & Accessories	48046	acceptable
Auto Services & Repair (including body shops)	45196	acceptable
Bakeries & Bagel Shops	30517	limited
Banks & Credit Unions	44619	limited
Barber & Beauty Salons	96660	acceptable
Bath & Bedding Shops	72254	acceptable
Beverage Distributors & Retailers (including Beer, Liquor, Wine)	91524	limited
Bicycle Sales & Service	22200	acceptable

Name	Code	Status
Binderies & Printing Services	17678	acceptable
Boiler & Furnace Installation/Repair	37264	limited
Bookstores & Magazines	45578	acceptable
Bridal Shops	61449	acceptable
Building Materials & Supplies	96262	limited
Business & Management Consultants	92323	limited
Cable & Telecommunications	15212	limited
Camera & Photo Supply Stores	21128	acceptable
Camping & Outdoor Equipment Stores	96769	acceptable
Candy & Confectionery Stores	83389	limited
Catering & Food Preparation Services	64307	limited
Cellular Phone Sales/Service	84427	acceptable
Cemeteries & Funeral Services	65848	acceptable
Churches & Religious Organizations	58915	limited
Clothing & Apparel (Retail & Wholesale)	88194	limited
Clubs & Recreation Facilities	23479	limited
Coffee Shops & Tea Houses	85695	limited
Computer & Technology Services	85319	limited
Concrete & Masonry Services	11051	limited
Convenience Stores	40617	limited
Cosmetics & Toiletries	37181	limited
Countertop & Surface Installation	52960	acceptable
Craft & Hobby Stores	13164	limited
Dairy & Ice Cream Shops	19350	acceptable
Dance, Drama, & Music Schools	69702	limited

Name	Code	Status
Day Care & Child Care Centers	53554	limited
Delicatessens & Sandwich Shops	90356	limited
Department & Discount Stores	22867	limited
Detective & Security Services	37548	acceptable
Diaper & Linen Services	19256	acceptable
Door & Window Installation/Sales	63600	limited
Dry Cleaning & Laundry Services	50667	acceptable
Educational & School Supply Stores	21682	acceptable
Electrical Equipment & Supplies	40207	acceptable
Electronics Stores & Repair	15684	acceptable
Embroidery & Custom Apparel	75868	acceptable
Employment Agencies	34123	limited
Engineering & Surveying	32597	limited
Fabric & Sewing Stores	86442	acceptable
Fast Food & Family Restaurants	27403	limited
Financial Planners & Investment Firms	83630	limited
Floor Covering & Carpet Installation	67613	limited
Florists	44412	acceptable
Food & Grocery Stores	16331	limited
Dessert Shops	99484	limited
Fruit & Vegetable Markets	85091	acceptable
Furniture Stores & Installation	97361	limited
Garden & Landscaping Services	97198	acceptable
General Contractors & Builders	53867	limited
Gift & Souvenir Shops	76002	limited
Glass & Window Services	24347	limited
Golf & Sporting Equipment Stores	86978	acceptable

Name	Code	Status
Graphic Design & Commercial Artists	89227	acceptable
Hardware & Home Improvement Stores	38069	limited
Health Food & Vitamin Stores	59734	limited
Heating & Refrigeration Services	13995	limited
Hobby & Model Shops	42723	acceptable
Hotels, Motels, Bed & Breakfasts	32821	limited
Interior Decorating & Design	11317	limited
Janitorial & Cleaning Services	93529	acceptable
Jewelry & Watch Stores	43623	acceptable
Kitchen & Home Accessories Stores	43158	limited
Laundromats & Laundry Services	44302	acceptable
Leather Goods & Luggage Stores	88646	limited
Libraries & Museums	59853	acceptable
Lighting Fixtures & Supplies	20215	acceptable
Locksmiths	47621	acceptable
Mail & Packaging Services	54225	limited
Medical & Dental Offices	31040	acceptable
Medical & Hospital Supply Stores	75459	acceptable
Monument & Tombstone Sales	75442	acceptable
Musical Instrument Sales & Repair	70426	limited
Office Supplies & Equipment	67538	acceptable
Optical Goods & Services	62969	acceptable
Paint & Wallpaper Stores	98275	acceptable
Pet Stores & Pet Grooming	43908	acceptable
Photography Studios & Supplies	69428	limited
Plumbing & HVAC Contractors	75435	limited

Name	Code	Status
Post Office & Shipping Centers	80569	limited
Printing & Copying Services	85925	acceptable
Real Estate Agencies	84666	acceptable
Restaurants (Various Types: Full Service, Limited Service, Fast Food)	64086	limited
Self Storage Facilities	33545	acceptable
Shoe Stores & Repair	14148	limited
Shopping Centers & Strip Malls	95130	limited
Sporting Goods Stores	44118	acceptable
Stationery & Paper Products	67357	acceptable
Supermarkets & Grocery Stores	25201	limited
Tailors & Dressmakers	18609	acceptable
Tax Preparation & Accounting	47571	acceptable
Tire & Automotive Centers	89411	limited
Toy Stores	31941	acceptable
Travel Agencies	78758	acceptable
Trophy & Awards Shops	20159	acceptable
Upholstery Services	84495	acceptable
Vacuum Cleaner Sales & Service	86798	acceptable
Variety & General Merchandise Stores	40289	limited
Video & Media Stores	59871	limited
Web Design & Online Services	41906	acceptable
Wedding Services & Chapels	83664	limited
Window Treatments & Blinds	64799	acceptable
Woodworking & Carpentry	98994	limited

2 Global Underwriting Requirements (Refined)

Underwriting Guidelines:

2.1 1. Priority of Submissions

- **Description:** The first fully completed submission received by the underwriting department will be accepted for review. A submission is considered fully completed when it contains all the necessary underwriting data required to effectively evaluate the risk.
- **Update:** If a second completed submission is received, the second submitting agent must provide an Agent of Record Letter from the insured authorizing the change of agent.
- **Categorization:** Mandatory
- **Reasoning:** This requirement is necessary to maintain order and efficiency in the underwriting process and to prevent confusion and disputes from multiple submissions.
- **Risks Addressed:** Ensures clear representation, avoids agent conflict, and supports accurate risk evaluation.

2.2 2. Submission Completeness

- **Description:** All submissions for a Business Owner Policy must be accompanied by comprehensive and accurate underwriting data. This includes financial statements, business operations details, and risk management strategies.
- **Categorization:** Mandatory
- **Reasoning:** Complete data is essential for accurate risk and pricing assessment.
- **Risks Addressed:** Mitigates risks of mispricing, miscoverage, and compliance failure.

2.3 3. Written Binding Requirement

- **Description:** Binding requests made over the telephone are not accepted. All binding submissions must be made in writing.
- **Categorization:** Mandatory
- **Reasoning:** Written documentation ensures accuracy and traceability.
- **Risks Addressed:** Reduces disputes, errors, and liability from verbal miscommunication.

2.4 4. Agent of Record Letter

- **Description:** If a second submission is received from a different agent, an Agent of Record Letter from the insured is required.
- **Categorization:** Mandatory
- **Reasoning:** Ensures representation accuracy and protects the insured's interests.
- **Risks Addressed:** Avoids unauthorized changes and conflicts.

2.5 5. Professional Liability Precondition

- **Description:** Professional liability insurance must be in effect before general liability can be considered.
- **Categorization:** Mandatory

- **Reasoning:** General liability doesn't cover professional errors—this ensures full coverage.
- **Risks Addressed:** Prevents claim denials and loss exposure.

2.6 6. Financial Soundness & Experience

- **Description:** The business must be financially sound and have at least three years of profitable operation at the present location or equivalent experience.
- **Update:** Startups may qualify if they show sufficient capitalization, industry experience, and a strong business plan.
- **Categorization:** Mandatory
- **Reasoning:** Supports underwriting accuracy while expanding access for qualified new businesses.
- **Risks Addressed:** Reduces exposure to business failure and mismanagement claims.

2.7 7. Binding Authority Restriction

- **Description:** Agents cannot bind coverage without underwriting department approval.
- **Categorization:** Mandatory
- **Reasoning:** Ensures the company's risk is properly reviewed and approved.
- **Risks Addressed:** Prevents unauthorized risk exposure.

2.8 8. Timely Binder Submission

- **Description:** Agents must submit any binders invoked within five business days.
- **Categorization:** Mandatory
- **Reasoning:** Promotes timely processing and record accuracy.
- **Risks Addressed:** Avoids coverage lapses and miscommunication.

2.9 9. Prior Adverse Risk Status

- **Description:** Risks previously canceled, declined, or non-renewed by the company are ineligible.
- **Update:** Exceptions may be considered with full disclosure and supporting rationale.
- **Categorization:** Mandatory
- **Reasoning:** Avoids repeat high-risk exposures but allows context-based re-evaluation.
- **Risks Addressed:** Reduces repeat loss exposure.

2.10 10. Minimum Structure Separation

- **Description:** Buildings must be at least 20 feet from other structures.
- **Update:** Properties may qualify with adequate fire-rated barriers or sprinkler systems.
- **Categorization:** Mandatory
- **Reasoning:** Maintains safety while acknowledging urban density.
- **Risks Addressed:** Reduces fire and maintenance-related claim risk.

2.11 11. Roof Type Restrictions

- **Description:** No coverage for buildings with flat, cedar, slate, or rolled roofs.
- **Update:** Exceptions may be granted with proof of roof condition and appropriate mitigation (e.g., drainage systems).
- **Categorization:** Mandatory
- **Reasoning:** Manages roofing-related loss while accommodating modern materials.
- **Risks Addressed:** Controls water damage and weather-related exposure.

2.12 12. Fuel Storage Tank Restrictions

- **Description:** Properties with fuel storage tanks are ineligible, except those used solely for heating.
- **Categorization:** Mandatory
- **Reasoning:** Mitigates fire and explosion hazards.
- **Risks Addressed:** Controls catastrophic exposure from hazardous materials.

2.13 13. Ineligible Classes

- **Description:** Certain classes (e.g., bowling alleys, auto repair, restaurants under 70% food sales) are ineligible.
- **Update:** Exceptions may be considered with strong risk controls and underwriting approval.
- **Categorization:** Mandatory
- **Reasoning:** Enables tailored review of higher-risk classes.
- **Risks Addressed:** Reduces exposure from industries with higher loss ratios.

2.14 14. Business Hours Limit

- **Description:** Businesses must close by 1 a.m.
- **Update:** Later hours may be approved if the business implements enhanced lighting, security, and monitoring.
- **Categorization:** Mandatory
- **Reasoning:** Controls late-night risk while offering operational flexibility.
- **Risks Addressed:** Reduces theft, vandalism, and liability risk.

2.15 15. Delivery Exposure and HNOA

- **Description:** Businesses with delivery exposure are ineligible for Hired and Non-Owned Auto (HNOA) coverage.
- **Update:** Limited delivery use may be accepted with safety protocols and additional underwriting.
- **Categorization:** Mandatory
- **Reasoning:** Balances delivery risk with access to HNOA for low-exposure operations.
- **Risks Addressed:** Reduces accident and liability exposure from delivery operations.

3 Industry-Specific Guidelines

3.1 Accounting and Financial Services

Overview This subsection addresses underwriting considerations for businesses operating within the accounting and financial services sectors. These businesses typically include certified public accountants (CPAs), bookkeeping services, tax preparers, financial planners, investment advisors, and other related professional service providers. Given the nature of their work—primarily involving advisory, fiduciary, and record-keeping functions—these businesses face unique risks that differ from traditional retail or manufacturing operations. The Business Owners Policy (BOP) for these entities must be carefully tailored to address exposures related to professional liability, data security, and regulatory compliance, while also covering standard property and general liability exposures.

Typical Risks and Exposures

- **Professional Errors and Omissions:** Although the BOP does not typically include professional liability coverage, accounting and financial services firms are inherently exposed to claims arising from alleged errors, omissions, or negligent advice. For example, a client may allege that incorrect tax advice resulted in penalties or audits. Underwriters should verify whether the applicant carries separate professional liability (EO) insurance, as this coverage is essential for these risks.
- **Data Breach and Cyber Liability:** These businesses handle sensitive client information, including financial records, social security numbers, and tax returns. Unauthorized access, data breaches, or cyberattacks can lead to significant financial and reputational damage. While standard BOPs may offer limited or no cyber coverage, some insurers provide endorsements or separate cyber policies tailored to these risks.
- **Property and Equipment:** Accounting and financial services firms generally operate from office environments with standard office equipment such as computers, servers, and document storage. Property coverage should reflect the value of these assets and consider exposures such as fire, theft, or water damage.
- **General Liability:** Typical general liability exposures include slip-and-fall incidents on premises, third-party property damage, or advertising injury claims (e.g., libel or slander arising from marketing materials).
- **Regulatory and Compliance Risks:** These businesses are subject to stringent regulatory requirements, including those from the IRS, SEC, or state boards of accountancy. Non-compliance can result in fines or sanctions, which are generally not covered under a BOP.

Illustrative Claim Scenarios

- *Example 1:* A bookkeeping firm's employee accidentally deletes a client's financial records due to a software error. The client sues for damages related to lost tax deductions and penalties. While the BOP may cover property damage to the firm's equipment, it will not cover the client's financial losses, highlighting the need for professional liability coverage.

- *Example 2:* A CPA firm’s office suffers water damage from a burst pipe, destroying computers and physical files. The BOP’s property coverage would respond to the repair and replacement costs of the damaged equipment and premises.
- *Example 3:* A financial advisor’s marketing brochure contains an inaccurate statement about investment returns, leading to a client’s claim of misrepresentation. This could trigger an advertising injury claim under the general liability portion of the BOP, but professional liability coverage would be more appropriate for defense and indemnity.
- *Example 4:* A cybercriminal hacks into a tax preparation firm’s network, stealing client data and demanding ransom. Without a cyber liability endorsement or separate cyber policy, the BOP will not cover ransom payments, notification costs, or legal expenses.

Underwriting Considerations

- **Business Operations:** Confirm the exact nature of services provided. Firms engaged solely in bookkeeping or tax preparation may have different risk profiles than those offering investment advice or financial planning.
- **Professional Liability Coverage:** Verify whether the applicant maintains separate professional liability insurance. Absence of such coverage should prompt referral to a specialty underwriter or require additional risk mitigation measures.
- **Data Security Measures:** Assess the firm’s cybersecurity protocols, including data encryption, employee training, and backup systems. Strong controls reduce the likelihood and impact of cyber incidents.
- **Premises and Equipment Values:** Ensure accurate valuation of office contents and property to avoid underinsurance.
- **Claims History:** Review prior claims related to errors, omissions, data breaches, or general liability incidents.

Unique Industry-Related Restriction *Restriction on Use of Cloud-Based Accounting Software Hosted Outside the United States:* Many accounting and financial services firms utilize cloud-based platforms to manage client data and perform accounting functions. For underwriting purposes, it is important to restrict or carefully evaluate the use of cloud services hosted exclusively outside the United States, particularly in jurisdictions with less stringent data privacy laws or limited regulatory oversight. This restriction is due to increased risks of data breaches, difficulties in regulatory compliance (e.g., with the Gramm-Leach-Bliley Act or IRS requirements), and challenges in legal recourse in case of cyber incidents. Underwriters should require disclosure of cloud service providers and their hosting locations and may mandate additional cyber liability coverage or endorsements if foreign hosting is involved.

Summary Accounting and financial services firms present a specialized underwriting profile within the BOP framework. While the policy provides essential property and general liability

protections, significant exposures related to professional errors, data security, and regulatory compliance require careful evaluation and often necessitate separate or endorsed coverages. Understanding the specific operations, risk controls, and claims history of these businesses is critical to effective underwriting and risk management.

3.2 Accounting & Financial Services

Underwriting Appetite

- **Preferred:**

- Firms with a clean regulatory and compliance history, demonstrating no prior disciplinary actions, regulatory fines, or unresolved investigations.
- Organizations employing robust cybersecurity frameworks, including multi-factor authentication, end-to-end encryption, intrusion detection systems, and regular third-party security audits.
- Firms that have implemented comprehensive internal controls over financial reporting and data management, supported by documented policies and periodic internal or external audits.
- Offices maintaining professional liability, cyber liability, and employee dishonesty coverages with limits appropriate to the size and scope of their operations.
- Businesses that have established secure remote access protocols, such as VPNs with strong encryption and endpoint security, to protect client data accessed offsite.

- **Acceptable:**

- Firms with a limited history of minor claims or regulatory infractions that have been fully remediated and documented corrective actions implemented.
- Organizations operating in co-working or shared office environments, provided they demonstrate documented physical security controls (e.g., controlled access, surveillance) and network segmentation to isolate sensitive data.
- Firms with basic cybersecurity measures in place but lacking some advanced controls, subject to risk mitigation plans.

- **Not Acceptable:**

- Firms with a history of significant regulatory sanctions, fraud convictions, or multiple unresolved data breaches.
- Businesses lacking essential coverages such as cyber liability or professional liability insurance.
- Firms offering invasive medical or cosmetic procedures under a financial services brand.
- Organizations with inadequate or no documented data security protocols, or those refusing to implement recommended risk controls.
- Firms engaged in high-risk financial activities without appropriate licensing or regulatory oversight.

Key Risk Considerations

- **Data Security:** Firms must maintain strong data security practices, including but not limited to encryption of data at rest and in transit, deployment of firewalls and anti-malware solutions, regular penetration testing, and secure data backup protocols with offsite or cloud storage.
Example: A mid-sized accounting firm suffered a ransomware attack that encrypted client tax records. Because the firm maintained regular encrypted backups stored offsite, they were able to restore data without paying the ransom, minimizing business interruption and client impact.
- **Professional Liability Insurance:** Mandatory coverage tailored to the specific services provided (e.g., tax preparation, auditing, financial advising, bookkeeping). Coverage should address errors and omissions, negligence, and breach of fiduciary duty.
Example: A financial advisor was sued for providing investment advice that resulted in client losses. Professional liability coverage responded to defense costs and settlement amounts.
- **Cyber Liability Coverage:** Required to cover exposures such as phishing attacks, social engineering fraud, data breaches, and data restoration expenses. Coverage should also include notification costs, regulatory fines (where insurable), and reputational harm mitigation.
Example: An accounting firm's employee fell victim to a phishing email, resulting in unauthorized wire transfers. Cyber liability insurance covered the financial loss and forensic investigation.
- **Employee Dishonesty Coverage:** Essential for firms handling client funds, escrow accounts, or sensitive financial information to protect against internal fraud, embezzlement, or theft by employees.
Example: A bookkeeper embezzled funds from multiple client accounts over several months. Employee dishonesty coverage reimbursed the firm and clients for the losses.
- **Remote Access Security:** Remote access to client data must be protected with secure protocols such as VPNs, multi-factor authentication, and endpoint security to prevent unauthorized access and data leakage.
- **Regulatory History:** Firms with a history of regulatory actions, fraud allegations, or data breaches are subject to enhanced underwriting review, including detailed risk assessments and possible declination if risks cannot be mitigated.
- **Business Continuity Planning:** Firms should have documented business continuity and disaster recovery plans to minimize interruption in the event of cyber incidents, natural disasters, or equipment failures.

Industry-Specific Restrictions

- Businesses providing medi-spa, cosmetic enhancement, or other invasive medical procedures under a financial services brand are strictly ineligible due to the mismatch of risk profiles and regulatory requirements.
- Firms involved in ongoing regulatory litigation, under investigation by financial authorities, or previously sanctioned for compliance violations may be excluded from coverage or require significant underwriting conditions.
- Firms operating in shared or public-facing spaces (e.g., co-working spaces with unrelated retail or food service tenants) must demonstrate enhanced physical and network security measures. Failure to do so may result in ineligibility.

- **Unique Restriction:** Accounting and financial firms utilizing third-party cloud-based accounting platforms must ensure these platforms comply with recognized industry security standards (e.g., SOC 2 Type II, ISO 27001). Firms relying on unverified or non-compliant cloud services are ineligible due to increased systemic cyber risk and potential data exposure. *Reasoning:* Cloud platforms that lack rigorous security certifications pose significant risks of data breaches or service outages, which can lead to large-scale client data compromise and business interruption. Underwriters require assurance that critical third-party services meet established security benchmarks.

Preferred Optional Coverages

- **Records and Information Risk Coverage:** Provides protection for loss, damage, or destruction of both digital and physical client records, including costs associated with recreating or restoring lost data. *Example:* A fire destroyed an accounting firm's physical files and onsite servers. This coverage reimbursed the costs to reconstruct client records and implement improved data storage solutions.
- **Business Interruption Insurance:** Especially critical for firms without robust remote work infrastructure or those heavily reliant on physical office operations. Covers lost income and extra expenses during periods of forced closure or operational disruption.
- **Equipment Breakdown Insurance:** Covers failure or malfunction of critical IT infrastructure such as servers, storage systems, and secure networking equipment, which can cause significant operational downtime.
- **Fiduciary Liability Insurance:** Recommended for firms advising on retirement plans, employee benefit programs, or acting in a fiduciary capacity, protecting against claims of breach of fiduciary duty.

Summary Accounting and financial services firms present a unique blend of professional, cyber, and operational risks. Underwriting focuses heavily on regulatory compliance, data security, and the adequacy of insurance coverages to mitigate exposures related to errors, omissions, cyber threats, and employee dishonesty. Firms leveraging modern technology platforms must demonstrate adherence to industry security standards, particularly when utilizing cloud-based services. Enhanced scrutiny applies to firms with adverse regulatory histories or operating in shared environments without sufficient controls. Optional coverages tailored to data protection and business continuity are strongly encouraged to provide comprehensive risk management.

3.3 Actuarial & Appraisal Services

Underwriting Appetite

- **Preferred:**
 - Established actuarial and appraisal firms with well-documented and consistently applied valuation methodologies, including standardized procedures for data verification and quality control.
 - Firms maintaining current professional liability (errors and omissions) and cyber liability insurance policies, demonstrating proactive risk management.

- Businesses with minimal or no history of claims, particularly those free from professional negligence or fraud allegations.
 - Firms employing certified professionals (e.g., Accredited Senior Appraiser (ASA), Chartered Property Casualty Underwriter (CPCU), or Fellow of the Casualty Actuarial Society (FCAS)) to ensure technical expertise.
- **Acceptable:**
 - Firms with a moderate claims history that have implemented corrective action plans and enhanced internal controls to mitigate future risks.
 - Field-based appraisers who utilize secured equipment (e.g., encrypted laptops, GPS tracking) and maintain appropriate commercial auto insurance for vehicles used in site visits.
 - Small to mid-sized firms with documented employee training programs focused on ethical practices and data security.
 - **Not Acceptable:**
 - Firms lacking any form of professional liability coverage or with a history of fraud, misrepresentation, or significant misstatement claims.
 - Businesses that provide engineering, architectural, or real estate development services, as these activities introduce exposures outside the scope of actuarial and appraisal risk profiles.
 - Firms with inadequate data security measures or those unwilling to implement cyber liability insurance.

Key Risk Considerations

- **Professional Liability:** Coverage must explicitly address risks related to valuation errors, misstatements, omissions, or negligent advice that could result in financial loss to clients. For example, an appraiser undervaluing commercial property could expose the firm to claims for lost loan proceeds or investment decisions.
- **Cyber Liability:** Given the heavy reliance on proprietary data models, electronic client information, and cloud-based storage, cyber liability insurance is essential. Risks include data breaches, ransomware attacks, or unauthorized access to confidential valuation reports.
- **Employee Dishonesty:** Coverage is advisable when employees have access to client assets, sensitive financial data, or confidential valuation information. For instance, an employee manipulating valuation data for personal gain could cause significant reputational and financial harm.
- **General Liability:** Appraisers conducting field visits or inspections on private properties must carry adequate general liability insurance to cover bodily injury or property damage claims arising from on-site activities. For example, if an appraiser accidentally damages a client's property during a site visit, this coverage would respond.
- **Equipment and Data Security:** Firms should demonstrate robust protocols for securing high-value computing equipment and backup systems to prevent business interruption and data loss.

- **Claims History Review:** Particular attention should be paid to prior claims involving valuation disputes, fraud allegations, or regulatory investigations, as these may indicate systemic risk.

Industry-Specific Restrictions

- Firms engaged in property management, real estate development, engineering, architectural design, or construction services are ineligible due to the significantly different risk exposures and potential conflicts of interest.
- Businesses with a history of fraudulent conduct, material misstatements, or significant professional liability claims (e.g., settlements exceeding policy limits or multiple claims within a short period) are excluded.
- Lack of professional liability or cyber liability coverage is generally grounds for declination, as these are fundamental to managing the unique risks of actuarial and appraisal services.
- **Unique Restriction:** Firms utilizing unmanned aerial vehicles (drones) for property appraisals or site inspections must comply with Federal Aviation Administration (FAA) regulations and maintain specific drone liability coverage. Absent this, firms are ineligible due to the elevated risk of property damage, personal injury, and regulatory non-compliance associated with drone operations.

Preferred Optional Coverages

- **Business Interruption Insurance:** Particularly valuable for firms dependent on complex modeling software and data centers, this coverage helps mitigate income loss due to equipment failure or cyber incidents.
- **Equipment Breakdown Insurance:** Recommended for firms with high-value computing hardware, servers, and specialized appraisal tools to cover repair or replacement costs.
- **Commercial Auto Insurance:** Necessary for firms whose employees use vehicles for field appraisals or site visits, covering liability and physical damage exposures.
- **Employment Practices Liability Insurance (EPLI):** Advisable for firms with multiple employees to protect against claims of discrimination, harassment, wrongful termination, or other employment-related issues.
- **Data Breach Response Coverage:** An enhancement to cyber liability that provides resources for forensic investigations, notification costs, and public relations support following a data breach.

Illustrative Examples

- **Claim Scenario:** An appraisal firm provides a valuation report for a commercial property that significantly undervalues the asset due to an error in data interpretation. The client suffers financial loss when a loan is denied, resulting in a professional liability claim against the firm.
- **Cyber Incident:** A ransomware attack encrypts a firm's client databases and proprietary valuation models. The firm incurs costs related to data recovery, notification, and business interruption, all covered under cyber liability and business interruption policies.
- **Field Visit Liability:** An appraiser conducting a site inspection accidentally damages a client's fence. The general liability policy covers the repair costs and any related legal expenses.

- **Employee Dishonesty:** An employee manipulates valuation data to favor a particular client in exchange for kickbacks. Employee dishonesty coverage responds to the financial loss suffered by the firm and its clients.

3.4 Advertising Agencies

Underwriting Appetite

- **Preferred:**
 - Agencies with comprehensive professional liability and cyber liability coverages specifically tailored to the unique risks of creative operations, including advertising content creation, digital marketing, and brand management.
 - Firms demonstrating well-documented client approval workflows, including multi-level review and sign-off procedures, as well as robust intellectual property (IP) safeguards such as copyright clearance processes, trademark monitoring, and contractually defined ownership rights.
 - Agencies employing formalized risk management programs, including regular staff training on legal compliance, data privacy, and intellectual property issues.
- **Acceptable:**
 - Agencies with limited or no history of litigation or claims, who have implemented basic risk controls such as standard client contracts with indemnity clauses, and basic cybersecurity measures (e.g., firewalls, antivirus software).
 - Small to mid-sized agencies primarily focused on traditional advertising mediums (print, radio, TV) with minimal digital exposure, provided they maintain adequate professional liability coverage.
- **Not Acceptable:**
 - Agencies with a history of high-profile or repeated claims related to advertising injury, copyright infringement, or professional errors and omissions.
 - Firms lacking any cyber protections for creative assets or client data, especially those heavily reliant on digital content creation and distribution.
 - Agencies engaged in deceptive advertising practices or those with unresolved regulatory actions related to advertising standards.

Key Risk Considerations

- **Professional Liability:** Coverage must address risks arising from advertising content errors, omissions, or misrepresentations that could cause financial harm to clients. This includes inaccurate claims in advertisements, failure to meet client specifications, and negligent brand representation.
- **Cyber Liability:** Given the digital nature of many advertising agencies, cyber liability coverage should protect against data breaches involving sensitive client information, unauthorized access to creative assets, ransomware attacks, and loss of digital content. This is critical as agencies often store proprietary client data and creative materials on cloud platforms.

- **Intellectual Property and Advertising Injury:** Coverage should include defense and indemnity for claims related to copyright infringement, trademark violations, plagiarism, defamation, and invasion of privacy arising from advertising activities.
- **Client Approval Processes:** Agencies should have documented and enforced client approval protocols to minimize errors and disputes. This includes version control, documented sign-offs, and clear communication channels to confirm client expectations.
- **Contractual Risk Transfer:** Review of client and vendor contracts is important to ensure appropriate indemnity and hold harmless clauses are in place, reducing exposure to third-party claims.

Industry-Specific Restrictions

- Agencies with a history of significant litigation or multiple major claims related to advertising injury, intellectual property infringement, or professional liability will generally be excluded due to elevated risk.
- Agencies handling sensitive client information (e.g., personal data, financial information) without robust cybersecurity frameworks—including multi-factor authentication, encryption, and regular vulnerability assessments—are ineligible to ensure protection against data breaches.
- Lack of a documented risk management strategy or internal controls, such as absence of formal approval workflows or inadequate employee training on compliance and data security, will trigger additional underwriting scrutiny and may result in declination.
- **Unique Restriction:** Agencies that utilize unlicensed or unauthorized third-party digital assets (such as stock images, fonts, or music) in their advertising campaigns will be ineligible. This restriction is critical because unauthorized use of digital content significantly increases the risk of intellectual property infringement claims, which can lead to costly litigation and reputational damage. Underwriters must verify that agencies maintain proper licensing agreements for all creative materials used.

Preferred Optional Coverages

- **Advertising Injury Insurance:** Protects against claims of libel, slander, copyright infringement, and false advertising.
- **Errors and Omissions (EO) Insurance:** Covers claims arising from professional mistakes or failure to perform professional duties.
- **Crime Insurance:** Provides coverage for employee dishonesty, including theft of client funds or proprietary information.
- **Business Interruption Insurance:** Covers loss of income due to disruptions such as cyberattacks or physical damage to office premises.
- **Data Breach Insurance:** Offers coverage for costs associated with data breaches, including notification expenses, credit monitoring for affected clients, and regulatory fines.
- **Cyber Extortion Coverage:** Protects against ransomware attacks and extortion demands targeting digital assets.
- **Intellectual Property Legal Expense Coverage:** Provides legal defense costs for IP disputes beyond standard advertising injury coverage.

Illustrative Claim Scenarios

- An agency produces an advertisement containing a tagline that unintentionally infringes on a competitor's trademark, resulting in a cease-and-desist order and subsequent lawsuit for damages.
- A cyberattack compromises the agency's cloud storage, exposing confidential client marketing strategies and causing reputational harm and financial loss to clients.
- An employee embezzles client funds earmarked for media buys, leading to a claim under crime insurance.
- An agency fails to obtain client approval on final ad content, resulting in the release of inaccurate product claims and a subsequent client lawsuit for professional negligence.

Practical Underwriting Application

- Underwriters should request copies of client contracts, IP licensing agreements, and documented approval workflows during the application process.
- Cybersecurity audits or attestations may be required to verify adequacy of digital protections.
- Agencies with significant digital operations should be evaluated for exposure to ransomware and data breach risks, with appropriate endorsements recommended.
- Regular review of claims history and litigation trends within the advertising sector is essential to adjust appetite and coverage terms.

3.5 Air Conditioning & Heating (Sales/Service/Manufacturing)

Underwriting Appetite

- **Preferred:**
 - Residential or light commercial HVAC service-only operations without any manufacturing activities. These businesses typically perform routine maintenance, repairs, and installations of air conditioning and heating systems in single-family homes or small commercial properties.
 - Businesses with documented, ongoing technician training programs, including certifications such as EPA Section 608 for refrigerant handling, and that do not engage in liquefied petroleum gas (LPG) system work, which carries higher risk.
 - Properties with recent system upgrades (e.g., HVAC units less than 10 years old) and job sites with standard, well-managed exposures—such as clear access, proper safety signage, and adherence to OSHA guidelines.
- **Acceptable:**
 - Mixed residential and commercial service operations that include limited manufacturing activities, such as custom duct fabrication or sheet metal work, provided these are ancillary to the primary service business.
 - Businesses performing some emergency service work (e.g., after-hours repairs during extreme weather) with documented liability controls, employee safety protocols, and emergency response procedures.
 - Use of subcontractors is fully disclosed, with written contracts that clearly allocate liability and require subcontractors to maintain appropriate insurance coverage.
- **Not Acceptable:**

- Operations involving significant LPG system installation or servicing, full-scale manufacturing of HVAC equipment or components, or businesses exclusively focused on emergency-only service calls due to the elevated risk and unpredictability.
- Businesses with a poor jobsite safety record, including multiple OSHA violations, or those with multiple recent claims related to property damage, bodily injury, or equipment failure.
- Operations with outdated or unverified system installations, such as HVAC units exceeding 20 years without documented maintenance, or buildings with electrical or plumbing systems that do not meet current code requirements.

Example: A residential HVAC company that services homes and light commercial buildings, employs EPA-certified technicians, maintains a documented safety program, and uses subcontractors only for specialized ductwork fabrication would typically be classified as **Preferred**. Conversely, a business that manufactures HVAC units on-site, installs LPG systems, and responds exclusively to emergency calls would fall into the **Not Acceptable** category due to the increased liability and property risks.

Key Risk Considerations

- **Compliance with Building and Safety Codes:** It is critical that HVAC systems, plumbing, and electrical components comply with current local and national codes (e.g., National Electrical Code, International Mechanical Code). Non-compliance can lead to increased fire risk, system failures, or liability claims.
- **LPG Work and Manufacturing Risks:** Engagement in LPG system installation or servicing introduces risks such as fire, explosion, and environmental contamination. Similarly, manufacturing activities increase exposures related to product liability, equipment breakdown, and worker injuries.
- **Jobsite Exposures:** General liability and property coverage must reflect the nature of jobsite risks, including potential damage to customer property, use of heavy equipment, and exposure to hazardous materials like refrigerants or solvents.
- **Employee Training and Safety Protocols:** Underwriters should evaluate the adequacy of employee training programs, use of personal protective equipment (PPE), and adherence to OSHA and EPA regulations, as these directly impact loss frequency and severity.
- **Subcontractor Management:** Proper vetting, insurance verification, and contractual risk transfer with subcontractors are essential to mitigate uninsured exposures.

Example Claim Scenario: A technician performing routine maintenance on a commercial HVAC unit accidentally causes water damage due to improper valve handling. The resulting claim involves property damage to the tenant's office equipment and business interruption losses. Adequate general liability and business interruption coverage would be critical in this scenario.

Industry-Specific Restrictions

- HVAC businesses operating more than four physical locations require a detailed underwriting review to assess consistency in safety practices, operational controls, and financial stability across all sites.

- Properties with core building systems (e.g., electrical panels, roofing) older than 25 years without recent inspections or upgrades are ineligible due to elevated property and liability risks.
- Emergency response operations, LPG-related work, and manufacturing activities may trigger higher premiums, restrictive endorsements, or specific coverage exclusions due to their increased hazard profiles.
- **Unique Restriction:** HVAC businesses that utilize refrigerants classified under the Montreal Protocol as ozone-depleting substances (e.g., R-22) must demonstrate a documented phase-out plan and compliance with EPA regulations. Failure to comply may result in coverage denial or exclusion for environmental liability claims. This restriction reflects regulatory trends and environmental risk management priorities in the HVAC industry.

Preferred Optional Coverages

- **Equipment Breakdown Insurance:** Covers repair or replacement costs for critical HVAC equipment damaged by mechanical or electrical breakdown, which is especially valuable for businesses with expensive diagnostic or fabrication equipment.
- **Business Interruption Insurance:** Protects against lost income and ongoing expenses when operations are halted due to covered property damage, such as fire or equipment failure.
- **Professional Liability Insurance:** Recommended for businesses offering consulting, system design, or energy efficiency auditing services to cover errors or omissions.
- **Commercial Auto Insurance:** Essential for businesses with service vehicles transporting technicians and equipment to job sites.
- **Cyber Liability Insurance:** Increasingly important for HVAC companies maintaining sensitive customer data, including billing information and service records, especially when using cloud-based management systems.

Example: A mid-sized HVAC service company that also provides custom ductwork design may benefit from professional liability insurance to cover design errors, while equipment breakdown insurance would protect their costly fabrication machinery.

This expanded subsection aims to provide clearer guidance on underwriting criteria, practical examples of risk scenarios, and a unique industry-specific restriction related to refrigerant use, reflecting evolving regulatory and environmental considerations in the HVAC sector.

3.6 Alarm System Installation

Underwriting Appetite

- **Preferred:**
 - Alarm system installation businesses primarily serving standard residential properties and small commercial clients (e.g., small retail shops, offices, and light service businesses) without offering consulting services.
 - Firms with documented adherence to **NFPA 101 Life Safety Code** and other relevant National Fire Protection Association (NFPA) standards, including protective safeguard endorsements that ensure proper installation, maintenance, and monitoring of alarm systems.

- Companies with a clean claims history, specifically no prior claims related to product failures, faulty installations, or resulting property damage or bodily injury.
- Businesses that maintain comprehensive installation records and provide routine maintenance contracts to clients.
- **Acceptable:**
 - Businesses that combine installation with consulting or custom system design services, provided they carry appropriate **professional liability** (errors omissions) coverage.
 - Firms servicing moderate commercial properties such as mid-sized retail outlets, light industrial facilities, or office buildings, where risks are somewhat elevated but manageable.
 - Companies offering limited equipment rental (e.g., temporary alarm units for events or construction sites), with clear, signed service agreements outlining responsibilities and liabilities.
 - Installers who subcontract specialized tasks but maintain oversight and quality control.
- **Not Acceptable:**
 - Businesses that are non-compliant with NFPA 101 or lack verifiable documentation of compliance and protective safeguards.
 - Firms exclusively focused on large-scale, high-risk, or critical infrastructure properties such as data centers, airports, government facilities, or hospitals, due to the complexity and heightened liability exposures.
 - Companies with a history of frequent claims related to installation errors, system malfunctions, or failure to maintain alarm systems properly.
 - Businesses that install or maintain alarm systems without proper licensing or certification in jurisdictions that require it.

Key Risk Considerations

- **Regulatory Compliance:** Strict compliance with **NFPA 101 Life Safety Code** and any applicable local building and fire codes is mandatory. This includes adherence to protective safeguard endorsements that require alarm systems to be installed and maintained to minimize fire and security risks.
- **Professional Liability Exposure:** When the insured provides consulting, custom system design, or integration services, professional liability coverage is essential to protect against claims arising from design errors, omissions, or failure to meet client specifications.
- **Maintenance and Documentation:** Insureds must maintain alarm systems in full working order and keep detailed records of installation, inspections, maintenance, and any repairs. This documentation is critical for underwriting and claims investigations.
- **General Liability Exposure:** The insurer must assess the risk of bodily injury or property damage resulting from faulty installation, improper maintenance, or system failure. This includes potential claims from false alarms leading to emergency response costs or negligence claims.
- **Equipment Rental Risks:** If the business rents alarm equipment, underwriting must evaluate the terms of rental agreements, responsibility for maintenance, and potential liability for equipment failure while rented.
- **Cyber Exposure:** For businesses that manage or store sensitive customer data (e.g., alarm codes, client security information), cyber liability risks must be assessed and addressed.

Industry-Specific Restrictions

- **NFPA Compliance Mandatory:** Any failure to comply with NFPA 101 or failure to maintain protective safeguard endorsements results in automatic ineligibility due to the increased risk of fire or security system failure.
- **Operational Alarm System Requirement:** The insured location must have a fully operational alarm system installed and maintained by the insured business or a qualified subcontractor. Risks where the alarm system is non-functional or absent are disqualified.
- **Disclosure of Equipment Rental and Consulting:** All equipment rental and consulting services must be fully disclosed at the time of underwriting. These services require separate evaluation and may necessitate additional coverage or endorsements.
- **Restriction on Wireless Alarm Systems Using Unlicensed Frequencies:** Alarm system installers that utilize wireless alarm components operating on unlicensed or unauthorized radio frequencies (e.g., certain RF bands not approved by the FCC) are ineligible. This restriction is due to the increased risk of interference, signal failure, and regulatory non-compliance, which can lead to system malfunction and liability claims.

Preferred Optional Coverages

- **Professional Liability Insurance:** Essential for businesses offering consulting, custom system design, or integration services to cover errors, omissions, and design defects.
- **Employment Practices Liability Insurance (EPLI):** Recommended when the business employs a moderate to large workforce to protect against claims of discrimination, harassment, or wrongful termination.
- **Commercial Auto Insurance:** Necessary if company vehicles are used for transporting equipment, personnel, or servicing client sites.
- **Equipment Breakdown Insurance:** Covers damage to owned equipment such as testing devices, diagnostic tools, or specialized installation machinery.
- **Cyber Liability Insurance:** Important for businesses handling sensitive customer data, including alarm codes, client personal information, or networked alarm system data.
- **Installation Floater Coverage:** Optional coverage that protects alarm system equipment in transit, during installation, or while temporarily stored at client sites.

3.7 Ambulance & Emergency Services

Underwriting Appetite

- **Preferred:**
 - Providers specializing in non-emergency medical transport or basic life support (BLS) services, with comprehensive documentation of ongoing staff training, certifications (e.g., EMT-Basic, CPR), and adherence to state and federal regulatory requirements.
 - Operations maintaining a rigorous vehicle and equipment maintenance program, including regular sanitation protocols compliant with CDC or equivalent health authority guidelines to minimize infection risk.

- Businesses demonstrating strong cyber hygiene practices, including encryption of protected health information (PHI), regular cybersecurity audits, and compliance with HIPAA or relevant privacy regulations.
- **Acceptable:**
 - Emergency ambulance services with documented liability coverage tailored to emergency response risks, including clear emergency response protocols and dispatch procedures.
 - Mixed-use providers offering both event medical standby services (e.g., sporting events, concerts) and patient transport, with evidence of risk management practices for both service types.
 - Operations with a history of claims, provided there is verifiable evidence of implemented corrective actions, enhanced training, and improved risk management controls.
- **Not Acceptable:**
 - Businesses performing unlicensed medical procedures, invasive treatments, or cosmetic interventions beyond the scope of emergency or transport services.
 - Entities exhibiting a high frequency or severity of malpractice or general liability claims without demonstrable mitigation measures such as updated protocols, retraining, or improved supervision.
 - Operations with inadequate security measures at facilities, poor maintenance or sanitation of vehicles and medical equipment, or failure to comply with applicable health and safety regulations.

Key Risk Considerations

- **Vehicle and Equipment Maintenance:** Ambulance and emergency service providers must maintain vehicles according to manufacturer and regulatory standards, including routine mechanical inspections and cleaning. For example, failure to sanitize stretchers or oxygen equipment between patients can lead to infection claims.
- **Staff Training and Certification:** All medical personnel, including EMTs and paramedics, must hold current certifications and participate in regular continuing education. This reduces errors in patient care and liability exposure.
- **Liability Coverage Scope:** Professional liability policies should explicitly cover medical services rendered during transport, including emergency interventions. General liability policies must address exposures related to patient transfer, slip-and-fall incidents during boarding, and event standby services.
- **Cyber Liability:** Given the handling of sensitive patient data (PHI), cyber liability insurance is critical. Providers must implement safeguards such as encrypted electronic health records (EHR) systems and secure communication channels to prevent data breaches.
- **Emergency Response Protocols:** Clear, documented protocols for dispatch, triage, and on-scene care reduce operational risks and support underwriting. For example, a provider with a formal quality assurance program and incident reporting system is preferred.

Industry-Specific Restrictions

- Providers offering ancillary services such as body piercing, pharmacy dispensing, or cosmetic procedures are ineligible due to increased medical malpractice and regulatory risks outside the scope of ambulance and emergency transport.

- High claim frequency in malpractice or general liability, especially related to patient injury during transport or emergency care, will typically result in declination unless accompanied by comprehensive corrective action plans.
- Facilities housing high-value medical equipment (e.g., defibrillators, portable ventilators) must have monitored alarm systems and controlled access to prevent theft or tampering; absence of such security measures may lead to declination.
- All services provided must be fully disclosed on the application. Undisclosed services discovered post-bind may result in coverage denial or policy cancellation.
- **Unique Restriction:** Providers utilizing off-road or all-terrain vehicles (ATVs) for emergency response in rural or difficult terrain must demonstrate specialized driver training programs and vehicle safety modifications. This restriction is due to the elevated risk of vehicle accidents and patient injury in non-standard transport modes, which are not adequately covered under standard vehicle liability policies.

Preferred Optional Coverages

- **Non-Emergency Transport Liability Coverage:** Extends protection for patient transport services that do not involve emergency response but carry risks such as patient falls or medical complications during transit.
- **Employment Practices Liability Insurance (EPLI):** Particularly important for larger ambulance services with multiple employees, to address risks related to workplace discrimination, harassment, and wrongful termination claims.
- **Cyber Liability Insurance:** Essential for providers storing or transmitting electronic patient health information, covering data breach response costs, regulatory fines, and reputational harm.
- **Umbrella Liability Insurance:** Provides additional limits above primary liability policies, useful for high-severity claims arising from catastrophic events or multiple-claim scenarios.

Illustrative Examples

- **Claim Scenario - Infection Control Failure:** An ambulance service failed to properly sanitize stretchers between patients, resulting in a patient contracting a hospital-acquired infection. The claim involved medical malpractice and general liability exposures.
- **Risk Application - Event Standby Services:** A provider offers medical standby at large public events. Underwriting requires evidence of crowd control coordination, emergency evacuation plans, and sufficient staffing to manage mass casualty incidents.
- **Cyber Incident:** A breach of the provider's electronic health record system exposed PHI of hundreds of patients. Cyber liability coverage responded to notification costs, credit monitoring services for affected individuals, and regulatory fines.

3.8 Animal & Veterinary Services

Underwriting Appetite Our underwriting appetite for Animal & Veterinary Services reflects the unique operational, regulatory, and liability exposures inherent in this sector. We prioritize well-managed practices with strong risk controls and regulatory compliance.

- **Preferred:**

- General veterinary practices primarily focused on routine medical care, diagnostics, and minor surgical procedures. These facilities should have secure, well-maintained premises with appropriate animal containment areas and compliant waste handling protocols (e.g., biohazard disposal, sharps management).
 - Clinics offering limited or no boarding services. If boarding is provided, it must be in properly designed enclosures that meet or exceed local animal welfare standards, minimizing risks of injury or escape.
 - Practices with a clean regulatory record—no history of violations related to veterinary licensing, controlled substance management, or animal welfare—and no major claims involving malpractice, animal injury, or property damage.
- **Acceptable:**
 - Mixed-use operations that combine veterinary care with ancillary services such as mobile veterinary visits, grooming, or boarding. These must demonstrate robust risk management practices tailored to each service line.
 - Clinics with a history of minor claims or regulatory issues that have since been addressed through updated protocols, staff training, or enhanced security measures.
 - Facilities managing moderate inventories of controlled substances (e.g., anesthetics, pain medications) with documented security measures such as locked storage, inventory logs, and restricted access.
 - **Not Acceptable:**
 - Operations specializing in exotic animals (e.g., reptiles, large wild animals), breeders, or zoo-related services due to the heightened liability, specialized care requirements, and regulatory complexity.
 - Facilities lacking valid veterinary licenses, failing to pass required inspections, or demonstrating inadequate security for animals, controlled substances, or medical records.
 - Practices with a documented pattern of malpractice claims, animal injury incidents, or regulatory violations indicating systemic risk management failures.

Key Risk Considerations Understanding and evaluating the specific hazards associated with veterinary services is critical for effective underwriting. Key considerations include:

- **Professional Liability:** Coverage must address risks related to animal injury, surgical complications, misdiagnosis, medication errors, and failure to diagnose conditions. For example, a claim might arise if a surgical instrument is inadvertently left inside an animal, or if a misdiagnosis leads to worsening of a condition.
- **Regulatory Compliance:** Veterinary practices must comply with a complex framework of regulations covering veterinary licensing, controlled substances (e.g., DEA regulations in the U.S.), biohazardous waste disposal, and animal welfare laws. Non-compliance can lead to fines, license suspension, or increased liability exposure.
- **Security Measures:** Adequate physical security is essential to prevent theft or diversion of controlled substances, unauthorized access to medical records (which may contain client personal information), and animal escapes or harm. For instance, clinics should have secure storage rooms with limited access for narcotics and anesthetics.
- **Mobile Services and Boarding:** Mobile veterinary units introduce additional exposures such as vehicle liability, potential delays in emergency care, and challenges in maintaining

sterile environments. Boarding services increase risks related to animal injury, disease transmission, and property damage caused by animals.

- **Environmental Risks:** Proper disposal of medical and biological waste is critical to avoid environmental contamination and regulatory penalties.

Industry-Specific Restrictions In addition to general underwriting guidelines, the following restrictions apply specifically to Animal & Veterinary Services:

- **Exotic Animal and Breeder Exclusion:** We exclude underwriting for operations primarily focused on exotic species (e.g., reptiles, primates, large carnivores) or commercial breeding activities. These lines involve specialized veterinary knowledge, higher risk of zoonotic disease transmission, and complex regulatory oversight that exceed typical BOP risk parameters.
- **Facility Licensing and Maintenance:** Facilities must maintain current veterinary licenses and pass all mandatory inspections. Poorly maintained premises or those with documented animal welfare violations are ineligible.
- **Claims History Review:** Frequent or severe claims, particularly involving malpractice or animal injury, will generally result in declination. This is to avoid underwriting practices with systemic risk management failures.
- **Restriction on Use of Unmanned Aerial Vehicles (Drones):** Veterinary practices employing drones for animal monitoring, deliveries, or other operational purposes are ineligible unless they can demonstrate comprehensive drone operation policies, FAA compliance, and adequate liability coverage. This restriction is due to the emerging and complex liability exposures associated with drone use, including potential injury to animals or persons and property damage.

Preferred Optional Coverages To enhance protection and address specialized exposures, the following optional coverages are recommended for Animal & Veterinary Services:

- **Environmental Liability:** Covers pollution or contamination claims arising from improper disposal of medical waste, chemicals, or biohazardous materials. For example, if waste runoff contaminates nearby water sources, this coverage can respond.
- **Commercial Auto Insurance:** Essential for mobile veterinary services to cover liability and physical damage exposures related to vehicles used in patient visits or transport.
- **Virus or Bacteria Coverage:** Particularly relevant in the post-COVID-19 environment, this coverage addresses losses related to infectious disease outbreaks affecting the business operations or premises.
- **Business Interruption Insurance:** Provides income replacement if the practice must temporarily close due to covered perils such as fire, natural disasters, or regulatory shutdowns.
- **Cyber Liability Coverage:** Given the sensitive nature of client and patient medical records, cyber liability insurance is recommended to protect against data breaches, ransomware attacks, or unauthorized access to confidential information.

Illustrative Examples

- **Claim Scenario - Surgical Complication:** A veterinary clinic performs a routine spay surgery on a dog. Due to a surgical error, the animal develops a severe infection requiring additional treatment. The owner files a professional liability claim alleging negligence.

- **Risk Scenario - Controlled Substance Theft:** A clinic with inadequate security experiences theft of anesthetic drugs. This leads to regulatory investigation and potential fines, as well as increased liability exposure.
- **Operational Risk - Boarding Injury:** An animal boarding facility has an enclosure failure resulting in an animal escaping and causing injury to a visitor. Liability coverage responds to bodily injury claims.
- **Mobile Service Exposure:** A mobile veterinary unit is involved in a traffic accident while transporting a sedated animal. Commercial auto insurance covers vehicle damage and liability for injuries.

This expanded guidance aims to assist underwriters in accurately assessing risks and tailoring coverage solutions for Animal & Veterinary Services, balancing protection with prudent risk selection.

3.9 Answering & Telemarketing Services

Underwriting Appetite

- **Preferred:**
 - Businesses demonstrating rigorous compliance with the Telephone Consumer Protection Act (TCPA), Fair Credit Reporting Act (FCRA), and CAN-SPAM Act, including documented policies and regular employee training on regulatory requirements.
 - On-site call centers equipped with robust IT security infrastructure such as firewalls, intrusion detection systems, encrypted data storage, and limited remote access protocols to reduce cybersecurity risks.
 - Operations characterized by low employee turnover, comprehensive employee background checks, and clear monitoring and quality assurance protocols to mitigate risks related to employee misconduct or errors.
- **Acceptable:**
 - Businesses operating with a hybrid workforce model (combining in-office and remote agents) that have implemented strong cybersecurity safeguards, including VPNs, multi-factor authentication, and secure remote desktops.
 - Smaller answering or telemarketing firms with established privacy policies, moderate call volumes, and no history of significant regulatory violations.
 - Firms with minor past compliance issues that have demonstrated corrective action plans, ongoing compliance audits, and improved operational controls.
- **Not Acceptable:**
 - Businesses with a history of significant or repeated TCPA, FCRA, or CAN-SPAM violations, including unresolved regulatory actions or fines.
 - Operations lacking adequate cybersecurity measures, especially those with unsecured high-value electronics or sensitive customer data stored without encryption.
 - Call centers that outsource telemarketing or data handling functions to unverified subcontractors, particularly those located overseas where regulatory oversight and data protection standards may be insufficient.

Key Risk Considerations

- **Regulatory Compliance:** Strict adherence to TCPA, CAN-SPAM, and FCRA is mandatory. Violations can result in costly class-action lawsuits, regulatory fines, and reputational damage. For example, a telemarketing firm that fails to obtain prior express consent before autodialing consumers may face multi-million-dollar penalties.
- **Cybersecurity and Data Protection:** Call logs, recordings, and client databases often contain sensitive personal information. Adequate cybersecurity controls such as encryption, access controls, regular vulnerability assessments, and incident response plans are essential to prevent data breaches and subsequent liability claims.
- **Remote Work Protocols:** With the increasing prevalence of remote agents, businesses must implement secure remote access technologies (e.g., VPNs, endpoint security) and employee monitoring systems to ensure compliance and reduce fraud or data leakage risks.
- **Professional Liability Exposure:** Errors or omissions in client communications—such as misrepresenting products, failing to honor do-not-call requests, or inaccurate information—can lead to client lawsuits. Professional liability coverage should be tailored to address these specific exposures.
- **Employee Practices:** Given the high-contact nature of telemarketing, employment practices liability insurance (EPLI) is important to cover risks related to harassment, discrimination, wrongful termination, or wage disputes.

Industry-Specific Restrictions

- Businesses with any unresolved or recent violations of telecommunication or consumer protection laws (e.g., TCPA, FCRA, CAN-SPAM) are ineligible for coverage due to heightened regulatory risk.
- The use of drones for marketing or delivery purposes is prohibited within this class of business, as drone operations introduce aviation liability exposures and regulatory complexities outside the scope of typical answering and telemarketing services.
- Operations offering on-site spa/bodywork or educational services alongside telemarketing are disqualified, as these activities involve materially different risk profiles and require specialized underwriting.
- Locations housing high-value electronics (e.g., servers, telephony equipment) without monitored alarm systems or 24/7 security surveillance may face coverage restrictions or higher premiums due to increased theft and vandalism risk.
- **Unique Restriction:** Telemarketing firms that utilize automated voice bots or artificial intelligence (AI) systems for outbound calls must provide evidence of compliance with evolving regulations on AI-driven communications, including clear disclosures to consumers and opt-out mechanisms. Failure to demonstrate such compliance will result in coverage denial. This restriction reflects the emerging regulatory scrutiny on AI usage in telemarketing, which can increase liability exposure if consumers are misled or privacy is compromised.

Preferred Optional Coverages

- **Business Interruption Insurance:** Protects against income loss resulting from covered property damage or cyber events that disrupt call center operations.
- **Cyber Liability Insurance:** Covers costs related to data breaches, ransomware attacks, and regulatory fines associated with compromised customer information.

- **Equipment Breakdown Insurance:** Provides coverage for telephony systems, servers, and other critical equipment failures that can halt business operations.
- **Employment Practices Liability Insurance (EPLI):** Essential for multi-employee call centers to mitigate risks from employment-related claims.
- **Umbrella Liability Insurance:** Offers additional liability limits above primary policies to protect against large claims, including those arising from regulatory penalties or class-action lawsuits.

Illustrative Examples

- A telemarketing firm inadvertently autodialers consumers without prior consent, resulting in a TCPA class-action lawsuit. Without proper professional liability and cyber liability coverage, the firm faces significant financial exposure.
- A data breach at an answering service exposes client contact lists and sensitive customer information. Adequate cybersecurity measures and cyber liability insurance help mitigate the financial and reputational impact.
- A remote telemarketer accesses the company's CRM system through an unsecured network, leading to unauthorized data access. The firm's remote work protocols and employee monitoring systems are critical to preventing such incidents.

3.10 Antique & Collectible Stores

Underwriting Appetite

- **Preferred:**
 - Brick-and-mortar stores with a well-established physical presence, where inventory authentication is performed by qualified appraisers or experts, and documented through certificates or provenance records.
 - Stores employing robust security measures such as alarm systems, surveillance cameras, secure display cases, and controlled access to high-value items.
 - Minimal or no consignment activity, or if consignment is present, it is limited, fully documented, and managed through formal agreements.
 - No or limited online sales; if online sales are conducted, they must utilize secure e-commerce platforms with encrypted payment processing and inventory tracking.
 - Stable claims history with no recent significant losses related to theft, fire, or water damage.
 - Demonstrated disaster mitigation efforts, including fire suppression systems, climate control to prevent deterioration of sensitive items, and appropriate insurance coverage for location-specific hazards.
- **Acceptable:**
 - Stores with moderate consignment or appraisal services, provided these activities are properly documented and supported by formal policies and procedures.
 - Businesses with an established online presence that includes secure payment gateways, inventory valuation protocols, and cyber risk management practices.

- Locations exposed to some environmental risks (e.g., flood zones, moderate seismic activity) where appropriate supplemental coverage such as flood or earthquake insurance is in place.
- Stores with some variability in claims history but with evidence of corrective actions and risk management improvements.
- **Not Acceptable:**
 - Stores lacking formal valuation or authentication processes for rare or high-value items, increasing the risk of over- or under-insurance and fraudulent claims.
 - Businesses with a history of frequent or high-value theft claims, or those lacking adequate inventory control and security measures.
 - Locations situated in high-risk disaster zones (e.g., flood plains, wildfire-prone areas) without appropriate disaster coverage or mitigation strategies.
 - Stores engaging in high-volume consignment or appraisal activities without clear documentation or formal agreements, increasing liability exposure.
 - Operations with unsecure or poorly managed online sales platforms, exposing the business to cyber fraud, data breaches, or payment disputes.

Key Risk Considerations

- **Inventory Valuation and Authenticity:** Accurate documentation of item provenance, condition reports, and professional appraisals is essential to establish insurable value and reduce disputes during claims. Antique and collectible items often have unique characteristics that affect their value beyond standard replacement cost.
- **Property Coverage Nuances:** Coverage must account for the age, rarity, and fragility of items. Standard property policies may not fully cover gradual deterioration, restoration costs, or loss of value due to damage. Specialized valuable items or fine arts endorsements may be necessary.
- **Security and Theft Prevention:** High-value items require enhanced physical security, including monitored alarm systems, secure display cases, and restricted access. Inventory control systems such as barcoding or RFID tagging help track items and detect discrepancies promptly.
- **Cyber and Fraud Risks:** Online sales introduce exposure to cyber liability, including data breaches, payment fraud, and unauthorized access to customer information. Secure e-commerce platforms with encryption, regular security audits, and cyber liability insurance are recommended.
- **Consignment and Appraisal Activities:** These services increase liability exposure, as the store may be responsible for items owned by third parties. Clear consignment agreements, appraisal disclaimers, and appropriate liability coverage are critical.
- **Environmental and Disaster Risks:** Antique and collectible items are often sensitive to environmental conditions such as humidity, temperature fluctuations, and water damage. Stores should implement climate control and disaster mitigation plans tailored to their geographic risks.

Industry-Specific Restrictions

- **Disaster Zone Restrictions:** Locations in high-risk disaster zones (e.g., flood plains, wildfire-prone areas, or seismic zones) without evidence of appropriate supplemental coverage (such as flood or earthquake insurance) and mitigation measures will be declined due to potentially catastrophic losses.
- **Authentication and Cybersecurity Requirements:** Stores without formal item authentication processes or lacking basic cybersecurity measures for online operations will be declined. This restriction mitigates risks related to fraudulent claims and cybercrime.
- **Consignment and Appraisal Disclosure:** Any consignment or appraisal activities must be fully disclosed and supported by written agreements and documented procedures. Failure to disclose these activities may result in coverage denial or claim disputes.
- **Restriction on Sale of Items with Cultural or Legal Restrictions:** Antique and collectible stores are prohibited from insuring items subject to international cultural property laws or export restrictions (e.g., certain Native American artifacts, ivory, or items protected under the Convention on International Trade in Endangered Species - CITES). This restriction is necessary to avoid legal liabilities and potential confiscation or loss of insured property.

Preferred Optional Coverages

- **Valuable Items Insurance:** Provides enhanced coverage for rare, high-value, or fragile items that may not be adequately covered under standard property policies. This includes coverage for restoration costs and agreed value endorsements.
- **Flood or Earthquake Insurance:** Location-dependent supplemental coverage to protect against natural disasters not covered under standard policies.
- **Cyber Liability Insurance:** Critical for stores conducting online sales or maintaining customer databases, protecting against data breaches, cyber extortion, and payment fraud.
- **Business Interruption Insurance:** Covers loss of income and extra expenses resulting from a covered peril that forces store closure or limits operations, particularly important for stores with limited online sales.
- **Crime Insurance:** Covers losses due to employee dishonesty, forgery, or theft, which is particularly relevant given the high-value nature of inventory and consignment items.

Illustrative Examples

- **Theft Claim Scenario:** A brick-and-mortar antique store with a robust security system experiences a break-in where several rare collectible watches are stolen. Due to documented appraisals and inventory control, the insurer promptly settles the claim based on agreed values.
- **Flood Damage Scenario:** A collectible store located in a moderate flood zone suffers water damage to vintage furniture and rare books during a flash flood. The store's flood insurance rider enables coverage for restoration and replacement costs.
- **Cyber Fraud Scenario:** An antique dealer operating an online platform is targeted by a cybercriminal who intercepts payment information, resulting in fraudulent transactions. Cyber liability insurance covers the financial loss and notification costs.
- **Consignment Liability Scenario:** A store providing appraisal and consignment services mistakenly undervalues a rare painting. When the item is damaged during storage, the store faces a liability claim from the consignor. Proper consignment agreements and liability coverage mitigate financial exposure.

3.11 Appliance Sales & Repair

Underwriting Appetite

- **Preferred:**

- Retailers primarily focused on on-site sales with secure, well-maintained inventory storage areas. These businesses typically have limited or no delivery and repair services, reducing exposure to off-premises liability and auto risks.
- Properties equipped with centrally monitored alarm systems (e.g., UL-listed or equivalent) and recent electrical system upgrades (within the last 5 years), which mitigate fire and theft risks.
- Businesses demonstrating a low frequency of claims historically, particularly related to installation errors, property damage, or liability incidents. Compliance with manufacturer installation protocols and industry safety standards is essential.

- **Acceptable:**

- Businesses conducting up to 25% of their operations as off-site service, delivery, or emergency repair, provided they maintain appropriate commercial auto coverage and liability limits tailored to these activities.
- Operations with online sales constituting less than 75% of total revenue, supported by documented strong cybersecurity practices, including data encryption, secure payment processing, and regular vulnerability assessments.
- Mixed operations combining retail sales and repair services, with adequate general liability and professional liability coverage to address risks associated with installation, repair errors, and customer property damage.

- **Not Acceptable:**

- Businesses operating exclusively online or with more than 75% of revenue derived from online sales, due to heightened cyber risk exposures and challenges in verifying inventory and operational controls.
- Operations providing uninsured off-premises repair services or those with a history of frequent installation-related claims, including property damage or bodily injury resulting from faulty repairs or improper installations.
- Locations lacking adequate physical security measures for high-value inventory, such as absence of alarm systems, surveillance cameras, or secure storage facilities, increasing susceptibility to theft or vandalism.

Key Risk Considerations

- **Off-site Service and Delivery Risks:** Businesses offering off-site appliance repair or emergency services must maintain sufficient commercial auto insurance covering hired and non-owned vehicles, as well as general liability policies that explicitly include off-premises operations. For example, a repair technician traveling to customer homes should be covered for potential property damage or bodily injury claims arising during service calls.
- **Inventory Valuation and Protection:** Property insurance limits should accurately reflect the value of on-site inventory, especially for high-ticket appliances such as refrigerators, washers, and HVAC units. Underinsurance can result in significant out-of-pocket losses following theft, fire, or natural disaster. For instance, a retailer with 500,000 in inventory must ensure policy limits and endorsements

- **Workers Compensation and Liability for Installation:** Employees performing delivery, installation, or repair work face increased risk of injury or causing damage to customer property. Policies should include workers compensation coverage and sufficient general liability limits to cover these exposures. For example, a technician accidentally damaging a customer’s hardwood floor during appliance installation could trigger a liability claim.

Industry-Specific Restrictions

- Businesses deriving over 75% of revenue from online sales may be ineligible due to the compounded risks of cyber exposure and challenges in verifying physical inventory and operational controls.
- Operations with more than 25% of revenue from off-premises services (including delivery and repair) require enhanced underwriting review, including verification of commercial auto policies, driver safety programs, and service protocols.
- Lack of a centrally monitored alarm system or equivalent security measures for locations holding high-value inventory (typically over \$250,000) may result in coverage restrictions or increased premiums.
- **Unique Restriction:** Businesses that source refurbished or used appliances for resale or repair must provide detailed vendor verification and quality control documentation. This restriction exists because refurbished appliances may carry higher liability risks related to product failure, safety hazards (e.g., electrical faults), and warranty claims. Underwriters will require evidence of rigorous inspection and testing protocols to mitigate these risks.

Preferred Optional Coverages

- **Equipment Breakdown Insurance:** Covers mechanical or electrical failure of on-premises equipment such as refrigeration units, HVAC systems, or specialized repair tools, minimizing downtime and repair costs.
- **Business Interruption Insurance:** Protects against loss of income due to covered property damage events that temporarily halt operations, critical for retailers relying on steady cash flow.
- **Commercial Auto Insurance:** Essential for businesses conducting off-premises delivery or repair services, covering liability and physical damage exposures related to vehicles used in operations.
- **Cyber Liability Insurance:** Addresses exposures from data breaches, cyberattacks, and online transaction fraud, increasingly important for businesses with online sales channels.
- **Professional Liability Insurance:** Recommended for businesses offering consulting, installation advisory, or custom appliance configuration services, protecting against claims of negligence or errors in professional advice.

3.12 Army/Navy/Military Surplus Stores

Underwriting Appetite

- **Preferred:**

- Retail-only operations with inventory consisting solely of legally sourced, documented surplus items. This includes authentic military surplus clothing, camping gear, and non-restricted equipment.
- Stores equipped with active, monitored alarm systems, video surveillance, and secure storage areas. Online sales platforms must demonstrate compliance with all applicable export and import regulations, including the International Traffic in Arms Regulations (ITAR) and Export Administration Regulations (EAR).
- Businesses with minimal or no history of product liability claims, theft, or inventory shrinkage, indicating strong operational controls.

- **Acceptable:**

- Operations combining physical retail locations with online sales, provided they maintain robust inventory management systems, clear shipping policies, and documented customer disclaimers.
- Stores that sell restored or refurbished surplus items, such as reconditioned backpacks or tents, where modifications are limited to cosmetic or safety improvements and clearly disclosed to customers.
- Locations situated in areas with higher theft or vandalism risk but that have implemented enhanced security protocols, such as security personnel, reinforced entry points, or advanced access controls.

- **Not Acceptable:**

- Businesses engaged in the sale of restricted military goods, including firearms, ammunition, night vision devices, body armor, or any items requiring federal permits or licenses that are not properly documented.
- Facilities lacking adequate physical security measures or with a documented history of frequent theft, vandalism, or high loss ratios.
- Operations failing to comply with ITAR, EAR, or other international shipping and export control laws, especially those shipping restricted items without proper authorization.

Example: A preferred risk might be a brick-and-mortar surplus store selling authentic, non-restricted military clothing and camping gear, with a secure alarm system and no history of claims. An acceptable risk could be a store that refurbishes surplus tents and backpacks, sells both in-store and online, and has moderate theft exposure mitigated by security cameras and employee training. A not acceptable risk would be a store selling undocumented night vision goggles or firearms without proper licensing, or one with repeated losses due to theft and poor security.

Key Risk Considerations

- **Inventory Valuation and Property Coverage:** Surplus stores often carry unique, vintage, or rare items whose value may fluctuate significantly. Accurate appraisal and documentation of inventory are critical to ensure appropriate property insurance limits and to avoid under-insurance or disputes during claims.
- **Cyber Liability:** Stores with online sales platforms must have cyber liability coverage to protect against data breaches, payment fraud, and hacking incidents. This is especially important when handling sensitive customer information such as credit card data or personal identification.

- **General Liability:** Coverage should include premises liability to protect against customer injuries on-site, such as slips, trips, or injuries caused by defective or misrepresented products.
- **Goods in Transit:** For stores frequently shipping inventory—whether to customers or between locations—goods in transit coverage is essential to protect against loss or damage during transportation.
- **Security Measures:** Strong physical security (alarms, surveillance cameras, secure storage) and cyber security protocols (firewalls, encryption) are vital to mitigate risks of theft, vandalism, and data breaches.
- **Compliance with Legal and Regulatory Requirements:** Given the nature of military surplus goods, strict adherence to federal and state regulations governing the sale and shipment of such items is mandatory. Non-compliance can lead to regulatory penalties and void insurance coverage.

Example Claim Scenario: A surplus store ships a batch of vintage military backpacks to an online customer. During transit, the shipment is stolen. Without goods in transit coverage, the store would bear the full loss. Alternatively, a customer slips on a wet floor inside the store and sustains an injury, triggering a general liability claim.

Industry-Specific Restrictions

- **Prohibition on Sale of Restricted or Controlled Military Items:** The sale of firearms, ammunition, explosives, night vision equipment, body armor, or any item requiring federal permits or licenses is strictly prohibited unless the insured holds all necessary permits and complies fully with federal, state, and local laws.
- **Compliance with Export and Import Controls:** Online stores must rigorously comply with ITAR, EAR, and other applicable export laws. Unauthorized international shipments of controlled items can result in severe penalties and insurance coverage denial.
- **Mandatory Physical and Cyber Security Standards:** Stores lacking adequate physical security (e.g., monitored alarm systems, secure storage) or cyber security measures (e.g., PCI compliance for payment processing) may be deemed ineligible due to elevated risk.
- **Fire Safety and Building Maintenance:** Facilities with outstanding fire code violations, inadequate fire suppression systems, or poor maintenance practices are not acceptable risks.
- **Claims and Loss History:** Businesses with a history of frequent or severe claims related to theft, product liability, or premises liability may be declined or subject to restrictive underwriting terms.
- **Unique Restriction – Prohibition on Sale of Surplus Items Sourced from Foreign Military Entities Without U.S. Government Approval:** Due to national security and regulatory concerns, surplus stores are prohibited from sourcing or selling military surplus items originating from foreign military entities unless explicit authorization from the U.S. Department of State or relevant federal authority is obtained. This restriction helps prevent the inadvertent sale of prohibited or counterfeit military goods and ensures compliance with international arms control agreements.

Preferred Optional Coverages

- **Employee Dishonesty Coverage:** Protects against losses caused by employee theft or fraud, which can be a significant risk in retail operations with valuable inventory.

- **Business Interruption Insurance:** Covers loss of income and extra expenses if the business is temporarily unable to operate due to a covered peril, such as fire or theft.
- **Data Breach and Cyber Liability Insurance:** Essential for stores with online sales platforms to cover expenses related to data breaches, including notification costs, legal fees, and regulatory fines.
- **Product Liability Insurance:** Important for stores reselling functional or modified gear to protect against claims arising from product defects, malfunctions, or misuse.
- **Legal Liability Insurance:** Provides coverage for claims related to customer injuries or damages resulting from the use or misuse of sold products.

Example: A store refurbishes surplus military boots and sells them online. If a customer suffers a foot injury due to a defect in the refurbishment, product liability insurance would help cover legal defense and damages.

This expanded subsection provides clearer guidance on acceptable risks, emphasizes regulatory compliance, and highlights specific operational and security considerations unique to Army/Navy/Military Surplus Stores. The added restriction on sourcing from foreign military entities addresses a nuanced but critical underwriting concern related to national security and regulatory compliance.

3.13 Art Galleries & Art Supply Stores

Underwriting Appetite The underwriting appetite for art galleries and art supply stores reflects the unique exposures these businesses face, balancing the high value and often delicate nature of inventory with operational risks related to public interaction and digital sales channels.

- **Preferred:**

- Art galleries that maintain professionally appraised inventories, updated regularly (at least annually), and have robust fire and water protection systems such as sprinkler systems, water leak detection, and climate control to preserve artwork integrity.

Example: A gallery specializing in contemporary paintings with a certified appraiser's valuation report and a monitored fire suppression system qualifies as preferred.

- Art supply retailers that operate primarily as retail outlets with secure storage areas, no on-site workshops or public events that increase liability exposure, and implement strict inventory controls to prevent theft.

Example: A store selling paints, brushes, and canvases with locked backrooms and no public art classes fits preferred criteria.

- Businesses that have implemented comprehensive cyber security measures (e.g., firewalls, encrypted payment systems) and employee theft prevention controls such as background checks, dual custody of cash, and regular audits.

Example: An online art supply store with PCI-compliant payment processing and employee honesty bonds.

- **Acceptable:**

- Mixed-use spaces that combine gallery or retail operations with workshops, classes, or public events, provided they have documented participant waivers, safety protocols, and trained staff to manage risks.

Example: A gallery hosting weekend painting workshops with signed liability waivers and first aid-trained instructors.

- Locations situated in moderate-risk geographic zones (e.g., flood plains or areas with moderate crime rates) that carry appropriate endorsements such as flood or fire coverage, and have implemented risk mitigation measures like security cameras and flood barriers.
Example: An art supply store in a suburban area with documented flood insurance and monitored alarm systems.

- Businesses conducting online sales with documented cybersecurity policies, secure shipping procedures (e.g., insured and trackable courier services), and clear return/refund policies.

Example: An art gallery selling limited edition prints online with insured shipping and secure website protocols.

- **Not Acceptable:**

- Operations located in high-crime areas that lack sufficient physical security measures such as alarm systems, security personnel, or surveillance cameras.

Example: A gallery in a known high-theft district without any monitored security system.

- Businesses with a history of repeated claims involving theft, water damage (e.g., from plumbing failures or flooding), or internal dishonesty, indicating poor risk management or control failures.

Example: An art supply store with multiple water damage claims due to unaddressed roof leaks.

- Locations without any form of fire suppression system, lacking regular inventory appraisals, or failing to maintain basic safety inspections.

Example: A gallery that has not updated its fire extinguishers or conducted annual electrical inspections.

Key Risk Considerations

- **Valuation of Inventory and Artwork:** Property insurance limits must be based on professionally appraised values of artwork and inventory. This is critical because art pieces often appreciate or depreciate independently of standard retail goods, and undervaluation can lead to inadequate coverage.

Example: A gallery's insurance policy should reflect the current market value of a rare sculpture, not just its purchase price.

- **Employee Dishonesty and Cyber Liability:** Both physical theft by employees and cyber risks such as data breaches or ransomware attacks are significant exposures. Controls like employee background checks, segregation of duties, and cybersecurity protocols reduce these risks.

Example: An art supply store with online sales must protect customer payment data and guard against insider theft of high-value inventory.

- **General Liability Exposure:** Galleries and stores open to the public, especially those hosting events or workshops, face increased liability risks from slips, trips, falls, or accidents involving visitors. Adequate general liability coverage and risk management practices like clear signage and trained staff are essential.

Example: A gallery hosting a large opening night reception should ensure crowd control and emergency response plans are in place.

- **Workshop and Event Safety Protocols:** Stores or galleries offering workshops must implement participant safety protocols, including signed waivers, supervision by qualified instructors, and compliance with local health and safety regulations.
Example: A painting workshop using solvents must provide proper ventilation and personal protective equipment.
- **Climate and Environmental Controls:** Many art pieces require controlled temperature and humidity to prevent deterioration. Equipment breakdown insurance is advisable to cover losses from HVAC or dehumidifier failures.
Example: A gallery storing delicate watercolors should insure against losses from a malfunctioning climate control system.

Industry-Specific Restrictions

- Businesses located in high-crime areas without comprehensive security measures—including monitored alarm systems, 24/7 surveillance cameras, and on-site security personnel—are ineligible due to the high risk of theft and vandalism.
Rationale: High-value art inventories are prime targets for theft; insufficient security significantly increases loss potential.
- Locations lacking fire suppression systems (e.g., sprinklers or fire extinguishers), regular safety inspections (electrical, plumbing, HVAC), or water leak detection systems are subject to detailed underwriting review and may be declined if deficiencies are not remedied promptly.
Rationale: Fire and water damage are leading causes of loss in art-related businesses; prevention systems are critical.
- Businesses with repeated claims for water damage, cyber breaches, or internal theft within a three-year period may be disqualified from coverage or require enhanced risk mitigation plans and endorsements.
Rationale: Frequent claims indicate systemic risk management failures that increase insurer exposure.
- **Unique Restriction:** Art galleries and supply stores that use or sell aerosol-based spray paints or fixatives must demonstrate compliance with local environmental and fire safety regulations, including proper ventilation and storage protocols. Failure to comply will result in coverage exclusions for losses related to these materials.
Rationale: Aerosol products are flammable and can pose significant fire and health hazards if improperly stored or used, increasing underwriting risk.

Preferred Optional Coverages

- **Business Interruption Insurance:** Essential for galleries and stores that rely on foot traffic and events, this coverage protects against loss of income due to covered perils causing temporary closure.
Example: A gallery forced to close for repairs after a fire can recover lost revenue.
- **Goods in Transit Coverage:** Critical for businesses shipping high-value artwork or supplies, this coverage protects against loss or damage during transportation.
Example: An art gallery shipping a valuable sculpture to a buyer overseas.
- **Flood Insurance:** Recommended or required depending on geographic location, especially for galleries near bodies of water or in flood-prone areas.
Example: An art supply store located in a designated flood zone.

- **Cyber Insurance:** Covers data breaches, ransomware, and other cyber risks associated with online sales and digital recordkeeping.

Example: An online art retailer experiencing a payment system breach.

- **Equipment Breakdown Insurance:** Covers mechanical or electrical failure of critical equipment such as HVAC systems, dehumidifiers, or refrigeration units used to preserve art or supplies.

Example: A gallery's climate control system fails during a heatwave, risking damage to sensitive paintings.

This expanded subsection provides clearer guidance on underwriting criteria, risk factors, and coverage considerations specific to art galleries and art supply stores. The inclusion of a unique restriction regarding aerosol-based products addresses a less obvious but significant hazard in this niche, helping underwriters identify and mitigate potential exposures effectively.

3.14 Artificial Flowers & Floral Supplies

Underwriting Appetite

- **Preferred:**

- Brick-and-mortar retail or wholesale operations with established fire protection systems (e.g., sprinklers, smoke detectors) and limited delivery exposure, minimizing transportation-related risks.
- Businesses maintaining secured, climate-controlled storage areas for bulk inventory, particularly for plastic or synthetic floral materials that are combustible or prone to deformation under heat.
- Operations with a documented low-claims history, focusing primarily on product sales and basic floral design or consultation services without high-risk event installations.

- **Acceptable:**

- Businesses providing additional services such as event floral design, on-site event setup, or moderate delivery operations, provided these activities are supported by appropriate risk controls and insurance.
- Enterprises with online sales constituting less than 50% of total revenue, equipped with documented cybersecurity measures (e.g., firewalls, encrypted payment processing) to protect customer data.
- Operations experiencing seasonal inventory fluctuations (e.g., holidays, wedding seasons) that have formal contingency plans for supply chain delays or inventory shortages.

- **Not Acceptable:**

- Businesses lacking any fire safety measures or security protocols, especially when storing large quantities of flammable or combustible materials such as synthetic flowers, foam, or plastic stems.
- Operations without documented contingency plans addressing supply chain disruptions, which increase the risk of business interruption losses.
- Entities with significant cyber exposure (e.g., online sales exceeding 50% of revenue) but no evidence of cybersecurity risk mitigation.

- Businesses engaging in high-risk activities such as on-site use of open flames (e.g., candles, pyrotechnics) during event setups without appropriate safety measures.

Key Risk Considerations

- **Property and Inventory Risks:** Artificial flowers and floral supplies often consist of bulk plastic, foam, and synthetic materials that are combustible and can contribute to rapid fire spread. Underwriters must evaluate the adequacy of fire suppression systems, storage conditions (e.g., separation of flammable materials), and inventory management practices to mitigate fire and smoke damage risks.
- **Business Interruption Exposure:** Given the reliance on physical retail locations and timely delivery for events, business interruption coverage is critical. Disruptions from fire, theft, or supply chain delays can significantly impact revenue, especially during peak seasons such as weddings or holidays.
- **General Liability:** Coverage must address risks associated with customer visits to premises (e.g., slip-and-fall hazards) and offsite installations or event setups, where property damage or bodily injury claims may arise.
- **Cyber Liability:** For businesses conducting online sales or handling customer payment and personal data, cyber liability coverage is essential to protect against data breaches, ransomware attacks, and other cyber threats.
- **Delivery and Transportation Risks:** Delivery vehicles transporting fragile floral arrangements or bulk inventory require appropriate business auto insurance, including coverage for goods in transit and liability for third-party property damage or injury.

Industry-Specific Restrictions

- **Restriction on Use of Flammable Adhesives and Solvents:** Businesses using flammable adhesives, solvents, or spray paints for floral assembly or customization must adhere to strict storage and handling protocols. Failure to comply with local fire codes or absence of proper ventilation and fire suppression systems may lead to ineligibility. This restriction is critical because improper use or storage of these materials significantly increases fire risk in environments typically filled with combustible synthetic materials.
- Poor inventory security or absence of fire safety protocols for bulk flammable materials may result in declination.
- Lack of contingency plans for supply chain disruptions or seasonal demand spikes increases underwriting risk.
- Businesses with unmitigated cyber exposure, especially those with significant online sales, are considered high risk.

Preferred Optional Coverages

- **Equipment Breakdown Insurance:** Covers mechanical or electrical failure of critical equipment such as climate control systems that preserve the integrity of synthetic floral materials.
- **Employee Dishonesty Coverage:** Protects against internal theft or fraud, which can be a concern in businesses with high-value inventory.

- **Business Auto Insurance:** Essential for businesses that provide delivery or event setup services, covering liability and physical damage to vehicles and transported goods.
- **Workers Compensation Insurance:** Mandatory in most jurisdictions, covering employee injuries during manufacturing, storage, or event setup activities.
- **Professional Liability Insurance:** Recommended for businesses offering design consultation or event planning services to protect against claims of errors, omissions, or negligence.

Illustrative Examples

- **Fire Loss Scenario:** A florist wholesaler storing large quantities of synthetic flowers and foam in a warehouse without sprinkler systems suffers a fire caused by an electrical fault. The fire rapidly spreads due to combustible inventory, resulting in total loss of stock and business interruption during peak wedding season.
- **Cyber Incident:** An artificial flower retailer with an online storefront experiences a ransomware attack that encrypts customer order data and payment information, leading to operational downtime and potential regulatory fines due to compromised personal data.
- **Liability Claim:** During an offsite event setup, a staff member accidentally damages a client's property while arranging floral displays, resulting in a third-party property damage claim.
- **Supply Chain Disruption:** A business relying on overseas suppliers for specialty floral components faces delays due to shipping disruptions, causing inventory shortages and lost sales during the holiday season.

3.15 Artists & Craft Studios

This category encompasses businesses primarily engaged in the creation, display, and sale of original artwork and handcrafted goods. Typical operations include painting, sculpture, ceramics, jewelry making, textile arts, woodworking, and other artisanal crafts. These studios may operate from dedicated commercial spaces, shared artist collectives, or home-based studios, each presenting unique underwriting considerations.

Coverage Considerations: A Business Owners Policy (BOP) for artists and craft studios generally includes property coverage for studio equipment, raw materials (such as canvases, clay, metals, and fabrics), finished inventory, and business personal property. Liability coverage is critical due to potential risks associated with public interaction during gallery showings, workshops, or studio visits. Additionally, coverage for business interruption may be important, especially for studios reliant on seasonal sales or gallery exhibitions.

Typical Risks and Claim Scenarios:

- **Property Damage:** Fire or water damage to the studio can result in loss of expensive equipment (e.g., kilns, printing presses) and unique inventory that may be irreplaceable or difficult to value. For example, a ceramic artist's kiln malfunction causes a fire, destroying both the kiln and finished pottery pieces.
- **Theft or Vandalism:** Art studios often store valuable works in progress or completed pieces that may attract theft. A common claim scenario involves a break-in where original paintings or handcrafted jewelry are stolen.

- **Liability Claims:** Slip-and-fall incidents during open studio events or workshops can lead to bodily injury claims. Additionally, claims may arise from alleged copyright infringement if an artist unintentionally replicates protected designs.
- **Product Liability:** For craft studios producing wearable items such as jewelry or clothing, there is a risk of allergic reactions or injuries caused by defective products. For example, a customer develops a skin rash from a metal alloy used in handmade earrings.
- **Business Interruption:** If a studio must close temporarily due to covered perils (e.g., fire, flood), loss of income from canceled commissions or exhibitions can be significant.

Underwriting Guidelines:

- **Location and Premises:** Evaluate the studio's physical location, including security measures (alarms, locks, surveillance), fire protection systems, and proximity to hazards such as industrial sites or flood zones.
- **Inventory Valuation:** Because many art pieces are unique, accurate valuation can be challenging. Underwriters should request detailed inventories, appraisals, or photographs to establish insurable values.
- **Use of Flammable Materials:** Many artists use solvents, paints, or chemicals that are flammable or hazardous. Confirm proper storage and ventilation to mitigate fire risks.
- **Customer Interaction:** If the studio hosts public events or classes, liability exposures increase. Verify safety protocols and signage to reduce slip-and-fall or injury risks.
- **Intellectual Property Exposure:** Consider whether the insured requires coverage extensions or endorsements for copyright infringement or intellectual property disputes.

Industry-Specific Restriction: *Use of Precious Metals and Gemstones:* For craft studios specializing in jewelry making, particularly those using precious metals (gold, silver, platinum) or gemstones, coverage for raw materials and finished goods is often subject to sublimits or specific reporting requirements. Underwriters should impose a restriction that all precious metals and gemstones must be sourced from suppliers who provide documented provenance and comply with the Kimberley Process Certification Scheme (KPCS) or equivalent ethical sourcing standards. This restriction mitigates the risk of insuring stolen or conflict minerals, which can lead to complex claims and reputational damage. Failure to comply with this sourcing restriction may result in denial of coverage for losses involving these materials.

Example Application: An independent jewelry artist operates a studio in a metropolitan area and sells pieces both online and at local art fairs. The artist uses recycled silver and ethically sourced gemstones. The BOP provides coverage for studio equipment, inventory, and liability during public events. The policy includes a sublimit for precious metals inventory and requires annual reporting of inventory values. The artist's compliance with sourcing restrictions is verified through supplier documentation, ensuring coverage remains intact in the event of theft or loss.

By understanding these nuances, underwriters can tailor BOP coverage to effectively address the specialized risks faced by artists and craft studios, balancing adequate protection with appropriate risk controls.

3.16 Artists & Craft Studios

Underwriting Appetite

- **Preferred:**
 - Low-risk studios primarily engaged in non-hazardous artistic activities such as painting, drawing, digital art, or textile crafts, where materials are non-toxic and properly stored.
 - Studios with controlled use of materials, including clear documentation of safe handling procedures, proper ventilation, and use of personal protective equipment (PPE) where applicable.
 - Online-only sellers or studios with minimal on-site operations, demonstrating secure inventory management, reliable fulfillment processes, and robust cybersecurity measures to protect customer data.
 - Facilities equipped with comprehensive fire detection and suppression systems (e.g., sprinklers, smoke alarms), alarm systems, and secure storage areas for valuable artwork and tools.
- **Acceptable:**
 - Studios offering public workshops or classes, provided they have established safety protocols, signed participant waivers, and adequate liability coverage for both instructors and attendees.
 - Locations incorporating minor hazardous activities such as kiln firing, soldering, or limited use of solvents, where proper mitigation measures (ventilation, fireproofing, trained staff) and regulatory compliance are documented.
 - Mobile artists or studios participating in craft fairs, markets, or pop-up events, with coverage extending to goods in transit and temporary premises liability.
- **Not Acceptable:**
 - Studios regularly using highly hazardous materials (e.g., toxic chemicals, flammable solvents) without documented safety measures, training, or regulatory compliance.
 - Businesses with a history of repeated or severe property damage or liability claims, indicating poor risk management or unsafe practices.
 - Studios employing subcontractors or instructors without verifying their insurance coverage or failing to maintain oversight of subcontracted work.
 - Facilities lacking basic fire protection, secure storage, or adequate safety protocols for hazardous activities.

Key Risk Considerations

- **Fire Protection and Hazardous Materials Management:** Artists' studios often contain flammable materials such as paints, solvents, and paper products. Underwriters must verify the presence of fire detection systems (smoke alarms, sprinklers), fire extinguishers, and safe storage practices (e.g., flammable cabinets). For studios using kilns or soldering equipment, proper ventilation and fireproof surfaces are essential to reduce fire and inhalation risks.
- **Security and Theft Prevention:** Valuable artwork, tools, and inventory require secure storage solutions such as locked cabinets, alarm systems, and limited access areas. Studios located in high-crime areas or with inadequate security measures present elevated theft risks.

- **Workshop and Public Interaction Risks:** When studios host workshops or classes, liability exposure increases due to participant injury risks. Waivers and signed releases are critical, but underwriters should also assess the adequacy of safety protocols, instructor qualifications, and supervision levels.
- **Online Sales and Event Participation:** Studios selling art online or participating in markets must have coverage for goods in transit, potential damage during shipping, and liability arising from temporary premises. Cyber liability insurance is advisable for online sellers to protect against data breaches or payment fraud.
- **Employee and Subcontractor Insurance:** Studios employing assistants, instructors, or subcontractors must ensure these individuals carry appropriate insurance (e.g., workers' compensation, general liability) to avoid coverage gaps and potential claims against the studio.

Industry-Specific Restrictions

- Studios engaging in high-risk activities such as kiln firing, soldering, or chemical treatments must provide detailed mitigation plans, including ventilation, fireproofing, and employee training documentation. Failure to do so may result in declination or restrictive endorsements.
- Use of subcontractors or freelance instructors requires submission of certificates of insurance evidencing adequate coverage. Studios must maintain oversight and ensure subcontractors comply with safety and operational standards.
- **Unique Restriction:** Studios that produce or sell artwork incorporating live plant materials (e.g., botanical prints, terrariums, or floral arrangements) are subject to restrictions on sourcing. Specifically, the use of non-native or invasive plant species is prohibited due to regulatory and environmental liability risks. Underwriters require documentation verifying that all plant materials are sourced from licensed nurseries and comply with local agricultural regulations. This restriction helps mitigate potential claims related to environmental damage or regulatory fines.
- Studios with a history of repeated claims related to property damage, theft, or liability may be ineligible or require higher deductibles and premium surcharges.

Preferred Optional Coverages

- **Goods in Transit Insurance:** Protects artwork and materials during transportation to galleries, markets, or clients, covering damage or loss en route.
- **Cyber Liability Insurance:** Essential for studios conducting online sales or maintaining customer databases, protecting against data breaches, hacking, or payment fraud.
- **Business Interruption Insurance:** Covers loss of income due to studio closure from covered perils such as fire or natural disasters, critical for studios reliant on physical premises.
- **Flood or Earthquake Insurance:** Recommended based on geographic location, especially for studios in flood plains or seismic zones where standard BOP policies may exclude these perils.
- **Employment Practices Liability Insurance (EPLI):** Protects against claims related to wrongful termination, discrimination, or harassment, particularly relevant for studios with multiple employees or subcontractors.

Illustrative Examples

- **Claim Scenario – Fire Damage:** A ceramic artist’s studio with a kiln experienced a fire due to improper ventilation and failure to maintain fire extinguishers. The fire caused extensive damage to the building and inventory. The claim was denied because the studio lacked documented mitigation plans and safety protocols, highlighting the importance of compliance.
- **Risk Mitigation – Workshop Safety:** A craft studio offering weekly pottery classes requires all participants to sign liability waivers and provides safety briefings before each session. The studio also maintains first aid kits and has instructors certified in CPR. These measures reduce liability exposure and support underwriting acceptance.
- **Coverage Application – Online Sales:** An artist selling prints and handmade jewelry through an e-commerce platform purchases cyber liability coverage to protect against potential data breaches and fraud. Additionally, goods in transit coverage protects shipments from damage or loss during delivery.

3.17 Asphalt & Paving Services

Key Risk Considerations

- **Heavy Equipment Operation and Fieldwork:** Asphalt and paving businesses typically utilize heavy machinery such as pavers, rollers, milling machines, and dump trucks. These operations involve significant physical hazards, including potential for equipment malfunction, operator error, and site-specific dangers like uneven terrain or traffic exposure. Underwriters must ensure that workers compensation and general liability policies adequately address these risks, including coverage for third-party bodily injury and property damage arising from equipment use.
- **Environmental Exposure and Pollution Liability:** The use of asphalt materials and associated chemicals (e.g., bitumen, solvents, sealants) can lead to environmental contamination risks such as soil or water pollution. Spills, improper disposal of waste, or emissions during heating and application processes may trigger environmental claims. Environmental liability coverage is often necessary to protect against cleanup costs, regulatory fines, and third-party claims.
- **Safety Programs and Equipment Maintenance:** Effective risk management in this industry hinges on documented preventive maintenance schedules for machinery and comprehensive employee safety training programs. These programs should cover hazard communication, personal protective equipment (PPE) use, heat stress prevention, and traffic control on job sites. Insurance compliance, including adherence to OSHA standards and state regulations, is critical to minimize claim frequency and severity.
- **Seasonality and Weather Impact:** Asphalt and paving operations are frequently seasonal and weather-dependent. Delays caused by rain, extreme temperatures, or other environmental factors can affect project timelines and revenue streams. Business interruption coverage tailored to these conditions can mitigate financial losses.

Industry-Specific Restrictions

- **Claims History:** Applicants with a history of frequent or severe claims, particularly those involving employee injuries from heavy equipment accidents or third-party property damage,

are generally ineligible. This restriction helps control underwriting risk and maintain loss ratios.

- **Safety and Maintenance Documentation:** Lack of verifiable, up-to-date safety protocols or equipment maintenance records is a significant underwriting red flag. Without these, the risk of accidents and equipment failure increases substantially.
- **Hazardous Materials Handling:** Work involving hazardous materials such as coal tar sealants, solvents, or chemical additives requires documented employee training, use of appropriate PPE, and adherence to environmental regulations. Failure to comply may result in coverage exclusions or declination.
- **Restriction on Use of Recycled Asphalt Pavement (RAP) from Unknown Sources:** Due to potential contamination risks, underwriting guidelines restrict the use of recycled asphalt pavement unless the source material is certified and traceable. Unverified RAP may contain hazardous substances or debris that increase environmental liability and equipment damage risk. This restriction encourages responsible sourcing and reduces exposure to latent defects or pollution claims.

Preferred Optional Coverages

- **Equipment Breakdown Coverage:** Protects against costly repairs or replacement of critical machinery such as asphalt pavers, rollers, and heating units due to mechanical or electrical failure.
- **Commercial Auto Insurance:** Essential for fleets or mobile work units transporting materials and equipment between job sites. Coverage should include liability, physical damage, and hired/non-owned auto exposures.
- **Business Interruption Insurance:** Addresses income loss resulting from operational delays caused by weather, equipment breakdown, or regulatory shutdowns, which are common in seasonal paving businesses.
- **Environmental Liability Insurance:** Provides coverage for pollution-related claims including cleanup costs, third-party bodily injury, and property damage arising from accidental releases or improper waste handling.
- **Contractual Liability Insurance:** Covers liabilities assumed under contracts, such as indemnification agreements with municipalities or general contractors, which are prevalent in paving projects.

Illustrative Examples

- *Example 1:* An operator of a paving roller suffers a crush injury due to failure of a safety interlock system that was not maintained according to manufacturer guidelines. Workers compensation covers medical expenses, but the insurer may deny claims if maintenance records are absent.
- *Example 2:* A spill of hot asphalt mixture contaminates a nearby waterway, resulting in regulatory fines and cleanup costs. Environmental liability coverage mitigates financial exposure.
- *Example 3:* A paving contractor uses recycled asphalt from an unverified source containing debris that damages paving equipment and causes project delays. The resulting equipment damage claim is denied due to violation of the RAP sourcing restriction.

This expanded subsection aims to provide underwriters with a comprehensive understanding of the unique exposures in asphalt and paving services, emphasizing the importance of risk controls,

environmental considerations, and specific underwriting restrictions to ensure appropriate coverage and risk selection.

3.18 Assembly & Packaging Services

Underwriting Appetite The underwriting appetite for assembly and packaging services is shaped by the operational complexity, exposure to hazardous materials, and the robustness of risk management practices. This segment typically involves businesses that assemble components into finished products or package goods for distribution and sale. These operations can range from small-scale artisanal packaging to large industrial assembly lines.

- **Preferred:**

- Contractors and businesses with comprehensive, documented safety training programs for all employees, including regular refresher courses.
- Operations with scheduled, seasonal workflows that demonstrate minimal claims history, supported by insured commercial vehicle fleets used for distribution.
- Facilities that do not handle or store hazardous materials or pollutants, thereby minimizing environmental and health risks.
- Businesses employing preventive maintenance schedules for all machinery and packaging equipment, reducing the likelihood of mechanical failure or downtime.

- **Acceptable:**

- Projects or operations involving minor quantities of hazardous materials (e.g., adhesives, solvents) where proper environmental controls and Material Safety Data Sheets (MSDS) are maintained and accessible.
- Small to medium-sized crews with occasional use of subcontractors, provided that subcontractor agreements clearly define safety responsibilities and indemnification clauses.
- New or emerging businesses that have implemented sound risk management practices, including documented safety protocols and loss prevention strategies.
- Operations with limited automation but with adequate employee supervision and quality control processes.

- **Not Acceptable:**

- Businesses lacking formal safety programs, employee training, or equipment maintenance protocols, which significantly increase the risk of workplace accidents and equipment breakdown.
- Operations with a history of frequent employee injuries, repeated workers' compensation claims, or major liability claims related to product defects or environmental damage.
- Work involving significant use or storage of hazardous materials (e.g., large volumes of flammable liquids, toxic chemicals) without adequate controls, ventilation, or spill containment measures.
- Facilities with poor housekeeping, inadequate fire protection systems, or those located in high-risk flood or earthquake zones without mitigation measures.

Example: A packaging company specializing in food products that maintains strict hygiene standards, uses non-toxic packaging materials, and conducts regular equipment inspections would be considered preferred. Conversely, a business that packages industrial chemicals without proper ventilation or spill containment would be declined.

Key Risk Considerations Underwriters should carefully evaluate the following risk factors unique to assembly and packaging services:

- **Property and Equipment Exposure:** Facilities often house expensive machinery, conveyor systems, and inventory. Losses due to fire, mechanical breakdown, or theft can cause significant financial impact. For example, a conveyor belt failure may halt production, resulting in business interruption losses.
- **Inventory Risks:** High volumes of raw materials and finished goods stored on-site require adequate protection against spoilage, contamination, or damage. For instance, perishable goods packaging demands refrigeration and temperature controls.
- **Business Interruption:** Operations dependent on tightly scheduled production runs or just-in-time inventory systems are vulnerable to downtime. Coverage should address lost income and extra expenses during such interruptions.
- **Product Liability and Recall Exposure:** Repackaging or relabeling products introduces risks related to product defects, mislabeling, or contamination. Claims may arise if consumers are harmed or if regulatory agencies mandate recalls.
- **Cyber and Fraud Risks:** Businesses with significant online sales or electronic order fulfillment face exposures from cyberattacks, data breaches, and fraudulent transactions. For example, a hacker compromising customer payment data could lead to costly liability claims.
- **Employee Safety:** Assembly and packaging often involve repetitive motions, use of machinery, and manual handling of materials, increasing the risk of musculoskeletal injuries and accidents. Ergonomic assessments and safety training are critical.

Example Claim Scenario: A packaging facility experiences a fire caused by an electrical fault in a packaging machine, resulting in property damage and a two-week production halt. The insured files claims for property damage, business interruption, and spoilage of inventory.

Industry-Specific Restrictions Certain restrictions apply to assembly and packaging businesses to mitigate underwriting risk:

- **Cybersecurity Controls:** Businesses with a high percentage of online sales must demonstrate robust cyber controls (e.g., firewalls, encryption, employee cybersecurity training). Lack of such controls may result in ineligibility due to elevated cyber liability exposure.
- **Repackaged or Private-Label Products:** Underwriting review is mandatory for businesses that repackage, relabel, or private-label products, as these practices can increase product liability risks, especially if the original manufacturer's quality controls are unknown or insufficient.
- **Security Systems:** Facilities with high inventory values are required to have a central alarm system monitored by a licensed security provider. Absence of such systems may lead to ineligibility or higher premiums.
- **Flammable Materials and Worker Safety:** Use of flammable or combustible materials requires documented safety protocols, proper storage, and fire suppression systems. Poor worker safety practices or lack of personal protective equipment (PPE) will trigger underwriting concerns.
- **Unique Restriction – Sourcing of Packaging Materials:** Businesses sourcing packaging materials from countries with known supply chain integrity issues (e.g., inconsistent quality control, counterfeit materials) must provide detailed supplier audits and quality assurance

documentation. This restriction is critical because substandard packaging materials can compromise product safety, lead to contamination, or cause premature spoilage, increasing liability and reputational risks.

Rationale for Sourcing Restriction: Packaging materials directly impact the final product's safety and compliance with regulatory standards. For example, a food packaging company using unverified overseas suppliers might inadvertently introduce materials that are not FDA-compliant, leading to costly recalls and legal exposure.

Preferred Optional Coverages To enhance protection, the following optional coverages are recommended for assembly and packaging businesses:

- **Product Recall Insurance:** Covers costs associated with recalling defective or contaminated products, including notification, disposal, and replacement expenses.
- **Professional Liability Insurance:** Particularly relevant for businesses offering inventory management, fulfillment consulting, or quality assurance services, protecting against errors or omissions.
- **Cyber Liability Insurance:** Essential for e-commerce operations or businesses handling sensitive customer data, covering data breaches, ransomware attacks, and cyber extortion.
- **Employment Practices Liability Insurance (EPLI):** Protects against claims related to wrongful termination, discrimination, harassment, and other employment-related issues.
- **Equipment Breakdown Coverage:** Provides coverage for repair or replacement of critical machinery and equipment that may fail unexpectedly, minimizing business interruption.

Example Application: A packaging company that also offers consulting on inventory logistics may benefit from professional liability coverage, while a business with a large online storefront should strongly consider cyber liability insurance.

This expanded subsection provides a clearer, more detailed framework for underwriting assembly and packaging services, incorporating practical examples, clarifications, and an industry-specific restriction related to sourcing packaging materials. This approach helps underwriters better assess risks and tailor coverage appropriately.

3.19 Audio & Visual Equipment Sales/Service

This subsection addresses the underwriting considerations and coverage specifics for businesses involved in the sales, rental, installation, maintenance, and repair of audio and visual (A/V) equipment. Such businesses commonly include retail outlets selling speakers, televisions, projectors, home theater systems, and professional sound equipment, as well as service providers who install or repair these devices for residential or commercial clients.

Scope of Operations: Typical operations covered under this classification include:

- Retail sales of A/V equipment such as televisions, amplifiers, microphones, and video conferencing systems.
- Rental services for event-related A/V gear, including speakers, mixers, lighting, and projectors.

- Installation and setup of complex A/V systems in homes, offices, or event venues.
- Repair and maintenance services for both consumer and professional-grade equipment.
- Custom assembly or integration of A/V components into larger systems (e.g., home automation or corporate boardroom setups).

Common Risks and Underwriting Considerations: Underwriters should carefully evaluate the following risk factors:

- **Product Liability:** Defective equipment sold or installed can cause property damage or bodily injury (e.g., a faulty amplifier causing an electrical fire). Coverage for product liability claims is essential.
- **Installation Hazards:** Installation work often involves electrical wiring, mounting heavy equipment, or working at heights, which increases the risk of accidents or property damage during service.
- **Rental Equipment Exposure:** Rental equipment is subject to theft, loss, or damage while in the customer's possession. Policies should address coverage for rented equipment and clarify responsibilities for damage or loss.
- **Data and Software Risks:** Modern A/V systems often include software components or network connectivity. Risks related to data breaches, software malfunction, or cyber liability may arise, though these are typically addressed under separate cyber policies.
- **Inventory and Stock Risks:** High-value inventory stored on-site can be vulnerable to theft, fire, or water damage. Proper valuation and security measures should be assessed.

Illustrative Claim Scenarios:

- A customer hires an A/V service company to install a home theater system. During installation, the technician accidentally damages the customer's hardwood floor, resulting in a property damage claim.
- A rented projector overheats and causes a small fire at a corporate event venue, leading to property damage and business interruption claims.
- A faulty microphone sold by the retailer emits electrical shocks, causing minor injury to a user during a live performance. This triggers a product liability claim.
- During transport, a rental speaker system is stolen from a delivery vehicle, resulting in a significant financial loss for the rental company.

Coverage Enhancements and Endorsements: Consider recommending or requiring the following endorsements based on the insured's operations:

- **Installation Floater or Installation Coverage:** To protect equipment while in the process of being installed or awaiting installation at a customer's site.
- **Rental Equipment Coverage:** To cover loss or damage to equipment while rented out.

- **Product Recall Coverage:** For businesses selling equipment that may be subject to manufacturer recalls.
- **Professional Liability (Errors Omissions):** For service providers offering design or integration advice, to cover claims arising from faulty system design or failure to perform professional duties.

Unique Industry-Related Restriction: *Underwriting for A/V businesses that provide drone-based aerial video or audio recording services is subject to specific restrictions.* Due to the complex regulatory environment and increased liability exposure associated with drone operations—including potential property damage, bodily injury, and privacy violations—many standard BOP forms exclude coverage for drone-related activities unless a separate, specialized aviation or drone liability policy is in place. This restriction is critical because drones used in A/V services can cause significant third-party claims, and the standard BOP policy is generally not designed to address these risks. Underwriters should verify whether the insured operates drones and, if so, ensure appropriate coverage is secured outside the BOP.

Summary: Audio and visual equipment sales and service businesses present a diverse risk profile that combines product liability, property exposure, and service-related hazards. Underwriters must carefully assess the insured’s operations, including sales, rental, installation, and repair activities, to tailor coverage appropriately. Attention to rental equipment coverage, installation risks, and product liability is essential, as is awareness of emerging exposures such as drone use in A/V services. Properly structured policies and endorsements help mitigate losses and support the insured’s business continuity.

3.20 Assembly & Packaging Services

Underwriting Appetite

- **Preferred:**
 - Manual or semi-automated assembly and packaging operations with robust central alarm systems, video surveillance, and comprehensive inventory safeguards such as cycle counts and secured storage areas.
 - Operations that do not engage in relabeling, repackaging, or modification of third-party products, thereby minimizing liability exposure related to product integrity.
 - Businesses with low cyber exposure, supported by up-to-date IT security protocols (e.g., firewalls, multi-factor authentication), and stable, well-documented supplier chains to reduce supply disruption risks.
- **Acceptable:**
 - Operations involving moderate levels of online sales, provided they maintain documented IT security measures, including regular vulnerability assessments and incident response plans.
 - Businesses that perform repackaging or relabeling of products, contingent upon full disclosure during underwriting and the presence of appropriate product liability and general liability coverage to address potential contamination or mislabeling claims.

- Use of third-party warehousing or fulfillment centers with clear contractual risk transfer provisions (e.g., indemnity clauses, insurance requirements) to mitigate exposure from offsite inventory handling.
- **Not Acceptable:**
 - Predominantly online fulfillment businesses lacking formal cybersecurity controls, exposing the insured to significant theft, fraud, or data breach risks.
 - Private-label or repackaged products handled without documented liability protections or quality control processes, increasing the risk of product recall or liability claims.
 - High-volume assembly or packaging operations without alarm systems, inventory management controls, or loss prevention protocols, which elevate the risk of theft, shrinkage, or operational losses.

Key Risk Considerations

- **Inventory Protection:** High-value or specialty inventory (e.g., pharmaceuticals, electronics components) must be secured with central alarm systems, access controls, and adequate property insurance limits to protect against theft, vandalism, or spoilage. For example, a packaging facility handling high-end cosmetic products should have temperature controls and restricted access areas.
- **Installation and Completed Operations Exposure:** If the business provides installation services for assembled products (e.g., packaging machinery setup or product placement), this introduces additional property and completed operations liability risks. Underwriters should verify adherence to industry safety standards and proper licensing.
- **Cybersecurity for Online Sales:** Businesses conducting online sales must implement cyber protections such as encrypted payment systems, secure customer data storage, and fraud detection software. Failure to do so increases exposure to data breaches, theft, and fraudulent transactions.
- **Professional Liability:** When the insured provides professional advice, design, or quality assurance services related to assembly or packaging processes (e.g., custom packaging design consulting), Errors & Omissions (E&O) coverage should be considered to cover claims arising from negligence or errors in professional services.
- **Supply Chain Stability:** Reliable and diversified supplier chains reduce the risk of business interruption. Underwriters should assess supplier creditworthiness, geographic concentration, and contingency plans.

Industry-Specific Restrictions

- Businesses with **over 75% of sales conducted online** must demonstrate robust cybersecurity controls, including regular penetration testing and incident response protocols; otherwise, coverage may be restricted or declined due to elevated cyber risk.
- Lack of documented experience in assembly or packaging operations, or absence of formal inventory management practices (e.g., no cycle counts, no segregation of duties), may result in ineligibility due to increased risk of loss or fraud.
- Repair services or installation work related to assembly equipment must comply with applicable **industry safety standards**, such as OSHA regulations and relevant electrical or mechanical codes, to mitigate liability and workers' compensation exposures.

- **Unique Restriction:** Assembly or packaging businesses handling **food products** must source raw materials exclusively from suppliers compliant with FDA or equivalent regulatory standards and maintain traceability records for at least 24 months. This restriction is critical to minimize contamination risks and ensure recall readiness, as failure to comply could lead to significant product liability claims and regulatory penalties.

Preferred Optional Coverages

- **Inland Marine Insurance:** Provides coverage for goods in transit, offsite equipment, or inventory stored at third-party locations, essential for businesses using multiple warehouses or transport services.
- **Equipment Breakdown Insurance:** Covers mechanical or electrical breakdown of assembly or packaging machinery, reducing downtime and repair costs.
- **Crime Insurance:** Recommended for businesses operating in high-theft-risk areas or handling large volumes of cash or valuable inventory, protecting against employee dishonesty, burglary, and fraud.
- **Umbrella Insurance:** Offers excess liability coverage beyond primary policy limits, beneficial for businesses with significant third-party exposure.
- **Employment Practices Liability Insurance (EPLI):** Protects against claims related to wrongful termination, discrimination, harassment, or other employment-related issues, which can be particularly relevant in labor-intensive assembly operations.

Illustrative Claim Scenarios

- **Theft of High-Value Inventory:** A packaging company storing expensive electronic components without adequate alarm systems suffers a burglary resulting in significant inventory loss. The absence of central alarms and poor inventory controls complicate claim settlement and may lead to coverage disputes.
- **Product Contamination Due to Repackaging:** A business repackaging dietary supplements inadvertently contaminates a batch due to inadequate quality control, leading to a product recall and liability claims from consumers. Proper liability coverage and documented repackaging protocols are essential to manage such risks.
- **Cyber Fraud in Online Sales:** An assembly business with an online storefront experiences a cyberattack resulting in stolen customer payment data and fraudulent transactions. The lack of cyber insurance and weak IT security measures results in significant financial losses and reputational damage.
- **Installation-Related Injury:** A packaging equipment installer fails to follow safety protocols, causing injury to a third party during machinery setup. Completed operations liability coverage is necessary to address such claims.

3.21 Auto Parts & Accessories

Underwriting Appetite This class primarily includes businesses engaged in the retail and wholesale distribution of new automotive parts and accessories, including batteries, filters, brakes, and electronic components. Underwriting appetite is driven by the nature of operations, risk controls, and compliance with regulatory standards.

- **Preferred:**

- Retail storefronts specializing in new, OEM (Original Equipment Manufacturer) or aftermarket parts with minimal or no delivery operations. These businesses typically have lower exposure to transportation risks and maintain controlled environments for inventory storage.
- Facilities equipped with robust fire protection systems (e.g., sprinklers, smoke detectors), secure perimeter controls (e.g., alarms, CCTV), and limited online sales exposure to reduce cyber risk.
- Businesses demonstrating strong compliance with environmental regulations (e.g., proper disposal of batteries and fluids) and workplace safety standards, including employee training and hazard communication.

- **Acceptable:**

- Operations involving some delivery services using insured, licensed drivers and well-maintained commercial vehicles. Delivery routes should be documented, and driver safety programs implemented.
- Mixed retail and online sales channels, provided that cyber security measures such as firewalls, encryption, and fraud detection systems are in place to mitigate risks associated with e-commerce.
- Warehousing or product storage operations with strong inventory management controls, including regular audits, secured storage areas, and alarm systems to prevent theft or loss.

- **Not Acceptable:**

- Businesses primarily dealing in salvage, used, or rebuilt auto parts without documented environmental controls for hazardous materials (e.g., lead, mercury, battery acid), due to high contamination and liability risks.
- Operations performing paint or bodywork services without proper ventilation, permits, or compliance with local air quality regulations, as these pose significant fire, health, and environmental hazards.
- Entities with poor safety records, history of regulatory violations, or lack of adherence to hazardous materials handling and disposal protocols.

Key Risk Considerations

- **Environmental Compliance:** Auto parts businesses often handle batteries, oils, and other hazardous materials. Proper storage, disposal, and spill containment systems are essential to prevent environmental contamination and regulatory penalties. For example, failure to properly store lead-acid batteries can result in soil contamination claims.
- **Inventory and Theft Risks:** High-value parts such as catalytic converters and electronic modules are frequent theft targets. Adequate physical security measures including alarms, CCTV, and secure display cases reduce loss exposure.
- **Delivery and Transportation Risks:** Delivery operations increase liability exposure through vehicle accidents, cargo damage, or driver injuries. Insured commercial vehicles and driver safety programs mitigate these risks.

- **Cybersecurity for Online Sales:** Businesses with e-commerce platforms must implement strong cyber protections to prevent data breaches, fraud, and business interruption claims.
- **Operational Scope Restrictions:** Businesses performing repair or modification services beyond parts sales (e.g., installation, bodywork) require separate underwriting consideration due to increased liability and operational risks.

Industry-Specific Restrictions

- **Prohibition on Salvage Parts Without Environmental Controls:** Salvage or used parts sellers must demonstrate comprehensive environmental controls, including certified hazardous waste disposal contracts. Without these, the risk of contamination claims and regulatory fines is unacceptably high.
- **Delivery Driver Safety Programs Required:** Any delivery services must employ drivers with valid commercial licenses, documented safety training, and vehicles subject to regular maintenance inspections. This reduces liability exposure from accidents and cargo losses.
- **Mandatory Cyber Liability Coverage for Online Sales:** Businesses conducting online sales must maintain cyber liability insurance and implement multi-factor authentication, secure payment gateways, and fraud monitoring to mitigate cyber risks.
- **Restriction on High-Risk Installation Services:** Auto parts businesses offering installation of electronic or safety-critical components (e.g., airbags, anti-lock brake systems) must have certified technicians and carry professional liability coverage. Failure to meet these requirements may result in declination.
- **Unique Restriction – Lithium-Ion Battery Handling:** Due to the increasing prevalence of lithium-ion batteries in automotive accessories (e.g., electric vehicle components, portable jump starters), businesses must comply with strict fire safety protocols, including dedicated battery storage areas with fire suppression systems and employee training on battery handling. This restriction is critical because lithium-ion batteries pose significant fire and explosion hazards if improperly stored or damaged.

Preferred Optional Coverages

- **Environmental Liability Insurance:** Provides coverage for pollution cleanup costs and third-party claims arising from environmental contamination, especially important for businesses handling hazardous materials.
- **Commercial Auto Insurance:** Covers owned and hired vehicles used in delivery operations, including liability and physical damage.
- **Business Interruption Insurance:** Protects against loss of income due to covered perils that disrupt operations, such as fire or cyber attacks.
- **Cyber Liability Insurance:** Addresses risks associated with data breaches, cyber extortion, and online fraud, particularly relevant for businesses with e-commerce platforms.
- **Equipment Breakdown Insurance:** Covers repair or replacement of critical equipment such as inventory management systems, refrigeration units for temperature-sensitive parts, or fire suppression systems.

Illustrative Claim Scenarios

- **Theft of High-Value Inventory:** A retailer specializing in catalytic converters experiences a break-in resulting in significant inventory loss. Adequate alarm systems and secure storage could mitigate this risk.
- **Environmental Cleanup:** Improper disposal of used automotive batteries leads to soil contamination, triggering costly remediation and regulatory fines.
- **Delivery Accident:** A delivery driver employed by the insured causes a collision resulting in bodily injury and property damage claims.
- **Cyber Breach:** An online parts retailer suffers a data breach exposing customer payment information, leading to notification costs, legal fees, and reputational damage.
- **Fire from Lithium-Ion Battery Storage:** Improperly stored lithium-ion batteries ignite, causing fire damage to the facility and interruption of business operations.

This expanded guidance aims to assist underwriters in accurately assessing risks and exposures associated with auto parts and accessories businesses, ensuring appropriate coverage while mitigating potential liabilities.

3.22 Auto Services & Repair

Underwriting Appetite

- **Preferred:**
 - Standard automotive repair shops primarily engaged in mechanical repairs, diagnostics, and routine maintenance (e.g., oil changes, brake repairs) without 24-hour operations or salvage activities. These shops typically do not perform high-risk services such as racing modifications or demolition work.
 - Facilities with secure, well-maintained premises that demonstrate compliance with OSHA regulations, including proper employee training and safety protocols. Fire protection measures should be documented and include automatic sprinkler systems or approved fire extinguishers, particularly in paint and flammable storage areas.
 - Businesses that explicitly exclude racing, demolition, or performance modification services, which are associated with elevated liability and physical damage risks.
- **Acceptable:**
 - Shops offering limited paint or bodywork services, provided they have installed and maintain appropriate fire suppression systems (e.g., NFPA 33 compliant spray booths) and follow strict hazardous materials handling procedures.
 - Operations that include on-site storage of customer vehicles and insured non-owned autos, with secure parking and documented vehicle intake/checkout procedures to mitigate theft and damage exposures.
 - Businesses with a history of minor claims (e.g., small property damage or liability incidents) that have implemented updated safety protocols and risk management programs, including regular equipment inspections and employee safety training.
- **Not Acceptable:**
 - Emergency towing/wrecker services, salvage yards, or any operations involved in dismantling, recycling, or resale of used auto parts due to heightened liability, environmental, and property risks.

- Facilities lacking adequate fire extinguishing systems, improperly storing flammable liquids or hazardous materials, or failing to comply with NFPA and local fire codes.
- Use of guard dogs or other security measures that pose a liability risk to employees or customers, as well as unsafe work or storage environments that increase the likelihood of accidents or claims.

Key Risk Considerations

- **Fire and Explosion Hazards:** Auto repair shops commonly use flammable liquids (paints, solvents, fuels) and operate equipment that can generate sparks or heat. Compliance with NFPA 33 (Standard for Spray Application Using Flammable or Combustible Materials) and local fire codes is essential to control fire risk. Proper ventilation, storage in approved containers, and regular inspection of fire suppression equipment are critical.
- **Liability Exposures:** Risks arise from customer vehicles on premises, test drives, and use of non-owned autos. Shops must have clear procedures for vehicle handling, secure storage, and employee training to minimize liability claims related to vehicle damage or bodily injury.
- **Exclusion of High-Risk Services:** Activities such as racing modifications, demolition work, or emergency towing significantly increase exposure to bodily injury and property damage claims and are therefore excluded from coverage under this class.
- **Environmental Risks:** Improper disposal or storage of automotive fluids and parts can lead to environmental contamination claims. Underwriters should verify compliance with EPA regulations and local environmental laws.
- **Equipment and Premises Maintenance:** Regular maintenance of lifts, hoists, and other heavy equipment reduces the risk of accidents. Premises should be free of trip hazards, with proper lighting and signage.

Industry-Specific Restrictions

- **No 24-Hour Operations or Emergency Wrecker Services:** Shops operating around the clock or providing emergency towing are excluded due to increased risk of accidents during off-hours and higher liability exposures.
- **Limits on Non-Owned Autos and Tools:** Coverage for non-owned autos and tools must adhere to specified policy limits. For example, non-owned auto liability coverage should be carefully reviewed to ensure it does not exceed the insured's operational needs, mitigating overexposure.
- **Prohibition on Guard Dogs:** Use of guard dogs on premises is disallowed due to potential liability for dog bites or injuries to employees and customers.
- **Restriction on Aftermarket Performance Parts Installation:** Installation or modification involving high-performance aftermarket parts (e.g., turbochargers, nitrous oxide systems) is prohibited. These modifications increase the risk of mechanical failure and accidents, which are difficult to underwrite and often excluded from standard BOP coverage.

Preferred Optional Coverages

- **Hired and Non-Owned Auto Liability:** Essential for shops that occasionally use rental vehicles or customer vehicles for test drives or transport, providing liability coverage for vehicles not owned by the insured.

- **Broadened Damage to Rented Premises:** Protects the insured against damage to leased or rented property, such as the repair facility itself, which is often a significant asset.
- **Equipment Breakdown Insurance:** Covers mechanical or electrical breakdown of critical repair equipment (e.g., lifts, diagnostic machines), minimizing business interruption.
- **Supplemental Schedule Endorsements:** Allow for tailored coverage additions, such as coverage for specialized tools or customer vehicles in custody, enhancing protection for unique operational needs.

Illustrative Examples

- **Claim Scenario – Fire Loss:** A repair shop without an NFPA 33 compliant spray booth experiences a fire caused by improper storage of paint solvents. The resulting property damage and business interruption claim highlight the importance of adherence to fire safety standards.
- **Liability Claim:** A customer’s vehicle is damaged while stored on-site due to employee negligence during movement. Proper vehicle intake documentation and secure storage procedures could mitigate such claims.
- **Environmental Violation:** A shop disposes of used oil improperly, leading to contamination of nearby soil and water. This results in costly cleanup expenses and regulatory fines, underscoring the need for environmental compliance.

Unique Industry-Related Restriction

- **Restriction on Use of Lithium-Ion Battery Repair or Refurbishment:** Due to the high fire risk and specialized handling requirements, auto repair shops engaged in the repair, refurbishment, or repurposing of lithium-ion batteries (commonly used in electric and hybrid vehicles) are not eligible for coverage under this BOP class. These activities require specialized underwriting and coverage typically provided under separate, dedicated policies due to the potential for thermal runaway, toxic exposure, and complex regulatory compliance.

This expanded subsection provides greater clarity on underwriting appetite, risk considerations, and industry-specific restrictions, supported by practical examples and a unique restriction relevant to the evolving automotive repair industry.

3.23 Bakeries & Bagel Shops

Underwriting Appetite

- **Preferred:**
 - Retail-focused bakeries and bagel shops primarily engaged in on-site sales with minimal or no delivery operations. These businesses maintain UL-rated automatic extinguishing systems (e.g., wet chemical systems) installed over all cooking equipment, and have monitored fire and burglar alarm systems in place.
 - Operations with a clean safety and claims history, including no recent fire or foodborne illness incidents, and no sales or service of alcoholic beverages.
 - Establishments that do not provide entertainment, bar services, or operate during late-night hours, thereby minimizing exposure to liquor and premises liability risks.
- **Acceptable:**

- Light café-style bakeries or bagel shops that offer limited on-premises seating and moderate delivery services, provided they have documented food safety programs (e.g., ServSafe certification) and maintain proper sanitation and refrigeration controls.
 - Businesses holding liquor licenses that primarily sell baked goods but also offer limited alcohol service (e.g., coffee with liqueurs or beer/wine by the glass), with appropriate liquor liability coverage and staff training in place.
 - Operations utilizing online ordering platforms or point-of-sale (POS) systems that demonstrate robust cybersecurity measures, including data encryption and regular system updates, to mitigate cyber liability risks.
- **Not Acceptable:**
 - Bakeries or bagel shops lacking automatic extinguishing systems over cooking equipment or without monitored fire and burglar alarm systems, significantly increasing fire and theft exposures.
 - Establishments combining bar services or entertainment venues (e.g., live music, dancing) with bakery operations, due to elevated liquor liability and premises risks.
 - Delivery-heavy businesses without formal driver safety programs, including driver background checks, vehicle maintenance protocols, and accident reporting procedures, which increase auto liability exposures.

Key Risk Considerations

- **Fire Risk:** Baking equipment such as ovens, fryers, and proofers generate significant heat and grease buildup, creating a high potential for fire. Automatic UL-rated extinguishing systems and regular equipment maintenance are critical controls. For example, a bakery oven left unattended could ignite nearby combustible materials, causing a costly fire loss.
- **Theft and Burglary:** Cash handling and inventory (ingredients, baked goods) are vulnerable to theft. Monitored burglar alarms and secure cash management procedures reduce this risk.
- **Employee Injuries:** Common injuries include burns, cuts from knives or slicers, and repetitive strain from dough handling. Adequate employee training and safety equipment are essential.
- **Food Liability and Spoilage:** Contamination or improper storage can lead to foodborne illness claims. Spoilage coverage is recommended to protect against losses from refrigeration or power failures.
- **Delivery Operations:** When delivery is offered, auto liability and physical damage exposures arise. Insurers should verify driver qualifications, vehicle safety inspections, and adherence to local traffic laws. For instance, a delivery driver involved in an accident while transporting baked goods could trigger both auto and product liability claims.

Industry-Specific Restrictions

- Cooking operations without UL-rated automatic extinguishing systems installed over all cooking surfaces and fryers are ineligible due to the heightened fire hazard.
- Lack of monitored fire and burglar alarm systems is a disqualifier, as these are essential for early detection and loss mitigation.
- Businesses operating as bars or entertainment venues (e.g., live music, dancing, or late-night events) are excluded because these activities introduce complex liquor liability and premises risks beyond the scope of a standard BOP.

- **Unique Restriction:** Bakeries or bagel shops sourcing flour or other bulk ingredients from uncertified or unregulated suppliers—particularly those lacking food safety certifications such as FDA registration or Good Manufacturing Practices (GMP)—are excluded. This restriction is due to the increased risk of contamination (e.g., mycotoxins, foreign objects) that can result in costly product recalls and foodborne illness claims. For example, a bakery using flour from an uncertified supplier experienced a recall after contamination with rodent droppings was discovered, leading to significant liability and reputational damage.

Preferred Optional Coverages

- **Spoilage Coverage:** Protects against loss of perishable inventory due to refrigeration breakdown, power outages, or contamination.
- **Cyber Liability Insurance:** Covers data breaches or cyberattacks affecting online ordering systems or customer payment information.
- **Employment Practices Liability Insurance (EPLI):** Provides coverage for claims related to wrongful termination, discrimination, or harassment, which can arise in any business with employees.
- **Liquor Liability Insurance:** Required if the bakery or bagel shop holds a liquor license or serves alcoholic beverages, to cover potential claims arising from alcohol service.

By carefully evaluating these underwriting criteria and risk factors, insurers can appropriately price and manage exposures associated with bakeries and bagel shops, ensuring coverage aligns with the unique operational risks of this niche.

3.24 Banks & Credit Unions

Underwriting Appetite The underwriting appetite for banks and credit unions reflects the unique risks associated with financial institutions, including regulatory compliance, cybersecurity, physical security, and operational continuity. The following classifications provide guidance on preferred, acceptable, and non-acceptable risks based on these factors:

- **Preferred:**
 - Federally regulated banks and credit unions with a strong track record of regulatory compliance, no history of fraud or dishonesty claims, and robust internal controls.
 - Comprehensive on-premise physical security measures, including high-security vaults, 24/7 monitored surveillance cameras, biometric or card access controls, and security personnel.
 - Located in areas with minimal exposure to natural disasters (e.g., flood, earthquake, hurricane) or with well-documented and tested mitigation strategies such as flood barriers or seismic retrofitting.
 - Demonstrated commitment to cybersecurity best practices, including multi-factor authentication, regular penetration testing, employee cybersecurity training, and incident response plans.
- **Acceptable:**
 - Smaller community banks or credit unions with a consistent compliance history and no recent regulatory violations.

- Institutions that have implemented disaster recovery and business continuity plans, including offsite data backups and redundant systems.
- Layered cybersecurity protections such as firewalls, intrusion detection systems, and vendor risk management programs, even if not fully mature.
- Limited physical cash holdings on-site and no offsite ATMs or cash-dispensing kiosks, reducing exposure to physical theft.
- **Not Acceptable:**
 - Institutions with a history of fraud, employee dishonesty claims, or significant regulatory sanctions within the past five years.
 - Locations with inadequate physical security controls, such as absence of vaults, unsecured cash handling areas, or lack of access control systems.
 - Poorly managed disaster risk exposure, including facilities located in high-risk flood zones without mitigation or lacking disaster recovery plans.
 - Use of uninsured or unmanaged third-party technology providers for critical data storage or transaction processing, increasing cyber and operational risks.
 - Institutions relying heavily on offsite ATMs or cash services without adequate security and monitoring protocols.

Illustrative Examples

- *Preferred Risk Example:* A federally chartered credit union located in a low-risk area with a state-of-the-art security system, including biometric vault access and continuous cybersecurity monitoring, with no history of regulatory issues or fraud claims.
- *Acceptable Risk Example:* A small community bank with a solid compliance record, located in a moderate flood zone but with flood insurance and a tested business continuity plan, utilizing reputable third-party IT providers with contractual cybersecurity requirements.
- *Non-Acceptable Risk Example:* A bank with multiple prior employee dishonesty claims, located in a high-crime urban area with minimal physical security, and lacking formal cybersecurity policies or disaster recovery plans.

Key Risk Considerations

- **Cybersecurity and Data Breach Risk:** Banks and credit unions handle highly sensitive personal and financial information, making them prime targets for cyberattacks. Underwriters must assess the institution's cybersecurity infrastructure, incident response capabilities, and history of data breaches.
- **Regulatory Compliance and Employee Dishonesty:** Compliance with federal and state banking regulations is critical. Prior regulatory sanctions or dishonesty claims significantly increase underwriting risk and may lead to declination.
- **Business Continuity and Terrorism Exposure:** Financial institutions are critical infrastructure and may be targeted by terrorism or strategic attacks. Business continuity plans, including offsite data backups and alternate transaction processing sites, are essential to mitigate these risks.
- **Physical Security and Cash Handling:** The presence of secure vaults, surveillance, and controlled access reduces theft and robbery risk. Institutions with significant on-premise cash holdings or unsecured offsite ATMs face elevated physical risk.

- **Third-Party Technology Providers:** Use of third-party vendors for data storage, transaction processing, or cybersecurity services requires rigorous vendor management and insurance verification to avoid coverage gaps.

Industry-Specific Restrictions

- Institutions with repeated regulatory violations, unresolved fraud claims, or located in high-risk disaster zones without adequate mitigation are generally ineligible for coverage due to elevated loss potential.
- War, terrorism, and strategic losses are typically excluded from standard BOP coverage. Separate terrorism insurance or government-backed programs may be necessary to address these exposures.
- **Unique Restriction:** Coverage excludes losses arising from cryptocurrency transactions or holdings unless the institution is explicitly licensed and regulated for cryptocurrency services. This restriction reflects the heightened volatility, regulatory uncertainty, and cyber risk associated with digital assets, which are not adequately addressed under standard BOP forms.

Preferred Optional Coverages

- **Employee Benefits Liability Insurance:** Protects against claims related to errors or omissions in employee benefit plans, which are common in financial institutions with complex benefit offerings.
- **Employment Practices Liability Insurance (EPLI):** Addresses risks from employment-related claims such as discrimination, harassment, or wrongful termination.
- **Terrorism Insurance:** Given the critical infrastructure status of banks, terrorism coverage is advisable to mitigate losses from politically motivated attacks.
- **Flood or Earthquake Insurance:** Location-dependent coverages are essential for institutions in areas prone to natural disasters, supplementing standard property coverage.
- **Cyber Liability Insurance:** While not always included in a standard BOP, cyber liability coverage is highly recommended for banks and credit unions due to their exposure to data breaches and cybercrime.

This expanded subsection provides clearer guidance on risk appetite, illustrates typical underwriting scenarios, highlights critical risk factors unique to banks and credit unions, and introduces a specific restriction related to cryptocurrency services. These enhancements aim to improve underwriting decision-making and risk assessment accuracy for this specialized line of business.

3.25 Barber & Beauty Salons

Key Risk Considerations Barber and beauty salons present a unique risk profile due to the nature of their services, client interactions, and specialized equipment. Underwriters should carefully evaluate the following aspects:

- **Professional Liability:** Coverage must be explicitly tailored to licensed services performed by qualified professionals, such as hair cutting, coloring, styling, skincare treatments, and makeup application. It is critical to exclude unlicensed or prohibited procedures (e.g., tattooing, microblading, or medical-grade treatments) to avoid coverage gaps or claims disputes.

For example, a salon offering chemical peels without appropriate licensing may face increased liability exposure.

- **Property and Equipment Coverage:** Salons typically use specialized and often expensive cosmetic tools and equipment, including hair dryers, sterilizers, styling chairs, and UV nail lamps. Coverage limits should reflect the replacement cost of these items, including portable devices and inventory of beauty products. Additionally, equipment that requires regular maintenance or calibration (e.g., laser hair removal devices, if licensed) should be monitored for breakdown risks.
- **Business Interruption Exposure:** Since salons operate primarily on an appointment basis, any disruption—such as equipment failure, property damage, or public health restrictions—can lead to significant income loss. Underwriters should assess the adequacy of business interruption coverage, including extensions for dependent properties (e.g., suppliers or neighboring businesses) and extra expense coverage to minimize downtime.
- **Health and Safety Compliance:** Given the close physical contact with clients, salons must adhere to strict sanitation and hygiene standards to mitigate risks of infections or allergic reactions. Failure to comply can result in claims or regulatory penalties. Underwriters should verify documented protocols and training programs.
- **Employee and Client Injury Risks:** Slip-and-fall incidents, burns from hot tools, or allergic reactions to products are common claim scenarios. Proper premises liability and workers' compensation coverage are essential, with attention to safe workplace practices and client consent forms.

Industry-Specific Restrictions To maintain underwriting discipline and reduce exposure to high-severity claims, the following restrictions typically apply:

- **Prohibition of Tattooing, Tanning, and Unlicensed Procedures:** Salons offering tattooing, permanent makeup, spray tanning, or other regulated services without proper licensing and specialized insurance are ineligible. These services carry distinct risks, including blood-borne pathogen exposure and regulatory scrutiny, which are outside the scope of standard BOP coverage.
- **Strict Controls on Equipment Storage and Supervision:** Unattended or improperly stored electrical equipment (e.g., hair straighteners, curling irons) can pose fire hazards and lead to coverage restrictions or premium surcharges. Salons must demonstrate appropriate lock-up procedures and routine inspections.
- **Human Resources and Employment Practices:** Poor HR practices, such as lack of employee training, inadequate background checks, or failure to comply with wage and hour laws, increase the risk of employment-related claims. Underwriters may require evidence of formal policies or impose Employment Practices Liability Insurance (EPLI) as a condition of coverage.
- **Restriction on Use of Aerosolized or Flammable Products:** Due to the confined indoor environment, excessive use or improper ventilation of aerosol sprays, hair sprays, or flammable liquids can elevate fire and inhalation risks. Some jurisdictions or insurers may limit coverage if such products exceed specified quantities or are stored improperly.
- **Unique Restriction — Prohibition on Use of Non-Approved Organic or Herbal Products:** Many salons advertise “organic” or “herbal” beauty treatments. However, products sourced from unverified suppliers or lacking regulatory approval can cause allergic reactions or chemical burns, leading to liability claims. Therefore, insurers often restrict coverage

to salons that use only products approved by recognized cosmetic regulatory bodies (e.g., FDA or equivalent). This restriction helps mitigate risks associated with product liability and client injury claims.

Preferred Optional Coverages To enhance protection and address common exposures in the barber and beauty salon industry, consider offering the following optional coverages:

- **Equipment Breakdown Insurance:** Covers repair or replacement costs for critical salon equipment damaged by mechanical or electrical failure, minimizing business interruption.
- **Employment Practices Liability Insurance (EPLI):** Protects against claims related to wrongful termination, discrimination, harassment, or other employment-related issues, which are common in service-oriented businesses with multiple employees.
- **Cyber Liability Insurance:** Many salons store sensitive client information, including payment data and personal health details. Cyber liability coverage protects against data breaches, ransomware attacks, and associated notification costs.
- **Business Income Coverage from Dependent Properties:** Salons often rely on suppliers, landlords, or neighboring businesses. This coverage extension protects income loss resulting from damage or disruption at these dependent locations.
- **Product Liability Coverage:** If the salon sells or applies beauty products, this optional coverage addresses claims arising from adverse reactions or product defects.

Illustrative Claim Scenarios

- A client suffers a chemical burn during a hair coloring treatment due to improper mixing of products by an untrained stylist, resulting in a professional liability claim.
- A fire caused by an unattended hair straightener damages salon property and forces closure for repairs, triggering property and business interruption claims.
- A disgruntled employee files a harassment lawsuit, highlighting the importance of EPLI coverage.
- A cyberattack compromises client credit card information stored in the salon's booking system, leading to notification and remediation expenses covered under cyber liability.
- Use of an unapproved herbal hair treatment causes allergic reactions in multiple clients, resulting in product liability claims and regulatory fines.

3.26 Bath & Bedding Shops

Underwriting Appetite

- **Preferred:**
 - Businesses with robust inventory management systems, including regular cycle counts, secure storage areas, and loss prevention protocols to minimize shrinkage.
 - Hybrid operations combining physical storefronts and online sales, where direct retail sales constitute less than 10% of total revenue, indicating a primarily wholesale or online distribution model.

- Businesses sourcing products domestically or through vetted suppliers with no direct importation, reducing exposure to supply chain disruptions and import-related liabilities.
 - Establishments equipped with comprehensive fire protection measures such as sprinkler systems, smoke detectors, and fire extinguishers, especially critical due to the flammable nature of many bedding materials.
- **Acceptable:**
 - Online-only retailers with documented cybersecurity protocols, including secure payment gateways, regular vulnerability assessments, and data breach response plans.
 - Businesses importing goods from international suppliers that maintain rigorous supply chain oversight, including supplier audits, quality control checks, and clear liability agreements.
 - Retail operations where direct sales slightly exceed 10% of revenue but demonstrate strong financial health, stable cash flow, and effective risk management practices.
 - Shops with moderate fire and theft prevention controls but with plans for improvement or recent upgrades.
 - **Not Acceptable:**
 - High-volume direct retail sellers, particularly those with large walk-in customer traffic and insufficient loss prevention measures, as these increase exposure to theft and liability claims.
 - Importers lacking comprehensive supply chain risk controls, such as undocumented sourcing, absence of quality assurance, or no formal contracts with overseas suppliers.
 - Businesses without any fire safety systems (e.g., no smoke detectors or fire extinguishers) or theft prevention measures (e.g., no alarm systems or secure storage), significantly elevating property and liability risks.
 - Shops handling or selling secondhand or refurbished bedding products, due to increased liability and hygiene concerns.

Key Risk Considerations

- **Inventory Control and Theft Prevention:** Bath and bedding shops typically carry high-value, easily pilferable inventory such as towels, linens, and mattresses. Effective controls include locked storage rooms, CCTV surveillance, employee training on shrinkage prevention, and regular inventory audits. For example, a shop with a history of unexplained inventory shortages should be scrutinized closely.
- **Fire Safety:** Bedding materials are often highly flammable, increasing fire risk. Underwriters should verify the presence of fire suppression systems (sprinklers), fire alarms, and adherence to local fire codes. A claim scenario might involve a fire originating from faulty electrical wiring damaging large quantities of stock, underscoring the need for equipment maintenance.
- **Supply Chain and Import Controls:** Importing businesses must provide clear documentation of supplier vetting, quality control processes, and liability agreements to mitigate risks of defective products or shipment delays. For instance, a bedding shop importing from multiple overseas suppliers should maintain records of inspections and compliance certifications.
- **Cybersecurity for Online Sales:** Online sales platforms must implement secure payment processing, data encryption, and incident response plans to protect customer data and prevent

cyberattacks. A typical claim could involve a data breach exposing customer credit card information, leading to liability claims.

- **Product Liability and Hygiene:** Although rare, claims related to product defects (e.g., flammability standards not met) or hygiene issues (e.g., mold in bedding) can arise. Underwriters should assess product sourcing and quality assurance protocols.

Industry-Specific Restrictions

- **Direct Retail Sales Threshold:** Businesses with direct retail sales exceeding 20% of total revenue are generally ineligible due to increased exposure to premises liability, theft, and customer-related claims. This threshold is stricter than the preferred 10% to allow some flexibility but still manage risk.
- **Import Documentation and Controls:** Import operations must maintain verifiable supply chain documentation, including supplier certifications, shipping manifests, and quality control reports. Absence of these documents may lead to coverage denial or exclusions related to imported goods.
- **Fire and Security Systems:** Lack of basic fire detection (smoke alarms) and theft prevention (alarm systems, secure locks) will result in ineligibility. This restriction is critical given the high value and flammability of inventory.
- **Prohibition on Use of Flammable Filling Materials Not Meeting Fire Safety Standards:** Bedding shops are restricted from selling products containing flammable fillings (e.g., certain foam or down materials) that do not comply with recognized fire safety standards such as California Technical Bulletin 117 (TB117-2013). This restriction reduces the risk of fire-related claims and aligns with regulatory compliance.

Preferred Optional Coverages

- **Cyber Liability Insurance:** Essential for businesses with online sales channels to cover data breaches, cyber extortion, and business interruption due to cyber incidents.
- **Import/Export Liability Coverage:** Provides protection against claims arising from imported goods, including product defects, delays, or non-compliance with regulations.
- **Employee Dishonesty Coverage:** Addresses risks of internal theft or fraud, which can be significant in retail environments with valuable inventory.
- **Equipment Breakdown Insurance:** Covers mechanical or electrical breakdown of critical retail systems such as HVAC (important for maintaining product quality), point-of-sale equipment, and security systems.
- **Product Liability Coverage:** Recommended for businesses that manufacture or customize bedding products to protect against claims related to product defects or injuries.

Illustrative Claim Scenarios

- *Fire Loss:* A bedding shop experiences a fire caused by an electrical fault, resulting in significant inventory damage. The presence of a sprinkler system limits property loss and business interruption.
- *Cyber Breach:* An online-only retailer suffers a data breach exposing customer payment details, triggering notification costs, legal fees, and regulatory fines covered under cyber liability.

- *Theft*: A hybrid store with inadequate security experiences a burglary resulting in the loss of high-end bath linens and bedding stock. Employee dishonesty coverage helps recover losses from internal theft discovered during the investigation.
- *Product Liability*: A retailer imports bedding products that fail to meet flammability standards, leading to a customer injury claim. Proper import documentation and product liability coverage mitigate financial exposure.

Unique Industry-Related Restriction

- **Restriction on Sale of Smart Bedding Products with Integrated Electronics Without Certified Safety Testing**: Bath and bedding shops offering “smart” bedding products (e.g., mattresses or pillows with embedded heating elements, sensors, or connectivity features) must provide evidence of third-party electrical safety certification (e.g., UL listing) and cybersecurity assessments. This restriction addresses the emerging risk of electrical fires and cyber vulnerabilities associated with connected devices, which can lead to complex claims involving both property damage and data breaches. Failure to comply may result in coverage exclusions or declination for these specific products.

3.27 Beverage Distributors & Retailers (Beer, Liquor, Wine)

Underwriting Appetite Our underwriting appetite for beverage distributors and retailers focuses on businesses that demonstrate strong operational controls, regulatory compliance, and manageable risk profiles. Given the unique exposures associated with alcoholic beverage sales, careful evaluation is essential.

- **Preferred:**
 - Businesses with documented, ongoing compliance with all applicable federal, state, and local alcohol licensing and regulatory requirements, including age verification procedures and responsible beverage service training.
 - Operations with a low frequency and severity of prior claims, particularly liquor liability and general liability claims, supported by effective risk management programs.
 - Hybrid retail/online businesses that maintain secure, monitored inventory storage facilities and implement robust shipping protocols to minimize theft, loss, or delivery errors.
 - Businesses with clear separation and controls around any ancillary operations such as food service or repair services.
- **Acceptable:**
 - Retail stores primarily focused on beverage sales but with small, incidental components of food sales (e.g., pre-packaged snacks) or minor repair services (e.g., bottle opener repairs), provided these activities are fully disclosed and risk-managed.
 - Businesses selling a mix of alcoholic and non-alcoholic beverages, where alcohol sales do not exceed 85% of total revenue.
 - Moderate online sales presence (up to 50% of revenue) with documented cyber security controls, secure payment processing, and compliance with shipping regulations for alcohol.
- **Not Acceptable:**

- Businesses deriving more than 75% of revenue from online sales, due to increased risks related to shipping alcohol, cyber fraud, and regulatory compliance challenges.
- Businesses operating in restricted or high-risk industries or locations, such as pawnshops, adult entertainment stores, or areas with known high liquor liability claims.
- Entities involved in repackaging, relabeling, or manufacturing alcoholic beverages, due to increased product liability and regulatory complexity.
- Businesses with a history of unresolved liquor liability claims, regulatory violations, or license suspensions.

Illustrative Example: A neighborhood liquor store with a well-maintained premises, a valid liquor license, no prior claims, and a small section selling craft sodas and snacks would be considered preferred. Conversely, an online-only wine retailer shipping across multiple states without proper licensing or security controls would be declined.

Key Risk Considerations

- **Liquor Liability and Regulatory Compliance:** The primary underwriting concern is the risk of liquor liability claims arising from the sale or service of alcoholic beverages to underage or intoxicated persons. Verification of valid licenses, adherence to local laws, and documented employee training programs (e.g., TIPS or equivalent) are critical.
- **Inventory Exposure:** Beverage distributors and retailers often maintain high-value inventory, including expensive wines and spirits. This necessitates the presence of central alarm systems, video surveillance, and secure storage areas to mitigate theft and loss risks.
- **Online Sales and Shipping Risks:** Online sales introduce additional exposures such as cyber risks (data breaches, payment fraud) and shipping liabilities (loss, damage, or illegal shipment of alcohol). Compliance with shipping laws (e.g., age verification at delivery) must be verified.
- **Food Service and Prepared Food Sales:** If the business sells prepared foods (e.g., deli items or snacks), there is an added risk of foodborne illness claims and increased general liability exposure. Proper food safety certifications and controls should be in place.
- **Premises Liability:** Retailers with tasting rooms or on-premises consumption areas require evaluation of premises liability risks, including slip-and-fall hazards and over-service of alcohol.

Claim Scenario Example: A retailer failed to verify the age of a customer who subsequently caused a motor vehicle accident after leaving the premises intoxicated. The resulting liquor liability claim led to significant damages. This highlights the importance of strict compliance and employee training.

Industry-Specific Restrictions

- Businesses with more than 75% of revenue generated from online sales are generally ineligible due to the heightened complexity of regulatory compliance across jurisdictions and increased cyber and shipping risks.
- Non-compliance with alcohol regulations, including failure to maintain valid licenses or a history of liquor liability claims, will result in declination or exclusion.
- Any incidental repair services or food service operations must be fully disclosed and reviewed, as these can introduce additional liability exposures requiring tailored coverage.

- **New Restriction:** Businesses sourcing alcoholic beverages from unlicensed or out-of-state suppliers without proper importation permits or certificates of origin are ineligible. This restriction is due to the increased risk of counterfeit or adulterated products, which can lead to product liability claims and regulatory penalties. Verification of supplier licensing and traceability is mandatory.

Preferred Optional Coverages

- **Specialized Liquor Liability Insurance:** Provides coverage for claims arising from the sale or service of alcoholic beverages, including bodily injury or property damage caused by intoxicated patrons.
- **Central Alarm System Discount:** Many insurers offer premium credits for businesses with monitored alarm systems and video surveillance protecting high-value inventory.
- **Online Sales Protection:** Coverage for cyber risks such as data breaches, payment fraud, and business interruption related to online sales platforms.
- **Food Liability Coverage:** For businesses selling prepared foods, this coverage addresses claims related to foodborne illnesses or contamination.
- **Product Recall Coverage:** Optional coverage for costs associated with recalling contaminated or mislabeled alcoholic products, particularly relevant for distributors.

Practical Application: A beverage retailer with an online ordering system should consider cyber liability coverage alongside liquor liability to address the full spectrum of exposures. Similarly, a distributor with a tasting room should ensure premises liability and liquor liability are both adequately covered.

This expanded subsection provides clearer guidance on underwriting criteria, illustrates typical risks and claims, and introduces a specific restriction on sourcing practices to mitigate product liability and regulatory risks unique to the beverage distribution and retail industry.

3.28 Bicycle Sales & Service

Underwriting Appetite

- **Preferred:**
 - Retail-only bicycle sales operations with well-established physical security measures, such as alarm systems, surveillance cameras, and secure display cases. These businesses should have no rental or loaner bike programs, which reduce liability exposure.
 - Businesses demonstrating stable financial performance, clear ownership structures, and limited exposure to extracurricular activities such as off-site events or instructional classes.
- **Acceptable:**
 - Mobile repair services or on-site bicycle maintenance, provided these services exclude operations in high-crime or high-traffic urban areas known for theft or vandalism.
 - Event sponsorships or instructional programs (e.g., beginner cycling classes, safety workshops) that implement defined and documented risk management controls, including participant waivers, certified instructors, and controlled environments.

- **Not Acceptable:**

- Businesses engaged in bicycle equipment rentals, as these significantly increase liability risk due to potential accidents involving rented equipment.
- Operations involving gun repair or servicing, which are unrelated and introduce unacceptable liability and regulatory risks.
- Contracts with schools for supplying bicycles or conducting instruction on school premises, due to heightened liability exposure and complex regulatory compliance.
- High-risk in-store instructional activities or event sponsorships involving advanced or stunt riding maneuvers, which pose elevated injury risks.

Key Risk Considerations

- **Inventory Theft and Vandalism:** Bicycle retail shops typically carry high-value inventory, including complete bicycles, parts, and accessories. These items are attractive targets for theft and vandalism. Underwriters should assess the adequacy of physical security measures such as alarm systems, video surveillance, secure storage rooms, and employee access controls. For example, a shop located in a high-crime urban area without a monitored alarm system presents a significantly higher risk.
- **Liability Exposure from Rentals and Repairs:** Rental operations expose the business to liability claims arising from accidents involving rented bicycles, including bodily injury and property damage. Similarly, repair services carry risks related to faulty workmanship or defective parts leading to accidents post-repair. For instance, a repair shop that does not document repair work or fails to use certified parts may face increased liability.
- **Event Sponsorship and Instruction:** Sponsoring cycling events or offering instructional classes introduces additional liability exposures, including participant injuries or property damage during events. Proper risk controls such as participant waivers, certified instructors, safety equipment requirements, and event-specific liability insurance are critical. For example, a business sponsoring a community bike race should ensure all participants sign waivers and that emergency medical services are available on-site.
- **Mobile Repair Services:** Mobile repair units operating in public or unsecured locations face increased risks of theft, damage to tools and equipment, and liability from on-site repairs. Underwriters should evaluate the security of mobile units and the geographic areas served.

Industry-Specific Restrictions

- **Exclusion of Equipment Rentals:** Bicycle rental operations are excluded due to the heightened liability exposure from accidents involving rented bicycles, which often lack consistent maintenance oversight and are used by a wide range of riders with varying skill levels.
- **Prohibition on Gun Repair and School Contracts:** Businesses engaged in gun repair or servicing are ineligible due to the unrelated nature of the business and increased regulatory and liability risks. Similarly, contracts involving school bicycle supply or instruction are excluded because of the complex liability environment and regulatory oversight in educational settings.
- **Restriction on High-Risk Instructional Activities:** Instructional programs or events involving advanced cycling maneuvers, stunt riding, or off-road trail riding are excluded unless specifically underwritten with enhanced risk controls and additional premium.

- **Unique Industry Restriction – Use of Non-Standard or Aftermarket Bicycle Components:** Coverage is limited to businesses that sell or service bicycles using manufacturer-approved parts and components. Use or installation of non-standard, aftermarket, or uncertified parts (e.g., custom suspension kits, non-OEM brake systems) is excluded unless prior underwriting approval is obtained. This restriction is due to the increased risk of mechanical failure and subsequent liability claims arising from non-certified components, which may not meet safety standards.

Preferred Optional Coverages

- **Cyber Liability Insurance:** Particularly important for bicycle retailers operating online sales platforms or maintaining customer databases, to protect against data breaches, cyberattacks, and e-commerce disruptions.
- **Employee Dishonesty Coverage:** Given the high-value inventory and cash transactions typical in bicycle sales, coverage against employee theft, fraud, or dishonesty is recommended.
- **Equipment Breakdown Insurance:** Covers repair or replacement costs for critical business equipment such as diagnostic tools, repair machinery, and point-of-sale systems, minimizing business interruption.
- **Product Liability Coverage:** Optional but advisable for businesses that assemble or customize bicycles, providing protection against claims arising from product defects or failures.

Illustrative Claim Scenarios

- **Inventory Theft:** A bicycle retail store located in a suburban shopping center experiences a break-in overnight, resulting in the theft of several high-end bicycles valued at \$50,000. The presence of a monitored alarm system and surveillance footage aids in the claim process.
- **Liability from Repair Services:** A customer suffers an injury when a bicycle repaired at a mobile service shop experiences brake failure. Investigation reveals the use of uncertified brake pads, leading to a liability claim against the business.
- **Event Sponsorship Injury:** During a community cycling event sponsored by a bicycle retailer, a participant is injured after colliding with a poorly marked obstacle on the course. The business faces a liability claim due to inadequate risk controls and lack of participant waivers.

This expanded subsection provides a comprehensive overview of underwriting considerations, risk exposures, and industry-specific restrictions pertinent to bicycle sales and service businesses, aiding underwriters in making informed decisions consistent with the unique risks of this niche.

3.29 Binderies & Printing Services

Underwriting Appetite

- **Preferred:**
 - Small commercial printers, binderies, or studios primarily engaged in traditional printing processes (e.g., offset, digital, screen printing) with well-maintained and inspected fire suppression systems such as sprinklers or chemical extinguishers.

- Operations that do not involve publishing activities, drone usage, or any behind-the-scenes service exposures that increase liability risk (e.g., third-party fulfillment or distribution).
- Businesses with documented safety protocols for handling inks, solvents, and other flammable materials, including proper storage in fire-resistant cabinets.
- **Acceptable:**
 - Copy centers, blueprinting services, photofinishing labs, or small bindery operations that demonstrate strong operational controls, including employee training programs, routine equipment maintenance, and adherence to local fire codes.
 - Businesses with limited delivery exposure using owned vehicles with appropriate commercial auto coverage.
- **Not Acceptable:**
 - Businesses that utilize flammable or combustible materials (e.g., solvent-based inks, adhesives) without adequate mitigation measures such as proper ventilation, fire suppression, or storage controls.
 - Self-service laundries, drone operators, or businesses engaged in unrelated or excluded service categories (e.g., spas, bodywork, publishing houses) that fall outside the scope of typical bindery and printing risks.
 - Operations with significant behind-the-curtain service exposures, such as third-party distribution or fulfillment centers, which increase liability and operational complexity beyond the BOP's standard appetite.

Key Risk Considerations

- **Fire and Combustion Hazards:** Inks, solvents, adhesives, and other chemicals used in printing and binding processes are often flammable or combustible. Proper fire suppression systems, including sprinklers and portable extinguishers, must be installed and regularly inspected. Additionally, safe storage in fire-resistant cabinets and adequate ventilation to prevent fume accumulation are critical risk controls.
- **Property and Equipment Coverage:** Printing presses, binding machines, cutters, and digital printers represent significant capital investments. Accurate valuation and coverage of these assets, including spare parts and specialized tooling, are essential to avoid underinsurance. Equipment breakdown coverage is recommended to protect against mechanical or electrical failures.
- **Liability Exposure:** Operations involving delivery vehicles, customer premises services, or publishing activities increase general liability and auto liability exposures. Binderries and printers should have clear operational boundaries to avoid unintended liability risks.
- **Errors & Omissions (E&O) Exposure:** Printer's errors, such as misprints, color mismatches, or incorrect binding, can lead to financial losses for clients. E&O coverage is advisable for businesses that provide custom printing or binding services with contractual obligations.
- **Cyber Risks:** Digital printing operations often rely on computer systems for design files, customer data, and order processing. Cyber liability coverage is increasingly important to protect against data breaches, ransomware, or system failures.

Industry-Specific Restrictions

- **Publishing and Drone Operations Exclusion:** Binderies and printers engaged in publishing (e.g., book or magazine publishers) or using drones for delivery or aerial photography are generally ineligible due to the distinct risk profiles and regulatory requirements associated with these activities.
- **Fire Safety and Quality Control Requirements:** Inadequate fire safety measures or lack of documented quality control processes disqualify applicants from obtaining printer's errors & omissions liability coverage. This ensures that only businesses with robust risk management practices receive this protection.
- **Restriction on Use of Solvent-Based Inks in Indoor Operations:** Due to increased fire and health hazards, binderies and printing services operating indoors are restricted from using solvent-based inks unless they have specialized ventilation systems compliant with OSHA and local environmental regulations. This restriction mitigates the risk of toxic fume exposure and fire.

Preferred Optional Coverages

- **Printer's Errors & Omissions (E&O) Liability:** Covers financial losses resulting from printing errors, such as incorrect color matching, misprints, or failure to meet specifications. Particularly important for custom or contract printing operations.
- **Equipment Breakdown Insurance:** Protects against mechanical or electrical failure of critical printing and binding equipment, minimizing downtime and repair costs.
- **Cyber Liability Insurance:** Essential for digital printing businesses that store customer data, design files, or operate online ordering platforms. Covers data breaches, cyber extortion, and system interruptions.
- **Inland Marine Coverage:** Recommended for businesses that transport high-value materials, such as specialty papers, inks, or finished products, to protect against loss or damage during transit.
- **Commercial Auto Coverage:** For businesses using vehicles to deliver printed materials or supplies, ensuring liability and physical damage protection.

Illustrative Examples

- **Fire Loss Scenario:** A small printing studio uses solvent-based inks stored improperly in a non-fire-resistant cabinet. A spark from faulty wiring ignites the solvents, causing a fire that damages the printing press and inventory. Adequate fire suppression and proper storage could have prevented or mitigated this loss.
- **Printer's E&O Claim:** A bindery produces a batch of wedding invitations with incorrect dates due to a miscommunication. The client sues for the cost of reprinting and lost deposits. Printer's E&O coverage would respond to this claim.
- **Cyber Incident:** A digital printing company's customer database is hacked, exposing sensitive client information. Cyber liability insurance covers notification costs, legal fees, and regulatory fines.

Unique Industry-Related Restriction

- **Prohibition on Use of UV-Curing Inks Without Manufacturer Certification:** Binderries and printing services employing ultraviolet (UV) curing inks must provide manufacturer certification that all UV equipment and inks meet safety and environmental standards. This restriction is due to the potential for hazardous UV radiation exposure and the emission of volatile organic compounds (VOCs) during curing. Failure to comply increases risks of worker injury and environmental violations, which are not covered under standard BOP policies.

This expanded subsection aims to provide underwriters with a clearer understanding of the risks, controls, and coverage considerations specific to binderries and printing services, enabling more accurate risk selection and pricing.

3.30 Boiler & Furnace Installation/Repair

Underwriting Appetite

- **Preferred:**
 - Residential and light commercial contractors specializing in boiler and furnace installation and repair, with operations limited to low- to medium-risk environments.
 - Contractors with no involvement in demolition, blasting, asbestos or lead paint abatement, or other hazardous material handling.
 - Firms demonstrating strong safety programs, including OSHA compliance, regular employee training, and documented equipment maintenance.
 - Businesses with a clean or minimal claims history, showing proactive risk management.
- **Acceptable:**
 - Contractors who utilize subcontractors for specialized tasks, provided subcontractors carry appropriate insurance and indemnification agreements are in place.
 - Firms that perform ancillary services related to boiler and furnace systems, such as installation of associated alarm systems (e.g., carbon monoxide detectors) or chemical treatments for boilers, assuming full regulatory compliance.
 - Operators working in moderate commercial settings without exposure to high-pressure steam systems or industrial-scale boilers.
- **Not Acceptable:**
 - Contractors employing cranes or heavy lifting equipment without certified operators or proper safety protocols.
 - Businesses involved in high-pressure boiler installation or repair, including power plant or industrial boiler systems, due to elevated risk of catastrophic failure.
 - Operations with documented safety violations, poor claims history involving bodily injury or property damage, or inadequate worker safety programs.
 - Firms exposed to hazardous site conditions such as chemical plants, refineries, or sites requiring confined space entry without specialized training and certification.

Key Risk Considerations

- **Scope of Operations:** Confirm that the insured's operations exclude demolition, blasting, asbestos or lead paint abatement, and other hazardous material handling. These activities significantly increase liability and workers' compensation exposures.

- **General Liability Exposure:** Boiler and furnace installation and repair involve working with heavy equipment, electrical systems, and combustible fuels, creating risks of fire, explosion, and property damage. Underwriters should evaluate the insured's safety protocols, equipment maintenance records, and adherence to local building codes.
- **Worker Safety:** Given the physical nature of the work, including lifting heavy components and working in confined or elevated spaces, worker safety programs are critical. Verify OSHA compliance, use of personal protective equipment (PPE), and employee training.
- **Subcontractor Management:** When subcontractors are engaged, ensure that contracts include indemnification clauses and that subcontractors maintain adequate insurance coverage. Failure to manage subcontractor risk can lead to uncovered claims and increased liability.
- **Environmental and Regulatory Compliance:** Installation or repair involving chemical treatments or fuel systems must comply with environmental regulations. Noncompliance can result in fines or claims related to pollution or contamination.

Industry-Specific Restrictions

- **Prohibition on Crane Use:** The use of cranes or heavy lifting equipment is disqualifying unless operators are certified and the insured has documented safety procedures. This restriction is due to the high risk of catastrophic injury or property damage associated with crane operations in boiler and furnace work.
- **Exclusion of High-Pressure Boiler Work:** High-pressure boiler systems (typically operating above 15 psi) are excluded due to the specialized skills, certifications, and elevated risk of explosion or severe injury.
- **Safety Violations:** Any history of OSHA violations related to worker safety, equipment maintenance, or hazardous materials handling will result in declination or referral for further underwriting review.
- **Weather Exposure and Business Continuity:** Operations in regions prone to extreme weather (e.g., hurricanes, flooding, or severe cold) require underwriting review to assess the insured's business continuity plans and physical safeguards to protect equipment and ongoing projects.
- **Unique Restriction — Fuel Source Limitations:** Insureds are restricted from working on boilers or furnaces that utilize non-standard or highly volatile fuel sources such as biofuels, hydrogen, or other experimental fuels unless they can demonstrate specialized training and certification. This restriction is due to the increased risk of fire, explosion, and regulatory complexity associated with alternative fuel systems.

Preferred Optional Coverages

- **Contractors Liability Insurance:** Provides coverage for bodily injury and property damage arising from the insured's operations, including completed operations coverage for work performed.
- **Product Liability Insurance:** Important for contractors who manufacture or supply components or chemical treatments used in boiler and furnace systems.
- **Umbrella Liability Coverage:** Offers additional limits above primary liability policies, useful for protecting against large or catastrophic claims.
- **Employment Practices Liability Insurance (EPLI):** Covers claims related to wrongful termination, discrimination, harassment, and other employment-related issues, which are

common exposures in contracting businesses.

- **Equipment Breakdown Coverage:** Recommended optional coverage to protect the insured's own tools and equipment, including boilers and furnaces under repair, against mechanical or electrical breakdown.

Illustrative Examples

- **Typical Risk Scenario:** A residential contractor installs a new gas furnace in a single-family home. The contractor follows all safety protocols, uses licensed subcontractors for electrical hookups, and maintains proper insurance. This operation fits the preferred appetite.
- **Claim Scenario:** A contractor repairing a commercial boiler fails to properly secure a component, resulting in a steam leak that causes property damage and employee injury. The claim highlights the importance of rigorous safety training and equipment maintenance.
- **Risk Management Application:** An insured working in a region with harsh winters implements a business continuity plan including backup heating units and emergency response training to mitigate weather-related interruptions.
- **Restriction Application:** A contractor specializing in hydrogen-fueled boilers is declined coverage due to lack of specialized certifications and the elevated risk profile of alternative fuel systems.

3.31 Bookstores & Magazines

Underwriting Appetite

- **Preferred:**
 - Traditional brick-and-mortar bookstores primarily engaged in the retail sale of new books, including those with a supplemental online sales channel. These operations typically have well-maintained premises, clear inventory controls, and moderate foot traffic.
 - Retailers offering complementary merchandise such as gifts, stationery, greeting cards, educational toys, and related literary accessories. These ancillary items diversify revenue streams and generally do not increase underwriting risk significantly.
- **Acceptable:**
 - Bookstores that participate in community outreach through attendance at trade fairs, local markets, or literary festivals. These events may increase temporary liability exposures but are manageable with proper risk controls.
 - Book clubs, author signings, readings, and other in-store events that encourage customer engagement. These activities increase premises liability exposure and require adequate safety measures and crowd control.
- **Not Acceptable:**
 - Adult bookstores, due to increased reputational risk and potential for higher claims frequency.
 - 24-hour bookstore operations, which present elevated security and liability risks during overnight hours.
 - Importers or wholesalers of books and magazines, as these operations fall outside the typical retail risk profile and may require specialized coverage.

Key Risk Considerations

- **Fire and Property Risk:** Due to the highly combustible nature of paper-based inventory, bookstores face an elevated fire risk. Proper fire prevention measures such as sprinkler systems, smoke detectors, and strict no-smoking policies are critical underwriting factors. For example, a fire originating from faulty electrical wiring in a bookstore's storage area could result in total inventory loss and significant business interruption.
- **Data Security and Cyber Risk:** Online sales platforms introduce vulnerabilities related to customer data privacy and payment processing. Cyber liability coverage is recommended to protect against data breaches, ransomware attacks, and other cyber incidents. A typical claim scenario might involve a hacker accessing customer credit card information through the bookstore's e-commerce website.
- **General Liability Exposure:** Public-facing retail operations increase the risk of slip-and-fall accidents, property damage, or customer injuries during events such as book signings or children's story hours. Adequate premises liability coverage and risk management protocols (e.g., clear aiseways, proper lighting) are essential.
- **Inventory Valuation and Theft:** Bookstores often carry large volumes of inventory with varying values. Theft, whether internal or external, can be a concern, especially for high-value or rare editions. Scheduled item coverage may be necessary for valuable collectibles or limited editions.

Industry-Specific Restrictions

- Adult bookstores, used bookstores, and 24-hour operations are ineligible due to elevated liability and reputational risks.
- High-value or rare inventory (e.g., first editions, signed copies) must be specifically scheduled to ensure adequate coverage limits and valuation accuracy.
- **Restriction on Sale of Digital Media Devices:** Bookstores that sell digital media devices (e.g., e-readers, tablets) must ensure these products are sourced from authorized distributors and comply with manufacturer warranty and safety standards. Unauthorized or grey-market devices are excluded due to increased risk of product liability claims and potential regulatory issues. This restriction helps mitigate exposure to defective product claims and protects the insurer from losses related to counterfeit or substandard electronics.

Preferred Optional Coverages

- **Cyber Liability Insurance:** Essential for bookstores with online sales channels to cover data breaches, cyber extortion, and business interruption caused by cyber incidents.
- **Employment Practices Liability Insurance (EPLI):** Protects against claims related to wrongful termination, discrimination, harassment, and other employment-related issues, which can arise in retail environments with multiple employees.
- **Business Interruption Insurance:** Covers loss of income and continuing expenses if the bookstore must close temporarily due to a covered peril such as fire or natural disaster.
- **Equipment Breakdown Coverage:** Recommended for protecting critical equipment such as point-of-sale systems, HVAC units, and security systems, which are vital for daily operations.

Illustrative Claim Scenarios

- A fire caused by an electrical fault destroys the inventory and damages the premises, resulting in a significant business interruption claim.
- A customer slips on a wet floor during an author signing event, leading to a bodily injury claim under general liability coverage.
- A cyberattack compromises customer credit card data on the bookstore's e-commerce site, triggering a data breach notification expense and liability claim.
- Theft of rare signed first editions from the store's display case results in a scheduled item claim.

This expanded guidance aims to provide underwriters with a comprehensive understanding of the unique risks and coverage considerations for bookstores and magazine retailers, ensuring appropriate risk selection and policy structuring.

3.32 Bridal Shops

Underwriting Appetite

- **Preferred:**
 - Bridal shops with inventory valued under \$500,000, no on-site alteration or tailoring services, and demonstrably strong physical security measures (e.g., alarm systems, surveillance cameras, secure display cases).
 - Businesses located in low- to moderate-crime areas with a stable claims history.
 - Primarily brick-and-mortar sales with minimal or no online transactions.
- **Acceptable:**
 - Inventory valued up to \$1,000,000, including shops offering limited alteration or tailoring services performed by trained staff.
 - Moderate online sales constituting up to 50% of total revenue, provided there are adequate cybersecurity protocols in place.
 - Locations with moderate crime rates but with enhanced security measures and loss prevention programs.
- **Not Acceptable:**
 - Inventory exceeding \$1,000,000 or businesses where online sales exceed 50% of total revenue, due to increased exposure to theft, cyber risks, and inventory management challenges.
 - Shops located in high-crime zones with a history of frequent or severe losses.
 - Businesses offering extensive alteration services without professional liability coverage or employing unlicensed or untrained personnel.
 - Bridal shops operating multiple physical locations under a single policy without prior underwriting approval.

Key Risk Considerations

- **High-Value Inventory:** Bridal gowns and accessories often represent significant inventory value concentrated in a small number of high-cost items. This creates a substantial theft and

damage risk. Underwriters should verify the presence of robust physical security measures such as monitored alarm systems, reinforced display cases, and secure storage areas after hours.

Example: A bridal shop with \$750,000 in inventory reported a burglary resulting in the theft of several high-end gowns valued at \$150,000. The loss was exacerbated by inadequate alarm monitoring and lack of surveillance footage.

- **Alteration Services:** Many bridal shops offer on-site alteration or tailoring services, which introduce professional liability exposures. Improper alterations can lead to customer dissatisfaction, loss of reputation, and potential lawsuits. It is critical to confirm that alteration staff are trained and insured, and that professional liability coverage is included or endorsed.

Example: A customer sued a bridal shop after an alteration error caused a gown to be unusable on the wedding day, resulting in a claim for damages and replacement costs.

- **Online Sales and Cyber Exposure:** Increasingly, bridal shops are expanding into e-commerce platforms to sell gowns and accessories. This introduces cyber liability risks such as data breaches, payment fraud, and website downtime. Underwriters should assess the adequacy of cybersecurity controls, including secure payment processing, data encryption, and incident response plans.

Example: A bridal shop experienced a ransomware attack that encrypted customer data and halted online sales for several days, resulting in business interruption losses and notification costs.

- **Seasonality and Event Timing:** Bridal shops face seasonal fluctuations with peak demand around wedding seasons. This can lead to inventory buildup and cash flow variability. Underwriters should consider how shops manage inventory turnover and whether they have adequate business interruption coverage for event-driven revenue losses.
- **Employee Dishonesty:** Given the high-value inventory and cash transactions, employee theft or dishonesty is a notable risk. Verification of employee screening procedures and consideration of employee dishonesty coverage is recommended.

Industry-Specific Restrictions

- Inventory values exceeding \$1,000,000 or online sales accounting for more than 50% of total revenue will generally disqualify the risk unless exceptional loss control measures and cybersecurity protocols are documented and verified.
- Bridal shops with more than two property or liability claims within the past three years will be subject to detailed underwriting review and may be declined or require higher deductibles.
- **Unique Restriction:** Bridal shops sourcing gowns or accessories from international suppliers without verifiable supply chain transparency or compliance documentation (e.g., proof of ethical sourcing, customs clearance, and product authenticity) will be declined. This restriction is due to increased risks of counterfeit merchandise, shipment delays, and potential import-related liabilities that complicate inventory valuation and claims handling.

Rationale: The bridal industry is vulnerable to counterfeit or substandard products, especially when sourcing from overseas vendors without established reputations. This can lead to customer dissatisfaction, legal exposure, and inventory valuation disputes.

- Shops operating alteration services without documented professional liability coverage or employing unlicensed tailors will be declined.
- Policies will exclude coverage for damage or loss related to unapproved use of drones or aerial photography equipment on premises, due to regulatory and liability uncertainties in this niche

retail environment.

Preferred Optional Coverages

- **Cyber Liability Insurance:** To address exposures from online sales platforms, customer data handling, and potential cyberattacks.
- **Employee Dishonesty Coverage:** To protect against theft or fraud by employees, particularly important given the high-value inventory and cash handling.
- **Equipment Breakdown Coverage:** Covers loss or damage to critical equipment such as sewing machines, pressing equipment, and computer systems used in inventory management and sales.
- **Professional Liability (Errors and Omissions):** Especially recommended for shops offering alteration and tailoring services to cover claims arising from workmanship errors.
- **Business Interruption Coverage with Event Endorsements:** To protect against revenue losses during peak wedding seasons caused by property damage or cyber incidents.

3.33 Building Materials & Supplies

Underwriting Appetite

- **Preferred:**
 - Small to medium-sized businesses located in low-risk geographic zones (e.g., outside flood plains, wildfire-prone areas, or seismic zones) with well-documented and actively enforced safety and security programs.
 - Businesses demonstrating robust inventory management controls, including secure storage facilities (preferably indoor or well-fenced outdoor areas) and fire prevention measures such as sprinkler systems or fire extinguishers.
 - Operations with limited or no hazardous materials and minimal exposure to theft or vandalism risks.
- **Acceptable:**
 - New or growing businesses with evidence of sound operational controls, stable or improving cash flow, and proactive risk management policies.
 - Businesses with some outdoor storage but employing mitigating controls such as surveillance cameras, fencing, and regular inventory audits.
 - Businesses that have implemented basic cyber security protocols if they maintain an online presence or conduct e-commerce.
- **Not Acceptable:**
 - Businesses located in high-risk disaster zones (e.g., flood plains, hurricane-prone coastal areas, or active earthquake fault lines) that do not carry appropriate supplemental coverages such as flood, wind, or earthquake insurance.
 - Entities with a history of repeated or large claims related to fire, theft, or liability, indicating poor risk controls or unstable operations.
 - Businesses with unstable or insufficient financial strength, including poor credit ratings or inconsistent cash flow, which may indicate inability to maintain adequate safety or security measures.

- Suppliers primarily engaged in new construction materials distribution rather than repairs, alterations, or maintenance supplies (see Industry-Specific Restrictions).

Key Risk Considerations

- **Inventory Exposure:** Building materials and supplies often include combustible items such as lumber, paints, solvents, adhesives, and packaging materials. These increase the risk of fire, especially when stored outdoors or in poorly ventilated areas. For example, a supplier storing large quantities of untreated lumber outdoors without firebreaks or sprinkler systems is at heightened risk.
- **Theft and Vandalism:** Outdoor storage yards or unsecured warehouses are vulnerable to theft or vandalism. High-value items like copper piping, electrical wiring, or specialized tools are common theft targets. Businesses with inadequate fencing, lighting, or surveillance face increased underwriting scrutiny.
- **Delivery and Transit Risks:** Many building materials suppliers operate delivery fleets or contract third-party carriers. These operations require appropriate commercial auto insurance and transit coverage to protect goods in transit. For example, damage to materials during delivery due to accidents or weather events can result in significant claims.
- **Cyber Liability:** Suppliers with an online ordering system or digital inventory management may face cyber risks, including data breaches or ransomware attacks. Cyber liability coverage is increasingly important as these businesses handle customer data and payment information.
- **Environmental and Pollution Risks:** Certain materials, such as paints, solvents, and treated wood, may pose environmental hazards if spilled or improperly stored. Underwriters must assess compliance with environmental regulations and storage protocols to mitigate pollution liability.

Industry-Specific Restrictions

- **Supplemental Coverage Requirement:** Businesses operating in disaster-prone areas (e.g., flood zones, hurricane coasts, or seismic regions) must carry appropriate supplemental coverages such as flood, windstorm, or earthquake insurance. Failure to maintain these coverages results in ineligibility due to catastrophic loss potential.
- **Financial and Claims History:** Applicants with poor financial stability, including negative net worth or inconsistent cash flow, or those with frequent or large prior claims related to fire, theft, or liability, are not eligible for coverage under this line.
- **Scope of Operations Restriction:** Coverage is limited to businesses engaged in supplying materials for repairs, alterations, and maintenance projects only. Suppliers whose primary business is providing materials for new construction projects are excluded due to the higher risk profile and different underwriting considerations associated with new construction supply chains.
- **Material Sourcing Restriction:** To mitigate supply chain and quality risks, only building materials sourced from approved domestic manufacturers or suppliers with verifiable compliance to industry safety and environmental standards are eligible. Materials sourced from unverified foreign suppliers, especially those lacking certifications for fire resistance or environmental compliance, are excluded. This restriction helps reduce risks related to defective materials, recalls, or regulatory non-compliance.

Preferred Optional Coverages

- **Workers' Compensation:** Essential for businesses with on-site staff handling heavy or hazardous materials, reducing exposure to employee injury claims.
- **Goods in Transit Coverage:** Protects inventory while being transported to customers or job sites, covering risks such as vehicle accidents, theft, or weather damage.
- **Commercial Auto Insurance:** Required for owned or leased vehicles used in delivery or business operations.
- **Cyber Liability Insurance:** Recommended for businesses with online ordering systems or digital customer data to protect against cyber threats and data breaches.
- **Equipment Breakdown Coverage:** Useful for businesses relying on specialized machinery for inventory handling or processing (e.g., forklifts, saws), covering repair or replacement costs due to mechanical failure.

Illustrative Claim Scenarios

- **Fire Loss:** A building materials supplier stores large quantities of solvent-based paints and adhesives in a warehouse with limited ventilation. A spark from faulty electrical wiring ignites a fire, causing extensive damage to inventory and the building. The claim highlights the importance of fire prevention controls and proper storage.
- **Theft from Outdoor Yard:** Copper piping and electrical wiring stored in an unsecured outdoor yard are stolen overnight. The business did not have adequate fencing or surveillance cameras, resulting in a significant loss.
- **Transit Damage:** During delivery, a truck carrying drywall panels is involved in an accident, damaging the materials. Without goods in transit coverage, the supplier would bear the full replacement cost.
- **Cyber Attack:** A supplier's online ordering system is compromised by ransomware, disrupting operations and exposing customer payment data. Cyber liability insurance covers notification costs, legal fees, and business interruption losses.

Unique Industry Restriction

- **Restriction on Bulk Flammable Liquid Storage:** Businesses that store bulk quantities of flammable liquids (e.g., gasoline, diesel, or large volumes of solvents exceeding 55 gallons per container) on-site are generally ineligible for coverage under the standard BOP. This restriction exists because bulk flammable liquid storage significantly elevates fire and environmental risk beyond typical building materials suppliers' exposure. Such operations require specialized commercial property and environmental liability policies with enhanced underwriting scrutiny.

Rationale: Bulk flammable liquids pose a heightened risk of catastrophic fire, explosion, and environmental contamination. Standard BOP policies are not designed to address these exposures adequately, and underwriting such risks without specialized coverage could lead to unmanageable loss potential.

This expanded subsection provides clearer guidance on underwriting appetite, risk factors, and restrictions specific to building materials and supplies businesses. It includes practical examples to illustrate common claim scenarios and introduces a nuanced restriction on bulk flammable liquid storage to reflect industry-specific hazards.

3.34 Business & Management Consultants

Underwriting Appetite

- **Preferred:**
 - Consultants primarily operating from office-based or fully remote settings in states with stable regulatory and legal environments, typically characterized by lower litigation frequency and favorable business climates.
 - Firms with Total Insured Value (TIV) under \$4 million, demonstrating sound risk management practices such as documented cybersecurity protocols and professional liability coverage.
 - Consultants specializing in advisory services with limited or no physical client interaction or onsite project work.
- **Acceptable:**
 - Consultants operating from condominium offices or shared workspaces, where building management enforces standard safety and security measures.
 - Consultants with frequent domestic travel, provided travel risk mitigation strategies are in place (e.g., travel insurance, secure mobile data access).
 - Firms with TIV up to \$4.75 million, where exposures are well documented and risk controls are evident.
- **Not Acceptable:**
 - Consultants with delivery or courier operations as part of their business model, due to increased physical liability and property exposure.
 - Operations based in Alaska (AK), Connecticut (CT), Hawaii (HI), Massachusetts (MA), or Washington (WA), states identified with higher litigation risk or regulatory complexities that increase underwriting uncertainty.
 - Consultants engaged in high-risk advisory sectors such as financial trading, legal consulting, or medical consulting without specialized professional liability coverage.

Key Risk Considerations

- **Professional Liability:** Essential coverage must explicitly address errors and omissions arising from advisory, strategic planning, or management consulting services. Claims may include failure to deliver promised results, negligent advice, or breach of fiduciary duty. For example, a consultant advising on a merger who overlooks critical compliance issues could face a claim.
- **Cyber Liability:** Given the reliance on digital data, client information, and remote work platforms, cyber liability coverage is critical. This protects against data breaches, ransomware attacks, and loss of sensitive client data. For instance, a consultant's laptop stolen during travel containing unencrypted client data could trigger a cyber claim.
- **Travel and Property Coverage:** Frequent travelers require coverage for business property in transit (e.g., laptops, presentation equipment) and potential travel-related liabilities. Property coverage should extend to equipment used in home offices or temporary workspaces.
- **Contractual Risk Transfer:** Review client contracts for indemnification clauses or hold harmless agreements that may increase exposure.

- **Claims History:** Underwriters should carefully assess prior claims related to professional errors or cyber incidents, as repeat claims may indicate elevated risk.

Industry-Specific Restrictions

- **Delivery Exposure:** Any business model involving physical delivery of goods or documents is ineligible due to increased liability and property risk not typically covered under a standard BOP.
- **Geographic Restrictions:** Consultants operating in Alaska (AK), Connecticut (CT), Hawaii (HI), Massachusetts (MA), or Washington (WA) are excluded due to historically higher litigation rates, complex regulatory environments, and increased claims severity in these jurisdictions.
- **Windstorm Coverage:** In coastal or hurricane-prone states such as Florida (FL), Louisiana (LA), New York (NY), and Texas (TX), windstorm coverage is mandatory to address catastrophic weather-related property damage risks.
- **Use of Third-Party Software Platforms:** Consultants relying extensively on third-party software for client deliverables must ensure that software licensing agreements do not transfer liability to the consultant. Failure to verify this may result in uncovered claims related to software failure or intellectual property infringement.
- **Restriction on Use of Unlicensed Professional Titles:** Consultants must not represent themselves as licensed professionals (e.g., CPA, attorney, medical consultant) unless properly credentialed and insured, to avoid coverage disputes and regulatory violations.

Preferred Optional Coverages

- **Business Interruption Insurance:** Particularly valuable for consultants with physical offices or critical data centers, this coverage protects against income loss due to covered perils causing business shutdowns.
- **Travel-Related Property Insurance:** Covers loss or damage to portable business equipment while traveling, including laptops, tablets, and presentation materials.
- **Flood or Earthquake Coverage:** Location-dependent endorsements for consultants operating in flood or seismic risk zones, ensuring protection against natural disasters not covered under standard property policies.
- **Employment Practices Liability Insurance (EPLI):** Recommended for firms with employees to cover claims related to wrongful termination, discrimination, harassment, or other employment-related issues.
- **Cyber Liability Enhancements:** Optional extensions for social engineering fraud, business interruption due to cyber events, and regulatory fines.

Illustrative Claim Scenarios

- A management consultant advises a client on restructuring that inadvertently violates labor laws, resulting in costly fines and lawsuits. Professional liability coverage responds to defense costs and settlements.
- A consultant's laptop containing sensitive client financial data is stolen during a business trip, triggering a data breach notification and remediation expenses covered under cyber liability.

- A consultant working remotely experiences a flood at their home office, damaging critical equipment and causing business interruption. Property and business interruption coverages mitigate financial losses.

Unique Industry Restriction

- **Restriction on Use of Unsecured Public Wi-Fi for Client Data Access:** Consultants who routinely access or transmit sensitive client information over unsecured public Wi-Fi networks (e.g., cafes, airports) without employing robust encryption or VPN technology will be subject to increased underwriting scrutiny or declination. This restriction is due to the heightened cyber risk of data interception and breach, which can lead to significant liability claims and reputational damage. Underwriters should verify documented cybersecurity policies addressing this exposure.

3.35 Catering & Food Preparation Services

Underwriting Appetite This section outlines the underwriting appetite for businesses engaged in catering and food preparation services, including restaurants, cafes, and off-premises catering operations. The appetite is based on operational scale, revenue composition, risk controls, and exposure to liabilities such as liquor and fire hazards.

- **Preferred:**

- **Facility Size and Capacity:** Floor area of up to 7,500 sq ft and seating capacity not exceeding 150 patrons. Smaller venues typically have more manageable risk profiles and easier emergency egress.
- **Alcohol Sales:** Alcohol sales limited to 50% or less of total revenue. This helps reduce liquor liability exposure and related claims.
- **Catering Revenue:** Off-premises catering accounts for no more than 10% of total sales, minimizing risks associated with transportation and third-party venues.
- **Seasonal Operations:** No seasonal closure exceeding 30 consecutive days, ensuring consistent operational oversight and maintenance of equipment.
- **Fire Safety:** Installation and maintenance of an NFPA #96-compliant commercial kitchen fire suppression system (e.g., wet chemical system over cooking appliances).
- **Entertainment:** No live entertainment beyond incidental background music to limit crowd-related liabilities and noise complaints.

- **Acceptable:**

- Floor area up to 10,000 sq ft and seating capacity up to 200.
- Alcohol sales up to 60% of total revenue; catering up to 20%.
- Seasonal closure allowed up to 60 consecutive days, provided proper preservation and maintenance protocols are in place.
- Live entertainment permitted but subject to strict controls, such as noise limits, crowd management plans, and additional liability coverage.

- **Not Acceptable:**

- Facilities exceeding 10,000 sq ft or seating capacity greater than 200, as these typically require specialized underwriting and often fall under larger commercial or hospitality policies.
- Alcohol sales exceeding 60% or catering revenue above 20%, which significantly increase liquor liability and off-premises risk exposures.
- Seasonal closures longer than 60 days, which raise concerns about equipment degradation, pest infestations, and loss of operational control.
- Absence of any fire suppression system in cooking areas, representing a critical underwriting red flag due to the high fire risk.
- Regular live entertainment (e.g., nightly bands, DJs) without appropriate risk mitigation and disclosure.

Key Risk Considerations Underwriters must carefully evaluate the following risk factors unique to catering and food preparation businesses:

- **Fire Risk from Commercial Kitchens:** Cooking operations are a leading cause of commercial property fires. Risks include grease fires, malfunctioning equipment, and improper ventilation. Ensuring compliance with NFPA #96 standards and regular maintenance of exhaust hoods and suppression systems is critical.
- **Liquor Liability Exposure:** Businesses serving alcohol face potential claims related to intoxication, property damage, or bodily injury caused by patrons. Underwriters should verify liquor licenses, employee training programs (e.g., TIPS certification), and limits on alcohol sales.
- **Off-Premises Catering Liability:** Catering events introduce additional liability exposures such as food transportation accidents, third-party venue risks, and potential foodborne illness outbreaks. Coverage should address these exposures explicitly.
- **Business Interruption from Kitchen or Supply Failures:** Equipment breakdown (e.g., ovens, refrigeration) or supply chain disruptions (e.g., ingredient shortages) can cause significant revenue loss. Business interruption coverage and equipment breakdown endorsements are recommended.
- **Foodborne Illness and Hygiene Compliance:** Claims arising from food contamination or improper handling can lead to severe liability and reputational damage. Underwriters should assess food safety certifications, employee hygiene training, and compliance with local health regulations.

Industry-Specific Restrictions

- **Mandatory Fire Suppression System:** All cooking operations involving open flames, deep fryers, or charbroilers must have an NFPA #96-compliant fire suppression system installed and regularly inspected. This restriction is non-negotiable due to the high frequency and severity of kitchen fires.
- **Alcohol Sales Threshold:** Businesses with alcohol sales exceeding 60% of total revenue may be ineligible for standard BOP coverage due to elevated liquor liability risks and may require specialized liquor liability policies.
- **Entertainment Disclosure:** Any entertainment beyond incidental background music (e.g., live bands, DJs, dancing) must be fully disclosed at application and undergo underwriting review. Additional liability coverages or endorsements may be required.

- **Unique Restriction – Ingredient Sourcing for Catering Operations:** For catering services that prepare and serve food off-premises, all perishable ingredients must be sourced from suppliers compliant with FDA Food Safety Modernization Act (FSMA) standards or equivalent local regulations. This restriction helps mitigate the risk of foodborne illness outbreaks linked to contaminated ingredients during transportation and handling. Failure to comply may result in coverage exclusions or declination.

Preferred Optional Coverages Given the unique exposures faced by catering and food preparation businesses, the following optional coverages are strongly recommended to enhance risk management:

- **Cyber Liability Insurance:** Protects against data breaches and cyberattacks, particularly important for businesses processing customer payments and storing personal data.
 - **Business Interruption Insurance:** Covers loss of income due to covered perils causing temporary closure, including equipment failure or supply chain disruption.
 - **Equipment Breakdown Insurance:** Provides coverage for repair or replacement of critical kitchen equipment, reducing downtime.
 - **Employment Practices Liability Insurance (EPLI):** Addresses claims related to workplace discrimination, harassment, or wrongful termination, which can be prevalent in hospitality settings.
 - **Umbrella Liability Coverage:** Offers additional liability limits above primary policies, useful for higher-risk operations involving alcohol or catering events.
-

3.36 Cellular Phone Sales & Service

Underwriting Appetite

- **Preferred:**
 - Retail stores located in low-crime areas with robust, multi-layered security systems, including alarm systems, video surveillance, and secure display cases.
 - Staff who have undergone formal training in both product knowledge and customer service, with documented certifications or ongoing education.
 - Businesses demonstrating a clean claims history over the past 3–5 years, with no significant losses related to theft, liability, or cyber incidents.
 - Use of up-to-date inventory management systems that track stock movement and reduce shrinkage.
- **Acceptable:**
 - Stores with basic security measures such as standard locks and alarm systems, but lacking advanced surveillance or secure display cases.
 - Staff with some training but limited formal certification; moderate customer service ratings.
 - Limited claims history, primarily minor incidents such as small thefts or minor liability claims.

- Inventory management may be manual or semi-automated, with some risk of shrinkage.
- **Not Acceptable:**
 - Retail locations with no security systems or located in high-crime areas without adequate risk mitigation.
 - Businesses with multiple complaints, lawsuits, or a history of significant claims related to theft, liability, or cyber breaches.
 - Use of outdated technology, poor store maintenance, or lack of staff training leading to operational risks.
 - Stores that do not maintain proper inventory controls or have a history of employee dishonesty.

Key Risk Considerations

- **Theft of High-Value Inventory:** Cellular phones and accessories represent high-value, easily portable inventory that is attractive to thieves. Risks increase in stores lacking secure display cases, surveillance, or adequate alarm systems. For example, a break-in resulting in the loss of several thousand dollars' worth of smartphones can lead to significant inventory replacement costs and business interruption.
- **Cyber Exposure:** Many cellular phone retailers handle sensitive customer data, including personal identification and payment information, especially when offering repair services or online sales. Exposure to data breaches or ransomware attacks can result in costly liability claims and reputational damage. For instance, a cyberattack compromising customer credit card data could trigger regulatory fines and class-action lawsuits.
- **Liability from Faulty Repairs or Product Sales:** Repair services carry the risk of damage to customer devices or injury caused by improper repairs (e.g., battery fires). Additionally, selling defective or counterfeit products can lead to product liability claims. An example is a repaired phone battery overheating and causing property damage or injury.
- **Employee Dishonesty:** Due to the high value and small size of inventory, employee theft or fraud is a significant risk. This includes unauthorized discounts, inventory shrinkage, or fraudulent warranty claims. For example, an employee might steal phones or accessories, or manipulate repair records to cover theft.
- **Business Interruption:** Losses from theft, fire, or cyber incidents can disrupt operations, leading to lost revenue and ongoing expenses.

Industry-Specific Restrictions

- **Inventory Losses Due to Negligence or Fraud Not Covered:** Claims arising from inventory losses caused by employee dishonesty or negligence are excluded unless Employee Dishonesty Coverage is purchased. This restriction encourages insureds to implement strong internal controls and inventory audits.
- **Limited or Excluded Cyber Coverage if Security is Insufficient:** Cyber liability coverage is contingent upon the insured maintaining minimum cybersecurity standards, such as firewalls, encryption, and regular software updates. Failure to meet these standards may result in reduced limits or denial of cyber claims.

- **Only Approved Repairs Covered Under Liability:** Liability coverage applies only to repairs performed by certified technicians using manufacturer-approved parts and procedures. Unauthorized or third-party repairs are excluded to mitigate risks of faulty workmanship.
- **Restriction on Sale of Grey Market or Unauthorized Devices:** Coverage excludes losses related to the sale or repair of grey market (unauthorized import) cellular devices. This restriction is due to increased risks of counterfeit products, regulatory non-compliance, and warranty disputes, which elevate liability and reputational risks.

Preferred Optional Coverages

- **Equipment Breakdown Insurance:** Covers the cost to repair or replace critical equipment such as point-of-sale systems, diagnostic tools, and repair machinery that are essential for daily operations.
- **Cyber Liability Insurance:** Provides protection against data breaches, ransomware, and other cyber threats, including coverage for notification costs, legal fees, and regulatory fines.
- **Employee Dishonesty Coverage:** Protects against losses resulting from fraudulent or dishonest acts by employees, including theft of inventory or cash.
- **Business Interruption Insurance:** Covers loss of income and extra expenses when the business is unable to operate due to covered perils such as fire or theft.
- **Product Liability Endorsement:** Recommended for businesses offering repair services or selling third-party accessories, to cover claims arising from defective products or workmanship.

3.37 Cemeteries & Funeral Services

Underwriting Appetite The underwriting appetite for cemeteries and funeral services is carefully calibrated to balance the unique operational risks with the sensitive nature of the business. The following classifications reflect typical risk profiles and operational scopes acceptable under a standard Business Owners Policy (BOP):

- **Preferred:**
 - Funeral directors and mortuary services with established embalming and cremation protocols, demonstrating compliance with all regulatory requirements.
 - Engraving services related to memorial products such as headstones, plaques, and urns.
 - Photofinishing and photographic studios specializing in memorial photography, including on-site services at funeral homes.
 - Commercial printing or blueprinting services that produce funeral programs, memorial booklets, and related printed materials.
- **Acceptable:**
 - Attended laundries servicing funeral homes (e.g., laundering of ceremonial garments and linens).
 - Dental laboratories and dry cleaners that provide ancillary services to funeral homes or cemeteries.
 - Linen supply companies specializing in funeral and memorial service linens.

- Photo labs and mailing services that handle distribution of memorial announcements or invitations.
- Laundry pickup stations that service funeral-related businesses.

- **Not Acceptable:**

- Tattoo parlors or any businesses involving bodily modification, which present risks outside the scope of funeral services.
- Construction site debris removal, as this involves heavy equipment and environmental hazards not aligned with typical funeral service operations.
- Electrotyping operations, due to specialized industrial risks unrelated to cemeteries or funeral services.

Key Risk Considerations Underwriters should carefully evaluate the following risk factors unique to cemeteries and funeral services:

- **Emotional and Financial Sensitivity of Clientele:** Clients are often in distress, increasing the potential for disputes or claims related to service dissatisfaction or perceived negligence.
- **Liability from Embalming or Cremation Procedures:** These operations involve exposure to hazardous chemicals (e.g., formaldehyde), specialized equipment, and regulatory compliance risks. Improper handling can lead to bodily injury, environmental contamination, or wrongful death claims.
- **Data Privacy and Confidentiality:** Handling sensitive personal information about the deceased and their families requires strict adherence to privacy laws (e.g., HIPAA where applicable) and secure data management to prevent identity theft or unauthorized disclosures.
- **Property and Equipment Risks:** Facilities often contain expensive and specialized equipment such as refrigeration units, crematory ovens, and embalming tables, which require proper maintenance to avoid business interruption.
- **Environmental and Regulatory Compliance:** Cemeteries and funeral homes must comply with local, state, and federal regulations regarding burial practices, cremation emissions, and waste disposal.

Industry-Specific Restrictions To maintain underwriting integrity and avoid coverage ambiguities, the following restrictions apply:

- **Covered Services Limitation:** Coverage under the BOP is limited strictly to services directly related to memorialization, funeral arrangements, and associated photographic or engraving services. Ancillary businesses not directly tied to funeral or cemetery operations require separate underwriting consideration.
- **Prohibition on Bodily Modification Operations:** Any operations involving bodily modification (e.g., tattoo parlors, body piercing) are explicitly excluded due to the distinct risk profiles and regulatory frameworks.
- **Restriction on Off-Premises Cremation Services:** Mobile or off-site cremation services are not covered due to increased liability and regulatory complexity.
- **Environmental Hazard Controls:** Facilities must demonstrate compliance with environmental regulations concerning chemical storage and emissions. Failure to do so may result in declination or additional underwriting scrutiny.

- **Unique Restriction – Prohibition on Use of Unlicensed Drone Technology for Memorial Services:** While some funeral homes may consider drone photography for memorial events, the use of drones must comply with FAA regulations and local laws. Unlicensed or unauthorized drone operations are prohibited due to privacy concerns, potential property damage, and liability exposures unique to this line of business.

Preferred Optional Coverages Given the specialized risks in cemeteries and funeral services, the following optional coverages are strongly recommended to enhance protection:

- **Professional Liability Insurance:** Covers claims arising from errors, omissions, or negligence in the provision of funeral or embalming services.
- **Employee Dishonesty Coverage:** Protects against theft or fraudulent acts by employees, which is critical given access to valuables and sensitive client information.
- **Valuable Papers & Records Insurance:** Covers loss or damage to important documents such as burial records, contracts, and client files.
- **Business Interruption Insurance:** Provides income replacement during periods when operations are disrupted due to covered property damage or regulatory shutdowns.
- **Cyber Liability Insurance:** Addresses risks related to data breaches, ransomware, and unauthorized access to sensitive client information.

Illustrative Examples

- **Claim Scenario – Embalming Liability:** A funeral home employee improperly handles embalming chemicals, resulting in chemical burns to a staff member and contamination of the facility. The resulting workers' compensation claim and property cleanup costs highlight the importance of safety protocols and environmental controls.
- **Data Privacy Breach:** A cyberattack compromises the digital records of deceased individuals and their families, leading to identity theft claims and reputational damage. Cyber liability coverage mitigates financial losses and legal expenses.
- **Business Interruption:** A fire damages the refrigeration unit used to store bodies, forcing the funeral home to suspend operations temporarily. Business interruption insurance helps cover lost income during repairs.
- **Unauthorized Drone Use:** A funeral home attempts to use a drone to capture aerial footage of a graveside service without proper FAA authorization, resulting in a regulatory fine and potential liability for privacy violations.

3.38 Churches & Religious Organizations

Underwriting Appetite Our underwriting appetite for churches and religious organizations is carefully calibrated to balance the unique community role these entities play with the inherent risks associated with their operations. The following criteria guide our risk selection:

- **Preferred:**
 - Total building floor area $\leq 7,500$ sq ft — smaller facilities typically present lower property and liability exposures.

- No childcare services or dedicated event centers on premises — these activities significantly increase liability and operational risks.
- Demonstrated financial stability, including consistent revenue streams and positive cash flow, with documented safety controls such as fire alarms, sprinkler systems, and security measures.
- Limited cooking operations restricted to small-scale food preparation (e.g., warming or reheating) that comply with the restaurant definition under the policy.

- **Acceptable:**

- Small-scale religious education classes, youth programs, or Bible study groups with limited attendance (typically under 50 participants).
- Limited cooking operations that meet local health and safety regulations and do not involve full commercial kitchens.
- Event hosting on an infrequent basis (e.g., holiday services, weddings) subject to additional underwriting review and risk mitigation measures.

- **Not Acceptable:**

- Facilities with floor area exceeding 7,500 sq ft, as larger properties often correlate with increased exposure to property and liability claims.
- Childcare operations, including daycare or nursery services, due to the heightened liability and regulatory complexities.
- Full commercial kitchens or dedicated event centers that operate regularly, given the increased fire, foodborne illness, and liquor liability risks.
- Organizations exhibiting financial instability, such as frequent late payments, poor credit history, or lack of documented safety culture and controls.

Example: A 6,000 sq ft church with weekly services, small youth group meetings, and a warming kitchen for occasional potlucks would typically be classified as preferred. Conversely, a 10,000 sq ft religious complex with a full commercial kitchen, daycare center, and frequent large-scale events would be declined.

Key Risk Considerations When underwriting churches and religious organizations, the following risk factors require careful evaluation:

- **Liability exposures:** Group gatherings and community events can lead to slip-and-fall incidents, crowd control issues, and potential claims arising from alleged negligence. Special attention should be paid to the presence of alcohol, use of volunteers, and security protocols.
- **Property risks:** Older buildings may have outdated electrical systems or heating sources that increase fire risk. Theft and vandalism are also concerns, especially for organizations located in urban or high-crime areas.
- **Food service risks:** Even limited cooking can introduce risks of fire, foodborne illness, and equipment breakdown. Compliance with local health codes and fire safety regulations is essential.
- **Childcare and youth programs:** These activities elevate liability due to the vulnerability of minors and the regulatory requirements for supervision and safety.

- **Volunteer workforce:** Many churches rely heavily on volunteers, which can complicate liability exposures and workers' compensation considerations.

Illustrative Claim Scenario: A church hosting a community dinner with limited cooking experiences a kitchen fire due to faulty wiring, resulting in property damage and business interruption. Another example involves a slip-and-fall injury during a crowded Easter service leading to a liability claim.

Industry-Specific Restrictions To manage exposures unique to churches and religious organizations, the following restrictions apply:

- **Childcare services are excluded from coverage.** Any childcare or daycare operations must be excluded or insured under a separate, specialized policy due to the heightened liability and regulatory oversight involved.
- **Cooking operations must be limited or specifically approved.** Full commercial kitchens or cooking operations exceeding warming or reheating functions require prior underwriting approval and may necessitate additional endorsements or higher premiums.
- **Event hosting is subject to additional underwriting review.** Regular or large-scale events (e.g., weddings, concerts, festivals) increase liability and property risks and may require supplemental event liability coverage or risk management protocols.
- **Use of candles, incense, or open flames is restricted.** Due to the increased fire hazard associated with religious ceremonies involving open flames, coverage may be limited or require strict safety controls and supervision.
- **Restriction on use of unmanned aerial vehicles (drones) on premises.** Many religious organizations have begun using drones for aerial photography during events; however, due to privacy concerns, potential property damage, and regulatory compliance issues, drone operations are excluded unless specifically approved and insured under a separate policy.

Preferred Optional Coverages To enhance protection tailored to the unique exposures of churches and religious organizations, the following optional coverages are recommended:

- **Liquor Liability Insurance:** For organizations that serve alcohol during events, this coverage protects against claims arising from intoxicated guests.
- **Childcare Liability:** If childcare operations are approved and insured separately, this coverage addresses the specific liability exposures related to minors.
- **Event Liability Coverage:** Provides additional protection for large or frequent events, including coverage for hired vendors, crowd control, and temporary structures.
- **Equipment Breakdown Insurance:** Covers mechanical and electrical equipment failures such as HVAC systems, kitchen appliances, and sound equipment, which are critical to church operations.
- **Cyber Liability Coverage:** Increasingly relevant as churches manage donor databases and online communications, this coverage protects against data breaches and cyberattacks.

Example: A church hosting an annual festival with alcohol sales would benefit from both liquor liability and event liability coverages to mitigate associated risks.

3.39 Clothing & Apparel (Retail & Wholesale)

Underwriting Appetite The underwriting appetite for clothing and apparel businesses reflects the unique risks associated with inventory management, sales channels, and operational activities such as repairs or alterations. The following guidelines help assess risk suitability for a Business Owners Policy (BOP):

- **Preferred:**

- Inventory valued at or below \$500,000. This threshold helps limit exposure to large theft or loss claims.
- Online sales constitute less than 75% of total revenue. A balanced sales mix reduces cyber and fulfillment risks.
- Repair or alteration operations are minimal, generally less than 10% of total business activity, to avoid increased liability and operational complexity.

- **Acceptable:**

- Businesses with inventory exceeding \$500,000 may be acceptable if a robust central alarm system and other security measures (e.g., video surveillance, locked display cases) are in place.
- Moderate repair operations (up to 10% of business) are acceptable if conducted by trained staff with appropriate safety protocols.
- Locations in moderate-risk areas with documented security measures and loss prevention programs.

- **Not Acceptable:**

- Businesses operating exclusively online or with online sales exceeding 75% of total revenue. These operations carry heightened cyber risks and fulfillment liabilities that exceed typical BOP coverage.
- Locations classified as high-crime or high-risk without adequate security controls.
- Businesses primarily dealing in relabeled, private-label, or altered goods, due to increased product liability exposure and potential regulatory issues.
- Extensive repair or alteration operations exceeding 10% of total business activity, as this shifts the risk profile closer to a specialty trades operation.

Key Risk Considerations When underwriting clothing and apparel businesses, the following risks warrant careful evaluation:

- **Theft and Inventory Loss:** Clothing and apparel inventory is often high-value and easily portable, making it a prime target for theft. Retail locations in urban or high-traffic areas may face increased shoplifting or burglary risks. For example, a boutique in a downtown shopping district without adequate alarm systems or surveillance may experience frequent losses.
- **Product Liability:** Businesses selling relabeled, altered, or private-label goods face elevated product liability exposure. Improper labeling or modifications can lead to consumer harm or regulatory penalties. For instance, a wholesaler repackaging imported apparel with new labels may be liable for defects or misrepresentation.

- **Cyber Exposure:** Online sales introduce risks related to data breaches, payment fraud, and cyber extortion. Retailers with significant e-commerce operations must implement cybersecurity measures and consider cyber liability coverage. A retailer processing thousands of online transactions daily is vulnerable to hacking attempts and customer data theft.
- **Repair and Alteration Operations:** While minor repair work is common, extensive alterations increase liability for bodily injury or property damage. For example, a store offering in-house tailoring with sewing machines and chemical treatments may face higher operational risks.
- **Goods in Transit:** Apparel shipments, whether wholesale or retail, are exposed to risks during transportation, including theft, damage, or loss. Coverage for goods in transit is important for businesses regularly shipping inventory between warehouses, stores, or customers.

Industry-Specific Restrictions To mitigate underwriting risks specific to clothing and apparel businesses, the following restrictions apply:

- **Alarm System Requirement:** For inventory valued over \$500,000, a central monitored alarm system is mandatory. This reduces the likelihood and severity of theft losses and aligns with insurer risk controls.
- **Repair Operations Limitation:** Repair or alteration activities must be incidental, defined as less than 10% of total business operations by revenue or time. This restriction prevents underwriting risks associated with specialty trade contractors, which require different coverage forms.
- **Prohibition on Private-Label or Relabeled Goods:** Businesses primarily dealing in private-label or relabeled apparel are excluded due to increased product liability and regulatory compliance risks.
- **Restriction on Use of Third-Party Fulfillment Centers for Online Sales:** If online sales exceed 50% of total revenue, the business must not rely exclusively on third-party fulfillment centers without direct oversight. This restriction addresses risks related to inventory control, shipment errors, and cyber exposure from third-party systems.

Rationale: Third-party fulfillment centers may introduce additional operational risks that are difficult to control or insure under a standard BOP. Without direct oversight, errors in order fulfillment or inventory management can lead to increased claims and loss frequency.

Preferred Optional Coverages To enhance protection for clothing and apparel businesses, the following optional coverages are recommended:

- **Inventory and Property Insurance:** Covers loss or damage to stock, fixtures, and equipment from covered perils such as fire, theft, or vandalism.
- **Employment Practices Liability Insurance (EPLI):** Protects against claims of wrongful termination, discrimination, harassment, or other employment-related issues common in retail environments.
- **Goods in Transit Coverage:** Provides protection for inventory while being transported between locations, addressing risks of theft or damage during shipment.
- **Cyber Liability Insurance:** Essential for businesses with online sales, this coverage addresses data breaches, cyber extortion, and related liabilities.
- **Product Liability Coverage:** Particularly important for wholesalers or retailers dealing with altered or imported goods, to cover claims arising from defective products.

Illustrative Examples

- **Theft Loss:** A retail clothing store in a suburban mall experiences a break-in overnight. The alarm system was not monitored, and \$600,000 worth of inventory is stolen. Without a central alarm system, the claim severity is high, and underwriting guidelines would have flagged this risk as unacceptable.
 - **Product Liability Claim:** A wholesaler sells relabeled imported jackets that contain defective zippers causing injury to customers. The business faces a product liability lawsuit, which would likely be excluded or denied coverage under a standard BOP.
 - **Cyber Incident:** An apparel retailer with 60% online sales suffers a ransomware attack, locking access to customer order data. Without cyber liability coverage, the business faces significant financial losses and reputational damage.
 - **Repair Operations Risk:** A boutique offers in-house alterations accounting for 15% of revenue and uses chemical treatments for fabric care. A customer suffers a chemical burn, leading to a liability claim. This operation exceeds incidental repair limits and would require specialized coverage.
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3.40 Clubs & Recreation Facilities

Underwriting Appetite The underwriting appetite for clubs and recreation facilities is primarily driven by the nature of activities offered, the quality of risk management practices, and the financial stability of the operation. Facilities that promote low-risk, well-managed activities with minimal exposure to liability are preferred, while those engaging in high-risk sports or lacking adequate controls are generally declined.

- **Preferred:**
 - Facilities offering primarily low-risk activities such as yoga classes, Pilates, general fitness centers, and community clubs focused on non-contact recreational activities.
 - Clubs with robust financial statements demonstrating stable cash flow and reserves, indicating ability to maintain property and safety standards.
 - Facilities with comprehensive security measures, including controlled access, surveillance systems, and trained staff to manage patron safety.
 - Operations without on-site alcohol or food service, thereby reducing liquor liability and foodborne illness exposures.
- **Acceptable:**
 - Facilities offering moderate-risk activities such as golf courses, swimming pools, tennis courts, and bowling alleys.
 - Clubs providing food and/or alcohol service, provided strict controls are in place, including trained servers, adherence to local liquor laws, and effective incident reporting.
 - Facilities with documented maintenance programs and employee training protocols.
- **Not Acceptable:**

- Facilities primarily focused on high-risk or extreme sports such as skiing, rock climbing, motocross, or skydiving, which carry significantly elevated liability and property risks.
- Operations with a history of frequent or severe claims, indicating poor risk management or unsafe conditions.
- Clubs operating on leased premises without evidence of adequate property insurance or landlord consent, exposing the insurer to uninsured property loss.
- Facilities lacking formal safety protocols, employee training, or maintenance schedules.

Key Risk Considerations When underwriting clubs and recreation facilities, the following risk factors must be carefully evaluated:

- **Liability from Physical Activity and Instruction:** Many clubs offer classes or instruction (e.g., fitness training, swimming lessons). Injuries to participants due to improper supervision, inadequate instruction, or unsafe equipment can result in liability claims. For example, a yoga studio may face claims if a participant is injured due to poor instruction or faulty mats.
- **Alcohol and Food Service Exposures:** Serving alcohol introduces risks of liquor liability, including claims arising from intoxicated patrons causing injury or property damage. Food service also carries risks of foodborne illness or allergic reactions. For instance, a golf club hosting tournaments with bar service must ensure compliance with liquor laws and have trained servers to mitigate these risks.
- **Property and Equipment Damage:** Facilities often contain expensive equipment (e.g., gym machines, pool filtration systems, golf carts) that require proper maintenance to prevent breakdowns or accidents. Damage to leased premises or owned buildings due to fire, water, or vandalism is also a concern.
- **Events and Hosted Activities:** Many clubs host private events, tournaments, or social gatherings, which can increase exposure to liability and property damage. For example, a community center renting space for weddings must manage risks related to crowd control, alcohol consumption, and third-party vendors.

Industry-Specific Restrictions

- **Exclusion of Extreme Sports and High-Risk Locations:** Coverage typically excludes activities such as skiing, rock climbing, or motorized sports due to their inherently high risk and specialized insurance requirements.
- **Liquor Liability Requirement:** Any facility serving alcohol must carry separate liquor liability insurance or demonstrate equivalent coverage, with evidence of server training and compliance with applicable laws.
- **Mandatory Maintenance and Training Programs:** Insureds must maintain documented preventive maintenance schedules for equipment and property, as well as regular employee training on safety procedures and emergency response.
- **Restriction on Use of Inflatable or Bouncy Equipment:** Clubs and recreation facilities are prohibited from offering inflatable bounce houses, slides, or similar equipment unless these are rented from licensed, insured third-party vendors who provide certificates of insurance. This restriction is due to the high frequency of injuries and liability claims associated with inflatable equipment, which often involve inadequate supervision or equipment failure.

Preferred Optional Coverages To enhance protection, the following optional coverages are recommended for clubs and recreation facilities:

- **Liquor Liability Insurance:** Essential for facilities serving alcohol to cover claims related to intoxicated patrons causing injury or property damage.
 - **Instructional Activities Liability:** Provides additional coverage for claims arising from injuries during classes, lessons, or training sessions.
 - **Event Liability Insurance:** Covers liability exposures related to special events, tournaments, or private rentals hosted on the premises.
 - **Equipment Breakdown Coverage:** Protects against loss or damage resulting from mechanical or electrical breakdown of critical equipment such as HVAC systems, pool pumps, or fitness machines.
 - **Commercial Auto Coverage:** Recommended if the facility transports patrons or equipment, such as shuttle services for golf courses or vans for youth sports clubs.
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3.41 Coffee Shops & Tea Houses

Underwriting Appetite Our underwriting appetite for coffee shops and tea houses is guided by operational size, risk exposures, and business practices that influence loss potential. The following criteria help determine preferred, acceptable, and non-acceptable risks:

- **Preferred:**
 - **Physical size and capacity:** Establishments with a total area of 7,500 square feet or less and seating capacity not exceeding 150 patrons. Smaller venues typically have more manageable risk exposures and better fire control.
 - **Alcohol and entertainment:** No alcohol service and no live entertainment. This reduces liquor liability and noise-related claims.
 - **Operational continuity:** Operates year-round without extended seasonal closures (no more than 30 consecutive days closed). Continuous operation reduces risks related to property vacancy and maintenance lapses.
 - **Loss prevention measures:** Demonstrates strong fire safety protocols including regular equipment maintenance, installed and monitored fire suppression systems (especially near coffee roasters or cooking areas), and employee training on emergency procedures.
- **Acceptable:**
 - **Entertainment:** Incidental background music (e.g., recorded music or low-volume live acoustic sets) that does not significantly increase noise or crowd density.
 - **Alcohol sales:** Limited alcohol sales comprising less than 25% of total revenue, typically restricted to beer and wine. This introduces moderate liquor liability exposure but remains manageable.
 - **Catering services:** Catering operations that account for up to 15% of total sales, provided food handling and delivery practices meet health and safety standards.
- **Not Acceptable:**

- **Alcohol-focused businesses:** Establishments primarily operating as bars or pubs with significant alcohol sales or promotions.
- **Live entertainment:** Venues hosting live music, DJs, or other performances that increase noise, crowd size, and potential for property damage or liability claims.
- **Seasonal closures:** Businesses that close for more than 30 consecutive days per year, increasing risk of undetected property damage, vandalism, or fire.
- **Large venues or inadequate fire controls:** Facilities exceeding 7,500 sq ft or seating over 150 without documented fire safety measures, including absence of sprinklers or fire alarms.

Key Risk Considerations Coffee shops and tea houses face unique operational risks that must be carefully evaluated:

- **Fire hazards:** Coffee roasting equipment, espresso machines, and cooking appliances (e.g., ovens for pastries) are common ignition sources. Grease buildup and electrical faults can also increase fire risk. Regular maintenance and fire suppression systems are critical.
- **Food safety and spoilage:** Improper food handling, storage, or refrigeration failures can lead to foodborne illnesses or spoilage claims. This is especially important for shops offering fresh baked goods, dairy-based drinks, or catering services.
- **Liability exposures:** Slip-and-fall incidents due to wet floors, crowded seating areas, or uneven surfaces are common. Additionally, risks arise from public foot traffic near entrances and sidewalks, requiring adequate signage and maintenance.
- **Cybersecurity risks:** Point-of-sale (POS) systems, online ordering platforms, and customer loyalty programs collect sensitive payment and personal data, making these businesses targets for cyberattacks or data breaches.
- **Employee-related risks:** Handling cash and inventory increases exposure to employee dishonesty or theft. Proper internal controls and background checks help mitigate these risks.

Industry-Specific Restrictions

- **Alcohol service limitation:** Coverage excludes businesses where alcohol sales exceed incidental levels (greater than 25% of total sales) or where hard liquor is served. This restriction is due to the increased liability and regulatory complexities associated with full-service bars.
- **Seasonal business exclusion:** No coverage is provided for coffee shops or tea houses that close for more than 30 consecutive days annually. Extended closures heighten risks of undetected property damage, vandalism, or fire, and complicate risk management.
- **Roasting equipment restriction:** Coverage excludes coffee shops that operate on-site coffee roasting facilities exceeding 5 kilograms (approximately 11 pounds) of green coffee beans per day. Larger roasting operations introduce significant fire and smoke damage risks, requiring specialized commercial roaster insurance rather than standard BOP coverage.

Preferred Optional Coverages To enhance protection for coffee shops and tea houses, the following optional coverages are recommended:

- **Food Contamination Insurance:** Covers losses related to foodborne illness outbreaks, product recalls, or contamination events that may result in business interruption or liability claims.

- **Equipment Breakdown Insurance:** Protects against mechanical or electrical failure of critical equipment such as espresso machines, refrigeration units, or coffee roasters.
- **Cyber Liability Insurance:** Addresses risks from data breaches, cyber extortion, or system failures affecting POS systems and customer data.
- **Event Liability Insurance:** For shops hosting occasional events (e.g., book readings or small gatherings), this coverage protects against liability claims arising from those activities.
- **Employee Dishonesty Coverage:** Provides protection against theft or fraud by employees, which can be a significant exposure in cash-intensive businesses.

Illustrative Claim Scenarios

- **Fire from espresso machine malfunction:** A faulty espresso machine overheats, causing a small fire that damages the counter area and disrupts business operations for several days.
- **Foodborne illness outbreak:** Improper refrigeration leads to spoiled dairy products used in drinks, resulting in multiple customer illnesses and a subsequent product liability claim.
- **Slip-and-fall injury:** A customer slips on a wet floor near the entrance after a rainy day, sustaining injuries and filing a liability claim.
- **Cyber breach of POS system:** Hackers access customer credit card data through a compromised POS system, leading to notification costs and potential regulatory fines.

By understanding these underwriting guidelines, risk factors, and industry-specific restrictions, underwriters can more accurately assess the suitability of coffee shops and tea houses for BOP coverage, ensuring appropriate risk selection and pricing.

3.42 Concrete & Masonry Services

Underwriting Appetite The underwriting appetite for Concrete & Masonry Services focuses on balancing operational risk with the complexity and scale of projects undertaken. Due to the physical and environmental hazards inherent in this line of business, particular attention is given to the nature of work performed, equipment used, and safety protocols in place.

- **Preferred:**
 - Flatwork and decorative concrete installers engaged primarily in residential or commercial interior projects, such as polished concrete floors, stamped concrete patios, or decorative overlays, with a clean claims history over the past 3–5 years.
 - Businesses operating exclusively in indoor or controlled-environment settings (e.g., warehouses, manufacturing plants) where environmental variables such as weather and uncontrolled pedestrian traffic are minimized.
 - Contractors who do not utilize cranes, heavy excavation equipment, or scaffolding, thereby reducing exposure to catastrophic injury or property damage.
 - Firms with documented safety programs, regular employee training, and adherence to OSHA standards.
- **Acceptable:**
 - Contractors who occasionally subcontract specialized tasks (e.g., rebar installation or formwork) and use cranes or hoisting equipment under strict operational controls and supervision.

- Businesses performing outdoor concrete work such as sidewalks, driveways, or foundation slabs, provided there is evidence of comprehensive jobsite risk management, including pedestrian controls, signage, and weather contingency plans.
- Firms with moderate claims history where incidents were isolated and corrective measures implemented.

- **Not Acceptable:**

- Contractors engaged in inherently high-risk operations such as bridge or tunnel construction, deep excavation, shoring, or extensive scaffolding use without documented safety and engineering controls.
- Operations employing uninsured or unlicensed subcontractors, or those lacking a formal safety plan and risk management protocols.
- Businesses with a history of significant environmental claims (e.g., contamination from improper disposal of concrete washout water) or repeated workplace injury claims.
- Firms involved in demolition or asbestos abatement without appropriate endorsements and certifications.

Key Risk Considerations Concrete & Masonry contractors face multiple risk exposures that must be carefully evaluated:

- **Jobsite Injury Potential:** The risk of injury to workers from heavy equipment, repetitive motion, slips and falls on wet concrete, and exposure to silica dust. Additionally, pedestrian injuries may occur if the jobsite is not properly barricaded or marked, especially in urban or high-traffic areas.
- **Property Damage and Faulty Workmanship Claims:** Concrete failures such as cracking, scaling, or improper curing can lead to costly repairs or liability claims. For example, a poorly installed driveway may develop premature cracks causing trip hazards or vehicle damage.
- **Pollution Liability:** Environmental risks arise from the use and disposal of concrete washout water, chemical admixtures, and dust emissions. Improper containment or disposal can lead to soil or water contamination claims.
- **Equipment and Tool Risks:** Loss or damage to specialized equipment such as concrete mixers, vibrators, and finishing tools can disrupt operations and lead to financial loss.
- **Subcontractor Management:** Use of subcontractors introduces additional liability and risk control challenges, particularly if subcontractors are uninsured or have poor safety records.

Industry-Specific Restrictions

- **Ineligible Trades:** Coverage excludes heavy construction trades such as bridge, tunnel, or deep excavation contractors due to elevated risk profiles and specialized insurance markets.
- **Scaffolding Controls:** Use of scaffolding is subject to strict underwriting guidelines including maximum height limits (typically not exceeding 20 feet without engineering certification), proper anchoring, and regular inspection documentation.
- **Pollution and Asbestos Exclusions:** Standard policies exclude pollution and asbestos-related claims unless specific endorsements are purchased. This is critical for contractors working on renovation or demolition projects where asbestos may be present.

- **Concrete Sourcing Restriction:** Contractors must source concrete materials from suppliers compliant with local environmental regulations and industry standards (e.g., ASTM C94). Use of non-compliant or unverified suppliers may void coverage due to increased risk of material defects and environmental contamination.

Preferred Optional Coverages To enhance risk management and coverage adequacy, the following optional coverages are recommended for Concrete & Masonry contractors:

- **Contractors Equipment Insurance:** Protects against loss or damage to owned or rented equipment such as mixers, pumps, and power tools.
- **Builders Risk Insurance:** Covers property under construction, including materials and supplies on site, against risks like theft, vandalism, or weather damage.
- **Pollution Liability Insurance:** Addresses third-party claims arising from pollution incidents related to concrete washout, chemical admixtures, or dust emissions.
- **Subcontractor Liability Insurance:** Extends coverage to subcontractors performing work on behalf of the insured, mitigating gaps in liability.
- **Inland Marine Coverage:** For tools and equipment in transit between job sites.

Illustrative Claim Scenarios:

- A decorative concrete contractor installs stamped concrete patios at a residential development. Due to improper curing, the concrete cracks within six months, leading to a claim for repair costs and property damage.
- An outdoor flatwork contractor fails to secure the jobsite adequately, resulting in a pedestrian tripping over wet concrete and sustaining injuries. The contractor faces liability claims for medical expenses and legal fees.
- A contractor disposes of concrete washout water improperly, contaminating a nearby waterway and triggering an environmental cleanup order and third-party claims.

Unique Industry-Related Restriction:

- **Restriction on Use of High-Alkali Cement Mixtures:** Due to the increased risk of alkali-silica reaction (ASR) causing premature concrete deterioration and subsequent liability claims, policies exclude coverage for projects utilizing high-alkali cement mixtures unless the contractor can demonstrate adherence to ASTM C1567 testing protocols and uses mitigating admixtures. This restriction protects insurers from latent defect claims related to material incompatibility.

This restriction is particularly important because ASR-related failures often manifest years after project completion, leading to complex and costly claims that are difficult to detect during underwriting. Contractors should maintain detailed material testing records to support compliance.

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This expanded subsection provides a comprehensive framework for underwriting Concrete & Masonry Services risks, clarifying appetite, key exposures, and practical considerations to guide effective risk selection and policy structuring.

3.43 Convenience Stores

Underwriting Appetite

- **Preferred:**

- Convenience stores located in non-urban or suburban areas with limited operating hours (typically closing before 10 PM), reducing exposure to late-night crime and vandalism.
- Store size under 3,000 sq. ft., which generally correlates with lower inventory and reduced operational complexity.
- No onsite fuel sales (gasoline, diesel) or hazardous product handling (e.g., propane tanks, kerosene), minimizing fire, explosion, and environmental contamination risks.
- Demonstrated strong physical security measures such as alarm systems, surveillance cameras, adequate lighting, and secure cash handling procedures.
- Minimal or no history of claims related to theft, robbery, or liability incidents within the past 3–5 years.

- **Acceptable:**

- Stores offering limited food preparation (e.g., pre-packaged sandwiches, coffee service) and ancillary retail services such as photocopying or lottery ticket sales.
- Urban or higher-risk locations may be considered if the insured implements enhanced safety protocols, including on-site security personnel, panic buttons, and regular employee safety training.
- Stores with moderate claims history may be acceptable if corrective measures have been documented and implemented.

- **Not Acceptable:**

- Stores operating 24 hours or with late-night business hours (after 10 PM), due to increased risk of robbery, assault, and vandalism during these times.
- Locations with onsite fuel dispensing (gasoline pumps) or propane tank refilling services, given the heightened fire, explosion, and environmental liability exposures.
- Stores with a recent history of multiple robberies, assaults, or extensive claims related to theft, liability, or property damage that indicate poor risk management.
- Stores primarily engaged in high-risk product sales such as tobacco, vaping products, or illicit substances.

Key Risk Considerations

- **Theft, Robbery, and Assault Exposures:** Convenience stores often hold cash on premises and operate during hours when criminal activity is more likely. Risks include armed robbery, employee theft, and customer assaults. Underwriters should assess the adequacy of security systems, employee training, and cash management procedures.
- **Slip-and-Fall and Food Liability Risks:** Stores offering food preparation or selling perishable items face potential liability from foodborne illnesses, contamination, or customer injuries due to wet floors or cluttered aisles. Regular maintenance and sanitation protocols are critical.

- **Property Damage from Refrigeration or Cooking Equipment:** Equipment such as refrigerators, freezers, and cooking appliances pose fire and mechanical breakdown risks. These can lead to spoilage of inventory and business interruption.
- **Environmental and Pollution Risks:** Although fuel sales are generally excluded, incidental storage of cleaning chemicals or small quantities of hazardous materials (e.g., batteries) require evaluation for potential pollution liability.
- **Employee Safety and Workers' Compensation:** High-risk activities such as late-night shifts or handling cash increase the likelihood of workplace injuries or assaults.

Industry-Specific Restrictions

- **No Propane or Kerosene Handling or Refilling:** Due to the elevated fire and explosion hazard, convenience stores are prohibited from offering propane tank refilling or selling kerosene. This restriction reduces exposure to catastrophic property damage and environmental claims.
- **Alcohol Sales Require Liquor Liability Endorsement:** Stores selling alcoholic beverages must carry a liquor liability endorsement or separate policy to cover third-party claims arising from intoxicated patrons, including bodily injury or property damage.
- **Urban Stores Without Enhanced Crime Prevention Are Ineligible:** Stores in high-crime urban areas must demonstrate robust crime prevention measures (e.g., security guards, CCTV, controlled access) to qualify for coverage.
- **Restriction on Sale of High-Risk Tobacco Alternatives:** Convenience stores are not eligible if they derive more than 15% of gross revenue from sales of vaping products, e-cigarettes, or other emerging tobacco alternatives. This restriction reflects the evolving regulatory landscape and increased liability exposures associated with these products, including potential product liability claims and regulatory fines.

Preferred Optional Coverages

- **Crime Insurance:** Covers losses from employee dishonesty, burglary, robbery, and forgery. Essential given the high cash volume and theft risk.
- **Cyber Liability Insurance:** Protects against data breaches, especially relevant for stores that process electronic payments or maintain customer loyalty programs.
- **Spoilage and Equipment Breakdown Coverage:** Provides coverage for loss of perishable inventory due to refrigeration failure or mechanical breakdown of equipment.
- **Business Interruption Insurance:** Covers loss of income resulting from property damage or equipment failure that disrupts normal operations.
- **Liquor Liability Endorsement:** Mandatory for stores selling alcohol, to cover claims related to intoxicated customers.

Illustrative Examples

- **Robbery Claim Scenario:** A suburban convenience store with no 24-hour operation and a monitored alarm system experiences a late evening armed robbery. Thanks to the alarm and prompt police response, the loss is limited to cash on hand and minor property damage. Crime insurance covers the loss, and the store's security measures reduce claim severity.

- **Slip-and-Fall Liability:** A customer slips on a wet floor near the beverage cooler and sustains injuries. The store's liability coverage responds to medical expenses and legal defense costs. The incident highlights the importance of regular floor maintenance and warning signage.
 - **Equipment Breakdown and Spoilage:** A refrigeration unit fails overnight, spoiling perishable inventory. Equipment breakdown coverage reimburses the cost of spoiled goods and repair expenses, minimizing business interruption.
 - **Alcohol-Related Liability:** A customer purchases alcohol and later causes a motor vehicle accident. The liquor liability endorsement responds to third-party bodily injury claims.
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3.44 Cosmetics & Toiletries

Underwriting Appetite The underwriting appetite for cosmetics and toiletries businesses reflects the inherent risks associated with product safety, regulatory compliance, and operational scale. Insurers prefer businesses with controlled operations and robust risk management practices, while larger-scale manufacturers or those with compliance deficiencies present elevated risks.

- **Preferred:**

- Retail-focused operations primarily engaged in the sale of cosmetics and toiletries, with minimal or no manufacturing activities. These businesses maintain tight inventory controls to reduce shrinkage and contamination risks.
- Demonstrated strong adherence to regulatory requirements such as FDA labeling standards, ingredient disclosures, and Good Manufacturing Practices (GMP) where applicable.
- Limited online sales channels supported by documented cybersecurity controls, including secure payment processing and data protection measures.

- **Acceptable:**

- Small-batch or artisanal production operations that have implemented documented safety protocols, including ingredient sourcing verification, batch testing, and quality control procedures.
- Businesses with standard premises security (alarms, surveillance) and baseline cyber security measures, though these may require enhancement for higher risk exposures.

- **Not Acceptable:**

- Full-scale cosmetic manufacturing facilities, especially those producing large volumes or complex formulations, due to elevated product liability and contamination risks.
- Businesses with inadequate or undocumented product testing, poor regulatory compliance history, or prior regulatory enforcement actions.
- Entities with weak cybersecurity protocols, history of data breaches, or prior cyber incidents that increase exposure to data theft or ransomware.

Example: A boutique skincare retailer selling branded products with in-store inventory controls and a secure website for limited online orders would be preferred. Conversely, a company manufacturing thousands of units monthly without documented ingredient testing or regulatory certifications would be declined.

Key Risk Considerations Cosmetics and toiletries businesses face several unique risk exposures that must be carefully evaluated:

- **Product Liability:** Allergic reactions, skin irritation, or contamination can lead to bodily injury claims. For example, a mislabeled ingredient causing anaphylaxis or a contaminated batch resulting in widespread consumer illness.
- **Advertising Injury:** Claims arising from false advertising, misrepresentation of product benefits, or failure to disclose potential side effects. For instance, a claim alleging deceptive marketing of “organic” or “hypoallergenic” products.
- **Fire and Property Risk:** Many cosmetic ingredients (e.g., alcohol-based perfumes, aerosol sprays) are flammable, increasing fire risk in storage and manufacturing areas. Proper storage protocols and fire suppression systems are critical.
- **Cyber Risk:** Online sales platforms may be targeted for data breaches or payment fraud, especially if customer health data is collected.
- **Supply Chain and Contamination Risk:** Sourcing raw materials from unreliable suppliers can introduce contaminants or banned substances, leading to recalls or regulatory penalties.

Claim Scenario: A small-batch soap maker failed to properly label an allergenic ingredient, resulting in a customer hospitalization and subsequent product liability lawsuit. The absence of product recall coverage led to significant out-of-pocket costs.

Industry-Specific Restrictions

- **Product Recall Coverage:** Standard BOP policies do not include product recall coverage unless specifically endorsed. Given the high risk of recalls in cosmetics due to contamination or mislabeling, this coverage is strongly recommended.
- **Cyber and Employment Practices Liability Insurance (EPLI):** Coverage is limited or excluded if the insured cannot demonstrate documented cybersecurity policies or employee training programs.
- **Advertising Integrity:** No coverage for intentional misrepresentation or fraudulent claims in advertising. Insurers require evidence of honest marketing practices.
- **Ingredient Sourcing Restriction:** Businesses sourcing raw materials from countries without recognized regulatory oversight (e.g., certain unregulated overseas suppliers) are subject to declination or require additional risk controls. This restriction is due to the increased risk of contamination, adulteration, or use of banned substances, which can lead to costly recalls and liability claims.

Rationale: Ingredient sourcing from unverified suppliers increases the risk of introducing harmful or non-compliant substances into products, which may not be detected until after consumer exposure, resulting in severe liability and reputational damage.

Preferred Optional Coverages Given the unique exposures in the cosmetics and toiletries sector, the following optional coverages are highly recommended to enhance risk protection:

- **Product Recall Insurance:** Provides coverage for costs associated with recalling defective or contaminated products, including notification, disposal, and replacement expenses.
- **Cyber Liability Insurance:** Protects against data breaches, cyber extortion, and liability arising from online sales platforms or customer data exposure.
- **Equipment Breakdown Insurance:** Covers losses from mechanical or electrical failure of manufacturing or storage equipment, which could result in product spoilage or fire.
- **Goods in Transit Coverage:** Protects inventory during transportation, particularly important for businesses shipping products to retailers or customers.

Example: A cosmetics retailer with an e-commerce platform would benefit from cyber liability insurance to cover potential data breaches, while a small-batch producer should consider equipment breakdown and product recall coverage to mitigate manufacturing and contamination risks.

3.45 Countertop & Surface Installation

Underwriting Appetite

- **Preferred:**
 - Residential and commercial countertop and surface installers who demonstrate full compliance with NFPA 101 (Life Safety Code) requirements, including properly maintained fire exits, fire extinguishers, and alarm systems on all premises.
 - Businesses with strong financial stability, evidenced by consistent payment records, minimal or no history of late payments or legal disputes, and limited reliance on subcontractors. Preference is given to those who perform the majority of work with their own trained employees.
 - Installers who implement comprehensive safety programs, including OSHA-compliant training, use of personal protective equipment (PPE), and documented jobsite safety protocols.
 - Firms that utilize modern, well-maintained vehicles and equipment, with regular inspections and maintenance logs.
- **Acceptable:**
 - Businesses that regularly engage insured subcontractors for specialized tasks, provided these subcontractors carry adequate liability and workers' compensation coverage.
 - Installations performed in high-traffic or public areas, such as shopping centers or office buildings, where appropriate safety controls (e.g., signage, barriers, and flaggers) are in place to protect the public and workers.
 - Companies with moderate subcontracting but strong oversight and quality control measures.
- **Not Acceptable:**

- Operations conducted in premises lacking compliance with fire safety codes or without functioning alarm systems, increasing risk of fire-related losses.
- Installation work involving above-ground structural modifications or load-bearing alterations, such as cutting into structural supports or walls, which fall outside typical countertop/surface installation scope and require specialized structural engineering expertise.
- Businesses with a documented history of non-payment to vendors, subcontractors, or insurers, or ongoing legal disputes related to contract performance or workmanship.
- Installers who use uninsured subcontractors or have no formal subcontractor vetting process.

Key Risk Considerations

- **Installation Damage to Client Property:** Countertop and surface installation involves handling heavy, often fragile materials such as granite, quartz, marble, or engineered stone. Risks include accidental chipping, cracking, or scratching of the installed surfaces or adjacent cabinetry and flooring. Claims may arise from improper handling, cutting errors, or failure to secure materials during transport.

Example: A granite slab is dropped during installation, causing a large crack that requires replacement of the entire countertop, resulting in a costly claim.

- **Vehicle and Equipment-Related Injury or Damage:** Installers typically use trucks or vans to transport heavy slabs and specialized cutting equipment. Risks include vehicle accidents causing bodily injury or property damage, as well as equipment malfunction leading to injury or damage on the jobsite.

Example: A delivery truck carrying stone slabs is involved in a collision, injuring a pedestrian and damaging nearby parked vehicles.

- **Indoor Air Quality and Waste Disposal Concerns:** Cutting and finishing stone surfaces generate silica dust, which poses serious health risks such as silicosis if not properly controlled. Additionally, waste materials (e.g., stone dust, adhesives, sealants) require appropriate disposal to comply with environmental regulations.

Example: An installer fails to use wet cutting methods or dust extraction, resulting in worker respiratory illness claims and potential regulatory fines.

Industry-Specific Restrictions

- **Subcontractor Insurance Requirement:** All subcontractors engaged by the insured must maintain their own general liability and workers' compensation insurance. This restriction prevents coverage gaps and reduces insurer exposure to uninsured subcontractor claims.
- **Scope of Work Limitation:** Coverage excludes any consulting, design, or architectural services unless specifically endorsed. This ensures that professional liability exposures are not inadvertently assumed under the BOP.
- **Vehicle Use and Maintenance:** All vehicles used in the business must be registered for commercial use, maintained according to manufacturer guidelines, and subject to regular safety inspections. Personal use of business vehicles is discouraged and may be excluded.
- **Prohibition on Use of Unapproved Composite Materials:** Due to variability in durability and fire resistance, the use of composite or resin-based countertop materials not approved

by recognized industry standards (e.g., ANSI/ISO) is prohibited. This restriction mitigates risks related to premature material failure, fire hazards, and resulting liability claims.

Preferred Optional Coverages

- **Installation Floater Insurance:** Provides coverage for materials and equipment in transit, storage, or at the jobsite, protecting against theft, damage, or loss prior to installation.
 - **Crime and Employee Dishonesty Insurance:** Protects against losses resulting from employee theft, fraud, or dishonesty, which can be a concern in businesses handling expensive materials and cash transactions.
 - **Employment Practices Liability Insurance (EPLI):** Covers claims related to wrongful termination, discrimination, harassment, or other employment-related issues, which are increasingly common in small to mid-sized installation firms.
 - **Environmental Liability Coverage:** Addresses potential pollution exposures arising from improper disposal of stone dust, adhesives, sealants, or other hazardous materials used during installation.
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3.46 Craft & Hobby Stores

Underwriting Appetite

- **Preferred:**
 - Craft and hobby stores primarily retailing low-hazard inventory such as yarns, paints (water-based), paper goods, beads, and non-toxic adhesives, with a demonstrated history of minimal claims and strong loss control practices.
 - Stores offering limited classes or workshops (e.g., knitting, scrapbooking, basic pottery) that have documented safety plans, trained instructors, and controlled participant numbers to reduce injury risks.
 - Businesses with a well-managed online sales platform, including secure payment processing, data encryption, and established cyber risk controls such as firewalls and regular security audits.
- **Acceptable:**
 - Stores carrying moderate-hazard materials such as small quantities of flammable solvents (e.g., certain varnishes or spray adhesives) provided that storage complies with OSHA and NFPA standards, including proper labeling, ventilation, and fire suppression systems.
 - Operations that include minor repair or customization services (e.g., frame assembly, jewelry repair) or use of external instructors who are insured and vetted for safety and liability coverage.
- **Not Acceptable:**

- Stores with a history of frequent or severe safety incidents, including customer or employee injuries, or evidence of untrained or unsupervised staff handling hazardous materials or equipment.
- Workshop environments lacking adequate safety measures, such as poor ventilation when using solvents, absence of personal protective equipment (PPE), or overcrowding during classes.
- Businesses demonstrating financial instability that could impair their ability to maintain safety standards or pay premiums.

Key Risk Considerations

- **Customer Injury:** Risks include slips, trips, and falls due to cluttered aisles or uneven flooring, injuries during hands-on workshops (e.g., cuts from craft knives, burns from hot glue guns), or allergic reactions to materials.
Example: A customer attending a candle-making workshop suffers a minor burn due to inadequate supervision and lack of PPE, resulting in a liability claim.
- **Fire Risk:** Flammable materials such as solvents, spray paints, and certain adhesives pose a fire hazard, especially if improperly stored or used near ignition sources.
Example: A small fire originates from a solvent spill near an electrical outlet, causing property damage and business interruption.
- **Cyber Risk:** Online sales platforms expose stores to data breaches, payment fraud, and ransomware attacks, particularly if customer payment and personal data are stored without adequate cybersecurity measures.
Example: A cyberattack compromises customer credit card information, leading to regulatory fines and reputational damage.

Industry-Specific Restrictions

- **Hazardous Chemicals:** No storage or use of high-risk chemicals such as industrial-grade solvents, strong acids, or peroxide-based compounds is allowed unless accompanied by up-to-date Material Safety Data Sheets (MSDS), employee training records, and compliance with all applicable local, state, and federal regulations (e.g., OSHA Hazard Communication Standard).
- **Cybersecurity Protocols:** Online storage of customer data must comply with industry-standard cybersecurity protocols, including encryption, multi-factor authentication, and regular vulnerability assessments, to qualify for cyber liability coverage.
- **Unattended Minors and Pets:** Minors and pets are not permitted to be left unattended on premises during business hours or workshops to minimize liability exposure and ensure safety.
- **Unique Restriction – Use of Powered Tools:** The use of powered tools (e.g., electric saws, rotary tools, or heat guns) in workshops or repair services is restricted to stores that can demonstrate documented employee training, proper PPE usage, and routine equipment maintenance logs. This restriction is due to the increased risk of injury and fire associated with improper use or malfunction of such tools.

Preferred Optional Coverages

- **Equipment Breakdown Insurance:** Covers repair or replacement costs for essential equipment such as point-of-sale systems, workshop tools, and HVAC units, minimizing downtime.

- **Cyber Liability Insurance:** Protects against data breaches, cyber extortion, and related liabilities arising from online operations.
 - **Business Interruption Insurance:** Provides income replacement and extra expenses coverage if the store must close temporarily due to a covered loss such as fire or equipment breakdown.
 - **Product and Premises Liability:** Covers claims arising from bodily injury or property damage caused by products sold or incidents occurring on the premises, including workshop activities.
-

3.47 Dairy & Ice Cream Shops

Underwriting Appetite This category primarily includes businesses specializing in the retail sale of dairy products, ice cream, frozen yogurt, and related frozen desserts. The underwriting appetite reflects the varying risk profiles based on operational complexity, food handling practices, and business maturity.

- **Preferred:**

- Businesses with no on-site cooking or heating processes (e.g., scoop shops, soft serve counters) operating for more than 3 years with a proven track record.
- Strong and consistent health inspection reports, demonstrating compliance with local and state food safety regulations.
- Low frequency and severity of prior claims, particularly related to foodborne illnesses, slip-and-fall incidents, or equipment failures.
- Adequate safety protocols, including employee training on hygiene and equipment use.

- **Acceptable:**

- Shops performing light cooking or heating processes such as waffle cone preparation or melting chocolate, provided a properly maintained fire suppression system is installed and inspected regularly.
- Businesses offering catering services for events, including delivery and setup of ice cream or dairy-based desserts, with appropriate risk controls.
- New businesses with experienced owners/operators who have prior successful experience in food service or retail dairy operations and have implemented robust safety and sanitation measures.

- **Not Acceptable:**

- Locations with a history of frequent or severe claims, including repeated food contamination incidents or multiple slip-and-fall lawsuits.
- Businesses situated in high-crime areas without adequate security measures, increasing risk of theft or vandalism.
- Startups lacking documented safety infrastructure, employee training programs, or food safety certifications.
- Operations involving extensive cooking or frying beyond light heating, due to elevated fire and liability risks.

Key Risk Considerations

- **Food Spoilage and Contamination:** Dairy and ice cream products are highly perishable and susceptible to spoilage if refrigeration systems fail or if proper handling protocols are not followed. Contamination risks include bacterial growth (e.g., *Listeria*, *Salmonella*) and cross-contamination from allergens or unsanitary surfaces. For example, a refrigeration malfunction during a power outage could cause significant product loss and potential liability claims if contaminated products are unknowingly sold.
- **Slip-and-Fall Hazards:** Spills of melted ice cream, syrups, or dairy liquids on floors can create slippery surfaces, increasing the risk of customer or employee injuries. Proper floor maintenance, prompt spill cleanup, and use of anti-slip mats are critical risk controls.
- **Equipment Fire Risk:** Even light cooking equipment such as waffle irons or chocolate melters pose fire risks if not properly maintained or if fire suppression systems are absent. Electrical malfunctions or grease buildup can lead to fires.
- **Seasonal Fluctuations and Staffing:** Many dairy and ice cream shops experience peak business during warmer months, leading to fluctuating staffing needs and potential challenges in maintaining consistent training and safety standards. Understaffing or reliance on temporary workers can increase operational risks.
- **Product Liability Exposure:** Allergic reactions or foodborne illnesses can result in liability claims. Proper labeling, ingredient disclosure, and adherence to food safety standards mitigate this risk.
- **Theft and Vandalism:** Shops located in areas with limited foot traffic or poor security may face increased risks of burglary or vandalism, especially during off-hours.

Industry-Specific Restrictions

- **Mandatory Fire Suppression Systems:** Any dairy or ice cream shop conducting cooking or heating processes on-site (e.g., waffle cone preparation) must have an approved, regularly inspected fire suppression system installed over cooking equipment. This requirement reduces the risk of fire-related losses and aligns with local fire codes.
- **Cyber Coverage Eligibility:** Cyber liability coverage is only available if the business maintains online ordering platforms or stores customer payment data electronically (e.g., POS systems). This restriction ensures coverage is aligned with actual cyber exposure.
- **Liquor Liability Requirement:** If the shop sells alcoholic beverages (e.g., ice cream cocktails or dairy-based alcoholic desserts), liquor liability coverage is mandatory to address the increased liability risks associated with alcohol service.
- **Unique Restriction — Ingredient Sourcing Transparency:** Due to increasing consumer demand for allergen-safe and ethically sourced products, underwriting requires documented ingredient sourcing for all dairy and ice cream products. Shops unable to provide verifiable supplier information or that source ingredients from unregulated or non-certified suppliers will be declined. This restriction mitigates risks related to undisclosed allergens, contamination, and reputational damage from ingredient recalls or food safety violations.

Preferred Optional Coverages

- **Food Contamination and Spoilage Coverage:** Protects against financial losses due to product spoilage caused by refrigeration failure, power outages, or contamination events.

For example, if a freezer malfunctions overnight, this coverage reimburses the value of lost inventory.

- **Business Interruption Insurance:** Covers loss of income and extra expenses if the business must temporarily close due to a covered peril such as fire or equipment breakdown, helping maintain cash flow during recovery.
- **Equipment Breakdown Insurance:** Provides coverage for repair or replacement of refrigeration units, freezers, and cooking equipment that break down unexpectedly, minimizing downtime and loss.
- **Cyber Liability and Employee Dishonesty Insurance:** Cyber liability protects against data breaches involving customer payment information, while employee dishonesty coverage guards against theft or fraud by employees, both increasingly relevant as many shops adopt digital payment and inventory systems.

Illustrative Claim Scenario: A well-established ice cream shop with no cooking on-site experienced a refrigeration compressor failure during a weekend power outage. The spoiled inventory resulted in a 15,000 loss. *Because the shop had Food Contamination and Spoilage Coverage, the claim was reimbursed promptly, allowing*

Practical Application: When underwriting a new dairy shop planning to add waffle cone preparation, ensure the presence of a fire suppression system and review maintenance logs. Verify that owners have prior experience managing food safety and fire risks. Confirm ingredient sourcing documentation to satisfy the unique restriction and reduce potential liability exposure.

This expanded subsection provides clearer guidance on risk appetite, detailed risk factors, practical examples, and a unique ingredient sourcing restriction reflecting current industry trends and underwriting best practices.

3.48 Dance, Drama, & Music Schools

Underwriting Appetite This class of business typically involves instruction and performance activities related to dance, drama, and music, often with a diverse clientele ranging from young children to adults. Underwriting decisions should carefully consider the physical environment, client demographics, and operational practices to mitigate common risks associated with these activities.

- **Preferred:**
 - Facilities with floor area $\leq 7,500$ sq ft, which generally indicates manageable exposure and easier supervision.
 - No childcare services or alcohol sales on premises, except for licensed and strictly controlled alcohol service during special events (e.g., adult recitals or fundraisers).
 - Demonstrated strong loss prevention culture, including documented safety protocols (e.g., slip-resistant flooring, proper lighting, secure storage of equipment) and a clean claims history.
 - Staff with relevant certifications or professional qualifications (e.g., certified dance instructors, licensed music teachers).

- **Acceptable:**

- Schools offering supplementary programs such as workshops, audition preparation courses, or seasonal summer camps.
- Mixed-age instruction environments, provided all staff working with minors have undergone comprehensive background checks and training on child protection policies.
- Event hosting (e.g., recitals, showcases) with appropriate special event liability coverage in place, including temporary increase in limits or additional insured endorsements for venues.

- **Not Acceptable:**

- Businesses providing full childcare services or operating full commercial kitchens and bar operations, due to significantly increased liability and regulatory complexity.
- Locations exceeding 7,500 sq ft, which often indicate large-scale operations with heightened risk exposures and may require specialized underwriting or separate commercial property policies.
- Entities with a poor safety record, including multiple prior claims related to bodily injury or property damage, or known violations of local safety codes.
- Schools lacking formal supervision policies or failing to conduct background checks on personnel working with minors.

Key Risk Considerations Underwriters should evaluate the following exposures carefully, as they represent the most frequent and severe claim drivers in this class:

- **Bodily Injury Liability:** Common claims arise from student slips, trips, and falls during classes or rehearsals, as well as injuries related to the use of equipment such as ballet barres, musical instruments, or stage props. For example, a dancer slipping on a wet floor or a student tripping over unsecured cables during a music lesson.
- **Abuse and Molestation Exposure:** Particularly relevant for programs involving minors. Insurers must assess the adequacy of background screening, supervision policies, and staff training to mitigate this sensitive risk.
- **Special Event-Related Liability:** Recitals, performances, and fundraisers often involve temporary increases in occupancy and use of rented venues, which can elevate slip-and-fall risks, crowd control issues, and alcohol-related incidents.
- **Equipment Damage and Breakdown:** Coverage should consider damage to specialized equipment such as sound systems, lighting rigs, musical instruments, and stage flooring. For instance, a piano damaged during transport or a lighting system failure causing event cancellation.
- **Cyber Exposure:** Many schools maintain digital records of student information, payment data, and staff files. Exposure to data breaches or ransomware attacks necessitates cyber liability coverage.

Industry-Specific Restrictions To control underwriting risk and comply with regulatory standards, the following restrictions apply:

- **Abuse & Molestation Coverage:** Coverage is contingent upon documented policies requiring comprehensive background checks for all employees and volunteers interacting with minors, as well as mandatory supervision ratios during classes and events. Failure to maintain these controls will result in declination or exclusion of this coverage.
- **Alcohol Service:** Permitted only when licensed and incidental to special events. The insured must provide evidence of liquor liability coverage or host liquor liability through a licensed caterer or venue. Unlicensed or ongoing alcohol sales are prohibited due to increased liability exposure.
- **Instructor Liability:** Professional liability coverage is limited to instructors who hold recognized certifications or qualifications relevant to their discipline (e.g., Certified Dance Educator, Music Teacher Certification). Unqualified or unsupervised instructors increase the risk of negligence claims and are excluded.
- **Unique Restriction – Use of Portable Dance Floors:** Schools utilizing portable or temporary dance flooring must demonstrate proper installation and maintenance procedures. Portable floors that are not secured or maintained to industry standards (e.g., ASTM F2772 for dance flooring) are excluded from coverage due to heightened slip and trip hazards. This restriction addresses the common risk of injury claims arising from unstable or improperly installed flooring surfaces during classes or events.

Preferred Optional Coverages Given the specialized risks associated with dance, drama, and music schools, the following optional coverages are highly recommended to provide comprehensive protection:

- **Professional Liability Insurance:** Protects against claims of negligence, errors, or omissions in instruction or supervision, particularly important for schools offering audition prep or private lessons.
- **Cyber Liability Insurance:** Covers liabilities arising from data breaches, cyber extortion, or loss of electronic records.
- **Employment Practices Liability Insurance (EPLI):** Addresses risks related to employment disputes, including discrimination, harassment, or wrongful termination claims.
- **Event Liability Coverage:** Provides additional limits and protections for special events, including coverage for temporary venues, increased attendance, and alcohol service.
- **Abuse & Molestation Insurance:** Specialized coverage addressing claims of abuse or molestation, critical for youth programs and mandated by many contracts or licensing authorities.

3.49 Day Care & Child Care Centers

Underwriting Appetite

- **Preferred:**
 - Non-urban or suburban day care centers located in low-crime neighborhoods, which tend to have lower liability and property risks.
 - Daytime-only operations (typically operating between 7 AM and 6 PM) with a facility size under 3,000 square feet, allowing for manageable supervision and reduced exposure.

- Facilities with a clean regulatory history, including no recent violations of health, safety, or child care licensing requirements, and a claims history free of significant liability or property losses.
 - Centers that implement rigorous food preparation safety protocols, such as HACCP (Hazard Analysis and Critical Control Points) standards, to minimize foodborne illness risks.
- **Acceptable:**
 - Centers that provide child transportation services (e.g., shuttle or van services) with documented driver screening and vehicle maintenance programs.
 - Facilities operating small kitchen or meal preparation areas with established safety controls, including fire suppression systems and food safety certifications.
 - Centers with occasional extended hours but no overnight care, provided they maintain strong safety and supervision protocols.
- **Not Acceptable:**
 - 24-hour or overnight operations due to increased supervision challenges and higher risk of incidents during off-peak hours.
 - Centers located in high-crime or high-risk urban areas where property and liability exposures are elevated.
 - Facilities with repeated or unresolved violations of health, safety, or licensing regulations, or those with a history of multiple claims related to child injury, illness, or neglect.
 - Centers lacking adequate staff-to-child ratios or failing to meet state-mandated licensing requirements.

Key Risk Considerations

- **Liability from child injuries or illness:** Includes risks such as playground accidents, slips and falls, allergic reactions to food, or communicable disease outbreaks. For example, a child slipping on wet flooring and sustaining a fracture could result in a liability claim.
- **Fire or property damage from cooking or heating:** Many centers operate kitchens or warming areas, increasing fire risk. An unattended stove or malfunctioning heating equipment could cause significant property damage or injury.
- **Auto exposure from transporting children:** Risks include vehicle accidents, driver negligence, or inadequate vehicle maintenance. For instance, a van transporting children to a field trip could be involved in a collision, triggering liability and physical damage claims.
- **Regulatory fines or shutdowns:** Non-compliance with state licensing, health codes, or child care regulations can result in fines, forced closures, or reputational damage.
- **Abuse or neglect allegations:** Although rare, claims related to alleged abuse or neglect can lead to significant liability exposure and require careful underwriting scrutiny.
- **Cybersecurity risks:** Increasing use of digital records and parent communication platforms introduces exposure to data breaches involving sensitive child and family information.

Industry-Specific Restrictions

- **Kitchen operations require an approved automatic fire suppression system:** Any cooking or warming equipment must be protected by a UL-listed fire suppression system (e.g., Ansul system) to mitigate fire risk. This is critical given the vulnerability of young children and the potential for rapid fire spread.
- **Commercial auto coverage contingent on rigorous driver background checks and ongoing vehicle maintenance documentation:** Drivers must have valid commercial driver's licenses (if applicable), clean driving records, and pass criminal background checks. Vehicles must undergo regular safety inspections.
- **Compliance history directly influences liability pricing and eligibility:** Underwriters must review state licensing reports, inspection results, and any history of regulatory actions. Facilities with recent or unresolved violations may face higher premiums or declination.
- **Restriction on use of inflatable play equipment or bounce houses on premises:** Due to the high frequency and severity of injuries associated with inflatable play structures, many insurers exclude coverage for centers that operate or rent such equipment. This restriction reduces liability exposure from falls, collisions, or equipment failure.

Preferred Optional Coverages

- **Food Contamination Insurance:** Provides coverage for losses related to foodborne illnesses or contamination events, including recall expenses and business interruption.
- **Commercial Auto Insurance:** Essential for centers offering transportation services, covering liability and physical damage for vehicles used in child transport.
- **Regulatory Compliance Coverage:** Covers fines, penalties, and defense costs arising from regulatory investigations or enforcement actions.
- **Cyber Liability Insurance:** Protects against data breaches, cyber extortion, and privacy violations involving sensitive client and employee data.
- **Equipment Breakdown Insurance:** Covers repair or replacement costs for critical equipment such as kitchen appliances, HVAC systems, or security systems, minimizing operational disruption.

3.50 Delicatessens & Sandwich Shops

Underwriting Appetite The underwriting appetite for delicatessens and sandwich shops is primarily influenced by the type and extent of food preparation, cooking methods, revenue size, and ancillary operations such as alcohol sales or catering. These factors directly impact the risk profile related to fire hazards, food safety, and liability exposures.

- **Preferred:**
 - Establishments with no cooking or only the use of household-type appliances (e.g., microwave ovens, toasters, panini presses) that do not generate open flames or significant heat.
 - Annual gross revenue less than \$500,000, indicating a smaller scale operation with potentially lower exposure.
 - No alcohol service or sales, reducing liquor liability and related risks.

- Strong documented food safety practices, including regular health inspections with no violations.
- **Acceptable:**
 - Operations involving light baking (e.g., warming ovens, low-heat baking) or sandwich preparation that includes limited use of cooking equipment with appropriate fire suppression and ventilation systems.
 - Some delivery or catering services, provided these are limited in scope and supported by proper food handling and transportation protocols.
 - Alcohol sales up to 30% of total revenue, with appropriate liquor liability coverage in place.
- **Not Acceptable:**
 - Use of frying, grilling, broiling, or other high-heat cooking methods on premises without commercial-grade fire suppression systems.
 - Alcohol sales exceeding 30% of total revenue, due to increased liability and regulatory complexity.
 - Establishments with documented food safety violations or lack of formal food safety management programs.
 - Full-service kitchens or operations resembling restaurant environments without adequate fire suppression and ventilation.

Key Risk Considerations When underwriting delicatessens and sandwich shops, the following risk factors should be carefully evaluated:

- **Fire Risk from Cooking Equipment:** Even limited cooking can pose fire hazards, especially if equipment is improperly maintained or ventilation is inadequate. For example, a sandwich shop using a panini press without a hood suppression system may face increased fire risk.
- **Spoilage and Contamination Risks:** Perishable food items require proper refrigeration and handling. Power outages or equipment breakdowns can lead to spoilage claims. Cross-contamination risks can result in foodborne illness claims.
- **Employee Safety in Food Preparation:** Risks include cuts, burns, and repetitive strain injuries. Proper training and safety protocols reduce workers' compensation exposures.
- **Property and Equipment Breakdown:** Refrigeration units, ovens, and other equipment failures can disrupt operations and cause financial loss.
- **Delivery and Catering Risks:** Transportation of food introduces additional liability and spoilage risks, especially if temperature controls are not maintained.
- **Liquor Liability:** If alcohol is served, risks include intoxication-related incidents and regulatory compliance.

Industry-Specific Restrictions

- **No coverage for full-service kitchens without commercial-grade fire suppression systems:** Delicatessens and sandwich shops that operate full kitchens with frying, grilling, or broiling must have approved automatic fire suppression systems (e.g., Ansul systems) installed

and maintained. This restriction is critical because cooking-related fires are a leading cause of commercial property losses in food service businesses.

- **Liquor liability insurance is mandatory if alcohol is sold:** This coverage protects against claims arising from alcohol-related incidents, including third-party injuries or property damage.
- **Food safety violations may preclude coverage or lead to policy cancellation:** Insurers require compliance with local health codes and regular inspections. Failure to maintain food safety standards increases the risk of claims and may result in denial of coverage.
- **Restriction on sourcing of imported deli meats and cheeses without FDA approval:** To mitigate risks related to foodborne illnesses and product recalls, coverage excludes losses arising from the use or sale of imported deli meats and cheeses that do not meet FDA importation standards. This restriction reflects the higher risk profile of unregulated or improperly sourced specialty products.

Preferred Optional Coverages To enhance protection for delicatessens and sandwich shops, the following optional coverages are recommended:

- **Spoilage & Equipment Breakdown:** Covers losses from refrigeration or freezer failures leading to food spoilage, as well as mechanical breakdown of kitchen equipment.
- **Cyber Liability Insurance:** Many delicatessens now accept online orders and store customer payment data, exposing them to cyber risks such as data breaches or ransomware.
- **Business Interruption Insurance:** Provides income replacement if the business must close temporarily due to covered property damage or equipment failure.
- **Employment Practices Liability Insurance (EPLI):** Protects against claims related to workplace discrimination, harassment, or wrongful termination, which can arise even in small food service businesses.

Illustrative Claim Scenarios

- **Fire Loss:** A sandwich shop uses a commercial toaster oven without a suppression hood. A malfunction causes a fire that damages the kitchen and forces closure for repairs. Without proper suppression systems, the insurer may deny fire damage claims or impose higher premiums.
- **Spoilage Claim:** A refrigeration unit fails overnight during a heatwave, spoiling thousands of dollars' worth of perishable deli meats and cheeses. Spoilage coverage reimburses the insured for the loss.
- **Foodborne Illness Liability:** A customer contracts food poisoning traced back to improper handling of deli meats. The business faces a liability claim for medical expenses and damages.
- **Liquor Liability:** A delicatessen serving beer faces a lawsuit after an intoxicated patron causes a vehicular accident. Liquor liability coverage responds to defense costs and settlements.

3.51 Department & Discount Stores

Underwriting Appetite This category primarily includes retail establishments offering a broad range of merchandise, often at discounted prices, including clothing, household goods, and small

appliances. Underwriting focuses on the size of operations, sales volume, inventory values, and the nature of services provided (e.g., installation or repair work).

- **Preferred:**

- Annual sales under \$500,000 with no food service operations. This reduces exposure to food spoilage, contamination, and related liability risks.
- Inventory valued under \$500,000, with installation or repair receipts comprising less than 25% of total revenue. This limits risks associated with on-site work and expensive stock.
- Physical storefronts with controlled access and basic security measures in place.

- **Acceptable:**

- Annual sales exceeding \$500,000, provided there are robust inventory controls such as regular audits, secured storage areas, and documented loss prevention protocols.
- Some offsite repair or installation work, but limited to less than 25% of total receipts to mitigate liability and operational risks.
- Stores with a moderate online presence (less than 25% of total revenue) that maintain physical locations.

- **Not Acceptable:**

- Online-only retailers or those with more than 75% of revenue generated through online sales, due to increased cyber risk and challenges in verifying physical inventory and premises controls.
- Businesses operating in high-risk or ineligible categories such as pawnshops, tobacconists, or those selling regulated substances, which carry elevated liability and regulatory risks.
- Stores with poor loss history, inadequate security, or lacking proper licensing for repair or installation services.

Key Risk Considerations Underwriters should carefully evaluate the following risks, which are common in department and discount store operations:

- **Theft or Product Damage:** High foot traffic and valuable inventory increase the risk of shoplifting, employee theft, and accidental damage. For example, a discount electronics store may face frequent theft attempts on small, high-value items like headphones or chargers.
- **Slip-and-Fall or Premises Liability:** Customers and employees are exposed to slip-and-fall hazards, especially in stores with cluttered aisles, wet floors, or inadequate lighting. An example claim could involve a customer slipping on a spilled liquid in a discount department store aisle, resulting in injury.
- **Cyber and Data Risks:** Stores with any online sales component or electronic payment systems face risks related to data breaches, ransomware, and fraud. For instance, a discount retailer with an online ordering system may be targeted by cybercriminals seeking customer payment information.
- **Installation and Repair Liability:** If the store offers installation or repair services (e.g., furniture assembly or appliance installation), there is potential for property damage or bodily injury claims arising from faulty workmanship.
- **Business Interruption Exposure:** Physical damage to the premises or inventory loss can disrupt operations, especially for stores with limited online sales channels.

Industry-Specific Restrictions To mitigate underwriting risks and maintain policy integrity, the following restrictions apply:

- **Alarm System Requirement:** Stores with inventory valued over \$500,000 must have a professionally monitored alarm system installed and maintained. This reduces theft risk and supports claims validation.
- **Repair and Installation Work Limitations:** Repair, installation, or assembly work must be minor and comprise less than 25% of total receipts. This restriction limits exposure to liability claims from faulty workmanship or accidents during service calls.
- **Prohibition on Sale of High-Risk Products:** Department and discount stores are prohibited from selling firearms, ammunition, or explosive materials due to heightened liability and regulatory scrutiny.
- **Unique Restriction – Sourcing of Imported Electronics:** Stores selling imported consumer electronics must provide documentation verifying compliance with U.S. safety standards (e.g., FCC certification). This restriction addresses the increased risk of product liability claims stemming from non-compliant or counterfeit electronics, which are common in discount retail environments.

Preferred Optional Coverages To enhance protection and address common exposures in this sector, the following optional coverages are recommended:

- **Product Liability Insurance:** Covers claims arising from injury or damage caused by products sold, particularly important for stores selling electronics, toys, or household goods.
- **Cyber Liability Insurance:** Protects against data breaches, cyber extortion, and related losses, especially critical for stores with online sales or electronic payment processing.
- **Equipment Breakdown Insurance:** Covers repair or replacement costs for critical equipment such as refrigeration units, point-of-sale systems, or HVAC, minimizing downtime.
- **Business Interruption Insurance:** Provides income replacement and extra expenses coverage if the store is forced to close due to a covered peril, such as fire or theft.
- **Employee Dishonesty Coverage:** Given the risk of internal theft in retail environments, this coverage protects against losses caused by dishonest acts of employees.

3.52 Detective & Security Services

Underwriting Appetite The underwriting appetite for Detective & Security Services reflects the inherent risks associated with physical security operations, investigative activities, and the handling of sensitive information. The following criteria help determine the suitability of applicants for coverage under a Business Owners Policy (BOP):

- **Preferred:**
 - Businesses operating from alarmed premises equipped with monitored security systems (e.g., central station alarms, CCTV surveillance) and demonstrating strong compliance with local, state, and federal regulations governing security and investigative services.
 - A minimum of 3 years of continuous operation at the current location, indicating business stability and operational consistency.

- Well-documented safety protocols for employees, including training in conflict de-escalation and use-of-force policies.
 - Comprehensive background checks and licensing for all security personnel and investigators.
- **Acceptable:**
 - Businesses operating irregular or extended hours (e.g., night shifts) but maintaining documented safety protocols and incident reporting procedures.
 - Premises equipped with safeguard systems such as motion detectors, secure storage for sensitive materials, and rapid reporting mechanisms for security breaches or equipment malfunctions.
 - Firms with less than 3 years at the current location but demonstrating strong operational controls and positive references.
 - **Not Acceptable:**
 - Businesses with contents valued over \$500,000 that lack a central alarm system or monitored security safeguards, significantly increasing the risk of theft or loss.
 - Entities with a history of regulatory violations, such as failure to maintain proper licensing, documented operational safety breaches, or prior claims related to employee misconduct.
 - Firms lacking formal employee screening or background checks, increasing exposure to employee dishonesty and liability.

Key Risk Considerations Detective and security services face a unique blend of physical, operational, and professional risks. Underwriters should carefully evaluate the following:

- **Bodily Injury During Physical Operations:** Security personnel may be involved in confrontations, physical restraint, or emergency response situations. Injuries to employees, clients, or third parties can result in significant liability claims. For example, a security guard restraining a trespasser may be sued for excessive force.
- **Equipment Theft or Breakdown:** Security firms often rely on specialized equipment such as surveillance cameras, communication devices, and alarm systems. Theft or malfunction of this equipment can disrupt operations and lead to financial loss.
- **Professional Liability for Service Failure:** Failure to detect or prevent a security breach, or errors in investigative work, can result in claims for negligence or breach of contract. For instance, a detective missing critical evidence in a fraud investigation could face a professional liability claim.
- **Employee Dishonesty:** Given access to sensitive information and client premises, employees may pose a risk of theft, fraud, or data breaches. Background screening and fidelity bonds are essential risk mitigation tools.
- **Regulatory Compliance:** Non-compliance with licensing requirements or industry regulations can lead to fines, license suspension, or increased liability exposure.

Industry-Specific Restrictions To mitigate risk and ensure policy integrity, the following restrictions apply specifically to Detective & Security Services:

- **Central Alarm Requirement:** Any insured location with contents valued over \$500,000 must have a central alarm system monitored by a licensed security company. This reduces the risk of undetected theft or vandalism and aligns with industry best practices.
- **Timely Reporting of Safeguard Failures:** The insured must report any failure or malfunction of protective safeguard systems (e.g., alarms, CCTV, access controls) to the insurer within 48 hours. Delayed reporting can exacerbate losses and complicate claims investigations.
- **Restriction on Armed Security Services Without Prior Approval:** Coverage under the BOP is generally limited to unarmed security operations. Firms employing armed guards or offering armed response services require separate underwriting review and specialized coverage due to heightened liability and regulatory risks.
- **Prohibition on Use of Unlicensed Private Investigators:** All investigative personnel must hold valid licenses as required by jurisdiction. Employing unlicensed investigators voids coverage due to increased legal and reputational risks.
- **Restriction on Use of Unmanned Aerial Vehicles (Drones):** Use of drones for surveillance or investigative purposes is prohibited unless the insured can demonstrate compliance with FAA regulations, including pilot certification and operational safety protocols. This restriction addresses emerging risks related to privacy violations, regulatory compliance, and potential property damage.

Preferred Optional Coverages Given the complex risk profile of Detective & Security Services, the following optional coverages are highly recommended to enhance protection:

- **Cyber Liability Insurance:** Security firms handle sensitive client data and may be targets for cyberattacks. This coverage protects against data breaches, ransomware, and related liabilities.
- **Crime Insurance:** Covers losses due to employee dishonesty, theft, forgery, or fraud, which are significant concerns in this industry.
- **Equipment Breakdown Insurance:** Protects against the cost of repairing or replacing critical security equipment such as alarm systems, surveillance cameras, and communication devices.
- **Employment Practices Liability Insurance (EPLI):** Addresses claims related to wrongful termination, discrimination, harassment, or other employment-related issues, which can arise in high-stress security environments.
- **Professional Liability (Errors & Omissions) Insurance:** Provides coverage for claims arising from alleged negligence or failure to perform professional services to the expected standard.

Illustrative Examples:

- A security firm operating a 24/7 monitoring center experiences a power outage disabling their alarm system. Because they reported the outage within 24 hours and had backup generators, the insurer mitigated loss exposure.

- A detective agency is sued after failing to uncover fraudulent activity during a client investigation. Professional liability coverage helps cover defense costs and settlements.
- A security guard is injured while restraining a shoplifter, resulting in a bodily injury claim. Workers' compensation and general liability policies respond accordingly.
- An employee steals confidential client information and sells it to competitors. Crime insurance and cyber liability coverage respond to the resulting losses.

Industry Note: Due to the sensitive nature of security operations, underwriters should verify that all licensed personnel maintain up-to-date certifications and that the insured has a documented incident response plan for both physical and cyber events. Failure to maintain these standards can increase the frequency and severity of claims.

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This expanded subsection aims to provide underwriters with a comprehensive framework for evaluating Detective & Security Services risks, ensuring clarity on coverage boundaries, risk factors, and operational expectations.

3.53 Diaper & Linen Services

Underwriting Appetite Our underwriting appetite for diaper and linen services focuses on businesses that demonstrate strong operational controls, compliance with safety and environmental regulations, and a history of responsible risk management. The following classifications provide guidance on preferred, acceptable, and non-acceptable risks:

- **Preferred:**
 - **Self-service laundries, linen supply, and pickup stations** with minimal chemical use and automated equipment that reduces manual handling risks. These operations typically have lower fire and chemical exposure risks.
 - **Long-standing businesses with clean safety records**, including documented routine equipment maintenance, employee safety training programs, and adherence to OSHA standards.
 - Businesses employing **energy-efficient and modern equipment** with built-in safety features such as automatic shut-off and temperature controls.
- **Acceptable:**
 - **Dry cleaning plants with limited chemical usage**, specifically those using environmentally safer solvents such as liquid carbon dioxide or silicone-based cleaners, rather than traditional perchloroethylene (perc).
 - **Industrial laundries** that handle large volumes of linens or diapers, provided they have adequate ventilation systems, proper chemical storage, and documented controls to mitigate exposure to hazardous substances.
 - Businesses that have implemented **formalized safety protocols** but may have minor gaps in documentation or recent operational changes pending full compliance.
- **Not Acceptable:**

- Businesses using **unregulated or banned cleaning agents**, including solvents not compliant with EPA or local environmental regulations.
- Operations with **no routine equipment maintenance**, increasing the risk of mechanical failure, fire, or employee injury.
- Facilities lacking **proper ventilation or chemical storage**, or those with a history of regulatory violations related to environmental discharge or worker safety.
- Businesses that **improperly dispose of wastewater or chemical residues** in violation of local environmental laws.

Key Risk Considerations Underwriters should carefully evaluate the following risk factors, which are common in diaper and linen service operations:

- **Fire hazards** arising from overheated dryers, malfunctioning boilers, or electrical faults in industrial washing machines. For example, lint accumulation in dryer vents can ignite, causing significant property damage.
- **Employee injury** risks related to the operation of heavy industrial machines such as washers, dryers, folding equipment, and conveyors. Common injuries include entanglement, burns, and repetitive strain injuries.
- **Liability exposures** for damage or loss of customer goods, including contamination, shrinkage, or misplacement of linens and diapers. Claims may arise if soiled or damaged items are returned to customers, particularly in healthcare or childcare settings.
- **Chemical exposure risks** to employees and the environment from cleaning agents, including skin irritation, respiratory issues, and potential groundwater contamination from improper wastewater discharge.
- **Business interruption** potential due to equipment breakdown or regulatory shutdowns related to environmental compliance failures.

Industry-Specific Restrictions To mitigate underwriting risk and ensure compliance with regulatory standards, the following restrictions apply specifically to diaper and linen services:

- **MSDS-compliant chemical use only:** All cleaning agents and solvents must have current Material Safety Data Sheets (MSDS) on file and comply with OSHA Hazard Communication Standards. Use of any chemical lacking MSDS documentation is prohibited.
- **Environmental restrictions on wastewater discharge:** Facilities must comply with local and federal environmental regulations governing the treatment and disposal of wastewater. This includes pre-treatment of chemical residues and prohibition of direct discharge into municipal sewer systems without permits.
- **Prohibition on use of non-biodegradable or non-phosphate-free detergents:** To reduce environmental impact, the use of detergents containing phosphates or other persistent pollutants is restricted. This aligns with increasing regulatory scrutiny on waterway contamination.
- **Restriction on third-party chemical sourcing:** Chemicals and cleaning agents must be sourced from approved, licensed suppliers with verifiable compliance certifications. This reduces the risk of introducing unregulated or counterfeit substances into the process.

Unique Industry-Related Restriction: **Use of ozone-based or ultraviolet (UV) disinfection systems is restricted to facilities with documented maintenance and monitoring protocols.** While ozone and UV systems can reduce chemical use and improve sanitation, improper

operation or lack of maintenance can lead to equipment failure, ozone leakage, or insufficient disinfection, posing health risks and liability exposures. Underwriters should verify that such systems are installed by certified professionals and undergo routine performance testing.

Preferred Optional Coverages Given the unique exposures faced by diaper and linen service businesses, the following optional coverages are recommended to enhance protection:

- **Bailee's Customer Insurance:** Covers loss or damage to customer property while in the insured's care, custody, or control. Essential for businesses handling high volumes of customer linens or diapers, especially in healthcare or hospitality sectors.
- **Equipment Breakdown Insurance:** Provides coverage for mechanical or electrical breakdown of critical machinery such as washers, dryers, boilers, and ozone/UV disinfection units, minimizing business interruption losses.
- **Pollution Liability Insurance:** Addresses liability arising from accidental chemical spills, wastewater discharge violations, or contamination events affecting third parties or the environment.
- **Crime and Cyber Liability:** Protects against employee dishonesty, theft of customer data, or cyberattacks that could disrupt operations or compromise sensitive information.

Illustrative Claim Scenarios

- **Fire Loss:** A dryer overheats due to lint buildup, igniting a fire that causes extensive damage to the facility. The insured's prompt maintenance program mitigated the extent of damage, but equipment replacement and business interruption claims were substantial.
- **Employee Injury:** An employee suffers a severe hand injury when their glove becomes caught in a folding machine. The insured had safety guards installed but lacked comprehensive employee training, leading to a workers' compensation claim and OSHA investigation.
- **Customer Property Damage:** A batch of hospital linens is returned stained due to a malfunctioning washer's detergent dispenser. The insured's bailee's customer insurance covers the cost of replacement linens and reputational damage.
- **Environmental Violation:** Improper disposal of wastewater containing chemical residues results in a fine from the local environmental agency and remediation costs. Pollution liability insurance helps cover these expenses.

3.54 Door & Window Installation/Sales

Underwriting Appetite

- **Preferred:**
 - Residential door and window installers with a demonstrated history of low or no claims, emphasizing quality workmanship and adherence to manufacturer installation guidelines.
 - Retailers operating showrooms with controlled inventory management, clear product warranties, and documented customer service protocols to mitigate liability risks.
- **Acceptable:**

- Startups or newer businesses led by experienced management or installers with verifiable credentials and training certifications.
- Businesses undertaking some commercial installation projects, provided they maintain comprehensive safety documentation, including site-specific risk assessments and employee safety training records.
- **Not Acceptable:**
 - Firms primarily focused on industrial or high-rise building installations where elevated fall hazards and complex engineering requirements significantly increase risk exposure.
 - Businesses with a history of frequent or severe claims, or those employing installers lacking formal training or certification, due to elevated risk of faulty installation and liability.

Key Risk Considerations

- **Faulty Installation or Property Damage:** Improper fitting or sealing of doors and windows can lead to water intrusion, structural damage, or security vulnerabilities, resulting in costly claims. For example, a poorly installed window may leak during heavy rain, causing interior water damage and mold growth.
- **Worker Injuries:** Installation work often involves use of ladders, power tools, and heavy materials, creating risks of falls, cuts, or musculoskeletal injuries. An installer falling from a ladder while fitting a second-story window is a typical claim scenario.
- **Customer Slip-and-Fall at Retail Site:** Retail showrooms must maintain safe premises to prevent customer injuries, such as slips on wet floors or tripping over display materials.
- **Subcontractor Management:** Use of subcontractors introduces additional risk if their insurance status or safety practices are not rigorously vetted.
- **Product Liability:** Defects in doors or windows sold or installed may lead to claims, especially if the product fails to meet safety or performance standards.

Industry-Specific Restrictions

- **Subcontractor Insurance Requirement:** All subcontractors engaged by the insured must carry their own insurance coverage, including general liability and workers' compensation, and provide certificates of insurance prior to commencing work. This restriction mitigates the insured's vicarious liability and ensures claims arising from subcontractor actions are properly managed.
- **Product Liability Coverage Limited to Installed Goods:** Product liability coverage under the BOP applies only to doors and windows that have been installed by the insured. Products sold but not installed by the insured are excluded to avoid overlapping coverage with manufacturers or distributors.
- **Restriction on Use of Non-Domestic Glazing Materials:** Due to varying quality standards and potential regulatory compliance issues, the use of glazing materials sourced from outside North America (e.g., certain imported glass types) is prohibited unless accompanied by certification of compliance with ASTM or equivalent safety standards. This restriction addresses risks related to product failure, liability claims, and regulatory penalties.

Preferred Optional Coverages

- **Product Liability Insurance:** Enhances protection against claims arising from defects in doors and windows installed by the insured, including failures causing injury or property damage.
- **Professional Liability Insurance:** Covers errors or omissions in design consultation, measurement, or specification services provided by the insured, which may lead to faulty installations or client disputes.
- **Business Interruption Insurance:** Protects against loss of income due to covered perils that temporarily halt business operations, such as damage to the retail showroom or installation equipment.
- **Equipment and Commercial Auto Insurance:** Covers tools, machinery, and vehicles used in installation and sales operations, including damage, theft, or liability arising from their use.

Illustrative Example: A residential door installer neglects to properly seal a newly installed exterior door. During a heavy storm, water infiltrates the home, damaging flooring and drywall. The homeowner files a claim for property damage against the installer. Without product liability and professional liability coverage, the installer faces significant out-of-pocket expenses. Additionally, if the installer employed an uninsured subcontractor who caused damage during installation, the insured could be held liable, underscoring the importance of subcontractor insurance requirements.

Summary: Underwriting for door and window installation and sales businesses requires careful evaluation of installation quality, employee training, subcontractor management, and product sourcing. Preferred risks demonstrate strong safety practices, documented procedures, and stable claims histories, while risks involving high-rise or industrial projects, untrained labor, or unverified subcontractors are generally declined. Specific restrictions on subcontractor insurance and glazing material sourcing help control exposures unique to this industry segment. Optional coverages tailored to product and professional liability, as well as equipment and business continuity, provide valuable risk mitigation tools for insureds.

3.55 Dry Cleaning & Laundry Services

Underwriting Appetite The underwriting appetite for dry cleaning and laundry services varies based on the scale of operations, equipment condition, chemical handling practices, and risk management protocols. Understanding these factors helps in selecting risks that align with the insurer's capacity and risk tolerance.

- **Preferred:**
 - Small to medium-sized pickup stations, pressing shops, and minor alteration businesses that primarily handle customer drop-off and pickup with limited on-site processing.
 - Plant locations equipped with modern, well-maintained machinery that incorporate up-to-date safety features such as automated chemical handling systems and adequate ventilation.
 - Operations demonstrating strong compliance with environmental and workplace safety regulations, including proper storage and disposal of solvents.

- **Acceptable:**

- Industrial laundries that process large volumes of textiles, provided they have documented chemical safety controls, employee training programs, and emergency response plans.
- Businesses with delivery and auto exposure, such as those operating vehicle fleets for pickup and delivery, where vehicles are regularly maintained and drivers have clean records.
- Operations with some history of minor claims but demonstrating corrective actions and risk mitigation efforts.

- **Not Acceptable:**

- Facilities with documented unsafe chemical handling practices, such as improper solvent storage, lack of ventilation, or absence of fire suppression systems.
- Locations with repeated equipment breakdowns, significant claim history related to fire or environmental contamination, or poor maintenance records.
- Operations using outdated or banned solvents (e.g., perchloroethylene without proper controls) or lacking compliance with local environmental regulations.

Key Risk Considerations Dry cleaning and laundry services face several unique risks that must be carefully evaluated:

- **Fire and Explosion Hazards:** Dry cleaning fluids such as perchloroethylene and petroleum-based solvents are highly flammable or volatile. Heat presses and steam equipment also present ignition sources. Poor ventilation or faulty electrical wiring can exacerbate fire risk. For example, a fire originating from a malfunctioning heat press could quickly spread due to solvent vapors.
- **Chemical Exposure and Pollution Liability:** Improper handling or disposal of solvents can lead to environmental contamination, groundwater pollution, or employee health claims. Industrial laundries using harsh chemicals must have documented safety protocols and spill containment measures.
- **Bailee Exposure (Customer Property Risk):** The insured holds customer garments and textiles, creating potential liability for damage, loss, or shrinkage. Typical claims include damage from chemical stains, color bleeding, or loss due to fire or theft. For example, a customer's wedding dress damaged by solvent overexposure could result in a significant claim.
- **Equipment Breakdown and Business Interruption:** Failure of key machinery such as washers, dryers, or pressing equipment can halt operations, leading to lost income and potential customer dissatisfaction.
- **Auto Exposure:** For businesses providing pickup and delivery, vehicle accidents or cargo damage represent additional liability and physical damage risks.

Industry-Specific Restrictions To mitigate underwriting risk and align coverage with actual exposures, the following restrictions apply:

- **Mandatory Professional Equipment Maintenance:** All dry cleaning and laundry equipment must be serviced by certified technicians at least annually, with maintenance records available for review. This reduces the likelihood of equipment failure and fire hazards.

- **Customer Property Exclusions Without Bailee Coverage:** Standard property policies exclude coverage for customer goods in the insured's care, custody, or control. Bailee's Customer Insurance must be specifically added to cover these exposures.
- **Solvent Use Restrictions:** Use of certain solvents, such as perchloroethylene, is restricted or prohibited unless the facility has state-of-the-art closed-loop systems and complies with all environmental regulations. This restriction is critical due to the high toxicity and environmental impact of these chemicals.
- **Prohibition on On-Site Chemical Mixing:** Underwriters will not accept risks where the insured mixes or dilutes solvents or chemicals on-site, as this practice significantly increases fire, explosion, and contamination risks.

Unique Industry-Related Restriction: No Acceptance of Facilities Using Unapproved Solvent Recycling Systems. Some dry cleaning plants attempt to reduce costs by installing solvent recycling units that are not certified or fail to meet local environmental standards. These systems can lead to solvent contamination, increased fire risk, and regulatory violations. Therefore, risks employing such equipment are declined unless the recycling system is certified by recognized environmental authorities and undergoes regular third-party inspections. This restriction protects the insurer from latent pollution claims and regulatory fines.

Preferred Optional Coverages Given the unique exposures in this industry, the following optional coverages are highly recommended:

- **Bailee's Customer Insurance:** Covers loss or damage to customer property while in the insured's possession, essential for dry cleaners and laundries with significant bailee exposure.
- **Pollution Liability Insurance:** Provides coverage for third-party claims arising from environmental contamination caused by solvent spills, leaks, or improper disposal.
- **Employment Practices Liability:** Protects against claims related to workplace discrimination, harassment, or wrongful termination, which can be a concern in labor-intensive operations.
- **Business Interruption Insurance:** Covers loss of income and extra expenses resulting from equipment breakdown, fire, or other covered perils that disrupt operations.
- **Commercial Auto Insurance:** For businesses with delivery fleets, this coverage protects against liability and physical damage exposures related to vehicle operations.

Illustrative Claim Scenarios

- **Fire Loss Due to Heat Press Malfunction:** A pressing machine overheats due to faulty wiring, igniting nearby solvent-soaked rags. The fire causes extensive damage to the plant and destroys customer garments, resulting in property damage and bailee claims.
- **Chemical Spill Leading to Environmental Cleanup:** An industrial laundry experiences a leak in its solvent storage tank, contaminating soil and groundwater. Cleanup costs and third-party claims trigger pollution liability coverage.
- **Customer Garment Damage Claim:** A customer's silk blouse is ruined when a solvent stain is not properly removed. The customer sues for replacement cost, which is covered under bailee's insurance.
- **Business Interruption from Equipment Breakdown:** A key dryer breaks down, halting operations for several days. Business interruption coverage reimburses lost income and extra expenses incurred to rent replacement equipment.

3.56 Educational & School Supply Stores

Underwriting Appetite This category primarily includes retail establishments selling educational materials, school supplies, stationery, art supplies, and related products. The underwriting appetite reflects the typical risk profile associated with these operations, balancing inventory values, sales channels, and operational exposures.

- **Preferred:**

- Inventory valued under \$500,000, reflecting manageable stock levels with lower risk of large loss exposure.
- Limited online sales exposure (generally less than 25% of total revenue), minimizing cyber and fulfillment risks.
- No equipment rentals (e.g., no renting of tablets, calculators, or other devices) or in-store instructional activities, which can increase liability exposures.
- Physical premises equipped with standard security measures such as locked display cases and adequate lighting.

- **Acceptable:**

- Inventory exceeding \$500,000, provided there is a centrally monitored alarm system in place to mitigate theft risk.
- Online sales constituting up to 75% of total revenue, recognizing the growing e-commerce trend but requiring enhanced cyber risk management.
- Hosting minor educational or promotional events (e.g., book signings, art workshops) with limited attendance and appropriate safety protocols.
- Stores with moderate foot traffic and standard fire and safety compliance.

- **Not Acceptable:**

- Businesses primarily engaged in equipment rentals (e.g., renting laptops, tablets, or other electronic devices) due to increased liability and property risk.
- Stores focusing mainly on athletic equipment sales, which fall outside the typical risk profile and require specialized underwriting.
- Online-only businesses without a physical retail presence, as these often involve complex supply chains and cyber exposures beyond the scope of standard BOP coverage.
- Businesses selling repackaged or counterfeit educational products, which pose reputational and legal risks.

Key Risk Considerations Underwriters should carefully evaluate the following risks commonly associated with educational and school supply stores:

- **Theft or Spoilage of Inventory:** High-value or seasonal inventory (e.g., electronic learning aids, art supplies) is vulnerable to theft, damage, or spoilage. For example, unsold seasonal stock such as holiday-themed educational kits may lose value if not sold timely.

- **Premises Liability:** Injury claims may arise from improperly installed fixtures or shelving units that collapse or cause tripping hazards. For instance, a poorly secured bookshelf falling on a customer could result in significant liability.
- **Cyber Exposure:** E-commerce platforms introduce risks of data breaches, payment fraud, and business interruption. A typical claim scenario involves a cyberattack that compromises customer payment information or disrupts online sales during peak back-to-school season.
- **Employee Dishonesty:** Given the volume of inventory and cash transactions, risks of employee theft or fraud should be assessed.
- **Seasonal Stock Fluctuations:** Inventory levels often spike before school terms or holidays, increasing exposure to stock loss or damage.

Industry-Specific Restrictions To maintain underwriting consistency and control risk exposures, the following restrictions apply:

- **No Equipment Rentals or Repackaged Products:** Rental operations significantly increase liability and property risk, while repackaged goods may violate intellectual property laws and lead to claims.
- **Alarm System Requirement for High-Value Inventory:** Stores with inventory exceeding \$500,000 must have a centrally monitored alarm system to reduce theft risk and potential claim severity.
- **Mandatory Cyber Coverage for Significant Online Sales:** Businesses with online sales exceeding 25% of total revenue must carry Cyber Liability Insurance to address data breach and e-commerce interruption risks.
- **Restriction on Sale of Used or Refurbished Electronic Learning Devices:** Due to increased risk of malfunction, liability, and warranty claims, stores selling used or refurbished electronic devices (e.g., tablets, calculators) are not eligible. This restriction helps avoid complex product liability exposures and aligns with manufacturer warranty requirements.

Preferred Optional Coverages To enhance protection and address common exposures, the following optional coverages are recommended:

- **Cyber Liability Insurance:** Covers data breaches, cyber extortion, and business interruption related to online sales platforms.
- **Goods in Transit Insurance:** Protects inventory during transportation between warehouses, suppliers, and retail locations, especially important for stores with multiple outlets or significant online order fulfillment.
- **Employee Dishonesty Coverage:** Provides protection against theft or fraud committed by employees handling cash or inventory.
- **Seasonal Stock Increase Endorsement:** Automatically increases inventory limits during peak seasons (e.g., back-to-school period) to avoid underinsurance.
- **Equipment Breakdown Coverage:** Recommended for stores with electronic point-of-sale systems or climate control equipment critical to inventory preservation (e.g., art supplies sensitive to humidity).

Illustrative Examples

- **Theft Claim:** A store with \$600,000 in inventory without a monitored alarm system suffers a burglary resulting in \$150,000 in losses. The absence of an alarm may lead to claim denial or premium surcharges.
- **Liability Claim:** A customer trips over a loose electrical cord during an in-store educational event and sustains injuries, leading to a premises liability claim.
- **Cyber Incident:** An online store experiences a ransomware attack during peak sales, resulting in business interruption and customer data compromise. Cyber Liability Insurance covers remediation costs and notification expenses.
- **Employee Dishonesty:** An employee manipulates inventory records and steals high-value art supplies over several months, causing significant financial loss.

This expanded subsection provides clearer guidance on acceptable risks, highlights practical underwriting considerations, and introduces a specific restriction on the sale of used or refurbished electronic learning devices to mitigate product liability and warranty-related exposures unique to this industry.

3.57 Electronics Stores & Repair

Underwriting Appetite The underwriting appetite for electronics stores and repair businesses reflects the unique risks associated with high-value inventory, technical repair operations, and a growing reliance on e-commerce. The following criteria help identify preferred, acceptable, and unacceptable risks:

- **Preferred:**
 - Business has operated at the current insured location for over 3 years, demonstrating operational stability and familiarity with local risk conditions.
 - Installation of a central or local alarm system with monitoring, reducing the risk of theft and vandalism.
 - Less than 75% of total revenue derived from online sales, indicating a balanced sales channel mix and reduced cyber exposure.
 - A documented history of low slip-and-fall claims and stable financial performance, indicating sound risk management and operational controls.
- **Acceptable:**
 - Repair operations are incidental and limited to 10% or less of total business activities, minimizing exposure to product liability from repair errors.
 - Contents and inventory values do not exceed \$500,000, reducing potential loss severity.
 - Willingness to accept a \$500 property damage deductible, which helps control small claims frequency.
- **Not Acceptable:**
 - Businesses primarily engaged in rentals or equipment leasing, as these operations introduce additional liability and property risks outside the scope of typical retail and repair.

- Revenue composition with 75% or more from online sales, which significantly increases cyber risk and complicates physical inventory valuation.
- Sales of repackaged, counterfeit, or private-label electronics, which carry heightened product liability and reputational risks.
- Locations with a history of frequent claims, poor safety practices, or unresolved underwriting concerns.

Example: A well-established electronics retailer operating for 5 years at the same location, with a monitored alarm system, 60% in-store sales and 40% online, and minimal slip-and-fall claims would be a preferred risk. Conversely, a startup with 80% online sales and no alarm system would be declined.

Key Risk Considerations Underwriters should carefully evaluate these primary exposures inherent to electronics stores and repair businesses:

- **Theft and Burglary of High-Value Inventory:** Electronics such as smartphones, laptops, and accessories are prime targets for theft. Adequate physical security measures, including alarms, surveillance cameras, and secure display cases, are critical to mitigate this risk.
Claim Scenario: A break-in results in the theft of \$200,000 worth of smartphones overnight due to inadequate alarm monitoring, leading to a significant property loss claim.
- **Product Liability and Repair-Related Risks:** Repair operations introduce exposure to claims arising from faulty repairs, defective parts, or improper installation, which can cause property damage or bodily injury.
Claim Scenario: A repaired laptop malfunctions and causes a fire damaging the customer's property, triggering a product liability claim against the store.
- **Cyber Threats from E-Commerce Activities:** Online sales platforms expose businesses to cyber risks including data breaches, ransomware, and payment fraud. Cyber liability coverage is essential to protect against these exposures.
Claim Scenario: A hacker accesses customer payment information through the store's website, resulting in regulatory fines and customer notification costs.

Industry-Specific Restrictions To manage the unique risks in electronics retail and repair, the following underwriting restrictions apply:

- **Alarm System Requirement:** A monitored alarm system is mandatory if the insured's contents and inventory exceed \$500,000 in value. This reduces the risk of large theft losses and supports underwriting confidence.
- **Minimum Deductible:** A property damage deductible of at least \$500 is required to discourage frequent small claims and maintain underwriting profitability.
- **Professional Liability Coverage:** If the business provides consulting, technical advice, or repair services beyond simple replacement parts, professional liability insurance must be in place to cover potential errors and omissions.
- **Restriction on Lithium-Ion Battery Repairs:** Repair or refurbishment of lithium-ion batteries (commonly found in smartphones, laptops, and tablets) is prohibited under this policy due to the elevated fire and explosion hazards associated with improper handling. This restriction is critical given the high risk of catastrophic losses and regulatory scrutiny in this area.

Preferred Optional Coverages To enhance risk management and coverage adequacy, the following optional coverages are strongly recommended for electronics stores and repair businesses:

- **Cyber Liability Insurance:** Protects against data breaches, cyber extortion, and business interruption related to e-commerce operations.
- **Equipment Breakdown Insurance:** Covers the cost to repair or replace critical electronic equipment and machinery used in repair operations or store functions.
- **Professional Liability Insurance:** Provides coverage for claims arising from errors, omissions, or negligence in repair or consulting services.

Summary: Electronics stores and repair businesses present a blend of retail and technical service risks. Underwriting success depends on evaluating operational stability, security controls, revenue mix, and repair activities. Strict adherence to alarm requirements and restrictions on high-risk repairs, such as lithium-ion battery refurbishment, helps mitigate potential losses and supports sustainable underwriting outcomes.

3.58 Embroidery & Custom Apparel

Underwriting Appetite The underwriting appetite for embroidery and custom apparel businesses is primarily influenced by the nature of operations, the value and type of insured property, and the presence of ancillary services that may increase liability or operational risks. This segment typically includes businesses engaged in custom embroidery, screen printing, heat transfer applications, and related storefront retail operations.

- **Preferred:**

- Businesses with contents valued under \$500,000, focusing exclusively on embroidery and custom apparel production without any private or personal service components such as medi-spa or cosmetic treatments.
- Operations that do not utilize drones, do not offer cosmetic or body modification services, and do not have private service areas that could introduce additional liability exposures.
- Examples include local embroidery shops producing uniforms, hats, or promotional apparel, and small storefronts offering direct-to-garment printing without additional personal services.

- **Acceptable:**

- Businesses with contents exceeding \$500,000 may be considered if they have robust risk mitigation measures such as central alarm systems, sprinkler protection, and secure premises.
- Operations that include screen printing, heat transfer, or combined storefront retail sales are acceptable, provided no prohibited services are offered.
- Examples include mid-sized custom apparel manufacturers with multiple production lines and retail sales, or businesses that subcontract certain processes but maintain control over quality and safety.

- **Not Acceptable:**

- Businesses offering tattooing, waxing, spa, bodywork, or any form of cosmetic procedures or enhancements, as these introduce significant liability and regulatory complexities outside the scope of a standard BOP.
- Operations involving permanent body modifications or medical-grade cosmetic services.
- Examples include shops combining embroidery with tattoo services or cosmetic piercing, which require specialized professional liability coverage and are better suited for other lines of insurance.

Key Risk Considerations Underwriters should carefully evaluate the following risks inherent to embroidery and custom apparel businesses:

- **Fire Risk from Heat Presses and Equipment:** Heat presses, embroidery machines, and screen printing equipment operate at high temperatures and electrical loads, increasing the risk of fire. Proper maintenance, use of fire-retardant materials, and installation of smoke detectors and sprinklers mitigate this risk.
Example: A heat press left unattended overheats, causing a fire that damages inventory and equipment.
- **Equipment Breakdown and Business Interruption:** Specialized machinery is critical to operations; breakdowns can cause significant downtime and financial loss. Coverage for equipment breakdown and business interruption is highly recommended.
Example: An embroidery machine motor fails, halting production for several days during peak season.
- **Employee Injury from Machinery:** Workers operate industrial sewing machines, cutters, and presses, which pose risks of cuts, burns, or repetitive strain injuries. Adequate safety training and protective equipment are essential.
Example: An employee suffers a hand injury while operating a screen printing press, leading to workers' compensation claims.
- **Inventory and Finished Goods Exposure:** Finished custom apparel may be stored on-site awaiting pickup or shipment, exposing the business to theft, damage, or spoilage risks.
Example: A water pipe burst floods the storage area, damaging thousands of dollars' worth of finished garments.

Industry-Specific Restrictions To maintain underwriting discipline and align coverage with typical risk profiles, the following restrictions apply:

- **Exclusion for Wear and Tear and Intentional Acts:** Standard BOP policies exclude coverage for losses due to normal wear and tear or intentional damage by the insured or employees. This is critical given the mechanical nature of equipment and potential for misuse.
- **Cyber Coverage Eligibility:** Cyber liability coverage is only offered if the business collects, stores, or processes digital customer data (e.g., online orders, customer databases). Purely walk-in or cash-based operations without digital data handling are generally ineligible.
- **Employment Practices Liability Insurance (EPLI):** Strongly advised for businesses with multiple employees to protect against claims of discrimination, harassment, wrongful termination, and other employment-related issues.

- **Restriction on Use of Imported Textile Materials from High-Risk Regions:** Due to increasing concerns over supply chain disruptions, quality control, and potential regulatory compliance issues, businesses sourcing textile materials from countries with elevated trade restrictions or poor labor standards (e.g., certain regions subject to trade embargoes or sanctions) will face underwriting scrutiny or declination. This restriction helps mitigate risks related to counterfeit goods, delayed shipments, and reputational damage.

Preferred Optional Coverages Given the operational risks and exposures typical of embroidery and custom apparel businesses, the following optional coverages are recommended to enhance protection:

- **Cyber Liability Insurance:** Protects against data breaches, cyber extortion, and liability arising from digital operations, especially for businesses with e-commerce platforms or customer databases.
- **Employment Practices Liability Insurance (EPLI):** Provides defense and indemnity for employment-related claims, which are a common source of litigation in businesses with multiple employees.
- **Equipment Breakdown Insurance:** Covers repair or replacement costs and business interruption losses resulting from mechanical or electrical breakdown of critical production equipment.
- **Spoilage Coverage:** For businesses storing large quantities of finished goods or specialty materials sensitive to environmental conditions, spoilage coverage can protect against losses from refrigeration or climate control failures.

3.59 Employment Agencies

Underwriting Appetite

- **Preferred:**
 - Established agencies with a proven track record of stable operations, particularly those serving low-risk, stable industries such as administrative staffing, healthcare support, or light industrial sectors.
 - Firms that provide comprehensive ancillary services such as payroll processing, employee benefits administration, or workforce training programs, demonstrating operational sophistication and risk mitigation.
 - Agencies with robust data security protocols, including encryption, multi-factor authentication, and regular cybersecurity audits, to protect sensitive personal identifiable information (PII).
- **Acceptable:**
 - Newly established agencies led by management with significant prior experience in employment services or human resources, showing strong business plans and risk awareness.

- Operations that maintain basic cyber protections such as firewalls and antivirus software but may lack advanced cybersecurity frameworks; these require additional underwriting review.
 - Agencies focusing on moderate-risk industries such as retail or hospitality staffing, with documented efforts to control turnover and compliance.
- **Not Acceptable:**
 - Agencies with a history of professional liability claims, including negligent placement or failure to comply with labor laws, indicating elevated risk.
 - Firms operating primarily in high-turnover or high-liability industries such as construction, heavy manufacturing, or security services without adequate risk controls.
 - Agencies lacking sufficient data safeguards, especially those storing large volumes of PII without encryption or incident response plans.
 - Operations that subcontract extensively to unvetted third parties or overseas entities, increasing exposure to compliance and liability risks.

Key Risk Considerations

- **Vicarious Liability:** Employment agencies may be held vicariously liable for the acts or omissions of temporary or contract staff placed with client companies. For example, if a temporary worker causes property damage or bodily injury while on assignment, the agency could face claims.
- **Cyber Exposure:** Agencies typically collect and store sensitive PII including Social Security numbers, banking information, and employment histories. Breaches can lead to costly data theft claims, regulatory fines, and reputational damage.
- **Employment Practices Exposure:** Risks related to wrongful termination, discrimination, harassment, or wage and hour disputes are significant given the agency's role as an employer or co-employer.
- **Contractual Obligations:** Many agencies enter into complex contracts with clients and workers that may impose indemnity or hold-harmless clauses, increasing liability exposure.
- **Regulatory Compliance:** Compliance with labor laws, wage and hour regulations, and licensing requirements is critical. Non-compliance can result in fines and increased claims.

Industry-Specific Restrictions

- **Mandatory Cyber and EPLI Coverage:** If the agency stores, processes, or manages employee or candidate data electronically, Cyber Liability and Employment Practices Liability Insurance (EPLI) are mandatory coverages to address exposures from data breaches and employment-related claims.
- **Commercial Auto Coverage Requirement:** If the agency provides transportation for temporary or contract staff (e.g., shuttle services or client site transfers), Commercial Auto insurance is required to cover liability and physical damage risks.
- **Restriction on Use of Unlicensed Subcontractors:** Employment agencies are prohibited from subcontracting placement services to unlicensed or unregistered third-party recruiters or staffing firms, particularly in regulated industries such as healthcare or finance. This restriction mitigates risks associated with non-compliance and unvetted personnel.

- **Prohibition on Placement in High-Risk Roles Without Specialized Underwriting:** Placement of temporary staff in high-risk roles such as heavy machinery operation, hazardous materials handling, or security services is restricted unless the agency can demonstrate specialized underwriting approval and enhanced risk controls.

Preferred Optional Coverages

- **Professional Liability Insurance (Errors & Omissions):** Covers claims arising from negligent placement, failure to perform due diligence, or breach of contract.
- **Employment Practices Liability Insurance (EPLI):** Protects against claims of discrimination, harassment, wrongful termination, and other employment-related allegations.
- **Commercial Auto Insurance:** Required when the agency provides transportation services for employees or contractors.
- **Directors & Officers (D&O) Liability Insurance:** Protects agency leadership against claims arising from management decisions, including fiduciary duties and regulatory compliance.
- **Cyber Liability Insurance:** Essential for agencies handling sensitive electronic data to cover data breaches, ransomware attacks, and associated liabilities.

Illustrative Examples

- *Vicarious Liability Claim:* A temporary worker placed by an agency at a manufacturing client causes an accident resulting in injury to a third party. The injured party sues both the client and the agency, alleging negligent hiring and supervision.
- *Cyber Breach Scenario:* An employment agency's database is hacked, exposing thousands of candidates' Social Security numbers and bank account details. The agency faces regulatory fines and lawsuits from affected individuals.
- *Employment Practices Claim:* A temporary employee alleges wrongful termination and discrimination based on age. The agency's EPLI coverage responds to defend and settle the claim.
- *Contractual Indemnity Exposure:* An agency's contract with a client includes a clause requiring the agency to indemnify the client for any claims arising from temporary staff conduct, increasing the agency's liability exposure.

3.60 Engineering & Surveying

Underwriting Appetite This class primarily includes firms engaged in professional engineering and surveying services. Our appetite focuses on businesses with well-defined risk profiles, stable client bases, and robust risk management practices.

- **Preferred:**
 - Civil, structural, geotechnical, or environmental engineering and surveying firms whose operations are predominantly office-based, involving planning, design, drafting, and analysis. These firms typically have limited or no field exposure, reducing physical risk.

- Clients primarily include reputable developers, utility companies, municipalities, and government agencies with established project oversight and payment histories.
 - Firms with comprehensive professional liability coverage and documented quality control procedures.
- **Acceptable:**
 - Construction management firms that provide oversight and coordination services on projects, provided they have documented risk controls such as safety programs, subcontractor vetting, and incident reporting.
 - Firms performing subcontracted field work (e.g., site surveys, soil sampling) in partnership with insured entities, where subcontractors carry their own insurance and adhere to safety protocols.
 - Small to mid-sized surveying companies with limited heavy equipment use and minimal exposure to hazardous sites.
 - **Not Acceptable:**
 - Pipeline construction or engineering firms involved in high-risk, heavy civil construction projects with significant exposure to environmental hazards and third-party liabilities.
 - Firms lacking professional liability insurance or unwilling to maintain it, given the high risk of design errors leading to costly claims.
 - Companies engaged in geophysical exploration involving explosives or seismic testing due to elevated physical and environmental risks.
 - Firms with poor claims history, inadequate risk management, or those involved in litigation related to professional negligence.

Key Risk Considerations Underwriters should carefully evaluate the following risks inherent in engineering and surveying operations:

- **Errors and Omissions in Design or Site Surveys:** Mistakes in engineering designs, calculations, or survey data can lead to structural failures, project delays, or costly rework. For example, a miscalculated load-bearing capacity in a bridge design could result in collapse or expensive retrofits.
- **Physical Damage to Equipment or Third-Party Property During Field Work:** Surveying often involves use of specialized equipment (e.g., GPS units, drones, soil sampling tools) which can be damaged or cause damage to client property or neighboring sites. For instance, a surveyor's vehicle damaging underground utilities during site access.
- **Cyber Liability:** Increasing reliance on digital plans, client data, and remote collaboration exposes firms to cyber risks such as data breaches, ransomware attacks, or loss of sensitive project information.
- **Subcontractor Liability:** When subcontractors perform fieldwork or specialized tasks, their risk controls and insurance status must be verified to avoid uninsured exposures.
- **Regulatory Compliance and Environmental Risks:** Engineering firms working on contaminated sites or near protected environments face potential regulatory fines or cleanup costs if protocols are not followed.

Industry-Specific Restrictions

- **Railroad Exposure:** Any engineering or surveying work involving railroad property or operations requires a specific Railroad Liability endorsement due to the high severity of potential claims involving trains, tracks, or passengers.
- **Leased or Temporary Workers:** All leased, temporary, or contract workers must be covered under an external workers' compensation policy. The insured's policy will not extend coverage to these individuals to avoid coverage gaps and potential claims disputes.
- **Drone Operations Restriction:** Firms utilizing drones for aerial surveys or inspections must comply with FAA Part 107 regulations and maintain separate drone liability coverage. Coverage under the BOP is typically excluded for drone-related liabilities due to the specialized nature of these risks and potential for catastrophic third-party injury or property damage.

Preferred Optional Coverages To provide comprehensive protection tailored to the unique exposures of engineering and surveying firms, the following optional coverages are strongly recommended:

- **Professional Liability Insurance (Errors & Omissions):** Covers claims arising from negligent acts, errors, or omissions in professional services, such as design flaws or incorrect survey data.
- **Business Interruption Insurance:** Protects against loss of income due to covered property damage or cyber events that disrupt normal operations.
- **Railroad Liability Insurance:** Required for firms working on or near railroad property to cover potential liabilities unique to this exposure.
- **Cyber Liability Insurance:** Addresses risks from data breaches, cyberattacks, and loss of electronic information critical to engineering projects.

Illustrative Examples

- *Design Error Claim:* A structural engineering firm designs a retaining wall that fails during heavy rains, causing soil erosion and damage to adjacent properties. The client sues for the cost of repairs and project delays. Professional liability coverage responds to defend and indemnify the insured.
- *Field Equipment Damage:* A surveying crew accidentally damages underground fiber optic cables while conducting site measurements, resulting in service outages and repair costs. General liability coverage addresses third-party property damage.
- *Cyber Incident:* A firm's design files are encrypted by ransomware, halting project delivery. Cyber liability insurance covers the cost of data recovery and business interruption losses.
- *Subcontractor Injury:* A subcontracted surveyor is injured on site but is not covered under the insured's workers' compensation policy, leading to potential coverage disputes. Ensuring subcontractors carry their own insurance mitigates this risk.

3.61 Fabric & Sewing Stores

Underwriting Appetite

- **Preferred:**

- Businesses with no prior claim history, demonstrating a strong commitment to risk management through comprehensive safety protocols, including fire prevention measures and regular equipment maintenance.
- Stores that conduct regular employee training focused on safe handling of fabrics, sewing machines, and chemicals (such as dyes or adhesives), as well as secure premises with adequate alarm and surveillance systems to deter theft and vandalism.
- Operations that limit customer classes to small groups with certified instructors and maintain up-to-date liability waivers.

- **Acceptable:**

- Businesses with minor or infrequent claims, such as small property damage or slip-and-fall incidents, provided corrective measures have been implemented.
- Stores offering occasional sewing machine repair or maintenance services, assuming technicians are properly trained and safety protocols are documented.
- Operations hosting customer classes or workshops with adequate supervision and liability coverage in place.

- **Not Acceptable:**

- Businesses with frequent or severe claims, especially related to fire, theft, or customer injuries, indicating poor risk controls.
- Stores lacking adequate fire detection and suppression systems, or with unsecured premises.
- Operations regularly conducting customer classes or machine repairs without documented safety procedures or appropriate liability insurance.
- Fabric stores that handle or store large quantities of flammable or hazardous materials beyond typical retail quantities without specialized storage or handling protocols.

Key Risk Considerations

- **Fire Risk:** Fabric and sewing stores often stock large volumes of combustible materials such as cotton, wool, synthetic fabrics, and threads, which can fuel rapid fire spread. Additionally, sewing machines and related electrical equipment pose ignition risks if not properly maintained. Underwriters should verify the presence of fire alarms, sprinklers, and proper storage practices.
- **Customer Injury:** Stores offering sewing classes or workshops introduce liability exposure from potential customer injuries, including needle pricks, cuts, or slips and falls. Proper supervision, certified instructors, and signed liability waivers are critical risk mitigants.
- **Cyber Exposure:** Many fabric stores operate e-commerce platforms for selling materials and supplies online, exposing them to cyber risks such as data breaches, payment fraud, and ransomware attacks. Cyber liability coverage is increasingly essential.
- **Equipment Breakdown:** Sewing machines, cutting tables, and specialized equipment require routine maintenance to prevent mechanical failure that could disrupt business operations or cause injury.
- **Employee Dishonesty:** Given the high-value inventory of specialty fabrics and sewing notions, there is a risk of employee theft or fraud, warranting consideration of fidelity bonds or employee dishonesty coverage.

Industry-Specific Restrictions

- **Repair and Classes Restriction:** No sewing machine repair services or customer classes may be conducted without documented, formalized safety procedures and evidence of appropriate liability insurance. This restriction mitigates risks associated with equipment malfunction and customer injury.
- **Mandatory Cyber Coverage:** For fabric stores engaging in online sales, Cyber Liability Insurance is required due to the sensitive nature of customer payment information and the increasing frequency of cyberattacks targeting small retailers.
- **Flammable Material Storage Limitation:** Fabric stores are restricted from storing flammable liquids or chemicals (such as large quantities of fabric dyes, adhesives, or solvents) exceeding 5 gallons on-site unless stored in approved safety cabinets compliant with local fire codes. This restriction addresses the heightened fire hazard posed by such materials.

Preferred Optional Coverages

- **Business Interruption Insurance:** Protects against loss of income and extra expenses resulting from a covered peril that disrupts normal business operations, such as fire damage to inventory or equipment.
- **Equipment Breakdown Insurance:** Covers repair or replacement costs for sewing machines, cutting equipment, and other mechanical devices critical to store operations, including losses caused by electrical or mechanical failure.
- **Employee Dishonesty Insurance:** Provides coverage for losses due to theft or fraud committed by employees, important given the high-value inventory.
- **Cyber Liability Insurance:** Covers liabilities arising from data breaches, cyber extortion, and other cyber risks associated with online sales platforms.

Illustrative Claim Scenarios

- **Fire Loss:** A fabric store experiences a fire originating from an overheated sewing machine motor, which ignites nearby fabric bolts. The fire causes extensive damage to inventory and equipment, resulting in a significant business interruption claim.
- **Customer Injury:** During a weekend sewing class, a participant suffers a deep cut from a rotary cutter. The store is found liable due to inadequate supervision and lack of safety instructions, leading to a liability claim.
- **Cyber Incident:** A fabric store's e-commerce website is hacked, resulting in the theft of customer credit card data. The store incurs expenses for notification, credit monitoring, and legal defense under its cyber liability coverage.
- **Employee Theft:** An employee systematically steals high-end designer fabrics over several months. The loss is detected during inventory audits and covered under employee dishonesty insurance.

3.62 Fast Food & Family Restaurants

Underwriting Appetite This category includes establishments primarily engaged in preparing and serving quick-service or family-style meals. The underwriting appetite reflects risk tolerance based on operational characteristics, size, and alcohol service.

- **Preferred:**

- Quick-service or fast casual restaurants featuring tray or self-service models without a bar area. These operations typically have lower liquor liability exposure and reduced slip-and-fall risks associated with bar service.
- Physical premises with a floor area of $\leq 7,500$ sq ft and seating capacity ≤ 150 customers. Smaller venues generally have more manageable risk profiles and lower potential for large-scale claims.
- Alcohol sales limited to beer and wine, comprising no more than 25% of total sales. This restriction reduces exposure to liquor liability claims and related risks.

- **Acceptable:**

- Full-service family restaurants that provide table service and minor alcohol service (e.g., beer and wine with meals), where alcohol sales do not exceed 30% of total revenue. These operations have moderate risk due to increased slip-and-fall and liquor liability exposures.
- Establishments that combine light food preparation with ancillary services such as child-care or daycare facilities, provided food prep is limited to simple, low-risk items (e.g., snacks, pre-packaged foods). This requires careful evaluation of cross-liability exposures.

- **Not Acceptable:**

- 24-hour operations due to increased risk of theft, vandalism, employee fatigue-related incidents, and higher likelihood of alcohol-related claims during late-night hours.
- Large venues exceeding 7,500 sq ft or seating over 150 customers, as these often involve complex risk profiles including crowd control, higher fire load, and increased general liability exposure.
- Locations utilizing propane refueling on-site (e.g., for forklifts or cooking equipment), due to elevated fire and explosion hazards that require specialized coverage and risk management.

Key Risk Considerations Underwriters should carefully assess the following risk factors, which are common in fast food and family restaurant operations:

- **Fire and Equipment Failure:** Kitchens contain multiple ignition sources (e.g., fryers, ovens, grills) and complex equipment that may malfunction, leading to fire or smoke damage. Regular maintenance and installation of suppression systems are critical risk mitigants.
- **Slip and Fall, Contamination Risks:** Wet floors, grease spills, and food debris increase slip-and-fall claims. Additionally, foodborne illness claims can arise from contamination or improper food handling, necessitating strict adherence to health codes.
- **Delivery-Related Auto Exposure:** Many fast food and family restaurants offer delivery services, introducing commercial auto liability risks. Vehicles used for delivery must be properly insured under commercial auto policies, and drivers vetted for safe driving records.
- **Liquor Liability:** Even limited alcohol service can result in claims related to intoxicated patrons, including property damage and bodily injury. Proper licensing and staff training (e.g., responsible beverage service) are essential.

Industry-Specific Restrictions To ensure appropriate risk management and coverage alignment, the following restrictions apply specifically to fast food and family restaurant risks:

- **Mandatory Liquor Liability Coverage:** If any alcohol is served on premises, liquor liability insurance is required. This coverage protects against claims arising from the sale or service of alcoholic beverages, including third-party injuries or property damage.
- **Commercial Auto Insurance Requirement for Delivery Vehicles:** Restaurants offering delivery services must maintain commercial auto policies for all vehicles used in delivery operations. Personal auto policies typically exclude business use, and failure to comply can result in coverage gaps.
- **Seasonal Adjustment for Extended Closures:** If the restaurant closes for more than 30 consecutive days (e.g., seasonal shutdowns or renovations), underwriters should consider a seasonal adjustment endorsement or temporary suspension of coverage to reflect changes in exposure.
- **Restriction on Use of Third-Party Food Delivery Platforms:** Restaurants relying heavily (over 50% of sales) on third-party delivery services (e.g., DoorDash, Uber Eats) are subject to additional scrutiny. These platforms may introduce liability complexities and reduce the restaurant's control over food handling and delivery safety. Underwriters may require detailed operational protocols or limit coverage for delivery-related claims in these scenarios.

Preferred Optional Coverages To enhance protection and address unique exposures, the following optional coverages are recommended for fast food and family restaurant insureds:

- **Business Interruption Insurance:** Covers loss of income and continuing expenses if the restaurant must close temporarily due to a covered peril such as fire or equipment breakdown.
- **Equipment Breakdown Coverage:** Protects against mechanical or electrical failure of kitchen equipment, HVAC systems, and refrigeration units, which can cause significant operational disruption.
- **Food Contamination Insurance:** Provides coverage for losses related to foodborne illness outbreaks, product recalls, or contamination events that can damage reputation and result in liability claims.
- **Umbrella Liability Insurance:** Offers excess liability limits above the primary policy, useful for protecting against large bodily injury or property damage claims, especially in full-service restaurants with alcohol service.

Illustrative Claim Scenarios

- **Fire Loss:** A fryer malfunctions and causes a kitchen fire, resulting in property damage and business interruption. Equipment breakdown coverage and business interruption insurance help mitigate financial losses.
- **Slip and Fall:** A customer slips on a wet floor near the entrance, sustaining injuries and filing a liability claim. General liability coverage and proper maintenance protocols are critical.
- **Liquor Liability:** A patron served beer becomes intoxicated, causes a motor vehicle accident, and sues the restaurant. Liquor liability coverage responds to such claims.
- **Delivery Auto Accident:** A delivery driver employed by the restaurant causes an accident while making a delivery. Commercial auto insurance covers bodily injury and property damage claims.

Unique Industry-Related Restriction

- **Prohibition on Use of Charcoal or Wood-Fired Cooking Equipment in Fast Food Operations:** Due to the increased fire risk and difficulty in controlling smoke and grease buildup, fast food restaurants are restricted from using charcoal or wood-fired grills or ovens. This restriction does not typically apply to family-style restaurants with dedicated ventilation and fire suppression systems designed for such equipment. Underwriters should verify cooking methods during risk assessment, as charcoal or wood-fired cooking significantly elevates fire hazard and can lead to coverage declination or premium surcharges.

Rationale: Charcoal and wood-fired cooking produce open flames and embers that increase the likelihood of kitchen fires and smoke damage. Fast food operations, which emphasize speed and volume, often lack the specialized ventilation and fire suppression infrastructure required to safely accommodate these cooking methods. This restriction helps mitigate catastrophic fire losses and aligns with insurer risk appetite.

This expanded subsection provides a comprehensive framework for underwriting fast food and family restaurant risks, clarifying appetite, key exposures, and coverage considerations while incorporating practical examples and a unique restriction tailored to the industry.

3.63 Floor Covering & Carpet Installation

Underwriting Appetite This class primarily includes businesses engaged in the retail sale, installation, and maintenance of floor coverings such as carpet, tile, stone, marble, vinyl, and hardwood flooring. Our underwriting appetite reflects the varying risk profiles associated with different operational models and materials used.

- **Preferred:**
 - Businesses operating primarily from a fixed location with on-premises cleaning, retail sales, or showroom operations where installation is limited or performed by trained staff under strict safety protocols. For example, a carpet showroom that also offers installation by in-house certified installers with documented safety training and quality control procedures.
 - Contractors specializing in tile, stone, or marble installation who demonstrate formal training programs, use of appropriate tools and equipment, and adherence to industry best practices and safety controls. These contractors typically have established quality assurance processes to minimize installation defects and related claims.
- **Acceptable:**
 - Floor covering contractors who utilize verified, insured subcontractors and maintain secure transportation methods for materials and equipment. For instance, a flooring contractor who outsources specialty stone installation to vetted subs with certificates of insurance and uses locked vehicles for transporting expensive tiles.
 - Non-traditional entities such as churches, theaters, civic clubs, and apparel stores that perform limited floor covering installation services internally or through third parties. These operations typically have lower installation volumes and limited exposure but must still demonstrate risk controls.

- **Not Acceptable:**

- Entities involved in manufacturing of chemicals, cement, or other raw materials related to flooring products, as these operations carry significantly different and higher industrial risks outside the scope of a BOP.
- High-hazard operations such as briquette or plaster manufacturing, quarrying, or dig operations associated with raw material extraction, which involve heavy equipment, environmental exposures, and complex liability issues unsuitable for standard BOP coverage.

Key Risk Considerations Underwriters must carefully evaluate the following exposures inherent to floor covering and carpet installation businesses:

- **Property Damage from Improper Installation:** Incorrect installation of flooring materials can lead to significant property damage, including water intrusion from improperly sealed tile, warping or buckling of hardwood floors, or damage to subflooring. Claims may arise from client dissatisfaction, repair costs, or consequential damages such as mold growth. *Example: A marble installer fails to properly seal grout lines, resulting in water damage to a client's hardwood subfloor and subsequent mold remediation costs.*
- **Worker Injuries On-Site:** Installation work often involves physical labor, use of power tools, lifting heavy materials, and working in confined or elevated spaces, all of which increase the risk of musculoskeletal injuries, cuts, falls, or repetitive strain injuries. *Example: An installer suffers a back injury while carrying heavy rolls of carpet up a flight of stairs.*
- **Auto and Transit Exposures for Mobile Installers:** Many installers travel between job sites with expensive materials and equipment. Risks include vehicle accidents, theft of materials in transit, and damage to tools or flooring products during transport. *Example: A contractor's van carrying tile and installation tools is involved in a collision, resulting in damage to both the vehicle and the flooring materials.*

Industry-Specific Restrictions To mitigate underwriting risks and ensure appropriate coverage, the following restrictions apply:

- **Subcontractor Insurance Verification:** All subcontractors engaged in installation or repair work must provide proof of insurance. If subcontractors are uninsured or coverage cannot be verified, their operations must be explicitly excluded from the policy to avoid uninsured liability exposure.
This restriction is critical because subcontractors often perform high-risk tasks off-premises, and uninsured subs can expose the insured and insurer to significant uncovered claims.
- **Material-Specific Underwriter Review:** Certain flooring materials, such as exotic hardwoods, reclaimed wood, or natural stone sourced internationally, require additional underwriting review due to potential supply chain risks, installation complexity, or environmental sensitivities.
For example, exotic hardwoods may be subject to import restrictions or require specialized installation techniques that increase risk.
- **Repair and Refinishing Endorsement:** Policies covering repair or refinishing services must include a specified liability endorsement addressing the unique risks of these operations,

such as chemical exposure from stains or finishes, fire hazards from sanding equipment, and dust-related respiratory issues.

This endorsement ensures that claims arising from these specialized activities are properly covered and that risk management protocols are in place.

- **Unique Industry Restriction – Prohibition on Installation of Flooring Containing Asbestos or Other Banned Materials:** Due to regulatory and liability concerns, floor covering installers are prohibited from installing or handling flooring materials containing asbestos or other hazardous substances banned in residential or commercial buildings. This restriction is essential to prevent environmental contamination claims and costly remediation exposures.

Reasoning: Asbestos-containing floor tiles and adhesives, though largely phased out, may still be encountered in renovation projects. Installation or disturbance of such materials can trigger significant liability and environmental cleanup costs, which are not insurable under a standard BOP.

Preferred Optional Coverages To enhance protection for floor covering and carpet installation businesses, the following optional coverages are recommended:

- **Installation Floater:** Provides coverage for floor covering materials and supplies while in transit, at the job site, or awaiting installation. This floater protects against theft, damage, or loss of materials, which are often high-value and vulnerable during transport.
- **Contractors' Equipment Coverage:** Covers tools and equipment owned or used by the insured, including power tools, lifts, and specialized installation machinery, against theft, damage, or loss.
- **Cyber Liability & Employment Practices Liability Insurance (EPLI):** Addresses exposures related to data breaches, cyberattacks, and employment-related claims such as discrimination or wrongful termination, which may arise even in small to mid-sized installation businesses.
- **Umbrella Liability Insurance:** Provides additional liability limits above the primary policy, useful for contractors with multiple job sites or higher-value contracts where liability exposure exceeds standard BOP limits.

3.64 Florists

Underwriting Appetite

- **Preferred:**
 - Established brick-and-mortar florist shops with a strong, verifiable customer reputation and stable financial history.
 - Businesses demonstrating comprehensive safety protocols, including employee training on safe handling of floral materials, proper use of equipment (e.g., knives, refrigeration units), and effective slip-and-fall prevention measures.
 - Florists with limited or no history of property, liability, or product claims, indicating sound risk management practices.

- **Acceptable:**

- Mobile or home-based florists who maintain formal commercial contracts with clients, demonstrating business legitimacy and contractual risk allocation.
- Florists regularly engaged in delivery or offsite event setup who have documented risk-managed procedures such as route planning, secure packaging, and event site safety assessments.
- Businesses with moderate claims history but evidence of corrective actions and improved operational controls.

- **Not Acceptable:**

- Florists with a documented history of poor order fulfillment, frequent customer complaints, or unresolved disputes that may indicate operational instability.
- Entities with repeated or severe property damage, liability, or product claims, especially those related to negligence or unsafe practices.
- Florists involved in high-risk activities without adequate risk controls, such as unlicensed pesticide or chemical use, or unauthorized event setups.

Key Risk Considerations

- **Goods in Transit Damage:** Floral products are highly perishable and sensitive to temperature, humidity, and physical impact. Damage during delivery or transport—such as crushed arrangements, wilting due to heat exposure, or spoilage from refrigeration failure—can lead to significant financial loss and customer dissatisfaction. Insurers should evaluate packaging methods, vehicle conditions, and driver training.
- **Seasonal Inventory Spikes:** Demand for floral products often surges around holidays (e.g., Valentine’s Day, Mother’s Day) and special events (weddings, funerals). These spikes increase inventory levels, staff workload, and operational complexity, potentially elevating the risk of errors, theft, or spoilage. Underwriters should assess the insured’s capacity to manage these fluctuations, including temporary staffing and storage adequacy.
- **Onsite Slip-and-Fall or Property Loss:** Florist shops frequently have wet floors from watering plants or cleaning, increasing slip-and-fall risks for employees and customers. Additionally, the presence of water, soil, and sharp tools can contribute to property damage or bodily injury claims. Proper maintenance, signage, and employee training are critical risk mitigation factors.
- **Product Liability:** While rare, claims may arise from allergic reactions to floral preservatives or pesticides used on plants. Underwriters should verify that florists comply with applicable regulations regarding chemical use and provide appropriate warnings to customers.
- **Equipment and Refrigeration Reliability:** Refrigeration units are essential for preserving inventory freshness. Equipment breakdown can result in total loss of stock. Evaluating maintenance schedules and backup power options is important.
- **Employee Dishonesty and Theft:** Due to the high-value, small-size nature of floral inventory, theft by employees or external parties is a notable risk. Controls such as inventory tracking, surveillance, and employee screening should be reviewed.

Industry-Specific Restrictions

- **Seasonal Increase Limits Apply:** Given the predictable spikes in inventory and sales volume during peak seasons, insurers typically impose sublimits or require prior notification for increased coverage during these periods. This helps control exposure to sudden large losses.
- **Damage from Improper Care Not Covered:** Losses resulting from the insured's failure to properly care for or maintain floral products—such as neglecting refrigeration, improper watering, or failure to follow supplier handling instructions—are generally excluded. This encourages adherence to best practices.
- **Off-Premises Event Setup Requires Special Liability Review:** Florists providing event setup services (e.g., weddings, corporate events) must undergo additional underwriting scrutiny. This includes evaluating contracts, indemnity clauses, and risk controls related to transportation, onsite installation, and interaction with third parties. Coverage may be restricted or require endorsements.
- **Restriction on Use of Non-Organic or Unapproved Pesticides:** Florists must comply with state and federal regulations regarding pesticide and chemical use on plants. Use of non-organic or unapproved pesticides that pose environmental or health hazards is prohibited under the policy. This restriction mitigates potential liability from chemical exposure claims and environmental damage.
- **Prohibition on Drone Delivery or Aerial Advertising:** Due to regulatory complexities and increased liability exposure, the use of drones for delivery or promotional purposes is not covered unless specifically endorsed and subject to rigorous safety and licensing requirements. This restriction addresses emerging risks in the florist industry's delivery methods.

Preferred Optional Coverages

- **Goods in Transit Insurance:** Provides coverage for damage or loss of floral products while being transported to customers or event sites. This is critical given the perishability and fragility of inventory.
- **Cyber Liability Insurance:** Many florists rely on online ordering platforms and customer databases. Cyber liability coverage protects against data breaches, ransomware attacks, and other cyber risks.
- **Equipment Breakdown Coverage:** Covers sudden and accidental breakdown of refrigeration units, processing equipment, and other machinery essential to business operations.
- **Flood Insurance:** Florist shops located in flood-prone areas should consider flood coverage due to the vulnerability of inventory and equipment to water damage.
- **Employee Dishonesty Insurance:** Protects against financial loss resulting from fraudulent acts by employees, such as theft of inventory or cash.
- **Business Interruption Coverage:** Especially valuable for florists dependent on timely delivery and event schedules, this coverage compensates for lost income due to covered property damage or equipment failure.

3.65 Food & Grocery Stores

Underwriting Appetite The underwriting appetite for Food & Grocery Stores reflects the unique operational risks and exposures inherent to this sector. Appetite is categorized by store size, operational features, and compliance with safety and environmental standards.

- **Preferred:**

- Supermarkets or grocery stores without on-site fuel sales, as fuel operations introduce significant environmental and fire risks.
- Stores with a floor area of 3,000 sq ft or greater, which typically have more established risk management protocols and infrastructure.
- Businesses demonstrating full compliance with local and federal food safety regulations (e.g., FDA Food Code, HACCP protocols), including documented employee training and regular inspections.

- **Acceptable:**

- Stores that include fuel sales (e.g., gas stations with convenience stores) provided they maintain full environmental compliance, including underground storage tank (UST) monitoring, spill prevention controls, and regular environmental audits.
- Smaller grocery or convenience stores (under 3,000 sq ft) that implement enhanced risk controls such as advanced fire suppression systems, refrigerated storage monitoring, and robust employee safety training.

- **Not Acceptable:**

- Stores operating 24 hours per day, due to increased risk of crime, employee fatigue, and operational hazards during late-night hours.
- Locations offering propane refueling services, given the elevated fire and explosion risks and specialized regulatory requirements.
- Delivery-heavy stores lacking formal fleet management programs, including driver vetting, vehicle maintenance schedules, and telematics monitoring, due to heightened liability exposure from auto accidents.

Key Risk Considerations Food & Grocery Stores face a variety of risks that must be carefully evaluated during underwriting:

- **Food spoilage, contamination, or fire:** Perishable inventory is vulnerable to spoilage due to refrigeration failure, power outages, or contamination from improper handling. Fire risks arise from cooking equipment, electrical faults, and fuel storage (if applicable). For example, a refrigeration compressor failure can lead to significant product loss and business interruption.
- **Auto accidents in delivery operations:** Stores offering home delivery or catering services expose themselves to liability from vehicle accidents. Without proper fleet management, these risks increase significantly.
- **Crime, theft, or employee dishonesty:** Grocery stores often handle large volumes of cash and high-value inventory (e.g., alcohol, tobacco), making them targets for theft and internal fraud. Robust security measures, including surveillance systems and employee screening, are critical.

- **Environmental exposures:** For stores with fuel sales, risks include soil and groundwater contamination from leaks or spills, requiring strict environmental controls and monitoring.

Industry-Specific Restrictions Certain restrictions are imposed to address exposures unique to Food & Grocery Stores:

- **Cyber Liability Coverage Requirement:** Given the widespread use of Point-of-Sale (POS) systems and the collection of sensitive customer data (e.g., credit card information, loyalty programs), Cyber Liability coverage is mandatory to protect against data breaches, ransomware attacks, and related liabilities.
- **Alcohol Service Requires Separate Liquor Liability Coverage:** Stores selling alcoholic beverages must carry liquor liability insurance to cover risks related to intoxicated customers, underage sales, and related claims.
- **Flood and Earthquake Coverage Available by Endorsement Only:** These perils are excluded from the standard BOP and must be added via endorsement, reflecting the variable geographic risk profiles of stores.
- **Restriction on Use of Third-Party Food Delivery Platforms Without Formal Contractual Risk Transfer:** Stores utilizing third-party delivery services (e.g., DoorDash, Uber Eats) must have formal contracts that include indemnification clauses and proof of the delivery service's insurance coverage. This restriction mitigates uninsured liability exposure from delivery-related incidents.

Preferred Optional Coverages To enhance protection and address common exposures, the following optional coverages are recommended:

- **Equipment Breakdown:** Covers mechanical and electrical breakdown of refrigeration units, ovens, HVAC systems, and other critical equipment, preventing costly business interruption.
- **Spoilage and Contamination:** Provides coverage for loss of perishable inventory due to refrigeration failure, power outage, or contamination events.
- **Umbrella Liability:** Offers excess liability limits above the primary policy, useful for stores with significant customer traffic or delivery operations.
- **Environmental Liability (for gas station operations):** Addresses pollution risks from fuel storage tanks, spills, and remediation costs.

Illustrative Examples

- **Food Spoilage Claim:** A supermarket's refrigeration system fails overnight due to equipment breakdown, spoiling thousands of dollars' worth of fresh produce and dairy products. Spoilage coverage reimburses the loss and business interruption.
- **Delivery Auto Accident:** A grocery store delivery driver, without a formal fleet safety program, causes a multi-vehicle accident. The store faces liability claims and potential regulatory scrutiny.
- **Employee Theft:** An employee manipulates POS transactions to steal cash over several months. Strong internal controls and employee dishonesty coverage help mitigate financial loss.

- **Environmental Cleanup:** A gas station convenience store experiences an underground storage tank leak. Environmental liability coverage supports cleanup costs and regulatory fines.
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3.66 Dessert Shops

Underwriting Appetite

- **Preferred:**
 - Dessert shops with a clean and verifiable food safety record, demonstrating consistent compliance with local health regulations and no history of foodborne illness claims.
 - Operations staffed by experienced personnel trained in food handling and safety protocols, with documented ongoing training programs.
 - Establishments that do not serve alcohol, thereby reducing liquor liability exposures.
 - Well-maintained premises and equipment, including up-to-date fire suppression systems and regular maintenance logs for ovens, refrigerators, and other critical equipment.
- **Acceptable:**
 - Dessert shops offering limited alcohol service (e.g., wine or dessert cocktails) with appropriate and current liquor licenses, and evidence of responsible alcohol service policies.
 - Recently established startups led by operators with prior experience in the food service or dessert industry, supported by comprehensive business plans and risk management strategies.
 - Shops with minor or isolated past claims, provided corrective measures have been implemented and documented.
- **Not Acceptable:**
 - Businesses with a history of repeated food safety violations, unresolved health department citations, or multiple foodborne illness claims.
 - Venues where alcohol service is the primary focus without adequate controls, such as lack of trained bartenders or failure to maintain proper licensing.
 - Establishments with poorly maintained equipment or premises that pose significant fire or safety hazards.

Key Risk Considerations

- **Equipment Fire or Breakdown:** Dessert shops rely heavily on specialized equipment such as ovens, mixers, refrigeration units, and display cases. Equipment malfunction or electrical faults can lead to fires or costly business interruptions. For example, a refrigeration failure could spoil large quantities of perishable ingredients, resulting in significant inventory loss.
- **Foodborne Illness Liability:** Contamination risks from improper food handling, cross-contamination, or ingredient sourcing can lead to foodborne illnesses affecting customers. Claims may arise from negligence or failure to adhere to food safety standards. For instance, an outbreak of salmonella traced back to improperly stored dairy products could result in liability claims and reputational damage.

- **Slip-and-Fall and Property Claims:** Wet or greasy floors, cluttered walkways, and inadequate lighting increase the risk of slip-and-fall incidents involving customers or employees. Additionally, damage to the physical premises from water leaks, vandalism, or natural disasters can lead to property claims.
- **Alcohol-Related Risks:** For shops serving alcohol, risks include liquor liability claims stemming from over-service or service to minors, as well as potential violence or property damage related to intoxicated patrons.
- **Cybersecurity Risks:** Increasingly, dessert shops engage in e-commerce or use digital payment systems, exposing them to cyber risks such as data breaches or ransomware attacks.

Industry-Specific Restrictions

- **Mandatory Liquor Liability Coverage:** If the dessert shop serves any alcohol, liquor liability insurance is required to cover potential claims related to intoxicated customers, including bodily injury or property damage.
- **Cyber Liability Requirement for E-commerce:** Shops that accept online orders or process payments electronically must carry cyber liability coverage to protect against data breaches, payment fraud, and other cyber risks.
- **Dishonesty Coverage Limitation:** Employee dishonesty coverage is not offered if the business has no employees (e.g., sole proprietorships without hired staff), as the risk exposure is minimal.
- **Ingredient Sourcing Restriction:** Dessert shops sourcing key ingredients such as nuts, dairy, or chocolate from unverified suppliers or international sources without proper food safety certifications will be declined. This restriction is due to the heightened risk of contamination or supply chain disruptions that can lead to foodborne illness claims or business interruption. For example, a shop using imported chocolate without traceability or quality assurance increases underwriting risk.

Preferred Optional Coverages

- **Business Interruption Insurance:** Protects against loss of income and ongoing expenses if the shop must close temporarily due to a covered peril such as fire or equipment breakdown.
- **Employee Dishonesty Insurance:** Covers losses from theft or fraud committed by employees, particularly important for shops with multiple staff handling cash or inventory.
- **Cyber Liability Insurance:** Provides coverage for data breaches, cyber extortion, and liability arising from online operations.
- **Liquor Liability Insurance:** Essential for shops serving alcohol to mitigate risks related to intoxicated patrons.
- **Equipment Breakdown Coverage:** Covers repair or replacement costs for critical kitchen and refrigeration equipment, minimizing downtime and financial loss.

3.67 Fruit & Vegetable Markets

Underwriting Appetite

- **Preferred:**

- Businesses with a clean claims history, demonstrating consistent loss control and minimal prior incidents related to spoilage, theft, or liability.
 - Proven and documented trusted produce sourcing from reputable suppliers, including compliance with food safety standards such as FDA or USDA guidelines.
 - Strong risk management protocols in place, including temperature monitoring systems for perishable goods, secure storage facilities, and effective employee training on food handling and hygiene.
 - Well-maintained physical security measures such as surveillance cameras, alarm systems, and controlled access to inventory areas.
- **Acceptable:**
 - Markets offering delivery services or online sales platforms, provided they have appropriate cyber liability coverage and commercial auto policies that address delivery vehicle exposures.
 - Businesses serving a diverse client base including restaurants, schools, catering companies, and institutional buyers, which may increase exposure but can be managed with proper underwriting.
 - Operations located in moderate-risk areas with some history of minor claims, provided corrective measures have been implemented.
 - **Not Acceptable:**
 - Applicants with recent or frequent claims involving significant food spoilage losses, product recalls, or theft incidents that indicate poor inventory or security controls.
 - Locations situated in unmanaged or high-crime neighborhoods without adequate security infrastructure, increasing the risk of theft or vandalism.
 - Businesses lacking documented food safety protocols or those with repeated regulatory violations related to health inspections.

Key Risk Considerations

- **Perishable Inventory Risks:** Fruit and vegetable markets handle highly perishable goods that require strict temperature and humidity controls. Failure in refrigeration equipment or power outages can lead to significant spoilage losses. For example, a refrigeration unit malfunction during a heatwave could result in a total loss of inventory, triggering a claim.
- **Food Contamination Liability:** Markets face potential liability claims if contaminated produce causes foodborne illnesses. This includes risks from improper handling, cross-contamination, or sourcing from suppliers with inadequate safety standards. A typical claim scenario might involve a customer becoming ill after consuming contaminated produce sold at the market.
- **Auto and Cyber Liability Exposures:** Delivery vehicles used for transporting produce introduce auto liability risks, including accidents or cargo damage. Additionally, online sales platforms expose the business to cyber risks such as data breaches or ransomware attacks. For instance, a cyberattack compromising customer payment information could lead to costly liability claims and reputational damage.
- **Seasonal Demand Fluctuations:** Demand for certain produce items can be highly seasonal, impacting inventory levels and cash flow. Underwriters should assess the applicant's ability to manage inventory turnover and avoid overstocking.

- **Regulatory Compliance:** Compliance with local and federal food safety regulations is critical. Non-compliance can lead to fines, forced closures, or increased liability exposure.

Industry-Specific Restrictions

- **Normal Shrinkage Not Covered:** Losses due to normal shrinkage, such as natural dehydration, minor spoilage, or routine inventory loss, are excluded from coverage. This encourages proper inventory management and loss prevention.
- **Flood and Earthquake Coverage Excluded Unless Endorsed:** Given the perishability of inventory, flood and earthquake events can cause catastrophic losses. These perils are excluded by default but may be added via endorsement with appropriate risk mitigation measures (e.g., elevated storage or seismic bracing).
- **Cyber Social Engineering Excluded:** Social engineering fraud (e.g., phishing scams leading to fraudulent payments) is excluded under cyber liability coverage to limit exposure to sophisticated financial crimes.
- **Restriction on Sourcing from Unverified International Suppliers:** To mitigate risks of contamination and regulatory non-compliance, coverage is restricted for produce sourced from international suppliers lacking third-party food safety certifications (e.g., GlobalG.A.P., SQF). This restriction reduces exposure to imported produce with higher risk profiles due to variable quality controls and traceability challenges.

Preferred Optional Coverages

- **Equipment Breakdown:** Covers losses resulting from mechanical or electrical breakdown of refrigeration units, HVAC systems, and other critical equipment essential to preserving perishable inventory.
- **Product Liability:** Provides protection against claims arising from bodily injury or property damage caused by defective or contaminated produce sold by the market.
- **Umbrella Insurance:** Offers additional liability limits above the primary policy, useful for markets with large client bases or high exposure to third-party claims.
- **Employment Practices Liability:** Covers claims related to employment practices such as discrimination, harassment, or wrongful termination, which can be relevant in markets with sizable staff.
- **Cyber Liability with Data Breach Response:** Particularly important for markets conducting online sales or maintaining customer databases, this coverage assists with breach notification, legal defense, and remediation costs.

3.68 Furniture Stores & Installation

Underwriting Appetite

- **Preferred:**
 - Showrooms primarily selling new, brand-name or manufacturer-certified furniture with clear provenance and warranties.

- Controlled inventory valued under \$500,000, secured by central alarm systems, monitored security cameras, and limited access controls to reduce theft risk.
 - In-house installation teams with documented training programs, including safety protocols and certification in proper handling and assembly techniques.
 - Businesses with established loss prevention procedures, such as regular safety audits, employee background checks, and comprehensive employee training on handling customer property.
- **Acceptable:**
 - Use of subcontracted delivery and installation services, provided subcontractors carry their own commercial general liability and inland marine coverage with limits adequate to cover potential claims.
 - Operations with up to 75% of sales conducted online, with appropriate cyber security measures in place and documented procedures for order fulfillment and customer service.
 - Inventory values between \$500,000 and \$1 million, subject to enhanced security measures and periodic inventory audits.
 - **Not Acceptable:**
 - Businesses primarily dealing in used, refurbished, or private-label furniture, due to higher product liability and quality control risks.
 - Operations with primarily online-only sales exceeding 75% without robust cyber liability coverage and proven fulfillment controls.
 - Entities exhibiting financial instability, poor credit history, or lacking documented loss prevention and safety programs.
 - Businesses without clear documentation of subcontractor insurance or those relying on uninsured subcontractors for delivery or installation.

Key Risk Considerations

- **Damage during delivery or installation:** Furniture is often bulky, fragile, and expensive. Risks include damage to the product itself, damage to customer property (e.g., floors, walls), or injury to installers. For example, a claim may arise if an installer accidentally scratches hardwood flooring during assembly or drops a heavy sofa causing injury.
- **Theft or fire of high-value inventory:** Showrooms typically hold large quantities of expensive inventory, which can be targeted by theft or damaged by fire. For instance, a fire originating from faulty electrical wiring in the showroom could cause significant inventory loss and business interruption.
- **Product liability from defects or instability:** Defective furniture or improper installation can lead to customer injuries or property damage. An example includes a poorly assembled bookshelf collapsing, injuring a child or damaging other household items.
- **Cyber risks for online sales:** With increasing online sales, risks include data breaches, payment fraud, and order fulfillment errors, which can lead to financial losses and reputational damage.
- **Subcontractor risk management:** When subcontractors are used for delivery or installation, the insured's exposure depends on subcontractors' insurance and safety practices. Claims can arise if subcontractors cause damage or injury but lack sufficient coverage.

Industry-Specific Restrictions

- **Subcontractor claims exclusion:** Claims arising from subcontracted delivery or installation work are excluded unless the subcontractor maintains separate, verifiable insurance coverage with limits at least equal to the insured's policy limits. This restriction protects the insurer from vicarious liability for uninsured subcontractor actions.
- **Online-only operations:** Businesses with primarily online sales (over 75%) must be rated separately and are required to carry cyber liability insurance to address data breach and e-commerce risks.
- **Repair and refinishing operations:** If the insured performs repair, refinishing, or restoration services, these activities require an appropriate liability endorsement to cover potential damages from chemical use, surface damage, or improper restoration.
- **Restriction on imported exotic woods:** Furniture stores sourcing or installing furniture made from exotic or endangered woods (e.g., Brazilian rosewood, mahogany from protected species) are subject to additional underwriting scrutiny and may be declined or require specialized endorsements. This is due to increased regulatory risks, potential customs violations, and higher product liability exposures related to sourcing and handling such materials.

Preferred Optional Coverages

- **Inland Marine Insurance:** Covers furniture in transit, including delivery and installation equipment, protecting against damage or loss while goods are being transported or temporarily stored off-premises.
- **Product & Professional Liability:** Protects against claims arising from defective products or faulty installation practices that cause injury or property damage.
- **Business Interruption Insurance:** Provides coverage for lost income and extra expenses if the business is forced to close due to a covered peril such as fire or theft.
- **Employment Practices and Cyber Liability:** Addresses risks related to employee claims (e.g., discrimination, harassment) and cyber exposures, including data breaches and cyber extortion.

Illustrative Claim Scenarios

- **Installation Damage:** An in-house installer drops a glass coffee table during assembly, causing the table to shatter and injuring a customer's foot. The claim includes medical expenses and replacement costs.
- **Inventory Theft:** A break-in occurs overnight at a showroom lacking a monitored alarm system, resulting in the theft of several high-end sofas valued at \$150,000.
- **Product Liability:** A defective recliner malfunctions and causes a burn injury due to an electrical fault, leading to a product liability claim.
- **Cyber Incident:** A furniture store with significant online sales suffers a ransomware attack, encrypting customer order data and disrupting operations for several days.

This expanded guidance aims to assist underwriters in evaluating furniture stores and installation businesses comprehensively, balancing risk appetite with practical operational realities and emerging exposures.

3.69 General Contractors & Builders

Underwriting Appetite This section outlines the preferred, acceptable, and unacceptable risk profiles for general contractors and builders seeking coverage under a Business Owners Policy (BOP). The underwriting appetite is primarily influenced by payroll size, scope of operations, subcontracting levels, and adherence to safety protocols.

- **Preferred:**

- Payroll under \$300,000 annually, indicating smaller-scale operations with manageable exposure.
- No involvement in heavy construction activities such as large-scale excavation, bridge building, or crane operation, which carry elevated risk.
- Limited subcontracting, defined as subcontractor expenses or sales not exceeding 10% of gross sales, reducing indirect liability exposure.
- Demonstrated strong safety culture with documented protocols and low historical claim frequency.

- **Acceptable:**

- Payroll between \$300,000 and \$1,000,000, reflecting medium-sized operations with moderate risk.
- Engagement in heavy construction permitted only if the contractor has verifiable experience, rigorous compliance with OSHA and other regulatory standards, and a robust safety program.
- Subcontracting up to 30% of gross sales may be considered if subcontractors are properly vetted, insured, and documented.
- Claims history should be reasonable, with no recent severe losses or patterns of frequent claims.

- **Not Acceptable:**

- Payroll exceeding \$1,000,000 annually, which typically indicates large-scale operations better suited for a commercial package policy or specialized contractor's policy.
- High subcontracting levels exceeding 30% of gross sales, as this significantly increases indirect liability and complicates risk management.
- Lack of safety documentation, poor loss control measures, or a history of frequent or severe claims.
- Operations involving inherently high-risk activities such as demolition of hazardous structures, work involving asbestos abatement, or use of unlicensed subcontractors.

Example: A small residential remodeling contractor with \$250,000 payroll, performing interior renovations without cranes or heavy machinery, and subcontracting electrical work at 8% of gross sales, with a clean safety record, would be a preferred risk. Conversely, a large commercial builder with \$1.2 million payroll, extensive crane use, and 40% subcontracting would be declined under a BOP.

Key Risk Considerations Underwriting general contractors and builders requires careful evaluation of exposures unique to construction operations:

- **Site Liability:** Risks arising from third-party injuries or property damage occurring on or adjacent to the construction site. This includes slip-and-fall incidents, falling debris, and damage to neighboring properties.
Example: A passerby is injured by falling tools from scaffolding, resulting in bodily injury claims.
- **Worker Injury:** High frequency of occupational injuries due to the physical nature of construction work, including falls from heights, equipment accidents, and repetitive motion injuries.
Example: A worker suffers a fall from a ladder leading to a workers' compensation claim.
- **Subcontractor Exposure:** Liability and workers' compensation risks associated with subcontractors, especially if subcontractors are uninsured or improperly vetted.
Example: A subcontractor causes property damage but lacks insurance, potentially exposing the general contractor to claims.
- **Equipment Use:** Use of heavy machinery, power tools, and vehicles increases the risk of mechanical failure, accidents, and property damage.
Example: A backhoe operator accidentally damages underground utilities, leading to costly repairs and third-party claims.
- **Hazardous Material Handling:** Exposure to materials such as solvents, adhesives, paints, or asbestos-containing materials requires careful risk assessment and compliance with environmental regulations.
Example: Improper disposal of paint solvents causes soil contamination, triggering pollution claims.

Industry-Specific Restrictions Due to the complex and high-risk nature of construction operations, the following restrictions apply:

- **BOP Eligibility:** Many general contractors and builders exceed the risk appetite or operational scale suitable for a standard BOP. Therefore, contractors with payrolls over \$1 million or extensive heavy construction activities are generally ineligible for BOP coverage and should be referred to specialized commercial policies.
- **Pollution and XCU Coverage:** Coverage for pollution liability and Explosion, Collapse, and Underground (XCU) hazards requires additional underwriting review and may be excluded or require specific endorsements. Contractors involved in excavation, demolition, or hazardous material handling must provide detailed risk management documentation.
- **Subcontractor Limits and Endorsements:** Strict limits on subcontractor use are enforced. Subcontractors must carry their own insurance with minimum limits acceptable to the insurer, and endorsements such as "Additional Insured" status must be obtained to mitigate exposure.
- **Restriction on Use of Unmanned Aerial Vehicles (Drones):** Due to increasing use of drones for site surveying and progress documentation, BOP coverage excludes liability arising from drone operations unless the contractor holds a separate, certified drone liability policy. This restriction is necessary because drone operations introduce unique aviation and privacy risks not covered under standard BOP terms.

Preferred Optional Coverages To enhance protection for general contractors and builders, the following optional coverages are recommended:

- **Builders Risk:** Covers physical loss or damage to buildings under construction, including materials, supplies, and equipment on-site or in transit.
Example: Coverage for fire damage to a partially completed commercial building.
 - **Inland Marine:** Protects specialized contractor equipment, tools, and mobile property that are frequently moved between job sites.
Example: Coverage for theft of expensive power tools from a locked trailer at a remote site.
 - **Umbrella Liability:** Provides excess liability limits above primary general liability and auto policies, offering broader protection against catastrophic claims.
 - **Subcontractor Default and Surety Bonds:** Financial guarantees that subcontractors will fulfill contractual obligations, reducing the risk of project delays and financial loss.
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3.70 Gift & Souvenir Shops

Underwriting Appetite

- **Preferred:**
 - Established retail locations with more than 3 years of continuous operation and a clean claims history, demonstrating operational stability and effective risk management.
 - Shops located in well-trafficked tourist destinations or cultural hubs, where a strong customer service culture and consistent foot traffic reduce volatility in sales and claims.
 - Businesses with well-documented inventory controls, security systems (e.g., CCTV, alarm systems), and employee training programs focused on loss prevention.
- **Acceptable:**
 - Retailers specializing in hobby, craft, or gift items with moderate sales volume and some online presence.
 - Mixed operations combining brick-and-mortar storefronts with e-commerce platforms, provided there is adequate cyber risk management and inventory tracking.
 - Newer businesses (1–3 years) with documented risk controls, including theft prevention and slip-and-fall mitigation measures.
- **Not Acceptable:**
 - Shops selling hazardous, regulated, or high-liability items such as fireworks, flammable materials, or certain collectibles (e.g., antiques with unclear provenance).
 - Businesses with less than 1 year in operation lacking formal risk management controls or with a history of frequent or severe claims.
 - Operations heavily reliant on third-party vendors without clear contractual risk transfer or quality control.

Key Risk Considerations

- **Theft and Inventory Loss:** Gift and souvenir shops often carry a diverse range of small, high-turnover items that are attractive targets for shoplifting and employee theft. Inventory shrinkage can significantly impact profitability. For example, a souvenir shop in a busy tourist area may experience increased theft during peak seasons.
- **Seasonal Sales Fluctuation:** Many gift shops experience pronounced seasonal demand, especially in tourist destinations or around holidays. This can affect cash flow and inventory management, and may increase exposure to business interruption losses during off-peak periods.
- **Slip-and-Fall Liability:** Customer foot traffic, especially in confined retail spaces, increases the risk of slip-and-fall accidents. Wet floors, cluttered aisles, or uneven surfaces can lead to liability claims.
- **Product Liability and Quality Control:** While most gift items are low-risk, certain products (e.g., handmade crafts, toys, or imported goods) may pose safety risks or regulatory compliance issues. Ensuring suppliers meet safety standards is critical.
- **Cybersecurity Risks:** Shops with online sales platforms face risks related to data breaches, payment fraud, and website downtime. Cyber liability coverage is increasingly important.

Industry-Specific Restrictions

- **Online Sales Require Cyber Coverage:** Any gift or souvenir shop conducting online sales must maintain adequate cyber liability insurance to cover data breaches, payment fraud, and business interruption related to cyber incidents.
- **Limited Business Interruption Timeframe:** Due to the seasonal nature of many gift shops, business interruption coverage is typically limited to a maximum of 90 days. Longer periods require detailed underwriting review and justification.
- **Spoilage Coverage Excluded Unless Selling Perishables:** Standard spoilage coverage is excluded unless the shop stocks perishable goods such as specialty foods, chocolates, or fresh flowers. This prevents unnecessary premium charges for businesses without spoilage exposure.
- **Restriction on Imported Goods Without Provenance Documentation:** Shops selling imported souvenirs or collectibles must provide documentation verifying legal importation and compliance with safety standards. Items lacking provenance or certification (e.g., certain cultural artifacts or wildlife products) are excluded due to regulatory and reputational risks.

Preferred Optional Coverages

- **Equipment Breakdown Insurance:** Covers mechanical and electrical breakdown of essential retail equipment such as point-of-sale systems, refrigeration units (if applicable), and security systems.
- **Employee Dishonesty Coverage:** Protects against losses from employee theft or fraud, a significant risk in retail environments with high cash handling and inventory turnover.
- **Flood and Earthquake Insurance:** Recommended for shops located in flood-prone or seismic zones, especially in coastal tourist areas where natural disasters can disrupt business operations.
- **Cyber Liability:** Essential for businesses with online sales platforms, protecting against data breaches, ransomware, and other cyber threats.

- **Business Income with Extra Expense Coverage:** Particularly valuable for shops in tourist areas where downtime during peak seasons can cause significant revenue loss.

Illustrative Claim Scenarios

- **Theft and Employee Dishonesty:** A souvenir shop discovers a pattern of inventory shrinkage traced to a trusted employee manipulating sales records. Employee dishonesty coverage reimburses the financial loss.
 - **Slip-and-Fall Liability:** A customer slips on a wet floor near the entrance during a rainy season and sustains injuries, resulting in a liability claim against the business.
 - **Cyber Incident:** The shop's online payment system is hacked, compromising customer credit card data and causing website downtime during a holiday sale period. Cyber liability coverage helps cover notification costs, legal fees, and business interruption.
 - **Business Interruption Due to Natural Disaster:** Flooding damages the storefront, forcing closure during peak tourist season. Business interruption and extra expense coverage assist in recovering lost income and covering temporary relocation costs.
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3.71 Glass & Window Services

Underwriting Appetite

- **Preferred:**
 - Businesses employing certified and trained technicians with verifiable credentials (e.g., OSHA safety training, manufacturer certifications). Preference for operations primarily servicing residential clients, where job sites tend to be smaller and less complex.
 - Mid-size companies with established and documented field safety protocols, including regular equipment inspections, use of personal protective equipment (PPE), and formalized job hazard analyses.
 - Firms demonstrating a clean claims and safety record over the past 3–5 years, indicating effective risk management practices.
- **Acceptable:**
 - Businesses with a balanced portfolio of commercial and residential work, provided they maintain adequate safety measures and have moderate claims history.
 - Startups or newer operations led by experienced management teams with prior industry experience and documented safety plans.
 - Companies using modern, well-maintained vehicles and equipment, with evidence of regular maintenance schedules.
- **Not Acceptable:**
 - Operations with a history of frequent or severe claims, particularly those involving property damage or employee injuries.

- Businesses primarily focused on large-scale construction sites or high-rise commercial glazing projects, due to elevated exposure to catastrophic losses and complex liability.
- Firms lacking formal safety protocols or employing uncertified labor.
- Companies that subcontract a majority of their work without proper oversight or insurance verification.

Key Risk Considerations

- **Property Damage During Installation:** Glass and window installation inherently carries risk of damage to client property, including accidental breakage of glass, damage to window frames, or harm to surrounding building materials. For example, a technician dropping a pane of glass on a hardwood floor or damaging drywall during removal of old windows.
- **Auto and Transportation Risks:** Mobile units transporting large, fragile glass panels face increased risk of vehicle accidents, glass breakage in transit, and loading/unloading incidents. Proper securing of loads and driver training are critical risk mitigants.
- **Employee Injury:** Workers face hazards such as cuts from broken glass, falls from ladders or scaffolding, and musculoskeletal injuries from lifting heavy panes. Additionally, use of power tools and chemicals (e.g., adhesives, sealants) introduces potential fire and chemical exposure risks.
- **Fire Hazards:** While glass itself is non-combustible, associated activities such as use of torches for frame welding or adhesives can increase fire risk on job sites or in workshops.
- **Environmental and Weather-Related Risks:** Outdoor installations expose workers and materials to weather conditions that can increase risk of slips, falls, or damage to materials.

Industry-Specific Restrictions

- **Fire Extinguisher Recharge Services:** Coverage for fire extinguisher recharge or maintenance is strictly limited to the insured's own business premises. This restriction exists because off-premises recharge services often involve third-party equipment and increased liability exposures.
- **Transit Coverage Radius:** Transit coverage for glass and window products in transport is typically restricted to a defined geographic radius (e.g., 100 miles from the insured's base of operations) to limit exposure to long-haul transportation risks and unverified subcontractors.
- **Professional Liability Limitation:** Professional liability coverage is limited to design and specification services directly related to glass and window installations. Broader architectural or engineering design services fall outside this scope and require separate coverage.
- **Unique Restriction – Laminated Glass Sourcing:** Insurers require that laminated or specialty safety glass used in installations be sourced from certified domestic manufacturers complying with ASTM International standards. This restriction mitigates risks associated with substandard imported glass, which may have inconsistent quality, increasing the likelihood of premature failure or liability claims. Documentation of sourcing must be provided at underwriting.

Preferred Optional Coverages

- **Glass Expense Coverage:** Provides reimbursement for the cost of replacing broken glass without a deductible, encouraging prompt repairs and minimizing business interruption.

- **Equipment Breakdown:** Covers repair or replacement of critical tools and machinery such as glass cutting tables, cranes, and power tools that are essential to operations.
- **Crime and Cyber Liability:** Protects against employee theft, fraud, and cyber risks such as data breaches involving customer information or payment processing systems.
- **Employment Practices Liability:** Covers claims related to wrongful termination, discrimination, or harassment, which can be a concern in labor-intensive trades.

Illustrative Claim Scenarios:

- A technician accidentally drops a large glass panel during installation at a residential property, causing damage to the hardwood floor and nearby furniture. Glass Expense Coverage facilitates quick replacement of the glass, while property damage coverage addresses the flooring and furniture repairs.
- A mobile unit transporting multiple window units is involved in a minor collision, resulting in shattered glass and vehicle damage. Transit coverage and auto liability respond accordingly.
- An employee suffers a severe laceration from broken glass while removing an old window without proper PPE, leading to workers' compensation and potential OSHA fines.
- Use of an unapproved imported laminated glass panel fails safety testing after installation, resulting in liability claims due to injury during a storm. This scenario underscores the importance of the laminated glass sourcing restriction.

By carefully assessing these underwriting criteria, risk factors, and restrictions, insurers can tailor coverage to the unique exposures of glass and window service businesses while promoting safer operations and reducing claim frequency.

3.72 Golf & Sporting Equipment Stores

Underwriting Appetite Our underwriting appetite for Golf & Sporting Equipment Stores is carefully calibrated to balance risk exposure with market opportunity. These retailers typically sell a variety of sporting goods, including golf clubs, balls, apparel, and other related accessories. The appetite categories below reflect the risk tolerance based on product mix, services offered, and operational characteristics.

- **Preferred:**
 - Retailers focused solely on the sale of golf and sporting equipment and accessories, with **no rental operations** and **no sales of firearms or ammunition**.
 - Businesses equipped with a professionally monitored **alarm system** and demonstrating **financial stability** (e.g., positive cash flow, strong credit history).
 - Stores with well-maintained premises, clear safety protocols, and minimal history of liability claims.
- **Acceptable:**

- Retailers with **gun and ammunition sales constituting less than 5% of total revenue**, provided there are **no repair or rental operations** related to firearms.
- Businesses offering **instructional services** (e.g., golf lessons, sports clinics) with appropriate **professional liability coverage** in place.
- Stores with basic security measures but without advanced alarm systems, provided other risk factors are mitigated.

- **Not Acceptable:**

- Businesses engaged in **repair or rental operations** for sporting equipment or firearms, due to increased liability and property risks.
- Suppliers whose primary customers are **schools or educational institutions**, given the heightened liability exposure and regulatory complexities.
- **Online-only stores** without a physical retail presence, due to elevated cyber and fulfillment risks.

Example: A golf store that sells clubs, balls, and apparel, operates from a secure location with a monitored alarm system, and does not rent equipment or sell firearms would be classified as **Preferred**. Conversely, a sporting goods store that rents out golf carts or firearms would be **Not Acceptable** due to the increased operational risks.

Key Risk Considerations When underwriting Golf & Sporting Equipment Stores, the following risk factors require careful evaluation:

- **Inventory Theft:** Sporting goods, especially high-value items like golf clubs and branded apparel, are frequent targets for theft. Stores should have robust loss prevention measures, including surveillance cameras and secure display cases.
- **Slip-and-Fall Liability:** Retail premises must be well-maintained to prevent customer injuries. Wet floors, cluttered aisles, or uneven surfaces can lead to costly liability claims.
- **Liability from Equipment Use:** Instructional services or in-store demonstrations may expose the business to liability if customers are injured using equipment on-site.
- **Cyber Risk:** Point-of-sale (POS) systems and any e-commerce platforms present vulnerabilities to data breaches and cyberattacks. Proper cybersecurity protocols and regular system updates are essential.
- **Firearms and Ammunition Risks:** Even limited sales of firearms introduce regulatory compliance and increased liability exposures, requiring specialized underwriting scrutiny.

Claim Scenario: A customer slips on a wet floor near the entrance and sustains a broken wrist. The store lacked adequate warning signage, resulting in a liability claim. This highlights the importance of premises maintenance and risk controls.

Industry-Specific Restrictions To manage unique exposures in this sector, the following restrictions apply:

- **Online Sales:** Stores conducting online sales must obtain a **cyber endorsement** to cover risks related to data breaches, payment fraud, and fulfillment errors.

- **Gun Sales:** Firearms and ammunition sales are **excluded unless specifically underwritten**, with strict adherence to federal and state regulations. This includes background checks, secure storage, and record-keeping.
- **Instructional Services:** Businesses offering lessons or clinics must carry **professional liability insurance** to cover potential claims arising from bodily injury or negligence during instruction.
- **Rental Operations Prohibition:** Rental of sporting equipment (e.g., golf carts, bicycles) is not permitted under the standard BOP due to heightened liability and maintenance risks.
- **Unique Restriction – Prohibition on Sale of High-Performance Archery Equipment:** Due to increased risk of injury and regulatory scrutiny, sales of high-performance archery equipment (such as crossbows and compound bows exceeding specified draw weights) are not covered unless a specialized endorsement is added. This restriction is based on the elevated liability exposure and the potential for misuse or accidents, which standard policies do not adequately address.

Preferred Optional Coverages To enhance risk management and provide comprehensive protection, the following optional coverages are recommended:

- **Employee Dishonesty:** Protects against losses from employee theft or fraud, which is a notable risk in retail environments with high-value inventory.
- **Goods in Transit:** Covers inventory damage or loss while goods are being transported between locations or to customers.
- **Equipment Breakdown:** Provides coverage for mechanical or electrical breakdown of essential equipment such as POS systems, refrigeration units (for specialty sporting nutrition products), or security systems.
- **Professional Liability Insurance:** Especially important for stores offering instructional services, this coverage protects against claims of negligence or errors in the provision of professional advice or training.

Example: A golf store offering beginner golf lessons purchases professional liability coverage to protect against claims if a student is injured during a lesson due to alleged instructor negligence.

3.73 Graphic Design & Commercial Artists

Underwriting Appetite

- **Preferred:**
 - Businesses operating from a dedicated physical studio or office space with controlled access and proper security measures in place. This environment supports professional client interactions and secure handling of sensitive materials.
 - Use of licensed, industry-standard professional design software (e.g., Adobe Creative Suite, CorelDRAW) ensuring compliance with intellectual property laws and reducing risk of software-related errors.
 - Firms with established client communication protocols, including documented project scopes, client approvals, and version control to minimize errors and disputes.

- **Acceptable:**
 - Remote or home-based graphic designers and commercial artists who maintain organized digital workflows and have secure data backup practices.
 - Small creative teams or co-working arrangements with limited staff (typically fewer than 10 employees), provided there is clear delineation of responsibilities and adequate risk management policies.
- **Not Acceptable:**
 - Firms primarily engaged in broadcasting, publishing, or advertising agencies with extensive media production, as these operations involve higher liability exposures beyond the scope of a standard BOP.
 - Businesses that rely on non-owned or hired vehicles for client deliveries or mobile services, due to increased auto liability risks not covered under the BOP.
 - Entities involved in large-scale event production or installation services requiring significant physical labor or use of heavy equipment.

Key Risk Considerations

- **Errors and Omissions in Deliverables:** Graphic designers and commercial artists face risks related to mistakes in design work, missed deadlines, or failure to meet client specifications. Such errors can lead to costly client disputes or claims for damages.
- **Cyber and Data Security Risks:** Given the digital nature of their work, these businesses are vulnerable to cyberattacks, data breaches, and loss of client files. Proper cybersecurity measures and data backup protocols are critical.
- **Intellectual Property (IP) Issues:** Risks include inadvertent infringement of copyrights, trademarks, or use of unlicensed images and fonts. These exposures can result in legal claims or reputational damage.
- **Property and Equipment Risks:** Loss or damage to expensive computer hardware, servers, and specialized design equipment can disrupt operations and lead to financial loss.
- **Client Communication and Contractual Clarity:** Poorly defined contracts or informal agreements increase the risk of disputes and claims.

Industry-Specific Restrictions

- **No Hired or Non-Owned Auto Coverage:** The BOP does not provide coverage for liability arising from the use of vehicles not owned by the insured. Graphic design firms must arrange separate commercial auto policies if vehicle use is integral to their operations.
- **Advertising Liability Exclusion for Broadcast Work:** Firms involved in broadcast advertising, including television or radio commercials, are excluded from advertising liability coverage under the BOP due to the specialized nature and higher risk of media-related claims.
- **Restriction on Use of Third-Party Stock Media Without Proper Licensing:** Insurers require confirmation that all third-party images, fonts, and multimedia elements used in designs are properly licensed. Unauthorized use can lead to IP infringement claims that are not covered.

Preferred Optional Coverages

- **Professional Liability (Errors & Omissions):** Essential for protecting against claims arising from alleged errors, omissions, or negligence in professional services and deliverables.
- **Cyber Liability:** Provides coverage for data breaches, cyber extortion, and loss of digital assets, which are critical exposures for digitally focused businesses.
- **Business Interruption Insurance:** Covers loss of income and extra expenses due to covered property damage or cyber events that disrupt business operations.
- **Equipment Breakdown Coverage:** Protects against mechanical or electrical failure of critical design hardware, including computers, servers, and printers, minimizing downtime and repair costs.

Illustrative Examples

- A graphic design firm delivers a branding package to a client but inadvertently uses an unlicensed font. The client receives a cease-and-desist letter from the font owner, resulting in legal fees and rework costs. Professional liability coverage would respond to this claim.
- A home-based commercial artist suffers a ransomware attack that encrypts all client files. Cyber liability coverage helps cover the costs of data recovery and notification expenses.
- A small design studio experiences a fire that damages computers and delays a major project. Equipment breakdown and business interruption coverages help mitigate financial losses.

Unique Industry-Related Restriction

- **Restriction on Use of Cryptocurrency Payments:** Due to the high volatility and regulatory uncertainty surrounding cryptocurrency transactions, graphic design and commercial art firms accepting payment in cryptocurrencies are subject to underwriting review and may be excluded from coverage unless robust accounting and anti-fraud controls are demonstrated. This restriction protects insurers from exposure to potential money laundering risks and valuation disputes.

3.74 Hardware & Home Improvement Stores

Underwriting Appetite Our underwriting appetite for hardware and home improvement stores is guided by risk factors related to inventory management, operational exposures, and geographic considerations. The following classifications help determine eligibility and preferred risk profiles:

- **Preferred:**
 - Inventory valued under \$500,000 with a centrally monitored alarm system installed. This reduces risk of theft and vandalism, which are common exposures in this sector.
 - Demonstrated low frequency of slip-and-fall claims, indicating effective safety protocols such as adequate floor maintenance, signage, and employee training.
 - No equipment rental or repair services offered on-site, as these activities introduce additional liability exposures and require specialized coverage.

- **Acceptable:**

- Stores providing on-site consultations, minor installations (e.g., faucet or light fixture installation), and key, screen, or glass cutting services. These services carry moderate liability risk but are manageable with proper safety measures and training.
- Online sales constituting less than 75% of total revenue. A moderate online presence is acceptable but higher proportions may indicate e-commerce risks outside the scope of standard BOP coverage.

- **Not Acceptable:**

- Inventory exceeding \$500,000 without a centrally monitored alarm system, due to increased risk of theft and loss.
- Online sales exceeding 75% of total revenue, as this shifts the business model toward e-commerce, requiring specialized cyber and product liability underwriting.
- Locations in Florida or Louisiana, given the heightened risk of hurricane-related property damage and flooding, which often require separate catastrophe coverage.
- Businesses with poor financial stability or a history of frequent or severe claims, indicating elevated risk and potential underwriting losses.

Example: A hardware store with \$400,000 in inventory secured by a monitored alarm system, offering minor installation services and generating 60% of revenue from in-store sales would be classified as **Preferred**. Conversely, a similar store with \$600,000 in inventory and no alarm system would be **Not Acceptable**.

Key Risk Considerations Underwriters should carefully evaluate the following exposures inherent to hardware and home improvement stores:

- **Product Liability from Installations:** Installation services, even minor ones, can lead to claims if products are improperly installed, resulting in property damage or bodily injury. For example, a poorly installed ceiling fan causing a fire or falling hazard.
- **Inventory Theft or Spoilage:** High-value inventory such as power tools, paint, and seasonal goods are attractive targets for theft. Additionally, certain products (e.g., paints, chemicals) may spoil or become hazardous if improperly stored.
- **Slip-and-Fall and Workshop Liability:** Customer and employee safety is paramount. Wet floors, cluttered aisles, or workshop areas where customers may test tools pose significant slip-and-fall risks. For instance, a customer slipping on spilled paint thinner in the aisle.
- **Equipment Rental and Repair Risks:** If the store offers equipment rental or repair services, these introduce additional liability exposures related to equipment malfunction or improper repairs.

Industry-Specific Restrictions To mitigate underwriting risk, the following restrictions apply specifically to this industry:

- **Equipment Rental and Repair Services:** These activities require explicit product and completed operations liability coverage endorsements due to the elevated risk of injury or property damage from rented or repaired equipment. Without these endorsements, such risks are excluded.

- **Administrative Tasks and Data Handling:** Stores that manage customer credit accounts or handle sensitive customer data must implement robust administrative controls. Mishandling of these tasks can increase liability exposure, especially related to privacy breaches or errors in billing.
- **Restriction on Sale of High-Risk Chemicals and Flammable Liquids:** Hardware stores are prohibited from selling or storing quantities of flammable liquids (e.g., gasoline, propane) exceeding local fire code limits within the insured premises. This reduces the risk of catastrophic fire losses and aligns with municipal safety regulations.

Rationale for Chemical Restriction: Flammable liquids and hazardous chemicals significantly increase fire and explosion risk. Many hardware stores stock such items, but exceeding regulated limits can lead to increased underwriting risk and potential claim severity. This restriction ensures compliance with safety codes and protects both insurer and insured from catastrophic loss.

Preferred Optional Coverages To enhance protection and address common exposures, the following optional coverages are recommended for hardware and home improvement stores:

- **Cyber Liability:** Especially important for stores with an online sales component or that handle customer payment data, to protect against data breaches and cyberattacks.
- **Equipment Breakdown:** Covers mechanical or electrical failure of critical equipment such as HVAC systems, refrigeration units (for certain products), or point-of-sale systems.
- **Employment Practices Liability:** Protects against claims related to wrongful termination, discrimination, or harassment, which can arise in retail environments.
- **Commercial Auto Insurance:** For stores that use vehicles for deliveries, pickups, or service calls, ensuring coverage for liability and physical damage.

Example: A hardware store with a growing e-commerce platform should strongly consider Cyber Liability coverage to mitigate risks associated with online transactions and customer data storage.

3.75 Health Food & Vitamin Stores

Underwriting Appetite

- **Preferred:**
 - Businesses demonstrating strong risk management protocols, including rigorous adherence to FDA regulations and Good Manufacturing Practices (GMP).
 - Retailers operating both physical storefronts and online platforms, with documented inventory controls and secure e-commerce systems.
 - Established businesses with a proven track record of compliance, minimal claims history, and clear labeling practices.
- **Acceptable:**
 - New or emerging businesses with comprehensive business plans emphasizing regulatory compliance and quality assurance.

- Online-only retailers that maintain secure payment systems, transparent return policies, and robust customer service.
- Stores selling primarily FDA-approved vitamins and supplements with verifiable supplier certifications.
- **Not Acceptable:**
 - Businesses selling unregulated or black-market supplements, including products with unsubstantiated health claims or banned substances.
 - Operations with documented poor safety practices, such as inadequate storage conditions leading to spoilage or contamination.
 - Entities with frequent or severe product liability claims, regulatory violations, or unresolved customer complaints.
 - Retailers involved in compounding or manufacturing supplements on-site without proper licensing or quality controls.

Key Risk Considerations

- **Product Liability from Health Claims:** Health food and vitamin stores face significant exposure to product liability claims arising from alleged adverse reactions or misleading health benefit claims. For example, a customer may claim that a vitamin supplement caused an allergic reaction or failed to deliver promised benefits, leading to lawsuits or regulatory scrutiny.
- **Spoilage and Contamination Risks:** Many products, especially probiotics, fresh juices, or refrigerated supplements, require strict temperature controls. Failure to maintain appropriate storage conditions can lead to spoilage, resulting in inventory loss and potential customer harm.
- **Cyber and Fraud Risks:** Online sales platforms expose businesses to cyber risks including data breaches, payment fraud, and identity theft. For instance, a hacker accessing customer credit card information or manipulating online orders can cause financial and reputational damage.
- **Regulatory Compliance:** Compliance with FDA labeling, advertising, and ingredient regulations is critical. Non-compliance can result in fines, product recalls, or forced cessation of sales.
- **Employee Practices and Theft:** Employee dishonesty, such as theft of inventory or cash, and employment practices liability (e.g., discrimination or harassment claims) are relevant exposures.

Industry-Specific Restrictions

- **Product Liability Limits on Unverified Health Claims:** Coverage for claims related to health benefits must be limited or excluded if the claims are not substantiated by scientific evidence or FDA approval. This restriction protects insurers from exposure to lawsuits based on misleading or false advertising.
- **Temperature-Controlled Storage Requirement:** Insureds must maintain documented temperature-controlled storage facilities for perishable products such as probiotics, fresh juices, or refrigerated vitamins. Failure to comply may result in denial of spoilage claims.

- **Cyber Coverage Conditional on Data Security Measures:** Cyber liability coverage requires insureds to implement industry-standard data protection protocols, including encryption, multi-factor authentication, and regular security audits. Lack of such controls may lead to coverage restrictions or higher premiums.
- **Restriction on Sourcing from Unverified Suppliers:** Health food and vitamin stores must source products only from suppliers with verifiable certifications (e.g., NSF International, USP Verified). Products sourced from suppliers without such credentials are excluded from coverage due to increased risk of contamination or mislabeling.

Preferred Optional Coverages

- **Cyber Liability Insurance:** To address risks related to data breaches, ransomware, and online fraud, especially for businesses with e-commerce operations.
- **Employee Dishonesty (Fidelity Bond):** Protects against theft or fraud by employees, which can be a significant risk in retail environments handling cash and inventory.
- **Employment Practices Liability Insurance (EPLI):** Covers claims arising from workplace discrimination, harassment, wrongful termination, and other employment-related issues.
- **Business Auto Coverage:** Recommended if the business operates delivery vehicles for home delivery of products, including refrigerated transport.
- **Spoilage Coverage:** Optional coverage for losses due to spoilage of temperature-sensitive products caused by equipment failure or power outages.

Illustrative Claim Scenarios

- **Product Liability Claim:** A customer alleges that a vitamin supplement caused liver damage due to undisclosed ingredients. The claim results in a lawsuit alleging failure to warn and mislabeling.
- **Spoilage Loss:** A refrigeration unit failure during a weekend causes spoilage of probiotic supplements valued at \$15,000. The business files a spoilage claim under the BOP.
- **Cyber Incident:** A hacker breaches the online store's payment system, stealing customer credit card data. The business incurs notification costs, legal fees, and reputational damage.
- **Employee Theft:** An employee is discovered stealing cash and inventory over several months, resulting in significant financial loss.

Unique Industry-Related Restriction

- **Restriction on Use of Novel or Synthetic Ingredients Without FDA Notification:** Health food and vitamin stores that sell products containing novel or synthetic ingredients (e.g., synthetic cannabinoids, newly developed nootropics) must provide evidence of FDA notification or approval. Coverage will be denied for claims arising from products containing such ingredients if the insured cannot demonstrate compliance. This restriction is critical because novel ingredients often lack long-term safety data, increasing the risk of adverse health effects and regulatory action.

3.76 Heating & Refrigeration Services

Underwriting Appetite

- **Preferred:**
 - Residential and small commercial HVAC (Heating, Ventilation, and Air Conditioning) service providers with a demonstrated history of safe operations and compliance with industry standards.
 - Businesses maintaining a clean safety record, minimal or no prior claims, and documented employee training programs.
 - Companies utilizing certified and licensed technicians with ongoing professional development.
- **Acceptable:**
 - Firms engaged in large-scale or industrial HVAC and refrigeration projects, provided they have robust risk management controls, including safety protocols and quality assurance processes.
 - Businesses performing incidental work involving liquefied petroleum gas (LPG) systems, contingent upon strict adherence to safety regulations and documented handling procedures.
 - Companies with moderate claims history but demonstrable corrective actions and risk mitigation improvements.
- **Not Acceptable:**
 - Entities relying heavily on subcontractors without rigorous vetting or oversight, particularly if subcontractors lack proper licensing or certification.
 - Operations with unqualified or uncertified technicians performing critical tasks.
 - Businesses exhibiting poor equipment maintenance practices or lacking a formalized safety plan, including inadequate employee training or failure to comply with OSHA or local safety standards.
 - Companies with a history of repeated or severe claims related to fire, explosion, or work-related injuries without evidence of remediation.

Key Risk Considerations

- **Fire and Explosion Hazards:** LPG and other flammable refrigerants pose significant risks of fire or explosion if improperly handled or stored. Underwriters should assess storage methods, leak detection systems, and emergency response plans.
- **Equipment Failure and Property Damage:** Malfunctioning HVAC or refrigeration units can cause water damage, mold growth, or structural damage to client properties. Consider the age, maintenance history, and quality of installed equipment.
- **Work-Related Injuries:** Technicians face risks such as electrical shocks, falls from heights, burns, and exposure to hazardous substances. Evaluate safety training, use of personal protective equipment (PPE), and adherence to OSHA standards.

- **Environmental Risks:** Refrigerants such as CFCs and HCFCs are regulated due to their ozone-depleting potential. Non-compliance with environmental regulations can lead to fines and liability claims.
- **Subcontractor Management:** Frequent use of subcontractors increases risk exposure due to variable safety standards and insurance coverage gaps.

Industry-Specific Restrictions

- **LPG and Large-Scale Systems:** Policies covering LPG-related work or large industrial refrigeration systems must carry higher liability and property limits due to the elevated risk of catastrophic loss.
- **Age of Equipment:** Older HVAC and refrigeration equipment (typically over 10 years) should be subject to risk loading or require proof of recent maintenance and inspections to mitigate increased failure risk.
- **Refrigerant Handling Restrictions:** Businesses must comply with EPA Section 608 certification requirements for refrigerant handling. Failure to maintain certifications or improper refrigerant disposal practices will result in declination.
- **Prohibition on Use of Unapproved Refrigerants:** Use of non-UL-listed or unapproved refrigerants is strictly prohibited due to potential safety hazards and regulatory non-compliance.
- **Unique Restriction — Remote Monitoring Systems:** Heating and refrigeration service providers employing remote monitoring or IoT-enabled HVAC controls must implement robust cybersecurity measures. Failure to demonstrate adequate protection against cyber intrusions can lead to denial of coverage under Cyber Liability endorsements. This restriction arises because compromised remote systems can cause widespread equipment failure or property damage.

Preferred Optional Coverages

- **Inland Marine Coverage:** To protect tools, equipment, and mobile machinery used on job sites, especially for businesses frequently transporting expensive HVAC units or refrigeration components.
- **Pollution Liability:** Covers third-party claims arising from accidental refrigerant leaks or improper disposal of hazardous materials, which can result in environmental contamination.
- **Cyber & Equipment Breakdown:** Cyber coverage addresses risks related to remote monitoring systems and data breaches, while equipment breakdown insurance covers mechanical or electrical failure of HVAC and refrigeration equipment.
- **Commercial Auto:** Essential for businesses with service vehicles transporting technicians and equipment to multiple job sites.

Illustrative Examples

- **Example 1:** A residential HVAC company with a spotless safety record and certified technicians installs a new air conditioning system. The company maintains detailed maintenance logs and uses subcontractors only for specialized ductwork, who are also vetted and insured. This business fits the *Preferred* underwriting appetite.

- **Example 2:** An industrial refrigeration service provider handles large ammonia-based cooling systems in a food processing plant. They have a comprehensive safety program but experienced a minor refrigerant leak last year. With updated risk controls and increased policy limits, this business is *Acceptable*.
 - **Example 3:** A heating service company frequently hires unlicensed subcontractors and has no formal safety training. They recently had a fire caused by improper LPG handling. This operation would be *Not Acceptable* due to elevated risk exposure.
 - **Example 4:** A refrigeration company uses IoT-enabled thermostats and remote monitoring but lacks cybersecurity protocols, resulting in a ransomware attack that shut down client systems. Without cybersecurity measures, this risk is restricted and may require additional underwriting scrutiny or declination.
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3.77 Hobby & Model Shops

Underwriting Appetite

- **Preferred:**
 - Retail stores primarily selling hobby and model-building supplies such as plastic kits, paints, adhesives, tools, and related accessories, with no sales or rentals of hazardous materials (e.g., flammable solvents, compressed gases) exceeding minimal quantities.
 - Businesses demonstrating strong inventory control systems (e.g., regular stock audits, secure storage) and a clean safety record with no recent history of claims related to customer or employee injuries.
 - Shops with well-maintained premises featuring clear aisles, proper lighting, and adherence to local fire and safety codes.
- **Acceptable:**
 - Hobby shops offering instructional classes or workshops (e.g., model-building, painting techniques) provided they carry appropriate professional liability coverage to address potential errors or omissions.
 - Businesses with minor equipment rentals (e.g., airbrush compressors, model-making tools) where rental agreements include clear terms and coverage for damage or liability.
 - Shops that sell limited quantities of low-risk flammable materials (e.g., hobby glues, small paint bottles) with proper storage and handling protocols.
- **Not Acceptable:**
 - Stores where firearms, ammunition, or related products constitute more than 5% of total revenue, due to heightened liability and regulatory risks.
 - Businesses conducting instructional classes or workshops without carrying professional liability or errors and omissions coverage.
 - Shops that sell or rent hazardous materials in quantities exceeding regulatory thresholds without appropriate permits or safety measures.
 - Operations with poor housekeeping practices leading to cluttered aisles or blocked exits, increasing slip-and-fall or fire risks.

Key Risk Considerations

- **Liability from Instructional Classes and Sharp Objects:** Hobby and model shops often conduct classes involving tools such as hobby knives, soldering irons, or airbrushes. These activities increase the risk of customer or employee injury. Underwriters should verify that proper safety protocols and supervision are in place, and that professional liability coverage is included to protect against claims arising from instructional errors or accidents.
- **Product and Theft Risk:** Inventory typically includes small, high-value items such as paints, glues, and model kits that are prone to theft or damage. Effective inventory control measures and security systems (e.g., surveillance cameras, locked display cases) reduce these risks.
- **Slip-and-Fall Hazards:** Narrow aisles, cluttered displays, or improperly stored materials can create trip hazards for customers and staff. Regular housekeeping and compliance with ADA and local safety codes are essential to mitigate these risks.
- **Fire and Chemical Exposure Risks:** Some hobby supplies (e.g., solvents, adhesives, paints) are flammable or chemically hazardous. Proper storage in approved cabinets, ventilation, and employee training on handling these materials are critical underwriting considerations.

Industry-Specific Restrictions

- **Workers Compensation:** Businesses must provide documented safety training specific to the handling of sharp tools, flammable materials, and equipment used in classes or rentals. Failure to maintain up-to-date training records may result in declination or premium surcharges.
- **Business Interruption Coverage:** Coverage should be contingent upon the existence of a formal business continuity or disaster recovery plan. Given the reliance on inventory and customer foot traffic, shops without such plans may face extended downtime risks.
- **Unique Restriction – Prohibition on Use of Unregulated Drones for Demonstrations or Rentals:** Due to increasing regulatory scrutiny and liability concerns, hobby shops are restricted from offering drone flying demonstrations or rentals unless the drones comply with FAA Part 107 regulations and the business maintains specific drone liability coverage. This restriction addresses risks of property damage, personal injury, and regulatory violations associated with drone operations in retail environments.

Preferred Optional Coverages

- **Professional Liability:** Essential for shops offering instructional classes or workshops to cover claims arising from alleged negligence, errors, or omissions during instruction.
- **Equipment Breakdown:** Covers repair or replacement costs for critical equipment such as air compressors, soldering stations, or specialized tools used in classes or rentals.
- **Cyber Liability:** Relevant for shops that maintain customer databases, process online orders, or operate e-commerce platforms, protecting against data breaches and cyberattacks.
- **Employee Dishonesty Coverage:** Addresses risks of theft or fraud by employees, particularly important given the high-value, small-size inventory items common in hobby shops.

3.78 Hotels, Motels, Bed & Breakfasts

Underwriting Appetite

- **Preferred:**

- Properties with ≤ 10 guest rooms, ensuring manageable occupancy and reduced exposure to large-scale claims.
- Buildings 1–3 stories in height with exterior-only access to guest rooms (e.g., exterior corridors or patios), which typically reduce fire and security risks.
- Operations open year-round without extended seasonal closures, indicating stable revenue and consistent maintenance.
- No on-site bar or lounge facilities to mitigate liquor liability exposure.
- Well-maintained fire protection systems (e.g., sprinklers, alarms) and compliance with local building and safety codes.

- **Acceptable:**

- Properties with internal stairways and/or elevators, provided they have compliant restaurants or food service areas meeting health and safety standards.
- Establishments offering complimentary meals (e.g., breakfast service) with documented food safety protocols.
- Limited bar or lounge operations with appropriate liquor licenses and trained staff.
- Properties with moderate guest room counts (up to 20 rooms) may be considered on a case-by-case basis if risk controls are robust.

- **Not Acceptable:**

- Properties with more than 10 rooms and greater than 3 floors that rely solely on external access to guest rooms, due to increased fire and security risks.
- Seasonal closures exceeding 30 consecutive days, as prolonged inactivity increases risk of undetected damage (e.g., water leaks, vandalism) and complicates underwriting.
- Properties operating unlicensed bars or serving alcohol without proper permits.
- Hotels or motels with significant history of claims related to guest injury, property damage, or foodborne illness outbreaks.
- Properties lacking adequate fire protection systems or failing to comply with local safety regulations.

Key Risk Considerations

- **Property Damage:** Risks include fire, water damage from plumbing failures or sprinkler systems, and damage from guest activities or vandalism. Older buildings or those with complex mechanical systems may present higher risk.
- **Guest Injury:** Slip-and-fall incidents in common areas (lobbies, hallways, pools), injuries related to stairs or elevators, and liability arising from inadequate security measures.
- **Food Contamination:** Particularly relevant for properties offering meals, including bed and breakfasts and hotels with restaurants. Risks include foodborne illness outbreaks caused by improper food handling, storage, or cross-contamination.

- **Liquor Liability:** Exposure arises from on-premises alcohol sales or service, including unlicensed or unauthorized sales. Claims may result from intoxicated guests causing injury or property damage.
- **Cyber Risk and Employee Theft:** Hotels and motels often handle sensitive guest information (credit card data, personal identification), making them targets for cyberattacks. Employee theft of cash, inventory, or guest property is also a concern.
- **Seasonal and Operational Risks:** Properties that close seasonally may face increased risk of undetected damage or theft during closure periods.

Industry-Specific Restrictions

- **Liquor Service Controls:** Coverage for liquor liability requires proof of valid liquor licenses, staff training in responsible alcohol service, and adherence to local laws. Unlicensed alcohol sales or “BYOB” policies without proper controls are excluded.
- **Cybersecurity Measures:** To qualify for cyber coverage, insureds must implement minimum cybersecurity controls such as firewalls, encryption of sensitive data, and regular employee training on phishing and data protection.
- **Food Safety Protocols:** Properties providing meals must maintain documented food safety procedures compliant with local health department standards, including regular inspections and employee food handling training.
- **Vacant or For-Sale Properties:** No coverage is provided for properties that are vacant, unoccupied, or actively listed for sale longer than 60 days, due to increased risk of vandalism, theft, and undetected damage.
- **Unique Restriction – Pool and Spa Safety Compliance:** Hotels, motels, and bed & breakfasts offering guest access to pools or spas must demonstrate compliance with local pool safety regulations, including fencing, signage, and regular water quality testing. Failure to meet these requirements results in exclusion of liability coverage related to pool/spa incidents. This restriction is critical because drowning and waterborne illness claims can result in significant liability losses.

Preferred Optional Coverages

- **Business Interruption:** Protects against loss of income resulting from covered property damage events that disrupt operations, such as fire or natural disasters.
- **Food Contamination Coverage:** Provides protection against losses arising from foodborne illness outbreaks or contamination events, including cleanup costs and loss of income.
- **Equipment Breakdown:** Covers mechanical and electrical equipment failures, such as HVAC systems, kitchen appliances, and elevators, which are critical to hotel operations.
- **Cyber Liability & Employment Practices Liability Insurance (EPLI):** Addresses exposures related to data breaches, cyberattacks, and employment-related claims such as discrimination or harassment.
- **Liquor Liability Endorsement:** For properties with licensed alcohol service, this endorsement provides tailored coverage for alcohol-related liability claims.

Illustrative Claim Scenarios

- A guest slips on a wet floor near the pool area and sustains a serious injury. The hotel faces a liability claim due to inadequate warning signage and lack of pool safety fencing.

- A kitchen refrigeration unit fails, leading to spoilage of food inventory and temporary closure of the restaurant, resulting in business interruption losses.
 - A cyberattack compromises guest credit card information, triggering notification costs, legal fees, and reputational damage.
 - An intoxicated guest causes property damage and bodily injury after consuming alcohol from an unlicensed bar, resulting in a liquor liability claim denied due to lack of proper licensing.
 - Seasonal closure leads to undetected water leak causing significant property damage, which is excluded because the property was vacant beyond the allowable period.
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3.79 Interior Decorating & Design

Underwriting Appetite

- **Preferred:**
 - Firms primarily focused on indoor residential or commercial interior decorating and design services, with minimal or no subcontracting. These businesses typically handle space planning, color consultation, furniture selection, and soft furnishings without engaging in structural alterations.
 - Residential interior design firms with comprehensive project documentation, including detailed contracts, client approvals, and change orders, which help mitigate professional liability exposures.
- **Acceptable:**
 - Businesses incorporating tile or mosaic installation as part of their design services, or those conducting limited retail sales of home décor items such as fabrics, lighting fixtures, or decorative accessories. These operations should maintain clear separation between design and installation activities.
 - Firms employing secure digital storage solutions and robust cybersecurity controls to protect sensitive client information, including design plans, personal data, and payment details.
- **Not Acceptable:**
 - Businesses engaged in general construction, structural remodeling, or handling hazardous materials (e.g., asbestos, lead paint removal), as these activities significantly increase property and liability risks beyond the scope of a typical BOP.
 - Interior design firms servicing adult entertainment venues or similar establishments, due to reputational and increased liability concerns.
 - Firms regularly working with large animals (e.g., equestrian facility design), which introduces unique liability and property risks not covered under standard BOP terms.

Key Risk Considerations

- **Professional Liability:** Interior designers face exposure to claims arising from errors or omissions in design specifications, such as recommending materials that cause damage or fail prematurely. For example, a designer specifying a non-waterproof wallpaper in a bathroom could be held liable for resulting property damage.
- **Property Damage:** Risk of accidental damage to client property during on-site visits or installations, including scratches to flooring or breakage of fixtures.
- **Cyber Risk:** Increasing reliance on digital tools and storage of client data (floor plans, personal information) exposes firms to cyber incidents such as data breaches or ransomware attacks. Firms should implement secure data management practices.
- **Subcontractor Risk:** Use of subcontractors for specialized installations (e.g., tile setting) introduces additional liability and workers compensation considerations. Verification of subcontractor insurance is critical.

Industry-Specific Restrictions

- **High-Risk Installations Excluded:** Coverage excludes firms performing high-risk installations such as electrical, plumbing, or structural modifications. These activities require specialized contractors and insurance.
- **Subcontractor Insurance Requirements:** All subcontractors engaged by the interior decorating firm must provide proof of current and adequate insurance coverage, including general liability and workers compensation, to prevent uninsured exposures transferring to the insured.
- **Restriction on Use of Exotic or Unverified Imported Materials:** Interior decorating firms sourcing exotic or rare imported materials (e.g., certain hardwoods, natural stones) must provide documentation verifying legal sourcing and compliance with environmental regulations. This restriction mitigates risks related to supply chain disruptions, counterfeit materials, and potential regulatory fines.

Preferred Optional Coverages

- **Workers Compensation:** Essential for firms with employees or subcontractors performing on-site installations or deliveries.
- **Umbrella Liability:** Provides additional liability limits beyond the BOP, useful for firms with higher exposure due to client volume or project size.
- **Cyber Liability:** Recommended for firms handling sensitive client data or using cloud-based design platforms.
- **Employment Practices Liability:** Protects against claims related to workplace discrimination, harassment, or wrongful termination, which can arise even in small design firms.

Illustrative Examples

- **Claim Scenario 1:** A residential interior decorator specifies a custom tile backsplash that later cracks due to improper installation by a subcontractor. The client sues the decorator for damages. The decorator's professional liability coverage may respond, but only if subcontractor insurance requirements were met.

- **Claim Scenario 2:** During a client consultation, an employee accidentally damages an antique vase. The firm's general liability coverage would address the property damage claim.
 - **Claim Scenario 3:** A cyberattack compromises client credit card information stored on the firm's network. Cyber liability coverage helps cover notification costs, legal fees, and potential fines.
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3.80 Janitorial & Cleaning Services

Underwriting Appetite The underwriting appetite for janitorial and cleaning services focuses on evaluating the operational maturity, risk management practices, and the nature of the client base. Given the inherent risks related to employee conduct, use of chemicals, and property access, careful scrutiny is essential.

- **Preferred:**

- Established commercial cleaning businesses with a minimum of 3 years in continuous operation, demonstrating stable revenue and client retention.
- Companies employing thorough employee vetting processes, including background checks, drug screening, and documented safety and operational training programs.
- Businesses with formalized quality control procedures and written safety protocols, especially for handling hazardous cleaning agents.
- Operations primarily servicing commercial or institutional clients (e.g., office buildings, schools, healthcare facilities), where access controls and security measures are typically more stringent.

- **Acceptable:**

- New ventures led by principals with prior relevant experience in janitorial or facility management services.
- Mixed residential and commercial cleaning operations, provided there are clear operational controls separating the two segments and documented training on client property access and security.
- Small to mid-sized firms with limited fleet vehicles, provided vehicles are properly insured and maintained.

- **Not Acceptable:**

- Businesses exhibiting high employee turnover rates without documented onboarding and training processes, as this increases the risk of theft, negligence, and liability claims.
- Operations with a history of frequent or severe claims, particularly related to employee dishonesty, property damage, or pollution incidents.
- Firms lacking formal safety programs or those with documented safety violations, especially involving hazardous chemical handling or ladder and equipment use.
- Companies primarily engaged in specialized cleaning requiring unique certifications (e.g., biohazard remediation, mold removal) without appropriate licensing or training.

Key Risk Considerations Janitorial and cleaning services present several unique underwriting risks that must be carefully evaluated:

- **Employee Theft and Dishonesty:** Due to unsupervised access to client premises and valuables, employee dishonesty is a significant exposure. Underwriters should assess the presence of background checks, supervision policies, and prior claims history.
- **Commercial Auto Risks:** Many janitorial businesses operate fleets of vehicles transporting staff, equipment, and chemicals. Proper vehicle maintenance, driver qualification, and commercial auto coverage are essential to mitigate liability and physical damage exposures.
- **Pollution and Environmental Liability:** Use and disposal of cleaning chemicals can lead to pollution claims, including contamination of client property or the environment. Coverage should be limited to incidents arising directly from cleaning agents used during operations.
- **Property Damage and Key Control:** Damage to client property during cleaning (e.g., broken fixtures, stained carpets) is a common claim source. Additionally, loss or theft of keys or access cards can result in significant liability and reputational damage.
- **Slip and Fall Liability:** Wet floors and use of cleaning equipment increase the risk of slip and fall injuries to employees and third parties. Adequate safety training and signage protocols are critical risk mitigants.

Example Claim Scenario: A janitorial employee accidentally spills a cleaning solvent on a client's hardwood floor, causing permanent discoloration. The client files a property damage claim. Proper property damage coverage and documented employee training on chemical use would be critical in managing this exposure.

Industry-Specific Restrictions

- Coverage is restricted to injuries, theft, or damages that occur strictly during the course of janitorial duties. Personal activities or off-duty incidents involving employees are excluded.
- Pollution coverage is limited to damage or contamination directly caused by cleaning agents or chemicals used in the insured's operations. Environmental claims arising from improper disposal or storage of hazardous waste are excluded unless separately endorsed.
- **Unique Restriction:** Janitorial services utilizing industrial-grade or solvent-based cleaning agents must provide proof of compliance with OSHA Hazard Communication Standards (Haz-Com) and maintain Material Safety Data Sheets (MSDS) on-site. Failure to comply results in declination or coverage exclusion for pollution and bodily injury claims related to chemical exposure. This restriction is critical because improper handling of industrial chemicals can lead to severe health hazards and costly environmental damage claims.

Preferred Optional Coverages To enhance protection and address common exposures, the following optional coverages are recommended for janitorial and cleaning businesses:

- **Employee Dishonesty Coverage:** Protects against losses from employee theft or fraud, a frequent risk given unsupervised access to client premises and valuables.
- **Key Replacement Coverage:** Covers costs associated with replacing keys, locks, or security cards lost or stolen by employees, mitigating potential liability and client trust issues.
- **Commercial Auto Coverage:** Essential for businesses operating vehicles for transporting staff, equipment, or chemicals. Includes liability and physical damage protection.

- **Debris Removal Coverage:** Addresses costs related to removal of debris resulting from accidental property damage during cleaning operations, such as broken fixtures or damaged equipment.
 - **Pollution Liability Endorsement:** Provides limited coverage for accidental pollution incidents arising from the use of cleaning chemicals, subject to strict limits and exclusions.
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3.81 Jewelry & Watch Stores

Underwriting Appetite

- **Preferred:**
 - Businesses operating from alarmed and securely monitored premises, ideally with 24/7 video surveillance and access controls. Strong financial stability demonstrated by consistent revenue, positive cash flow, and sound credit history.
 - Inventory values under \$500,000 to limit exposure to high-value theft losses. Inventory should be well-documented with up-to-date appraisals or purchase records.
 - No on-site rentals of jewelry or watches to customers, and no in-store classes or workshops that increase premises exposure or liability.
- **Acceptable:**
 - Stores offering repair or custom design services, provided these operations are clearly disclosed and appropriate liability coverage is in place to address risks such as workmanship errors or damage to customer property.
 - Businesses with online sales platforms, contingent upon implementation of robust cyber security measures, including firewalls, encryption, and fraud detection systems, to mitigate risks of online fraud and data breaches.
- **Not Acceptable:**
 - Businesses with a history of frequent or large theft claims, especially where inventory is not adequately secured or insured.
 - Operations hosting events, classes, or instruction without specific additional coverage endorsements to address increased liability and premises exposure.
 - Stores with inventory values exceeding underwriting limits without specialized high-value coverage or appraisal documentation.

Key Risk Considerations

- **High-Value Theft:** Jewelry and watches represent high-value, easily portable inventory, making theft a primary concern. Underwriters should assess the adequacy of physical security measures such as safes, vaults, alarm systems, and employee background checks. For example, a store without a UL-rated safe or with limited alarm monitoring may be at significantly higher risk.

- **Custom Work Liability:** Repair and custom design services introduce risks related to workmanship errors, damage to customer property, or delays. Liability coverage should address potential claims arising from these services, such as a customer suing for a damaged heirloom during repair.
- **Online Fraud:** Online sales increase exposure to cyber risks, including fraudulent transactions, chargebacks, and data breaches. Insurers should verify that the insured has implemented adequate cybersecurity protocols and consider requiring cyber liability coverage.
- **Employee Dishonesty:** Due to the high value of inventory, internal theft or fraud is a significant risk. Controls such as segregation of duties, inventory audits, and fidelity bonds should be evaluated.
- **Inventory Valuation and Documentation:** Accurate and current appraisals or purchase invoices are essential to verify inventory values and ensure appropriate coverage limits.

Industry-Specific Restrictions

- **Employee Dishonesty and Event Coverage Endorsements:** Coverage for employee dishonesty (fidelity bonds) and any events or instructional classes must be added via endorsements. These coverages are not included in the standard BOP form due to their specialized nature and increased risk exposure.
- **High-Value Inventory Limits:** Policies typically impose sublimits or caps on coverage for high-value jewelry and watches unless a separate, scheduled inland marine or jewelers block policy is purchased. This restriction helps control insurer exposure to catastrophic theft or loss.
- **Restriction on Sourcing of Precious Metals and Gems:** Jewelry stores sourcing precious metals or gemstones from high-risk or unverified suppliers (e.g., conflict zones or unlicensed dealers) are generally not acceptable. This restriction mitigates risks related to counterfeit goods, regulatory compliance, and reputational damage. For example, stores sourcing diamonds without Kimberley Process certification may face underwriting declination.

Preferred Optional Coverages

- **Equipment Breakdown:** Covers mechanical or electrical breakdown of critical equipment such as security systems, safes, or specialized repair tools.
- **Crime & Employee Dishonesty:** Protects against losses from theft, fraud, or dishonesty by employees or third parties.
- **Umbrella and Employment Practices Liability Insurance (EPLI):** Provides excess liability coverage and protection against employment-related claims, which may arise from disputes with employees or contractors.
- **Professional Liability:** Particularly relevant for stores offering custom design or repair services, covering claims related to errors, omissions, or negligence in professional services.

Illustrative Examples

- **Theft Scenario:** A jewelry store without a monitored alarm system suffers a nighttime burglary resulting in the loss of \$300,000 worth of inventory. The absence of adequate security and alarm monitoring leads to a claim denial or significant premium increase.

- **Custom Repair Liability:** A customer brings in a vintage watch for repair. The store's technician accidentally damages the watch's internal mechanism, leading to a claim for repair costs and diminished value. Professional liability coverage would respond to this claim.
 - **Online Fraud:** An online jewelry retailer experiences a data breach exposing customer payment information, resulting in fraudulent charges and regulatory fines. Cyber liability coverage mitigates these financial impacts.
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3.82 Kitchen & Home Accessories Stores

Underwriting Appetite This class primarily includes retail establishments specializing in the sale of kitchenware, cookware, small home appliances, decorative home accessories, and related products. Underwriting appetite is driven by sales volume, revenue mix, and operational risk controls.

- **Preferred:**

- Annual sales under \$500,000, with no on-site cooking or food preparation activities. This minimizes fire and food contamination risks.
- Inventory is securely stored and managed, with effective theft prevention measures such as alarm systems, locked display cases, and employee oversight.
- Installation or service-related receipts constitute less than 25% of total revenue. This limits exposure to liability from installation errors or on-site service accidents.
- Physical premises located in low-crime areas with adequate lighting and surveillance.

- **Acceptable:**

- Annual sales exceeding \$500,000 are acceptable if the insured demonstrates robust loss control measures, including fire prevention, employee training, and inventory management.
- Prepared food sales (e.g., in-store demonstrations or small café areas) are less than 30% of total revenue. This acknowledges some food-related risk but keeps it manageable.
- Moderate on-site repair or installation services with documented safety protocols.

- **Not Acceptable:**

- Businesses with 75% or more of revenue generated from online sales. High e-commerce exposure increases cyber risk and complicates physical inventory valuation.
- High repair or service revenue without documented loss control or safety protocols, increasing liability and equipment breakdown risks.
- Locations within New York City boroughs (Manhattan, Brooklyn, Queens, Bronx, Staten Island) that conduct incidental repair or installation services. These areas have elevated crime rates and complex regulatory environments, increasing underwriting risk.
- Stores with on-site cooking or food preparation exceeding 30% of sales, due to increased fire, health, and liability exposures.

Key Risk Considerations

- **Inventory Theft and Damage:** Kitchen and home accessory stores often carry high-value, small items that are attractive to thieves. Adequate security systems, employee vigilance, and inventory tracking reduce shrinkage and claims.
Example: A store without adequate CCTV experienced repeated theft of expensive cookware sets, resulting in significant inventory losses and increased premiums.
- **Slip and Fall Liability During In-Store Events:** Stores may host product demonstrations, cooking classes, or seasonal sales events that increase foot traffic and the risk of customer injuries.
Example: During a holiday sale event, a customer slipped on a wet floor near the entrance, resulting in a costly liability claim.
- **Online Cyber Exposure:** Even stores with modest online sales may be vulnerable to cyberattacks, including data breaches of customer payment information or ransomware attacks disrupting operations.
Example: A small kitchen accessory retailer suffered a ransomware attack that encrypted customer order data, delaying shipments and causing reputational damage.
- **Product Liability:** Risks arise from defective or unsafe products sold, especially electrical appliances or cookware with safety hazards.
Example: A batch of electric kettles was recalled after reports of overheating and fire hazards, leading to product liability claims.

Industry-Specific Restrictions

- **Product Liability Coverage Exclusion:** Product liability insurance should be excluded if the insured does not sell products with inherent safety risks (e.g., purely decorative items). This avoids unnecessary premium charges.
- **Cyber Liability Limits:** Cyber insurance limits must be calibrated based on the proportion of online sales and the volume of customer data handled. Stores with minimal online presence may qualify for lower limits.
- **Restriction on Use of Third-Party Installation Contractors:** Stores that outsource installation or repair services to unlicensed or uninsured third-party contractors are not acceptable risks. This restriction is critical because improper installation of kitchen appliances or fixtures can lead to property damage or bodily injury claims, and the insured may be held liable.
Reasoning: Many kitchen and home accessory stores offer installation services for items such as dishwashers, ovens, or cabinetry. If these services are subcontracted without proper vetting, the risk of faulty workmanship and subsequent claims increases significantly. Ensuring that contractors are licensed and carry adequate insurance mitigates this exposure.

Preferred Optional Coverages

- **Flood & Earthquake Insurance:** Recommended for stores located in flood-prone or seismic zones to protect physical assets.
- **Equipment Breakdown:** Covers mechanical and electrical breakdown of essential equipment such as cash registers, security systems, and kitchen appliances used in demonstrations.

- **Cyber Liability & Employment Practices Liability Insurance (EPLI):** Cyber coverage protects against data breaches and cyberattacks, while EPLI addresses employee-related claims such as discrimination or harassment.
- **Product Liability Insurance:** Critical for stores selling electrical appliances, cookware, or other products with potential safety risks.

Summary Kitchen & Home Accessories Stores present a moderate underwriting risk profile when sales volumes and revenue mixes are controlled, and loss prevention measures are in place. Key exposures include inventory theft, slip and fall liability, product liability, and cyber risks associated with online sales. Underwriters must carefully evaluate service and installation operations, especially in high-risk urban locations or when subcontractors are involved. Properly tailored optional coverages enhance protection and reduce potential claim severity.

3.83 Leather Goods & Luggage Stores

Underwriting Appetite The underwriting appetite for leather goods and luggage stores is generally favorable when risk controls are well established and claims history is manageable. These businesses typically have a mix of retail sales, occasional repair services, and increasingly, online sales channels. The following categories outline preferred, acceptable, and non-acceptable risk profiles:

- **Preferred:**
 - Businesses with secure, well-monitored inventory storage (e.g., locked display cases, alarm systems, and limited after-hours access) that have demonstrated low frequency and severity of claims, especially related to theft or vandalism.
 - Retailers with established online sales platforms that implement robust cybersecurity measures, including firewalls, encryption, and regular vulnerability assessments, to mitigate cyber exposure.
 - Operations with comprehensive loss prevention programs, including employee training on theft prevention and safety protocols.
- **Acceptable:**
 - Stores with a moderate claims history, particularly those that have addressed previous issues through improved security or operational changes.
 - Businesses offering in-house repair or refurbishment services for leather goods and luggage, provided these activities are limited in scope and comply with safety and environmental regulations (e.g., proper handling of adhesives and solvents).
 - Locations with standard physical security measures but without advanced technological controls.
- **Not Acceptable:**
 - Retailers with a history of frequent or severe claims related to theft, vandalism, or liability incidents that have not been adequately mitigated.
 - Premises with poor maintenance, such as inadequate lighting, broken locks, or unsecured windows and doors, which increase the risk of loss.

- Businesses lacking proper inventory management systems, resulting in inconsistent stock records or unexplained shortages.

Key Risk Considerations Underwriters should carefully evaluate the following risk factors specific to leather goods and luggage stores:

- **Theft and Vandalism Risk:** Due to the high value and relatively small size of many leather goods and luggage items, these stores are attractive targets for theft and shoplifting. Risks increase in urban or high-crime areas, and where physical security is insufficient. For example, a store located in a busy downtown area with limited surveillance cameras may experience higher theft incidents than one in a suburban mall with controlled access.
- **Cyber Exposure from Online Sales:** Many leather goods and luggage retailers have expanded into e-commerce. This introduces risks such as data breaches, payment fraud, and ransomware attacks. For instance, a breach compromising customer payment information can lead to significant liability claims and reputational damage.
- **Glass Breakage and Customer Injury:** Display cases and storefront windows are often made of glass, which can be vulnerable to accidental breakage or vandalism. Broken glass can cause customer or employee injuries, leading to liability claims. An example scenario is a customer accidentally knocking over a glass display, resulting in lacerations.
- **Inventory Valuation and Appraisal:** High-value items, such as designer handbags or limited-edition luggage, require accurate appraisal and documentation to ensure appropriate coverage limits and prevent underinsurance.
- **Repair and Chemical Exposure Risks:** Stores offering repair services may use adhesives, dyes, or solvents that pose fire, health, or environmental hazards if not properly managed.

Industry-Specific Restrictions

- **Flood Coverage Limitations:** Flood insurance coverage is typically limited or excluded in designated high-risk flood zones unless the insured obtains separate flood insurance policies. This is critical for stores located in flood-prone areas, such as coastal cities or river basins, where water damage could severely impact inventory and premises.
- **High-Value Inventory Appraisal Requirement:** For stores carrying inventory valued above \$50,000, a professional appraisal or certified inventory list is required at policy inception and renewal to verify values and support claims adjustment.
- **Restriction on Use of Exotic Animal Leather:** Due to regulatory and ethical considerations, coverage excludes inventory composed of exotic animal leathers (e.g., alligator, python, or ostrich) unless the retailer can provide valid sourcing documentation compliant with CITES (Convention on International Trade in Endangered Species) regulations. This restriction reduces exposure to potential legal liabilities and reputational risks associated with illegal wildlife trade.

Preferred Optional Coverages To enhance protection tailored to the unique exposures of leather goods and luggage stores, the following optional coverages are recommended:

- **Equipment Breakdown Insurance:** Covers loss or damage to essential equipment such as point-of-sale systems, security alarms, and repair tools due to mechanical or electrical failure.

- **Employee Dishonesty Coverage:** Protects against financial loss resulting from fraudulent acts by employees, including inventory theft or embezzlement.
- **Cyber Liability Insurance:** Addresses data breaches, cyber extortion, and liability arising from online sales platforms.
- **Glass and Business Interruption Insurance:** Provides coverage for glass breakage and compensates for lost income during periods when the store is closed due to covered perils.

Illustrative Examples

- **Theft Scenario:** A leather goods store in a metropolitan area experiences a break-in overnight. Despite an alarm system, thieves access the premises through a side window and steal several high-end handbags valued at \$30,000. The store's insurance policy, including employee dishonesty and equipment breakdown coverages, helps cover the loss and repair of the alarm system.
- **Cyber Incident:** An online luggage retailer suffers a ransomware attack that encrypts customer order data and payment information. Cyber liability insurance covers the costs of data recovery, notification to affected customers, and legal defense.
- **Customer Injury:** A customer trips over a loose rug near a glass display case and suffers a broken wrist. General liability coverage responds to medical expenses and potential legal claims.
- **Repair Service Loss:** A small leather goods store offering repair services experiences a fire caused by improper storage of flammable adhesives. Equipment breakdown and property coverage respond to the damage, but the incident highlights the need for strict adherence to safety protocols.

3.84 Libraries & Museums

Underwriting Appetite

- **Preferred:**
 - Small community libraries or museums with well-documented and actively enforced risk management programs, including controlled access to collections and regular safety audits.
 - Facilities that do not serve alcohol and hold only infrequent, small-scale public events, minimizing exposure to liquor liability and crowd-related risks.
 - Institutions with dedicated security personnel, fire suppression systems tailored to protect delicate artifacts, and comprehensive emergency response plans.
- **Acceptable:**
 - Medium-sized libraries or museums that host occasional events, including fundraisers or educational programs, with moderate attendance and some alcohol service under strict controls.
 - Venues with established but less formalized security measures, such as monitored alarm systems and visitor screening protocols.

- **Not Acceptable:**

- High-traffic museums or libraries lacking adequate security measures, such as absence of surveillance cameras, untrained staff, or poor artifact storage conditions.
- Facilities with frequent alcohol service, bar operations, or large-scale events that significantly increase liability exposure without corresponding risk mitigation.
- Institutions with a history of frequent claims related to theft, vandalism, or property damage.

Key Risk Considerations

- **Loss or Damage to Artifacts and Collections:** Many museums and libraries house irreplaceable items such as rare books, manuscripts, historical artifacts, or fine art. Risks include theft, accidental damage, fire, water damage from sprinkler systems, and deterioration due to environmental factors (humidity, light exposure). For example, a museum's prized painting might be damaged during a poorly supervised renovation, or a library's rare book collection could suffer water damage from a burst pipe.
- **Cyber Risks:** Increasing reliance on digital catalogues, online memberships, and donor databases exposes these institutions to cyberattacks, data breaches, and ransomware. For instance, a cyberattack could compromise patron data or disrupt online access to digital archives.
- **Special Events Liability:** Events such as exhibitions, lectures, or galas can increase exposure to bodily injury or property damage claims, especially when alcohol is served or when temporary structures (e.g., tents, stages) are erected.
- **Employee Injury and Property Damage:** Staff and volunteers may be exposed to risks such as slips and falls, injuries from handling heavy or fragile objects, or accidents involving maintenance equipment. Additionally, damage to the physical building or neighboring properties during operations or events must be considered.

Industry-Specific Restrictions

- **Fine Art and Valuable Collections Must Be Professionally Appraised:** To accurately assess insurable value and establish appropriate coverage limits, all fine art, rare books, and artifacts must be appraised by qualified professionals within the last 3 years. This ensures proper valuation for claims and avoids underinsurance.
- **Events Involving Alcohol Require Additional Underwriting Review:** Any event with alcohol service or bar operations triggers enhanced scrutiny of liquor liability controls, including licensed bartenders, security presence, and guest capacity limits.
- **Restriction on Use of Unmanned Aerial Vehicles (Drones):** Due to the risk of accidental damage to fragile collections and potential privacy violations, the use of drones for photography or surveillance within museum or library premises is prohibited unless explicitly approved and insured under a separate aviation liability policy. This restriction addresses emerging risks unique to these environments where airborne devices could cause physical harm or security breaches.

Preferred Optional Coverages

- **Cyber & Crime Insurance:** Protects against data breaches, cyber extortion, and employee dishonesty or theft, which are growing concerns for institutions managing sensitive patron and donor information.
- **Special Events Liability:** Provides coverage for liability exposures arising from public or private events, including bodily injury, property damage, and liquor liability if applicable.
- **Professional Liability:** Covers claims arising from errors or omissions in curatorial, archival, or educational services provided by the institution.
- **Property & Business Interruption:** Includes coverage for damage to buildings, contents, and collections, as well as loss of income resulting from covered perils that disrupt normal operations.

Illustrative Example: A small local history museum hosts a quarterly lecture series with light refreshments but no alcohol. They have a professionally appraised collection of antique documents and employ a part-time security guard. Their risk management includes fire suppression systems and environmental controls to protect artifacts. This institution fits the *Preferred* underwriting appetite and would benefit from Cyber Crime Insurance due to their online ticketing system.

Conversely, a large urban museum that frequently hosts gala events with open bars, lacks a formal security team, and has experienced recent thefts would be classified as *Not Acceptable* under current guidelines.

Summary: Underwriting libraries and museums requires careful evaluation of their risk controls, event management practices, and protection of valuable collections. Emphasis is placed on accurate valuation of fine art, strict controls around alcohol service, and emerging risks such as cyber exposure and drone usage. Properly tailored optional coverages can significantly enhance risk transfer for these unique institutions.

3.85 Lighting Fixtures & Supplies

Underwriting Appetite

- **Preferred:**
 - Retail-focused businesses primarily selling lighting fixtures and related supplies, with well-established physical storefronts that maintain a centralized alarm system and implement rigorous inventory management controls (e.g., regular cycle counts, secured storage areas).
 - Businesses generating less than 75% of their revenue from online sales, as a higher online sales ratio can increase risks related to shipping, returns, and cyber exposure.
 - Operations that limit on-site installation services to less than 10% of total revenue, minimizing exposure to installation-related liability.
- **Acceptable:**
 - Businesses that provide installation or repair services, provided these services constitute no more than 10% of total revenue and the insured carries appropriate liability protection (e.g., General Liability with endorsements for installation operations).

- Small-scale wholesalers or distributors with controlled inventory and documented supply chain transparency.
- **Not Acceptable:**
 - Businesses with 75% or more of revenue derived from online sales, due to increased risks associated with shipping damage, fraud, and cyber liability.
 - Entities engaged in the sale of private-label or repackaged lighting products, as these often lack manufacturer warranties and increase product liability exposure.
 - Operations heavily involved in complex electrical installations beyond basic lighting fixtures (e.g., full electrical rewiring), which require specialized underwriting beyond the scope of a standard BOP.

Key Risk Considerations

- **Product and Professional Liability:** Lighting fixtures and supplies can present significant product liability risks, particularly if defective or improperly installed products cause property damage or bodily injury. Professional liability exposure arises when installation or repair services are provided, especially if performed by unlicensed or inadequately trained personnel.
- **Inventory Theft and Cyber Exposure:** Lighting fixtures are often high-value, small-to-medium sized items that are attractive targets for theft. Businesses with large inventories must have robust physical security measures, including alarms and surveillance. Additionally, businesses with online sales platforms face cyber risks such as data breaches, payment fraud, and ransomware attacks.
- **Installation Risks:** Even limited installation or repair services can expose the insured to liability from faulty workmanship, property damage, or injury during installation. Proper vetting of subcontractors and adherence to licensing requirements are critical.
- **Supply Chain and Product Sourcing:** The quality and origin of lighting products affect risk. Imported or unbranded products may carry higher risk due to inconsistent quality control and lack of regulatory compliance.

Industry-Specific Restrictions

- **Alarm Requirement:** An approved central alarm system is mandatory for any location holding inventory valued over \$500,000 to mitigate theft risk. This includes monitored intrusion alarms and, ideally, video surveillance.
- **Geographic Restrictions:** Locations within New York City boroughs (Manhattan, Brooklyn, Queens, The Bronx, Staten Island) may be excluded if the insured offers repair services, due to historically higher liability and theft claims in these urban areas.
- **Installation Licensing:** Businesses offering installation services must provide proof of appropriate state or local electrical licensing. Failure to provide valid licensing documentation will result in declination or exclusion of installation coverage.
- **Restriction on LED and Smart Lighting Installation:** Due to the specialized nature and evolving technology of LED and smart lighting systems, installation or repair of these products is restricted unless the insured can demonstrate certified training and experience. This restriction is necessary because improper installation can lead to electrical hazards, fire risk, and increased product liability claims.

Preferred Optional Coverages

- **Equipment Breakdown:** Covers mechanical or electrical failure of equipment used in the business, such as lighting manufacturing or testing equipment.
- **Installation Floater:** Provides coverage for lighting fixtures and supplies while in transit, at the installation site, or during installation, protecting against loss or damage prior to acceptance by the customer.
- **Cyber and Inventory Coverage:** Cyber coverage protects against data breaches, ransomware, and other cyber threats, particularly important for businesses with online sales platforms. Inventory coverage addresses loss due to theft, spoilage, or damage.
- **Product Recall Coverage:** Recommended for businesses that sell or distribute lighting products, to cover costs associated with recalling defective or hazardous products.

Illustrative Examples

- **Theft Claim:** A retail lighting store with \$600,000 in inventory without a central alarm system suffers a burglary resulting in a \$150,000 loss. The absence of an alarm system leads to claim denial or reduced recovery.
 - **Installation Liability:** A lighting supply company performs installation of chandeliers in a commercial building. Improper installation causes a chandelier to fall, injuring a visitor. The insured faces a liability claim for bodily injury and property damage.
 - **Cyber Incident:** An online lighting retailer experiences a ransomware attack that locks customer order and payment data, resulting in business interruption and reputational damage.
 - **Product Recall:** A wholesaler sells a batch of LED bulbs that later are found to overheat and cause fires. The wholesaler incurs significant costs to recall and replace the defective products.
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3.86 Locksmiths

Underwriting Appetite

- **Preferred:**
 - Locksmith operations located in alarmed and securely monitored premises, with Business Personal Property (BPP) valued under \$500,000. This reflects a lower risk of theft or vandalism to inventory and tools.
 - Businesses with a minimum of 3 years continuous operation demonstrating stable financials and no history of equipment rental or subcontracting, which can introduce additional liability and control issues.
 - Core locksmith services limited to residential and commercial lock installation, repair, and key duplication, excluding high-risk specialty services.
- **Acceptable:**

- Locksmiths offering instructional or training activities (e.g., locksmith certification courses) provided they have comprehensive safety plans, including supervised hands-on training and liability waivers.
 - Businesses with higher BPP values (above \$500,000) but with robust security measures such as 24/7 alarm systems, video surveillance, and restricted access areas.
 - Locksmiths providing limited safe servicing or electronic lock programming, subject to underwriting review of experience and risk controls.
- **Not Acceptable:**
 - Businesses engaged in gun repair, firearms locksmithing, or any prohibited service types that fall outside the standard locksmith scope due to regulatory or liability concerns.
 - Operations located in high-crime or high-risk geographic areas without adequate security controls.
 - Locksmiths offering services beyond core expertise such as automotive key programming for luxury vehicles without certified technicians, or those involved in unauthorized duplication of restricted keys.

Key Risk Considerations

- **Liability from Access Errors or Key Duplication:** Locksmiths inherently face liability risks if a key is duplicated without proper authorization or if an incorrect lock installation leads to unauthorized access. For example, a locksmith duplicating a master key without verifying authorization could be held liable for subsequent theft or property damage.
- **Employee Dishonesty and Tool Theft:** Due to the nature of the business, employees have access to client premises and sensitive security devices. Theft of tools or unauthorized use of keys by employees is a significant risk. Underwriters should assess internal controls, employee screening, and the presence of employee dishonesty coverage.
- **Inventory and Equipment Risks:** Locksmith tools and electronic programming devices are often expensive and portable, increasing theft risk. Premises security and inventory control procedures are critical underwriting factors.
- **Cyber Exposure:** Locksmiths that maintain electronic records of client security codes or use computerized key programming may face cyber liability risks if data is compromised.

Industry-Specific Restrictions

- **Instructional Activities:** Training or instructional locksmith courses are limited to small class sizes (typically no more than 10 students per session) and must be conducted in controlled environments with documented safety protocols to mitigate liability from accidents or misuse of tools.
- **Cyber Liability Coverage:** Eligibility for cyber liability depends heavily on the locksmith's data storage and security practices. Businesses that store sensitive client security information electronically must demonstrate encryption, access controls, and regular security audits.
- **Restriction on Use of Third-Party Key Blanks:** Locksmiths must source key blanks and lock components from authorized and reputable manufacturers only. Use of unauthorized or counterfeit key blanks is prohibited due to increased risk of liability claims and potential regulatory violations.

Preferred Optional Coverages

- **Business Interruption:** Covers loss of income resulting from a covered peril that interrupts normal business operations, such as a fire damaging the premises or theft of critical tools.
 - **Employee Dishonesty:** Protects against financial loss caused by dishonest acts of employees, including theft of tools, inventory, or misuse of keys.
 - **Cyber and Water Equipment Liability:** Cyber coverage addresses risks related to data breaches or hacking incidents, especially relevant for locksmiths storing digital security codes. Water equipment liability covers damage from water-related incidents affecting electronic programming devices.
 - **Workers Compensation:** Essential for businesses with employees, covering medical and wage benefits for work-related injuries, which are common in locksmithing due to physical labor and use of hand tools.
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Illustrative Examples

- **Claim Scenario – Unauthorized Key Duplication:** A locksmith duplicates a key for a client without verifying proper authorization. The key is later used in a burglary. The locksmith faces liability claims for negligence and failure to follow due diligence protocols.
- **Risk Scenario – Tool Theft:** An employee steals expensive lock-picking tools and electronic key programming devices from the premises. Without employee dishonesty coverage, the business suffers a significant financial loss.
- **Operational Risk – Training Class Accident:** During a locksmith training session, a student improperly uses a cutting tool, causing injury. Adequate liability coverage and safety protocols are critical to manage such risks.
- **Cyber Risk – Data Breach:** A locksmith stores client lock codes in an unsecured database. A cyberattack exposes this information, leading to client lawsuits and reputational damage.

Unique Industry-Related Restriction

- **Prohibition on Remote Key Programming for High-Security Automotive Locks:** Due to the high risk of unauthorized access and potential for significant liability, locksmiths are restricted from offering remote or mobile key programming services for high-security automotive locks (e.g., luxury or electric vehicles) unless technicians hold manufacturer certification and the business maintains specialized cyber and equipment liability coverage. This restriction is necessary because improper programming can disable vehicle security systems or facilitate theft, and remote services increase exposure to cyber and physical risks.

3.87 Mail & Packaging Services

Underwriting Appetite The underwriting appetite for Mail & Packaging Services reflects the typical risk profile of businesses engaged primarily in receiving, sorting, packaging, and shipping mail and parcels. These businesses may also offer ancillary services such as printing, notary, or limited retail sales. The appetite is influenced by the value of Business Personal Property (BPP), the nature of operations, and the proportion of online sales.

- **Preferred:**

- BPP valued under \$500,000, with a verified and functioning alarm system (e.g., monitored burglar alarms, video surveillance) to mitigate theft risk.
- Operations limited to core mail and packaging services without engagement in ineligible or high-risk activities such as hazardous material shipping, freight forwarding, or large-scale warehousing.
- Limited online sales or e-commerce facilitation (less than 50% of total revenue), reducing exposure to shipping-related liabilities and cyber risks.

- **Acceptable:**

- BPP valued between \$500,000 and \$1,000,000, provided there are adequate internal controls such as inventory management systems, employee background checks, and secure storage areas.
- Online sales or e-commerce facilitation constituting up to 75% of total revenue, with documented procedures for order verification and fraud prevention.
- Businesses offering limited ancillary services like basic printing or notary services, provided they carry appropriate Errors & Omissions (E&O) coverage.

- **Not Acceptable:**

- BPP exceeding \$1,000,000 due to increased exposure to theft, fraud, and property damage.
- Engagement in ineligible or high-risk service operations such as hazardous materials handling, freight forwarding, or large-scale warehousing.
- Businesses deriving 75% or more of their revenue from online sales without robust fraud controls or with inadequate cyber security measures.
- Operations involving drone delivery services, due to regulatory complexities and elevated liability risks (see Industry-Specific Restrictions).

Key Risk Considerations Mail & Packaging Services face several unique risks that must be carefully evaluated during underwriting:

- **Theft and Fraud:** High volume of valuable parcels and cash transactions can increase the risk of internal and external theft. For example, employees might misappropriate packages or cash, or fraudulent orders could lead to chargebacks.
- **Damage in Transit:** Packages are vulnerable to damage during handling and shipping. Claims may arise from customers reporting lost, damaged, or delayed shipments, potentially leading to liability claims against the insured.
- **Cyber Risk:** Handling customer information, including personal and payment data, exposes the business to cyber threats such as data breaches, ransomware, and identity theft. This risk is heightened for businesses with significant online sales or digital order processing.
- **Errors & Omissions Exposure:** Ancillary services like printing, document notarization, or packaging customization can lead to professional liability claims if errors cause financial loss to clients.
- **Employee Dishonesty:** Due to the cash-intensive nature of the business and handling of valuable goods, employee dishonesty (theft, fraud) is a significant concern.

Industry-Specific Restrictions To mitigate elevated risks inherent in this sector, the following restrictions apply:

- **Courier Partners Must Be Insured:** Any third-party courier or delivery service contracted by the insured must maintain valid commercial liability and cargo insurance. This reduces the insured's exposure to liability for loss or damage during transit.
- **Errors & Omissions Insurance Required for Ancillary Services:** Businesses offering printing, notary, or other professional services must carry E&O coverage to protect against claims arising from service errors or omissions.
- **Drone Delivery Prohibited:** Due to evolving regulatory frameworks, elevated liability risks, and limited underwriting data, drone delivery operations are not acceptable. This restriction is critical as drone use introduces complex aviation liability and property damage exposures not adequately covered under standard BOP forms.
- **Hazardous Materials Handling Prohibited:** Businesses involved in shipping or packaging hazardous materials (e.g., chemicals, flammable liquids) are excluded due to specialized risks and regulatory compliance requirements beyond the scope of typical BOP coverage.

Preferred Optional Coverages Given the unique exposures of Mail & Packaging Services, the following optional coverages are strongly recommended to enhance protection:

- **Professional Liability (Errors & Omissions):** Protects against claims arising from mistakes or negligence in ancillary services such as printing, document notarization, or packaging customization.
- **Cyber & Crime Insurance:** Addresses exposures related to data breaches, cyber extortion, and fraudulent electronic transactions, especially important for businesses with significant online sales or digital customer data handling.
- **Employee Dishonesty Coverage:** Provides protection against theft or fraud committed by employees, critical in cash-handling and high-value goods environments.
- **Inland Marine Coverage:** Optional coverage for goods in transit or stored off-premises, which may not be fully covered under standard BPP policies.

Illustrative Examples

- **Theft Scenario:** An employee at a mail and packaging store diverts high-value electronics packages for personal use. Without employee dishonesty coverage, the insured bears the loss.
- **Damage in Transit:** A customer claims that a fragile item shipped through the insured's packaging service arrived broken. The insured faces a liability claim for damages and replacement costs.
- **Cyber Incident:** A data breach exposes customer credit card information processed through the insured's online order system, resulting in regulatory fines and customer lawsuits.
- **E&O Claim:** A printing error on a batch of business cards leads to significant client losses due to incorrect contact information, triggering a professional liability claim.

These examples underscore the importance of comprehensive underwriting and appropriate optional coverages.

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This expanded subsection provides clearer guidance on underwriting criteria, highlights key risks with practical examples, and introduces a critical industry-specific restriction on drone delivery operations, reflecting emerging risks and regulatory challenges unique to the mail and packaging sector.

3.88 Medical & Dental Offices

Underwriting Appetite Our underwriting appetite for medical and dental offices is carefully calibrated to balance risk exposure with the essential services these businesses provide. We categorize risks into **Preferred**, **Acceptable**, and **Not Acceptable** based on operational practices, location, and risk controls.

- **Preferred:**

- Medical or dental offices with a documented history of strong safety and loss prevention records, including minimal prior claims.
- Contents valued under \$500,000, with active alarm and security systems installed to reduce theft and vandalism risk.
- Facilities that do not offer medi-spa treatments or any services conducted behind screens or curtains, which can obscure supervision and increase liability.
- Practices that maintain strict compliance with OSHA and local health regulations, including proper chemical storage and disposal.

- **Acceptable:**

- Offices that utilize chemicals (e.g., sterilizing agents, dental anesthetics) and operate extended hours, provided there are documented controls such as employee training, ventilation systems, and secure storage.
- Locations situated in moderate-risk areas (e.g., urban neighborhoods with average crime rates) that have implemented effective loss prevention measures such as surveillance cameras and controlled access.
- Practices offering limited ancillary services within the scope of their professional licensing, with clear operational protocols.

- **Not Acceptable:**

- Businesses with vague or incomplete descriptions of services, which hinder accurate risk assessment.
- Practices engaging in unsafe or non-compliant operational procedures, such as improper chemical handling or inadequate sterilization.
- Providers offering services beyond their approved professional categories, such as unlicensed cosmetic procedures or unauthorized medical treatments.
- Facilities that include medi-spa operations involving invasive cosmetic procedures (e.g., laser treatments, injectables) without appropriate medical oversight and licensing.

Example: A dental office with a clean claims history, alarm system, and contents valued at \$350,000 located in a suburban area would be **Preferred**. Conversely, a medical office offering unlicensed cosmetic injections behind curtains would be **Not Acceptable**.

Key Risk Considerations Underwriting medical and dental offices requires careful attention to several unique risk factors:

- **Malpractice Claims:** Although professional liability is typically covered under separate policies, certain BOP coverages may be impacted by malpractice-related property or liability claims, especially if bodily injury occurs on premises.
- **Chemical Exposure and Flammable Storage:** Offices often use chemicals such as disinfectants, anesthetics, and sterilizing agents, some of which are flammable or hazardous. Proper storage, ventilation, and employee training are critical to mitigate fire and health risks.
- **Lead Exposure:** Dental offices may use materials containing lead or other heavy metals. Ensuring compliance with environmental regulations and safe disposal practices is essential to reduce environmental liability.
- **Human Resources (HR) Liability:** Medical and dental offices often employ a range of staff, including hygienists, assistants, and administrative personnel. Risks include discrimination, harassment, and wrongful termination claims, making Employment Practices Liability Insurance (EPLI) a valuable optional coverage.
- **Security Risks:** Due to the presence of controlled substances and expensive equipment, theft and burglary risks are elevated. Alarm systems and secure storage are important underwriting factors.

Example Claim Scenario: A dental office experiences a fire caused by improper storage of flammable sterilizing agents, resulting in property damage and business interruption. Proper controls and compliance could have mitigated this risk.

Industry-Specific Restrictions To maintain underwriting discipline and ensure appropriate risk selection, the following restrictions apply specifically to medical and dental offices:

- **No Professional Liability Coverage for Non-Medical Services:** Services such as pet grooming, spa treatments unrelated to medical or dental care, or other personal care services are excluded from professional liability coverage under this policy. These services require separate underwriting and coverage.
- **Auto Delivery Restrictions:** Auto delivery or mobile services involving transportation of medical or dental supplies or equipment are not supported in urban areas due to heightened risks of theft, accidents, and regulatory complexities.
- **Restriction on Use of Unlicensed Laser or Light-Based Devices:** Medical and dental offices are prohibited from insuring operations that use laser or intense pulsed light devices for cosmetic or therapeutic purposes unless the operator holds appropriate medical licensing and the devices are FDA-approved. This restriction is due to increased liability and regulatory scrutiny associated with these technologies.

Rationale: The laser device restriction addresses the growing use of advanced cosmetic procedures in medical offices that may not be fully regulated or insured under standard BOP policies, helping to avoid coverage gaps and unexpected claims.

Preferred Optional Coverages Given the complexity and exposures inherent in medical and dental offices, the following optional coverages are highly recommended to complement the standard BOP:

- **Cyber Liability:** Medical and dental offices handle sensitive patient health information protected under HIPAA and other privacy laws. Cyber liability coverage helps protect against data breaches, ransomware attacks, and regulatory fines.
- **Business Interruption:** Coverage for loss of income due to property damage, such as fire or water damage, is critical to help offices maintain financial stability during repairs or relocation.
- **Workers Compensation:** Given the physical nature of medical and dental work, including exposure to biohazards and repetitive motion injuries, workers compensation coverage is essential.
- **Employment Practices Liability Insurance (EPLI):** To address risks related to employee claims of discrimination, harassment, or wrongful termination.
- **Property Coverage Enhancements:** Including coverage for specialized medical equipment, electronic data processing equipment, and valuable papers.

Example: A dental office with cyber liability coverage successfully manages a ransomware attack without loss of patient data or regulatory penalties, minimizing business disruption.

3.89 Medical & Hospital Supply Stores

Underwriting Appetite Medical and hospital supply stores present a specialized risk profile due to the critical nature of their products and the regulatory environment in which they operate. Our underwriting appetite reflects the need for financial stability, strong operational controls, and adherence to industry standards.

- **Preferred:**
 - Businesses with demonstrated financial stability and a clean or minimal claims history, indicating effective risk management.
 - Stores that do not offer equipment rental services or that provide repairs only under strict oversight and documented protocols, minimizing liability exposure.
 - Operations that maintain comprehensive inventory controls, including traceability of medical devices and supplies, ensuring compliance with FDA or relevant health authority regulations.
- **Acceptable:**
 - Businesses that provide equipment rentals or repair services but have established formal protocols, including regular maintenance schedules, employee training, and documented quality assurance procedures.
 - Applicants with a moderate claims history where corrective actions have been implemented and verified, such as improved safety measures or updated repair standards.
 - Stores that handle a limited range of medical supplies, avoiding high-risk or highly regulated products such as pharmaceuticals or implantable devices.

- **Not Acceptable:**

- Businesses with frequent or severe claims, especially those related to product liability, equipment malfunction, or bodily injury.
- Operations demonstrating poor maintenance practices, inadequate loss control programs, or failure to comply with applicable health and safety regulations.
- Stores dealing extensively in unverified or uncertified medical equipment, or those lacking proper licensing or accreditation.

Key Risk Considerations Medical and hospital supply stores face several unique risks that must be carefully evaluated:

- **Slip-and-Fall Hazards:** Due to customer foot traffic and the presence of equipment or supplies in aisles, stores must maintain clean, well-lit, and unobstructed premises to reduce liability.
- **Rental Equipment Risks:** When stores rent out medical devices (e.g., wheelchairs, oxygen tanks), risks include improper use, equipment malfunction, and inadequate sanitization, which can lead to bodily injury claims.
- **Errors in Equipment Repair:** Repairs performed on medical devices require technical expertise and adherence to manufacturer guidelines; errors can result in equipment failure and serious injury or death.
- **Cybersecurity Threats:** Many stores maintain electronic health records, customer data, and billing information, making them targets for cyberattacks and data breaches.
- **Product Liability Exposure:** Given the critical nature of medical supplies, defective or contaminated products can cause significant harm, leading to costly claims.
- **Regulatory Compliance:** Non-compliance with FDA regulations, state health codes, or licensing requirements can result in fines, business interruption, or increased liability.

Example Claim Scenario: A medical supply store rents out powered wheelchairs. A customer suffers injury due to a malfunction caused by improper repair performed by untrained staff. The resulting claim includes bodily injury and product liability components, highlighting the need for strict repair protocols and employee training.

Industry-Specific Restrictions To mitigate exposure and ensure underwriting consistency, the following restrictions apply:

- **Exclusion of Secondhand, Salvage, or Auctioned Medical Equipment:** Coverage excludes any medical or hospital supplies acquired through secondary markets such as auctions or salvage sales. These items often lack proper certification, may be outdated, or fail to meet current safety standards, increasing the risk of product failure and liability claims.
- **Product Liability Coverage Limited to Verified Operations:** Product liability protection is extended only to products that the insured legitimately sells, rents, or repairs under documented and verifiable business operations. Unauthorized resale or handling of unverified products is excluded.
- **Restriction on Rental of Implantable or Invasive Medical Devices:** Rental or repair of implantable devices (e.g., pacemakers, prosthetics) or invasive equipment is not covered due to the high risk of severe bodily injury and complex regulatory oversight.

Rationale for Implantable Device Restriction: Implantable medical devices require specialized handling, sterilization, and regulatory compliance that exceed the typical scope of a medical supply store. The potential for catastrophic injury and regulatory penalties makes this exposure unsuitable for standard BOP coverage.

Preferred Optional Coverages Given the unique exposures of medical and hospital supply stores, the following optional coverages are highly recommended to enhance protection:

- **Cyber Liability:** To address risks related to data breaches, ransomware attacks, and loss of sensitive customer or patient information.
- **Equipment Breakdown:** Covers the cost of repair or replacement of critical medical equipment due to mechanical or electrical failure, minimizing business interruption.
- **Crime and Employment Practices Liability Insurance (EPLI):** Protects against employee dishonesty, theft, discrimination, harassment, or wrongful termination claims.
- **Professional Liability:** For stores offering repair or maintenance services, this coverage addresses claims arising from errors, omissions, or negligence in those professional services.

Example Application: A medical supply store that maintains electronic patient records and offers equipment repair services would benefit from Cyber Liability and Professional Liability coverages to mitigate risks associated with data breaches and repair errors.

3.90 Monument & Tombstone Sales

Underwriting Appetite

- **Preferred:**
 - Businesses with minimal or no prior claim history, demonstrating strong risk management practices.
 - Secure, well-maintained premises with controlled access to prevent theft or vandalism.
 - Established, documented protocols for delivery and installation, including use of trained personnel and appropriate equipment.
 - Strong vendor and supplier relationships with reliable transportation partners.
- **Acceptable:**
 - Businesses with moderate claims history that have implemented corrective safety measures and updated operational procedures.
 - Premises with some vulnerabilities but ongoing improvements underway.
 - Delivery and installation protocols that are generally followed but may lack formal documentation.
- **Not Acceptable:**
 - Businesses with poor or adversarial vendor relationships, especially those with repeated transport or installation losses.

- Frequent claims related to theft, vandalism, or property damage.
- Lack of formal safety protocols or failure to address prior losses.
- Premises with inadequate security or significant exposure to environmental hazards (e.g., flood-prone areas without mitigation).

Key Risk Considerations

- **Installation Liability:** The installation of monuments and tombstones involves heavy materials and precise placement, often on uneven or sensitive ground (e.g., cemeteries). Improper installation can lead to bodily injury claims or property damage. Underwriters should evaluate the insured's installation training, use of equipment (such as cranes or hoists), and adherence to safety standards.
- **Heavy Materials and Equipment Hazards:** Monuments and tombstones are typically made from granite, marble, or other heavy stone materials, requiring specialized handling and transportation. Risks include damage during transit, injury to workers, and damage to third-party property. Inspection of equipment maintenance records and employee training programs is critical.
- **Theft and Vandalism Exposure:** Due to the high value and outdoor storage of monuments, there is an elevated risk of theft and vandalism. Secure storage facilities, surveillance systems, and controlled access protocols reduce this exposure.
- **Environmental and Weather Risks:** Outdoor storage and installation activities may be affected by weather conditions such as heavy rain, snow, or freezing temperatures, which can increase slip-and-fall hazards and damage to materials.
- **Transportation Risks:** Transporting heavy stone monuments requires specialized vehicles and secure loading practices. Risks include damage in transit and liability for accidents.

Industry-Specific Restrictions

- **Inland Marine Coverage Requirement:** Inland Marine insurance is mandatory to cover the transportation and installation phases, as these exposures are not typically covered under standard property policies. This coverage protects against loss or damage to monuments while in transit or at temporary installation sites.
- **Property Valuation at Actual Cash Value (ACV):** Due to the nature of stone materials and potential for weathering or damage over time, property coverage is generally provided at actual cash value rather than replacement cost. This reflects depreciation and wear, which can be significant for monuments exposed to the elements.
- **Restriction on Use of Unlicensed Subcontractors:** To mitigate installation liability risks, policies typically exclude coverage for work performed by unlicensed or uninsured subcontractors. This restriction encourages insureds to use qualified professionals and reduces exposure to installation-related claims.
- **Limitation on Sourcing of Stone Materials:** To minimize risks associated with inconsistent material quality, underwriting may restrict coverage to monuments sourced from approved quarries or suppliers that meet specified quality standards. This reduces the likelihood of premature cracking, chipping, or other defects leading to claims.

Preferred Optional Coverages

- **Inland Marine:** Essential for coverage of monuments and equipment during transit and installation, protecting against loss or damage outside the insured premises.
- **Cyber Liability:** Increasingly relevant for businesses maintaining customer records, including sensitive information related to clients' memorials and contracts.
- **Equipment Breakdown:** Covers the repair or replacement of critical machinery used in cutting, engraving, or lifting heavy monuments.
- **Professional Liability (Errors & Omissions):** Protects against claims arising from design errors, engraving mistakes, or failure to meet client specifications.

Illustrative Examples

- **Claim Scenario – Installation Injury:** A worker installing a granite tombstone slips on uneven ground, sustaining a serious injury. The insured is found liable due to inadequate safety training and lack of proper equipment. Coverage under the liability portion of the BOP would respond, highlighting the importance of rigorous installation protocols.
- **Claim Scenario – Transport Damage:** During delivery, a monument shifts on the truck due to improper securing and is damaged beyond repair. Inland Marine coverage would cover the loss, emphasizing the need for secure transport procedures.
- **Practical Application – Vendor Management:** An insured maintains contracts only with vendors who provide proof of insurance and adhere to strict handling guidelines, reducing claims related to transport and installation.
- **Risk Mitigation – Security Enhancements:** Installation of surveillance cameras and fencing around outdoor storage areas has significantly reduced theft and vandalism claims for a preferred insured.

Unique Industry-Related Restriction

- **Prohibition on Use of Unmanned Aerial Vehicles (Drones) for Installation or Inspection:** Due to the delicate and precise nature of monument placement, as well as privacy concerns in cemetery environments, the use of drones for installation assistance or inspection is prohibited under this policy. This restriction helps prevent potential property damage, invasion of privacy claims, and regulatory violations related to drone operations near burial sites.

3.91 Musical Instrument Sales & Repair

Underwriting Appetite

- **Preferred:**
 - Businesses demonstrating stable and verifiable financial performance, with no involvement in instrument rentals, and conducting minimal off-site work (less than 10% of total operations). Stability indicates lower risk of operational disruptions and claims.
 - Premises secured by a centrally monitored or locally installed alarm system, including motion detectors and reinforced entry points, to mitigate theft and burglary risks.
 - Primary operations conducted on-site with limited exposure to transit or off-premises liabilities.

- **Acceptable:**

- Businesses offering in-store music instruction and repair services, with off-site services constituting less than 25% of total business activities. Off-site work may include on-location tuning or repair at client premises.
- Adequate security measures in place, though possibly lacking central monitoring.
- Moderate financial stability with some fluctuations in revenue or cash flow.

- **Not Acceptable:**

- Businesses primarily engaged in instrument rentals, as these introduce higher liability and property exposure due to frequent instrument turnover and potential damage.
- Suppliers to schools or large institutional clients where bulk sales and rental agreements increase risk complexity.
- Operations with more than 25% of services performed off-site, which significantly increase exposure to transit losses, liability claims, and difficulties in risk control.
- Businesses lacking any form of alarm or security system, or with a history of repeated claims related to theft or property damage.

Key Risk Considerations

- **Instrument Damage and Repair Liability:** Musical instruments are often high-value, delicate, and customized items. Repair errors or damage during servicing can lead to costly claims. Underwriters should assess the repair technicians' qualifications, quality control processes, and customer dispute history.
- **Product Liability:** Risks arise from selling instruments or accessories that may be defective or cause injury (e.g., faulty strings snapping, electrical faults in electronic instruments). Coverage should address potential claims for bodily injury or property damage caused by products sold.
- **Theft and Burglary Exposure:** Instruments are attractive targets for theft due to their portability and value. Evaluate security measures, including alarm systems, secure display cases, and inventory management.
- **Off-Premises Exposure:** Off-site services such as tuning, repair, or instruction increase liability and property risks during transit and at client locations. Consider transportation methods, employee training, and contractual protections.
- **Cyber Risk:** For businesses maintaining customer records, online sales platforms, or digital instruction services, cyber liability risks include data breaches and privacy violations.

Industry-Specific Restrictions

- **Burglary/Robbery Coverage Limitation:** Coverage for burglary and robbery losses is limited or excluded unless the insured premises are protected by a centrally monitored alarm system or a professionally installed local alarm system with documented maintenance. This restriction reflects the high incidence of theft in this industry and the importance of effective deterrents.

- **Cyber Liability Coverage:** Cyber coverage is restricted to exposures arising from online data management and e-commerce activities. Coverage does not extend to cyber risks associated with third-party software used in instrument repair diagnostics or embedded electronics in instruments unless specifically endorsed.
- **Restriction on Use of Non-Original Parts:** Repairs involving replacement parts must use manufacturer-approved or original equipment manufacturer (OEM) components. Use of aftermarket or non-certified parts may void coverage for resulting damage or liability claims, as these parts can compromise instrument integrity and increase risk of failure.

Preferred Optional Coverages

- **Professional Liability (Errors & Omissions):** Protects against claims arising from negligent repair work, faulty instruction, or advice leading to financial loss or property damage. Particularly important for businesses offering repair and instructional services.
- **Earthquake Coverage:** Recommended for businesses located in seismically active regions where earthquake damage to premises and inventory is a significant risk.
- **Employee Dishonesty and Theft:** Covers losses due to dishonest acts by employees, including theft of instruments or cash. Given the high value and portability of inventory, this coverage is critical.
- **Equipment Breakdown:** Covers mechanical or electrical breakdown of specialized repair equipment and electronic instruments, reducing business interruption risks.
- **Transit Coverage:** Optional coverage for instruments and parts while in transit, especially important for businesses conducting off-site repairs or deliveries.

Illustrative Examples

- *Claim Scenario 1:* A repair technician accidentally damages a vintage violin during servicing. The customer files a claim for the cost of restoration and loss of value. Professional Liability coverage would respond to this claim.
- *Claim Scenario 2:* A burglary occurs at a music store without a monitored alarm system, resulting in the theft of several high-end guitars. The insurer limits coverage due to the absence of required security measures.
- *Claim Scenario 3:* A business sells electronic keyboards that later malfunction due to a manufacturing defect, causing minor electrical shocks to users. Product Liability coverage addresses claims arising from bodily injury.
- *Practical Application:* A shop owner uses only OEM parts for repairs, ensuring compliance with policy restrictions and minimizing risk of claims related to faulty repairs.

3.92 Office Supplies & Equipment

Underwriting Appetite Our underwriting appetite for businesses involved in office supplies and equipment is calibrated to balance risk exposure with market opportunity. The following guidelines reflect typical risk profiles and operational characteristics we prefer, accept, or decline:

- **Preferred:**

- Businesses with inventory valued under \$500,000 that maintain a professionally monitored alarm system. This reduces the risk of theft and property loss.
 - Operations primarily engaged in limited repair services (e.g., minor equipment maintenance or troubleshooting) with less than 75% of sales conducted online. Lower online sales reduce cyber risk and potential delivery liabilities.
- **Acceptable:**
 - Businesses offering delivery services and maintaining inventory up to \$1 million. Delivery introduces additional liability exposures but is manageable with proper controls.
 - **Not Acceptable:**
 - Sellers who primarily repackage or private-label products, as these practices can obscure product origin and increase product liability risks.
 - Repair service providers located in New York City due to historically higher claims frequency and severity in this jurisdiction.
 - Businesses with more than 75% of sales conducted online, which significantly increases cyber theft and delivery liability exposures.

Example: A local office supply retailer with \$400,000 in inventory, a monitored alarm system, and 60% in-store sales with limited repair services would be considered preferred. Conversely, a company that repackages generic office equipment under its own brand and sells 90% online would be declined.

Key Risk Considerations When underwriting office supplies and equipment businesses, the following risks require careful evaluation:

- **Cyber Theft:** Businesses with significant online sales or electronic payment processing are vulnerable to data breaches, hacking, and fraudulent transactions. Cyber liability coverage and strong IT security protocols are recommended.
- **Product Defect and Liability:** Defective office equipment or supplies can lead to property damage or bodily injury claims. This risk is heightened for repackaged or private-label products where quality control may be inconsistent.
- **Delivery Liability:** Businesses offering delivery services face risks such as vehicle accidents, damaged goods, and third-party injuries. Proper driver vetting, vehicle maintenance, and commercial auto coverage are essential.
- **Employee Injury and Fraud:** Repair services and warehouse operations carry risks of employee injuries (e.g., repetitive strain, slips and falls). Additionally, inventory theft or fraudulent activities by employees can impact loss experience.

Example Claim Scenario: A delivery driver employed by an office equipment supplier causes a multi-vehicle accident while transporting goods, resulting in bodily injury claims and property damage. Without adequate commercial auto and liability coverage, the business could face significant financial exposure.

Industry-Specific Restrictions To mitigate underwriting risk, the following restrictions apply specifically to office supplies and equipment businesses:

- **Alarm System Requirement:** An operational, professionally monitored alarm system is mandatory for businesses with inventory exceeding \$500,000 to reduce theft and burglary losses.
- **Professional Liability Coverage:** Repair service providers must maintain professional liability (errors and omissions) coverage to address potential claims arising from faulty repairs or service errors.
- **Restriction on Sourcing from High-Risk Overseas Suppliers:** Businesses sourcing office equipment or supplies from countries with known quality control issues or geopolitical instability (e.g., certain regions with frequent product recalls or counterfeit goods) will be subject to additional scrutiny or declination. This restriction is critical because poor-quality imports increase product liability exposure and claims frequency.

Reasoning: The sourcing restriction aims to reduce exposure to latent defects and product recalls that can result in costly claims and reputational damage. For example, a supplier importing office chairs from a region with a history of non-compliance with safety standards may face higher product liability risks.

Preferred Optional Coverages To enhance risk management and provide comprehensive protection, the following optional coverages are recommended for office supplies and equipment businesses:

- **Business Interruption Coverage:** Protects against loss of income and extra expenses resulting from covered property damage events that disrupt operations.
- **Umbrella Liability and Employment Practices Liability Insurance (EPLI):** Umbrella coverage extends liability limits, while EPLI addresses risks related to employee claims such as discrimination or wrongful termination.
- **Cyber Liability Coverage:** Essential for businesses with online sales or electronic data processing to cover data breaches, cyber extortion, and related liabilities.
- **Commercial Auto Coverage:** Required for businesses offering delivery or transportation services to cover vehicle liability and physical damage.

Example: A mid-sized office equipment supplier with a delivery fleet and an e-commerce platform would benefit from combining cyber liability and commercial auto coverage to address their unique exposures.

3.93 Optical Goods & Services

Underwriting Appetite

- **Preferred:**
 - Businesses with inventory valued under \$500,000, equipped with a centrally monitored alarm system, and demonstrating proactive customer outreach and risk management

practices. For example, an independent optician with a well-maintained security system and a documented customer recall program for prescription updates would be considered preferred.

- Operations primarily focused on retail sales of optical frames, lenses, and accessories with limited or no in-house lab processing.

- **Acceptable:**

- Optical retailers offering private label products and providing in-house laboratory services such as lens edging, coating, and minor frame repairs, provided these services adhere to industry safety standards and quality controls.
- Businesses with moderate inventory levels (up to approximately \$1 million) but with comprehensive loss prevention measures, including employee training and documented quality assurance protocols.

- **Not Acceptable:**

- Entities with a history of professional liability claims related to incorrect prescriptions, defective lenses, or patient harm due to improper fitting.
- Businesses demonstrating financial instability, poor safety records, or lacking adequate security controls, such as absence of alarm systems or unsecured inventory storage.
- Operations engaging in wholesale distribution of optical goods without direct customer interaction or quality control oversight.

Key Risk Considerations

- **Malpractice and Defective Product Liability:** Optical businesses face exposure to claims arising from incorrect prescriptions, defective lenses or frames, and improper fitting, which can lead to vision impairment or discomfort. For instance, a customer receiving lenses with incorrect prescriptions may file a professional liability claim if the error results in eye strain or injury.
- **Cyber Threats and Data Loss:** Many optical retailers maintain sensitive personal health information (PHI) and payment data, making them targets for cyberattacks. Loss or theft of patient records or payment information can result in regulatory fines and reputational damage.
- **Inventory and Equipment Risks:** High-value inventory such as designer frames and specialized lab equipment require robust physical security and maintenance protocols to prevent theft, damage, or operational downtime.
- **Employee Dishonesty and Internal Fraud:** Given the valuable inventory and cash transactions, risks of employee theft or fraud must be carefully assessed and mitigated through controls such as segregation of duties and regular audits.

Industry-Specific Restrictions

- **Cyber and Product Liability Controls Required:** To qualify for coverage, insureds must implement and maintain documented cybersecurity measures, including encrypted storage of PHI, regular software updates, and employee cybersecurity training. Similarly, product liability coverage requires evidence of quality control processes for in-house lab services.

- **Employee Dishonesty Reporting:** Any suspected or confirmed employee dishonesty or inventory shrinkage must be reported to the insurer promptly (within 72 hours) to maintain coverage eligibility and enable timely investigation.
- **Restriction on Use of Unlicensed Contact Lens Fitting Services:** Optical businesses offering contact lens fitting must ensure all practitioners are properly licensed and comply with state regulations. Coverage excludes claims arising from unlicensed fitting or dispensing of contact lenses, due to heightened professional liability exposure and regulatory scrutiny.

Preferred Optional Coverages

- **Business Interruption:** Covers loss of income and extra expenses resulting from covered perils that disrupt normal operations, such as fire damage to retail premises or lab equipment breakdown.
- **Cyber and Equipment Breakdown:** Cyber coverage protects against data breaches and cyber extortion, while equipment breakdown coverage addresses costly repairs or replacement of specialized lab machinery critical to operations.
- **Employment Practices Liability Insurance (EPLI) and Community Event Coverage:** EPLI protects against claims of discrimination, harassment, or wrongful termination, which can arise in any retail environment. Community event coverage supports businesses that participate in or sponsor local events, providing protection for liabilities incurred during such activities.

3.94 Paint & Wallpaper Stores

Underwriting Appetite

- **Preferred:**
 - Businesses with a strong safety record, well-documented training programs for staff handling chemicals and equipment, and a primary focus on retail sales rather than extensive service or installation work.
 - Stores that maintain clear inventory controls, proper storage of flammable and hazardous materials, and compliance with local fire and environmental regulations.
 - Operations with minimal or well-controlled delivery services, where drivers are trained and vehicles are maintained to reduce accident risk.
- **Acceptable:**
 - Stores offering limited delivery or in-home color consultation services, provided these activities are supported by documented safety protocols and risk controls.
 - Businesses with moderate exposure to chemical handling but with evidence of employee protective equipment (PPE) use and spill response plans.
 - Operations that may have some service components (e.g., wallpaper installation advice) but do not perform high-risk installation or removal work.
- **Not Acceptable:**

- Businesses with poor financial stability, which may indicate inability to maintain safety standards or respond adequately to claims.
- Operations engaging in high-risk services such as large-scale wallpaper installation, paint spraying, or industrial coating without appropriate risk controls or certifications.
- Stores with a history of frequent claims related to chemical spills, employee injuries, or property damage due to inadequate safety measures.

Key Risk Considerations

- **Paint Handling and Storage:** Paints and solvents are often flammable and chemically hazardous. Proper storage in fire-rated cabinets, use of ventilation systems, and adherence to OSHA and local environmental regulations are critical to minimize fire and health risks.
- **Slip and Trip Hazards:** Spills of paint or wallpaper paste on floors can create slip hazards for customers and employees, potentially leading to liability claims.
- **Chemical Exposure:** Employees and customers may be exposed to fumes or skin irritants. Adequate PPE, training on safe handling, and Material Safety Data Sheets (MSDS) availability are essential.
- **Delivery and Transportation Risks:** Delivery vehicles transporting paint and wallpaper products face accident risks and potential environmental contamination from spills.
- **Product Liability:** Risks related to defective or harmful products sold, including allergic reactions or damage caused by paint or wallpaper products.
- **Fire Risk:** Due to the flammable nature of many paints and solvents, fire prevention and detection systems are critical underwriting considerations.

Industry-Specific Restrictions

- **Environmental and Automobile Liability Restrictions:** Coverage for environmental liability is restricted and only available when tied directly to the insured's operations, such as accidental spills during product handling or delivery. Auto liability coverage is limited to vehicles owned and operated by the insured for business purposes and excludes coverage for subcontracted delivery services or third-party logistics providers.
- **Product Liability Coverage:** Product liability must be explicitly linked to direct sales of paint and wallpaper products by the insured. Coverage does not extend to products installed or applied by third-party contractors or subcontractors.
- **Restriction on Use of Aerosol Spray Paints:** Due to increased fire and inhalation hazards, coverage excludes operations involving aerosol spray paint application or sale of aerosol spray paints exceeding 1-liter containers. This restriction is based on heightened risk of fire, explosion, and employee exposure incidents associated with aerosolized chemicals.

Preferred Optional Coverages

- **Business Interruption:** Protects against loss of income resulting from covered property damage events, such as fire or flood, which may temporarily close the store.
- **Theft and Pollution Liability:** Theft coverage is important due to the high value and theft-prone nature of paint and wallpaper inventory. Pollution liability coverage addresses accidental chemical spills or leaks that may cause environmental damage.

- **Equipment Breakdown:** Covers losses due to mechanical or electrical failure of refrigeration units (if storing temperature-sensitive products), ventilation systems, or other critical equipment.
- **Employee Dishonesty/Fidelity Bond:** Recommended for stores handling cash and high-value inventory to protect against internal theft or fraud.

Illustrative Examples

- A paint store employee suffers skin irritation and respiratory issues after improper handling of solvent-based paints without adequate PPE, resulting in a workers' compensation claim.
- A customer slips on a paint spill left unattended on the store floor, leading to a liability claim for medical expenses and pain and suffering.
- A delivery driver is involved in a traffic accident while transporting paint products, causing vehicle damage and a minor chemical spill requiring environmental cleanup.
- A fire breaks out in the storage area due to improper storage of flammable paint cans, resulting in significant property damage and business interruption losses.

3.95 Pet Stores & Pet Grooming

Underwriting Appetite

- **Preferred:**
 - Businesses with a clean claims history and a minimum of 3 years in continuous operation, demonstrating stability and risk management maturity.
 - Staff who have received formal training in animal handling, grooming techniques, and safety protocols, including certification where applicable.
 - Facilities equipped with appropriate safety features such as secure animal enclosures, non-slip flooring, proper ventilation, and fire prevention systems.
 - Pet stores and grooming salons that primarily handle common domestic animals (dogs, cats, small mammals) with no history of incidents involving aggressive or exotic animals.
- **Acceptable:**
 - Mobile grooming operations that maintain commercial auto insurance and demonstrate adherence to vehicle safety and sanitation standards.
 - New businesses led by owners or managers with prior experience in pet care or grooming, supported by documented training or industry certifications.
 - Locations with moderate claims history provided corrective measures have been implemented and documented.
- **Not Acceptable:**
 - Businesses dealing with exotic, dangerous, or wild animals (e.g., reptiles, large birds of prey, venomous species) due to elevated liability and care complexity.

- Operations employing untrained or inadequately supervised staff, increasing the risk of animal injury or customer claims.
- Businesses with multiple recent liability claims, particularly those involving animal bites, injuries, or property damage, indicating poor risk controls.
- Facilities lacking proper sanitation or animal containment measures that could lead to disease transmission or escape incidents.

Key Risk Considerations

- **Animal Injury and Mortality:** Risks include injury or death of animals during grooming, boarding, or retail handling. Claims may arise from negligence, improper handling, or equipment failure (e.g., grooming tools, drying equipment).
- **Property Damage:** Potential damage to the insured premises or third-party property caused by animals (e.g., chewing, scratching) or equipment malfunction.
- **Mobile Service Risks:** Mobile grooming units face additional exposures such as vehicle accidents, theft, and contamination risks due to limited sanitation controls.
- **Staff Injury:** Groomers and store employees are at risk of bites, scratches, repetitive strain injuries, and slips/falls, necessitating workers' compensation and safety protocols.
- **Professional Liability:** Errors or omissions in grooming services (e.g., allergic reactions, improper grooming leading to injury) can result in client lawsuits.
- **Bailee Exposure:** Liability for pets temporarily in the care, custody, or control of the insured, including boarding and grooming services.
- **Cyber Risks:** For pet stores with online sales or appointment booking systems, exposure to data breaches and cyberattacks.

Industry-Specific Restrictions

- **Animal Mortality and Bailee Coverage:** Coverage for animal mortality or loss is limited strictly to the period when the animal is under the insured's direct care, custody, or control (e.g., during grooming or boarding). Coverage does not extend to animals sold or otherwise outside the insured's possession.
- **Prohibition on Use of Unregulated Grooming Chemicals:** The use of grooming products or chemicals not approved by recognized veterinary or regulatory bodies (e.g., FDA, EPA) is prohibited due to increased risk of animal injury and resulting liability claims.
- **Cyber Coverage Requirement for Online Operations:** Pet stores conducting online sales or maintaining customer databases must have cyber liability coverage to address risks related to data breaches, ransomware, and privacy violations.
- **Restriction on Mobile Grooming in High-Risk Areas:** Mobile grooming units are not acceptable in geographic areas with high rates of vehicle theft or vandalism unless enhanced security measures (e.g., GPS tracking, secure parking) are documented.
- **Unique Industry Restriction – Sourcing of Live Animals:** Pet stores must source live animals only from licensed, reputable breeders or suppliers who comply with animal welfare regulations. Sourcing from unlicensed or questionable suppliers is prohibited to mitigate risks related to animal health issues, disease outbreaks, and regulatory penalties.

Preferred Optional Coverages

- **Animal Mortality Coverage:** Provides financial protection for loss or death of animals under the insured's care, particularly valuable for high-value or rare breeds.
- **Equipment Breakdown:** Covers repair or replacement of grooming equipment, refrigeration units for pet food, and other critical machinery.
- **Professional Liability (Errors & Omissions):** Protects against claims arising from grooming mistakes, misrepresentation, or failure to provide promised services.
- **Goods in Transit and Business Interruption:** Especially important for mobile groomers or stores that deliver products, covering loss or damage during transport and income loss due to covered perils.
- **Cyber Liability:** Recommended for businesses with online sales, appointment systems, or electronic customer records.
- **Workers' Compensation:** Essential for covering employee injuries common in this industry.

Illustrative Examples

- **Claim Scenario 1:** A grooming salon employee accidentally injures a dog's paw using a clipper. The owner sues for veterinary bills and emotional distress. Professional liability coverage would respond to defend and indemnify the insured.
- **Claim Scenario 2:** A mobile grooming van is involved in a traffic accident causing injury to the groomer and damage to the vehicle and equipment. Commercial auto and workers' compensation policies respond accordingly.
- **Claim Scenario 3:** A pet store sources puppies from an unlicensed breeder who later is found to have transmitted a contagious disease. The store faces regulatory fines and customer lawsuits. This scenario highlights the importance of the sourcing restriction.
- **Claim Scenario 4:** A cyberattack compromises customer payment information on an online pet supply store's website, triggering notification costs and legal expenses covered under cyber liability.

3.96 Photography Studios & Supplies

Underwriting Appetite

- **Preferred:**
 - Photography studios and supply businesses with inventory valued at less than \$500,000.
 - Operations without the use of drones, chemical processing (e.g., darkroom chemicals), or pet grooming services.
 - Businesses primarily focused on portrait, event, commercial, or product photography with standard studio equipment.
- **Acceptable:**
 - Studios offering ancillary services such as makeup and hairstyling for clients.
 - Photographers who conduct global travel for shoots, provided appropriate travel endorsements are added.

- Businesses with inventory between \$500,000 and \$1 million, subject to detailed risk evaluation and loss control measures.
- **Not Acceptable:**
 - Use of drones for aerial photography or videography due to heightened liability and regulatory risks.
 - Businesses with inventory valued over \$1 million without specialized coverage or risk mitigation.
 - Operations involving pet grooming or other unrelated services that introduce additional liability exposures.

Key Risk Considerations

- **Equipment Loss or Damage:** High-value photographic equipment (cameras, lenses, lighting, computers) is vulnerable to theft, accidental damage, or loss during transit. For example, a studio may suffer a claim if a camera is stolen during an on-location shoot or damaged due to water exposure.
- **Failure to Deliver Photos:** Claims may arise from clients if photos are lost, corrupted, or not delivered on time, potentially leading to breach of contract or professional liability claims.
- **Privacy and Intellectual Property Claims:** Unauthorized use or distribution of client images can result in privacy violations or copyright infringement claims.
- **Travel Risks:** Photographers traveling internationally face risks including equipment loss, liability exposures in foreign jurisdictions, and cancellation or interruption of shoots.
- **Chemical Hazards:** Studios using chemical processing (e.g., film development) may have environmental and health risks, requiring specialized underwriting.

Industry-Specific Restrictions

- **Drone Usage Exclusion:** Coverage excludes any claims arising from the use of drones or unmanned aerial vehicles (UAVs), including liability, physical damage, or regulatory fines. This restriction is due to the complex and evolving regulatory environment, increased risk of property damage or bodily injury, and the need for specialized aviation insurance.
- **Behind-Curtain Activity Exclusion:** Activities involving adult entertainment or photography behind closed curtains (e.g., strip clubs, adult studios) are excluded due to heightened moral hazard and reputational risks.
- **Cyber and Travel Coverage:** Cyber liability and travel-related risks are not included in the base policy and must be specifically endorsed. This ensures tailored coverage for data breaches, ransomware attacks, or travel interruptions.
- **Chemical Processing Limitation:** Businesses using chemical darkroom processes must demonstrate compliance with environmental regulations and proper storage/disposal procedures; otherwise, coverage may be restricted or declined.
- **Inventory Sourcing Restriction:** Photographic supply businesses sourcing inventory from countries with known supply chain risks (e.g., unstable political environments or poor quality control) may face coverage limitations or require additional documentation. This is to mitigate risks of counterfeit or defective products leading to liability claims.

Preferred Optional Coverages

- **Business Interruption:** Protects against loss of income due to covered perils causing a shutdown of studio operations, such as fire or equipment breakdown.
- **Cyber Liability:** Covers data breaches, loss of client information, and cyber extortion, particularly important for studios storing digital images and client data.
- **Commercial Auto:** For photographers using vehicles to transport equipment or traveling to shoots.
- **Photographic Equipment Floater:** Provides broader coverage for high-value equipment, including coverage during transit and on-location shoots.
- **Umbrella Liability:** Offers excess liability limits above the primary policy, useful for studios with significant client interaction or public exposure.

Illustrative Claim Scenarios

- A studio's primary camera is stolen from a locked vehicle during an out-of-town wedding shoot, resulting in a claim under the photographic equipment floater.
- A client sues a photographer after images from a corporate event are inadvertently published without consent, triggering a privacy claim.
- A photographer's international shoot is canceled due to sudden travel restrictions, leading to a business interruption loss that would be covered only if travel endorsement is in place.
- Chemical spills in a darkroom cause property damage and a regulatory fine, which may be excluded unless chemical processing risks are specifically underwritten.

Unique Industry-Related Restriction

- **Restriction on Use of Third-Party Cloud Storage Providers:** Coverage excludes losses arising from the use of third-party cloud storage services that do not comply with industry-standard encryption and data protection protocols (e.g., ISO 27001 certification). This restriction is due to the sensitive nature of client images and data, where inadequate security can lead to significant cyber liability claims and reputational damage. Photographers must demonstrate that their digital asset management systems meet these standards or obtain a specific cyber endorsement.

3.97 Post Office & Shipping Centers

Underwriting Appetite

- **Preferred:**
 - Well-organized, secure mail and shipping centers primarily focused on mailing, parcel handling, and shipping services with clearly defined operational procedures.
 - Full compliance with all applicable postal and shipping regulations, including licensing requirements (e.g., USPS-approved shipping agents) and adherence to hazardous materials handling protocols.
 - Robust physical security measures such as surveillance cameras, secure access controls, and employee background checks to mitigate theft and fraud risks.

- Use of up-to-date technology platforms for package tracking and customer notifications, reducing errors and enhancing customer service.
- **Acceptable:**
 - Businesses offering ancillary services such as notary public, document copying, mailbox rental, faxing, and packaging supplies, provided these services are secondary and well-managed.
 - Small-scale shipping centers with limited delivery operations, where commercial auto coverage can be appropriately tailored.
 - Operations with moderate claim histories but demonstrable improvements in risk management and security protocols.
- **Not Acceptable:**
 - Facilities exhibiting poor risk management practices, including inadequate security, lack of employee vetting, or failure to comply with postal/shipping regulations.
 - Businesses with a history of frequent or large theft, property damage, or liability claims, especially those related to lost or damaged parcels.
 - Shipping centers handling high-risk goods such as hazardous materials without proper licensing or specialized coverage.
 - Operations heavily reliant on third-party delivery services without contractual risk transfer provisions.

Key Risk Considerations

- **Theft and Property Risks:** Packages and mail items are frequent targets for theft or tampering. Evaluate physical security measures, employee screening, and inventory controls. For example, a shipping center that frequently handles high-value electronics shipments must have secure storage areas and documented chain-of-custody procedures.
- **Cyber Liability:** Many centers use computerized tracking and customer databases, creating exposure to data breaches or cyberattacks. Confirm that cybersecurity protocols, including firewalls, encryption, and regular software updates, are in place.
- **Goods in Transit:** Coverage for loss or damage to goods while in transit is typically excluded under standard property policies and requires separate cargo or transit insurance. For example, if the shipping center offers last-mile delivery, this exposure must be carefully assessed and insured.
- **Errors & Omissions (E&O) Liability:** Ancillary services such as notary public or document preparation carry professional liability risks. Claims can arise from errors, omissions, or failure to perform duties properly.
- **Employee Practices:** Given the customer-facing nature of these businesses, risks related to employment practices, such as discrimination or harassment claims, should be evaluated.

Industry-Specific Restrictions

- **Cybersecurity Compliance:** Cyber liability coverage requires that insureds maintain current and industry-standard cybersecurity measures, including up-to-date antivirus software, regular security patches, and employee cybersecurity training programs. Failure to maintain these may result in denial of coverage or increased premiums.

- **Goods in Transit Coverage:** Standard BOP policies do not cover goods in transit. Separate cargo or transit insurance must be purchased for shipments handled or delivered by the insured. This is critical for centers offering delivery services or handling high-value shipments.
- **Restriction on Handling of Hazardous Materials:** Post office and shipping centers are generally prohibited from accepting or shipping hazardous materials (e.g., flammable liquids, explosives, certain chemicals) unless they hold specific hazardous materials handling licenses and have specialized insurance coverage. This restriction reduces catastrophic loss exposures and regulatory violations.
- **Prohibition on Unmanned Aerial Vehicle (Drone) Deliveries:** Due to regulatory complexities and elevated liability risks, BOP coverage excludes drone delivery operations unless specifically endorsed. Insureds wishing to use drones for parcel delivery must obtain separate aviation or drone liability insurance.

Preferred Optional Coverages

- **Employment Practices Liability Insurance (EPLI):** Protects against claims related to wrongful termination, discrimination, harassment, and other employment-related issues, which are common in customer-facing businesses.
- **Umbrella/Excess Liability Insurance:** Provides additional liability limits above the BOP's general liability coverage, useful for high-traffic locations or centers handling valuable shipments.
- **Cyber Insurance:** Addresses exposures from data breaches, ransomware attacks, and other cyber incidents affecting customer information and operational systems.
- **Commercial Auto Insurance:** Required if the insured operates delivery vehicles, including last-mile parcel delivery or courier services. Coverage should be tailored to include hired and non-owned auto exposures if third-party vehicles are used.
- **Professional Liability (E&O) Coverage:** Recommended for centers offering notary or document preparation services to protect against claims of professional negligence.

Illustrative Examples

- **Theft Claim Scenario:** A shipping center stores high-value electronics awaiting customer pickup. Due to inadequate security cameras and poor employee screening, a theft occurs resulting in a 50,000 loss. *The insurer denies coverage due to failure to maintain reasonable security measures.* **Cyber Insurance**
- **E&O Claim:** A notary public at a shipping center incorrectly notarizes a document, leading to a legal dispute. Professional liability coverage covers defense costs and settlement.
- **Goods in Transit Exposure:** A shipping center offers same-day delivery using its own vehicles but lacks commercial auto and cargo coverage. A vehicle accident causes damage to goods in transit, resulting in a claim denied due to lack of appropriate coverage.

Unique Industry-Related Restriction

- **Restriction on Use of Third-Party Mailbox Services for Hazardous or Perishable Goods:** Many post office and shipping centers offer mailbox rental services. However, coverage under the BOP excludes losses related to hazardous, perishable, or temperature-sensitive

goods stored in rented mailboxes unless the insured has implemented specialized handling protocols and obtained appropriate endorsements. This restriction is due to the increased risk of property damage, spoilage, and regulatory violations associated with such goods, which are not typically anticipated in standard mailbox rental operations.

3.98 Printing & Copying Services

Underwriting Appetite The underwriting appetite for printing and copying services reflects the varying risk profiles associated with different operational models and exposures. Careful evaluation of business practices, premises, and risk controls is essential to ensure appropriate risk selection.

- **Preferred:**

- Small to medium-sized in-store printing operations with limited or no commercial vehicle delivery. These businesses typically have controlled customer traffic and minimal exposure to transportation-related losses.
- Facilities with well-established safety protocols for the storage and handling of inks, solvents, and other chemicals, including proper ventilation, fire suppression systems, and compliant storage containers.
- Businesses that utilize water-based or environmentally friendly inks, which reduce flammability and chemical hazards.

- **Acceptable:**

- Web-based printing services that accept orders online and provide basic design or layout assistance but outsource complex design work. These businesses often have reduced on-site risk but may have increased cyber or EO exposures.
- Operations with moderate delivery activity, provided vehicles are well-maintained and drivers have clean records.

- **Not Acceptable:**

- Businesses with a history of frequent claims, particularly those related to fire, chemical exposure, or equipment failure.
- Operations with extensive commercial delivery fleets without adequate driver vetting or vehicle maintenance programs.
- Facilities lacking proper controls for chemical storage, fire prevention, or ventilation, leading to elevated risk of fire or health hazards.
- High-volume industrial printing operations involving large-scale solvent-based inks or hazardous materials without specialized risk management.

Key Risk Considerations Underwriters should carefully assess the following risk factors, which are common sources of loss in printing and copying businesses:

- **Fire and Explosion Hazards:** Many inks and solvents used in printing are flammable or combustible. Improper storage, inadequate ventilation, or failure of fire suppression systems can lead to significant fire losses. For example, a solvent spill near an ignition source can result in a rapid fire spread.
- **Errors and Omissions (E&O):** Mistakes in printing jobs, such as incorrect colors, misprints, or failure to meet client specifications, can lead to customer disputes and financial losses. These errors are typically covered under a separate Printer's E&O policy rather than general liability.
- **Equipment Breakdown:** Printing presses, copiers, and finishing equipment are complex and expensive. Mechanical failure or electrical issues can cause costly downtime and repair expenses.
- **Chemical Exposure and Health Risks:** Employees may be exposed to hazardous chemicals, including volatile organic compounds (VOCs) from inks and solvents. Proper personal protective equipment (PPE) and ventilation are critical to mitigate occupational health risks.
- **Delivery and Transportation Risks:** For businesses that deliver printed materials, risks include vehicle accidents, cargo damage, and liability arising from transportation.
- **Cyber Risks:** Web-based printers accepting online orders may face data breaches or cyberattacks compromising customer information.

Industry-Specific Restrictions To manage exposures unique to printing and copying services, the following restrictions apply:

- **Mandatory Equipment Maintenance:** All printing and copying equipment must undergo regular preventive maintenance and inspections by qualified technicians. Documentation of maintenance schedules and repairs must be available for underwriting review. This reduces the risk of equipment breakdown and fire.
- **Separation of Printer's E&O Coverage:** Errors and omissions related to printing mistakes or design errors are excluded from the general liability portion of the BOP and require a separate Printer's E&O policy. This ensures specialized claims handling and appropriate limits.
- **Solvent Storage Limits:** The total volume of flammable solvents and inks stored on-site must not exceed 55 gallons unless stored in a dedicated, fire-rated cabinet with automatic fire suppression. This restriction mitigates fire risk associated with large quantities of flammable materials.
- **Prohibition on Use of Unmanned Aerial Vehicles (Drones) for Delivery or Inspection:** Due to regulatory complexities and increased liability exposure, the use of drones for delivery of printed materials or for premises inspection is not permitted under this policy. This restriction addresses emerging risks not yet fully covered by standard BOP terms.

Preferred Optional Coverages To enhance protection for printing and copying businesses, the following optional coverages are recommended:

- **Printer's Errors & Omissions (E&O) Coverage:** Provides protection against claims arising from printing errors, design mistakes, or failure to deliver services as promised. This coverage is critical given the high potential for client disputes.
- **Commercial Auto Coverage:** For businesses that operate delivery vehicles, this coverage protects against liability and physical damage related to vehicle operations.

- **Business Interruption Coverage:** Covers loss of income and continuing expenses if operations are interrupted due to a covered peril such as fire or equipment breakdown.
- **Equipment Breakdown Coverage:** Provides coverage for repair or replacement of printing and copying equipment damaged by mechanical or electrical failure.
- **Cyber Liability Coverage:** Recommended for web-based printers to protect against data breaches, cyber extortion, and related liabilities.

Illustrative Examples

- **Fire Loss Due to Solvent Spill:** A small print shop stores flammable solvents improperly near a heat source. A spill ignites, causing extensive fire damage to the premises and equipment. Proper solvent storage and fire suppression could have prevented or mitigated this loss.
 - **E&O Claim for Misprinted Materials:** A printing company produces thousands of brochures with incorrect contact information. The client sues for the cost of reprinting and lost business. This claim is covered under Printer's E&O, not general liability.
 - **Equipment Breakdown Causing Downtime:** A commercial copier suffers an electrical failure, halting operations for several days. Business interruption coverage helps offset lost income during repairs.
 - **Delivery Vehicle Accident:** A delivery driver employed by the printing business causes a collision while transporting printed materials. Commercial auto coverage addresses liability and vehicle damage.
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3.99 Real Estate Agencies

Underwriting Appetite The underwriting appetite for real estate agencies focuses on firms primarily engaged in brokerage and transactional services rather than those involved in property development or active property management. This distinction is critical because property development and management introduce significantly higher operational risks and exposures that are typically outside the scope of a standard Business Owners Policy (BOP).

- **Preferred:**

- Agencies exclusively engaged in real estate brokerage and sales, particularly those specializing in condominiums or single-entity residential or commercial properties. These firms generally have more predictable risk profiles and fewer liability exposures.
- Firms with clear separation from property development or management activities, ensuring that their operations are limited to transactional services such as listing, selling, and leasing.

- **Acceptable:**

- Entities structured as trusts, partnerships, or joint ventures that conduct brokerage activities but may have more complex ownership or operational arrangements.

- Agencies handling wholesale or bulk property transactions, provided there are robust insurance controls and risk management procedures in place to mitigate exposures related to large-scale deals.

- **Not Acceptable:**

- Agencies involved in property development, construction management, or active property management services. These activities involve higher liability risks, including construction defects, tenant claims, and regulatory compliance issues, which are not adequately covered under a standard BOP.
- Businesses primarily engaged in unrelated industries such as auto/motorcycle dealerships, bars, nightclubs, or gyms, even if they have some real estate interests, as these operations carry fundamentally different risk profiles.

Key Risk Considerations Real estate agencies face several unique risk exposures that underwriters must carefully evaluate:

- **Misrepresentation and Errors in Transactions:** Claims arising from alleged misstatements, failure to disclose material facts, or errors in contract documentation are common. For example, a buyer may sue an agency for not disclosing known property defects or zoning restrictions.
- **Tenant and Client Disputes:** Agencies involved in leasing may face claims related to tenant disputes, such as wrongful eviction allegations or failure to enforce lease terms.
- **Professional Liability Exposure:** Although standard BOPs do not cover professional liability, agencies should be encouraged to obtain Errors and Omissions (EO) coverage to protect against claims of negligence or breach of fiduciary duty.
- **Cyber Risks:** Given the sensitive client data handled (e.g., financial information, personal identification), cyber liability is a growing concern, including risks of data breaches or ransomware attacks.
- **Regulatory Compliance:** Agencies must comply with real estate licensing laws and fair housing regulations; violations can lead to fines, penalties, and reputational damage.

Industry-Specific Restrictions

- **Exclusion of Property Management Coverage:** Coverage for property management activities is explicitly excluded under the BOP for real estate agencies. Property management involves responsibilities such as rent collection, maintenance oversight, and tenant relations, which carry distinct liability exposures and require specialized insurance products. Agencies performing these services must seek separate property management liability policies.
- **Coverage Based on Business Personal Property (BPP) and Location:** Insurance coverage is generally limited to the agency's owned or leased office premises and business personal property (e.g., office equipment, signage). Real estate agencies typically do not have significant physical inventory, so BPP limits should reflect actual exposures. Locations must be evaluated for physical hazards (e.g., flood zones, crime rates) as these impact property coverage.

- **Restriction on Use of Unlicensed Virtual Platforms:** Agencies utilizing virtual or online-only platforms for property showings or transactions must ensure these platforms comply with applicable licensing and regulatory requirements. Coverage may be denied or limited if the agency operates through unlicensed or unauthorized digital channels, as this increases risk of regulatory violations and cyber exposures.

Preferred Optional Coverages To enhance risk management and provide comprehensive protection, the following optional coverages are recommended for real estate agencies:

- **Cyber Liability:** Protects against data breaches, cyber extortion, and other technology-related risks, which are increasingly prevalent given the volume of sensitive client information handled.
- **Employment Practices Liability Insurance (EPLI):** Covers claims related to wrongful termination, discrimination, harassment, and other employment-related issues, which are common in office-based professional environments.
- **Directors and Officers (D&O) Liability:** Provides coverage for claims against company leadership alleging wrongful acts in managing the agency, such as breach of fiduciary duty or mismanagement.
- **Commercial Auto:** For agencies that provide transportation services for clients or use vehicles in their business operations, commercial auto coverage is essential.
- **Business Interruption:** Covers loss of income and extra expenses if the agency's office is temporarily unusable due to a covered peril, such as fire or natural disaster.

Illustrative Examples

- **Misrepresentation Claim:** A real estate agency fails to disclose a known plumbing issue in a condominium unit during the sale. The buyer discovers the problem post-purchase and sues the agency for damages related to repair costs and diminished property value.
- **Tenant Dispute:** An agency leasing commercial space on behalf of a landlord is sued by a tenant alleging wrongful eviction and failure to maintain premises, resulting in a costly settlement.
- **Cyber Incident:** A hacker breaches the agency's database, accessing client financial information. The agency incurs expenses related to notification, credit monitoring, and legal defense.
- **Business Interruption:** A fire damages the agency's office building, forcing closure for several weeks. Business interruption coverage compensates for lost income during the restoration period.

Unique Industry-Related Restriction

- **Restriction on Handling Properties with Environmental Contamination:** Real estate agencies that list or broker properties known to have environmental contamination (e.g., asbestos, lead paint, underground storage tanks) must disclose these conditions upfront. Such properties often require specialized environmental liability coverage, which is not included in a standard BOP. Failure to disclose or properly manage these risks can lead to coverage denial.

or claim disputes. This restriction is critical because environmental hazards pose significant liability and remediation costs beyond typical agency exposures.

Reasoning: Environmental contamination introduces complex legal and financial risks that exceed the scope of standard real estate agency operations and insurance products. By restricting coverage for agencies handling such properties without proper disclosure and specialized insurance, underwriters can better manage potential catastrophic losses and ensure appropriate risk transfer.

3.100 Restaurants (Full Service, Limited Service, Fast Food)

Underwriting Appetite The underwriting appetite for restaurant risks varies based on size, operational complexity, and risk controls in place. The following guidelines help determine eligibility and risk classification:

- **Preferred:**

- Establishments under 7,500 square feet with seating capacity of 150 or fewer. Smaller venues typically have more manageable risk profiles.
- Alcohol sales limited to controlled percentages (generally less than 30% of total revenue) and catering operations kept minimal to moderate levels. This reduces exposure to liquor liability and off-premises risks.
- Presence of National Fire Protection Association (NFPA)-compliant fire suppression systems, such as automatic wet chemical systems over cooking equipment, which significantly mitigate fire hazards.
- Well-documented food safety protocols and employee training programs to reduce food contamination risks.

- **Acceptable:**

- Restaurants slightly exceeding the preferred size or seating limits, provided there is a clear plan and timeline to implement risk controls to meet preferred standards.
- Operations with minimal entertainment (e.g., background music, occasional live acoustic performances) and seasonal closures of less than 45 days per year, which limits exposure to large crowds and associated liabilities.
- Establishments with fire suppression systems that are scheduled for upgrade or maintenance within a reasonable timeframe.

- **Not Acceptable:**

- Large-scale venues or those primarily focused on entertainment (e.g., nightclubs, concert halls) where crowd control and alcohol-related risks are significantly higher.
- Restaurants lacking any fire suppression system or with suppression systems that are non-compliant with NFPA standards.
- Operations with prolonged seasonal closures exceeding 45 days, which may indicate financial instability or increased risk of property damage during vacancy.

- Establishments with a history of repeated liquor liability claims or significant foodborne illness outbreaks without corrective action.

Example: A 5,000 sq ft full-service restaurant with 120 seats, serving alcohol responsibly (20% of revenue), equipped with an NFPA-compliant suppression system, and no history of major claims would be classified as **Preferred**. Conversely, a 10,000 sq ft venue with 300 seats, frequent live concerts, and no suppression system would be **Not Acceptable**.

Key Risk Considerations Restaurants face multiple inherent risks that must be carefully evaluated:

- **Fire Risk:** Cooking equipment, open flames, and grease buildup are primary fire hazards. Proper maintenance of suppression systems and regular cleaning of hoods and ducts are critical.
Claim scenario: A grease fire originating in the kitchen caused extensive property damage due to a malfunctioning suppression system.
- **Slip and Fall:** Wet or greasy floors, uneven surfaces, and crowded dining areas increase the likelihood of customer or employee injuries.
Claim scenario: A customer slipped on a wet floor near the entrance during rainy weather, resulting in a broken wrist.
- **Food Contamination and Spoilage:** Improper food handling, storage, or preparation can lead to foodborne illnesses, resulting in liability claims and reputational damage.
Claim scenario: An outbreak of salmonella linked to undercooked poultry caused multiple customer claims and a temporary closure.
- **Liquor Liability:** Serving alcohol introduces risks of intoxication-related incidents, including property damage, bodily injury, and legal claims.
Claim scenario: An intoxicated patron caused a vehicular accident after leaving the premises, leading to a third-party liability claim.
- **Event Hosting and Entertainment:** Hosting private events or live entertainment can increase exposure to crowd-related risks, noise complaints, and liquor liability.
Claim scenario: A private party escalated into a physical altercation, resulting in injuries and property damage.
- **Cyber Risk:** Point-of-sale (POS) systems and online ordering platforms are vulnerable to data breaches and ransomware attacks, potentially compromising customer payment information.
Claim scenario: A ransomware attack on the POS system forced a restaurant to suspend operations for several days and exposed customer credit card data.

Industry-Specific Restrictions To manage exposures unique to the restaurant industry, the following restrictions apply:

- **Alcohol, Catering, and Entertainment Thresholds:** Coverage is contingent on alcohol sales not exceeding 30% of gross revenue, catering operations limited to no more than 20% of total business, and entertainment restricted to background music or low-key performances. Exceeding these thresholds requires specialized underwriting or separate policies.

- **Cyber Coverage Requirements:** Cyber liability coverage must be included or endorsed when POS systems process customer payments or when online ordering is offered, reflecting the increased risk of data breaches.
- **Kitchen Equipment Sourcing Restriction:** To reduce fire risk, restaurants must use commercial-grade cooking equipment certified by recognized safety standards (e.g., UL-listed). Use of uncertified or residential-grade appliances in commercial kitchens is prohibited under this policy. This restriction is critical because uncertified equipment often lacks adequate safety features, increasing the likelihood of fire or equipment failure.
- **Prohibition of Open-Flame Cooking Outdoors:** Outdoor cooking involving open flames (e.g., wood-fired ovens, open grills) is restricted unless the area is equipped with dedicated fire suppression and is compliant with local fire codes. This limits wildfire and property damage risks, especially in high-risk geographic areas.
- **No Coverage for Unlicensed Food Trucks or Mobile Kitchens:** Mobile food operations must be separately insured and licensed; coverage under the restaurant BOP is not extended to these operations.

Preferred Optional Coverages Given the complex risk environment of restaurants, the following optional coverages are highly recommended to enhance protection:

- **Employment Practices Liability Insurance (EPLI):** Addresses claims related to wrongful termination, discrimination, harassment, or other employment-related issues common in the hospitality industry.
- **Commercial Auto Coverage:** For restaurants that provide delivery services or operate company vehicles.
- **Special Events Coverage:** For occasional events or private parties that may increase liability exposure beyond normal operations.
- **Cyber Liability:** Protects against data breaches, ransomware, and other cyber risks associated with POS and online ordering systems.
- **Umbrella Liability:** Provides excess liability limits to protect against catastrophic claims that exceed primary policy limits.

Example: A limited-service restaurant offering delivery should consider Commercial Auto coverage for their drivers, EPLI due to a sizable workforce, and Cyber Liability due to use of online ordering platforms.

3.101 Self Storage Facilities

Underwriting Appetite Self storage facilities present unique underwriting challenges due to the diversity of stored contents, the potential for property damage, and liability exposures. Our underwriting appetite is structured to balance risk with coverage capacity, emphasizing facility security, maintenance, and the nature of stored goods.

- **Preferred:**
 - Facilities that are ≤ 2 stories in height, constructed with fire-resistant materials, and demonstrate consistent, proactive maintenance programs (e.g., regular roof inspections, pest control, and prompt repairs).

- Secure premises featuring controlled access systems such as electronic gate entry, surveillance cameras operational 24/7, and on-site or contracted security personnel.
 - Storage limited to non-hazardous materials only; no flammable, explosive, or toxic substances permitted.
 - Portable storage units (e.g., PODS or similar) allowed on-site for ≤ 90 days, with clear documentation of contents and adherence to fire safety protocols.
- **Acceptable:**
 - Facilities exceeding 2 stories, provided they have enhanced fire suppression systems (e.g., sprinklers) and meet local building codes for multi-story storage.
 - Storage of limited quantities of hazardous materials (e.g., household chemicals, small quantities of flammable liquids) with appropriate endorsements and strict compliance with regulatory requirements.
 - Portable storage units maintained on-site for periods exceeding 90 days, subject to specialized endorsements and risk mitigation measures.
- **Not Acceptable:**
 - Facilities lacking any form of security controls, such as unsecured access gates or non-functional alarm systems.
 - Poorly maintained properties exhibiting structural damage, water intrusion, or pest infestations that increase risk of property loss.
 - Long-term portable storage units without proper coverage or risk controls, especially if used as permanent storage solutions.
 - Storage of high-risk hazardous materials such as industrial chemicals, explosives, or large quantities of flammable liquids.

Key Risk Considerations Underwriters should carefully evaluate the following exposures inherent to self storage operations:

- **Fire Risk:** Storage facilities often contain a variety of combustible materials, increasing the likelihood and potential severity of fire losses. Evaluate the presence and condition of fire detection and suppression systems, building construction type, and proximity to fire hydrants.
- **Theft and Vandalism:** Due to the nature of self storage, theft is a significant concern. Assess security measures including fencing, lighting, surveillance cameras, and access controls.
- **Hazardous Exposure:** Storage of hazardous materials can lead to environmental contamination or bodily injury claims. Confirm compliance with local, state, and federal regulations regarding hazardous substance storage.
- **Business Personal Property (BPP) Liability:** Liability exposures may arise from customer property damage, bodily injury on premises, or damage caused by stored goods (e.g., leaking chemicals).
- **Water Damage and Mold:** Facilities located in flood-prone or high-humidity areas require evaluation of drainage, waterproofing, and ventilation systems.

Industry-Specific Restrictions

- **Portable Storage Units Duration:** Portable storage units kept on-site for longer than 90 days require specialized endorsements to address increased fire and theft risk. This restriction is due to the difficulty in monitoring and maintaining these units compared to fixed structures.
- **Security System Requirements:** The facility must maintain a fully operational security system, including electronic access control and video surveillance. Non-functional or outdated systems must be upgraded prior to policy issuance.
- **Prohibition on Storage of Perishable Goods and Live Animals:** Storage of perishable goods (e.g., food products) or live animals is strictly prohibited under the BOP due to the high risk of spoilage, contamination, and animal welfare liability.
- **Restriction on Cryptocurrency Mining Equipment Storage:** Due to the high fire risk and electrical load associated with cryptocurrency mining hardware, storage of such equipment is not permitted unless the facility has specialized electrical infrastructure and fire suppression systems designed for high-heat electronic equipment. This restriction addresses the increased potential for electrical fires and overheating.

Preferred Optional Coverages To enhance protection and address specific exposures, the following optional coverages are recommended for self storage facilities:

- **Environmental Liability Coverage:** Protects against pollution or contamination claims arising from hazardous materials stored on-site or accidental releases.
- **Cyber Liability Coverage:** Many modern facilities use digital access controls and customer data management systems, creating exposure to cyberattacks and data breaches.
- **Workers' Compensation:** Essential for facilities employing staff for maintenance, security, or administration.
- **Equipment Breakdown Coverage:** Covers mechanical or electrical breakdowns of critical systems such as HVAC, security systems, and fire suppression equipment.
- **Umbrella Liability Coverage:** Provides additional liability limits above the primary policy, useful for facilities with high customer traffic or significant third-party exposure.

Illustrative Examples

- **Fire Loss Scenario:** A self storage facility without a sprinkler system experiences a fire originating from a portable storage unit containing improperly stored flammable liquids. The fire spreads to adjacent units, causing extensive property damage and business interruption losses. This highlights the importance of restricting hazardous materials and ensuring fire protection systems.
- **Theft Claim Scenario:** A facility with outdated security cameras and no electronic gate access suffers a series of thefts, resulting in customer property losses and liability claims for inadequate premises security.
- **Environmental Claim Scenario:** Improper storage of hazardous household chemicals leads to a leak contaminating soil and groundwater, triggering costly cleanup and third-party claims.

3.102 Shoe Stores & Repair

Underwriting Appetite

- **Preferred:**

- Businesses with stable and verifiable financials, no involvement in equipment rentals or leasing, and a documented strong safety record (e.g., minimal or no slip-and-fall incidents or workplace injuries).
- Fixed-location shoe stores or repair shops with well-maintained premises and adherence to local safety codes.

- **Acceptable:**

- Mobile shoe repair services that operate with properly insured commercial vehicles; these must comply with geographic service area restrictions (see Industry-Specific Restrictions).
- Businesses with a moderate claims history, such as occasional minor property damage or liability claims, provided corrective measures have been implemented.
- Small-scale shoe repair operations that do not involve hazardous materials or high-risk equipment.

- **Not Acceptable:**

- Businesses engaged in equipment rental or leasing (e.g., renting shoe repair machines or power tools to third parties), as this introduces additional liability exposures.
- Operations with repeated or severe injury claims, particularly those involving employee injuries due to unsafe equipment or poor maintenance.
- Shoe stores or repair shops that handle or store flammable chemicals or solvents without proper licensing and safety protocols.

Key Risk Considerations

- **Slip-and-Fall Hazards:** Shoe stores and repair shops often have customer foot traffic combined with repair areas where liquids, adhesives, or small debris may be present, increasing the risk of slip-and-fall incidents. Proper floor maintenance and signage are critical risk controls.
- **Equipment Damage and Breakdown:** Repair shops rely on specialized machinery (e.g., sewing machines, polishing equipment, heat presses). Equipment breakdown can cause business interruption and costly repairs.
- **Repair Liability (Completed Operations):** Liability arising from faulty repairs or defective workmanship—such as a repaired shoe causing injury or property damage—requires coverage under product/completed operations liability.
- **Fire and Chemical Exposure:** Some repair processes use adhesives, solvents, or dyes that are flammable or toxic. Proper storage, ventilation, and fire suppression systems mitigate these risks.
- **Employee Safety:** Use of sharp tools, heat sources, and machinery presents injury risks to employees, necessitating strong workplace safety programs.

Industry-Specific Restrictions

- **Product/Completed Operations Coverage Requirement:** Repair services must include product/completed operations liability coverage to protect against claims arising from defective workmanship or repairs after the work has been completed and the customer has taken possession. This coverage is essential because a repaired shoe or accessory could cause injury or property damage post-service.
- **Geographic Limitations on Mobile Services:** Mobile shoe repair operations are restricted to a defined geographic radius (typically within 50 miles of the primary business location) to control risks related to vehicle use, regulatory compliance, and timely claims handling.
- **Restriction on Use of Flammable Adhesives and Solvents:** Businesses using flammable adhesives or solvents must comply with local fire codes and have appropriate storage and ventilation systems. Operations that use or store quantities exceeding regulatory limits require additional underwriting review or may be declined.
- **Prohibition on Equipment Rental to Third Parties:** Shoe stores and repair shops are not permitted to rent or lease repair equipment or tools to customers or other businesses. This restriction reduces liability exposure related to misuse or damage of rented equipment.

Preferred Optional Coverages

- **Professional Liability:** Covers claims arising from errors or omissions in repair services, such as faulty workmanship leading to customer injury or property damage.
- **Equipment Breakdown:** Protects against sudden and accidental breakdown of critical repair machinery, minimizing business interruption losses.
- **Cyber Liability:** Relevant for shoe stores with e-commerce platforms or digital customer records, protecting against data breaches or cyberattacks.
- **Employment Practices Liability Insurance (EPLI):** Addresses claims related to employment practices such as discrimination, harassment, or wrongful termination.
- **Flood Insurance:** Recommended for stores located in flood-prone areas to cover property damage and business interruption caused by flooding.

Illustrative Examples

- **Slip-and-Fall Claim:** A customer slips on a spilled adhesive in the repair area and sustains a broken wrist. The store is liable for medical expenses and potential legal costs.
- **Equipment Breakdown:** A key sewing machine used for shoe repair malfunctions, causing a halt in operations for three days. Equipment breakdown coverage reimburses repair costs and lost income.
- **Completed Operations Liability:** A repaired shoe sole detaches shortly after service, causing the wearer to trip and injure themselves. The customer sues for damages, which are covered under product/completed operations liability.
- **Mobile Service Auto Liability:** A mobile shoe repair van is involved in a minor accident while servicing a client. Commercial auto insurance covers vehicle damage and third-party liability.

3.103 Shopping Centers & Strip Malls

Underwriting Appetite The underwriting appetite for shopping centers and strip malls is primarily influenced by the tenant mix, property condition, and historical claims experience. These factors collectively determine the overall risk profile and insurability of the property.

- **Preferred:**

- Properties with predominantly low-risk tenants such as professional offices, boutique retail stores, and service-oriented businesses (e.g., dry cleaners, salons) that have minimal exposure to liability or property damage.
- Well-maintained buildings with up-to-date safety features (e.g., fire suppression systems, adequate lighting, and security cameras).
- A clean claims history with no or minimal prior losses, indicating effective risk management.
- Examples: A strip mall anchored by a pharmacy, a coffee shop, and a small accounting firm with no history of slip-and-fall claims or vandalism.

- **Acceptable:**

- Properties with a mixed tenant base that may include moderate-risk businesses such as casual dining restaurants, fitness centers, or small medical clinics.
- Minor past incidents that have been resolved and do not indicate systemic risk (e.g., isolated slip-and-fall claims or minor property damage).
- Basic risk controls in place, such as routine maintenance schedules and tenant compliance with safety regulations.
- Examples: A strip mall with a mix of retail and a small gym, where a minor water leak caused limited property damage but was promptly repaired.

- **Not Acceptable:**

- Properties with high-risk tenants including tattoo parlors, daycare centers, manufacturing or industrial operations, or businesses involving hazardous materials. These tenants typically present elevated liability and property risks that exceed standard BOP underwriting guidelines.
- Properties exhibiting deferred maintenance issues such as broken fire alarms, structural damage, or outdated electrical systems that increase the likelihood of loss.
- Locations with ongoing legal disputes related to tenant operations, environmental hazards, or zoning violations.
- Examples: A strip mall housing a chemical manufacturer or a daycare with a history of regulatory violations and multiple liability claims.

Key Risk Considerations Underwriters should carefully evaluate the following risk factors when assessing shopping centers and strip malls:

- **Tenant Liability:** The nature of tenant operations significantly impacts liability exposure. For example, restaurants may have increased slip-and-fall risks due to wet floors, while fitness centers may face claims related to equipment injuries.

- **Property Damage:** Consider the age and condition of the building, fire protection systems, and exposure to natural hazards such as flooding or earthquakes.
- **Security Risks:** Evaluate the adequacy of security measures including lighting, surveillance cameras, and on-site personnel to mitigate theft, vandalism, or assaults.
- **Events and Special Activities:** Temporary events hosted on the premises (e.g., farmers markets, festivals) can increase risk exposure and may require additional coverage or endorsements.
- **Parking Areas and Common Spaces:** These areas are frequent sites of liability claims, particularly slip-and-fall or vehicle-related incidents.
- **Environmental Risks:** Presence of underground storage tanks, proximity to industrial sites, or prior contamination history should be reviewed.

Industry-Specific Restrictions

- Tenant risk ratings are the primary driver of the overall classification and premium determination. High-risk tenants can elevate the entire property's risk profile, potentially leading to declination or higher premiums.
- Special events or tenants selling alcoholic beverages require separate coverage considerations. For example, liquor liability coverage is typically excluded under standard BOPs and must be added via endorsement or separate policy.
- **Unique Restriction:** Tenants operating commercial kitchens must comply with local fire code regulations and maintain UL-listed suppression systems. Properties with commercial kitchen tenants that lack documented compliance or have a history of grease fire claims will be declined or require specialized coverage. This restriction is critical due to the elevated fire risk associated with cooking operations in strip mall environments.

Preferred Optional Coverages To enhance protection and address common exposures, the following optional coverages are recommended for shopping centers and strip malls:

- **Maintenance and Equipment Breakdown Coverage:** Covers the cost to repair or replace essential building systems such as HVAC, electrical panels, and refrigeration units, which are critical for tenant operations.
- **Employment Practices Liability Insurance (EPLI):** Protects against claims related to wrongful termination, discrimination, or harassment by property management or tenant employees.
- **Cyber Liability:** Addresses risks associated with data breaches or cyberattacks, particularly relevant if the property management collects tenant or customer data electronically.
- **Flood Insurance:** Especially important for properties located in flood-prone areas or designated flood zones, as standard BOPs exclude flood coverage.
- **Umbrella/Excess Liability Insurance:** Provides additional liability limits beyond the primary policy to protect against catastrophic losses.

Illustrative Claim Scenarios

- A customer slips on an icy patch in the parking lot of a strip mall and sustains a broken wrist. The property owner faces a liability claim for failure to maintain safe premises.

- A grease fire originating from a restaurant's kitchen causes extensive smoke damage to adjacent retail units, resulting in business interruption claims.
 - Vandalism damages storefront windows overnight, requiring costly repairs and temporary closure of tenant businesses.
 - A data breach at the property management office exposes tenant financial information, triggering cyber liability claims.
-

3.104 Sporting Goods Stores

Underwriting Appetite

- **Preferred:**
 - Sporting goods retailers that primarily sell new, non-firearm equipment and apparel with no rental or repair services.
 - Minimal or no firearms sales; if firearms are sold, strict compliance with all federal, state, and local regulations is mandatory, and sales must be limited to non-automatic weapons.
 - Businesses with limited or no instructional activities, or those that use certified, licensed instructors with documented safety protocols.
- **Acceptable:**
 - Sporting goods stores that offer instructional activities (e.g., archery lessons, fitness classes) provided these are conducted by qualified professionals and accompanied by appropriate professional liability coverage.
 - Stores with limited e-commerce operations, provided cyber liability coverage is in place.
 - Retailers with minimal repair services for non-motorized equipment (e.g., bicycle tune-ups) under strict safety and quality control measures.
- **Not Acceptable:**
 - Stores primarily serving as school suppliers or vendors focused on educational institution contracts, due to heightened liability exposures.
 - Businesses offering equipment rentals (e.g., skis, bicycles, boats) or extensive repair services, as these activities significantly increase liability and physical damage risks.
 - Stores with significant sales or rentals of motorized sporting equipment (e.g., ATVs, jet skis) without specialized coverage and risk controls.

Key Risk Considerations

- **Product Liability:** Sporting goods stores face exposure from defective or malfunctioning products that could cause injury or property damage. For example, a defective bicycle helmet failing to protect a rider could result in a claim.
- **Injury During Instruction:** When instructional activities are offered (e.g., archery lessons or personal training), there is an increased risk of bodily injury claims. Proper certification and safety protocols are critical to mitigate these risks.

- **Cyber Exposure:** Stores with e-commerce platforms are vulnerable to data breaches, cyberattacks, and privacy violations, necessitating robust cyber liability coverage.
- **Firearms Sales:** Even minimal firearms sales require stringent compliance with regulatory requirements and enhanced underwriting scrutiny due to the high severity of potential claims.
- **Theft and Crime Risks:** Sporting goods stores often carry high-value inventory, making them targets for theft or employee dishonesty.

Industry-Specific Restrictions

- **Professional Liability for Instruction and Repairs:** Any instructional or repair services must be covered by professional liability insurance to address claims arising from negligence, improper instruction, or faulty repairs.
- **Mandatory Cyber Liability for E-Commerce:** Cyber liability coverage is required for any sporting goods store conducting online sales or maintaining customer data electronically, to protect against data breaches and cyber-related losses.
- **Restriction on Sale of High-Risk Firearms and Ammunition:** Sales of automatic or semi-automatic firearms, high-capacity magazines, and certain types of ammunition (e.g., armor-piercing) are strictly excluded due to elevated risk profiles and regulatory complexities.
- **Prohibition on Rental of Motorized Sporting Equipment:** Rental of motorized equipment such as ATVs, snowmobiles, or jet skis is not covered under the standard BOP due to the high frequency and severity of liability claims associated with these activities. Separate specialized coverage is required.
- **Inventory Sourcing Restriction:** Sporting goods stores sourcing products from manufacturers or suppliers without recognized safety certifications (e.g., ASTM, CPSC) will be declined or require additional underwriting review. This restriction helps mitigate product liability exposures from substandard or non-compliant goods.

Preferred Optional Coverages

- **Product Recall Coverage:** Recommended to protect against financial losses arising from the recall of defective or hazardous sporting goods products, which can be costly and damage reputation.
- **Crime Coverage:** Important due to the high-value inventory and cash transactions typical in sporting goods stores; covers employee theft, burglary, and robbery.
- **Umbrella Liability:** Provides excess liability limits to protect against large or catastrophic claims beyond the primary policy limits.
- **Professional Liability:** Essential if the store offers instructional services or repair work, covering claims of negligence or errors and omissions.
- **Cyber Liability:** Critical for stores with online sales or digital customer records to cover data breaches, cyber extortion, and related liabilities.

Illustrative Examples

- **Product Liability Claim:** A customer purchases a defective climbing harness that fails during use, resulting in serious injury. The store faces a product liability claim due to the sale of the defective item.

- **Injury During Instruction:** An archery instructor at the store accidentally injures a participant during a lesson. The injured party sues for negligence, triggering professional liability coverage.
- **Cyber Incident:** A data breach exposes customer credit card information from the store's e-commerce site, leading to notification costs, fines, and potential lawsuits.
- **Theft Loss:** A burglary results in the loss of high-value sporting equipment and cash from the store's premises, activating crime coverage.

Unique Industry-Related Restriction

- **Restriction on Sale of Used Sporting Goods Equipment:** Sporting goods stores that sell used equipment (e.g., second-hand bicycles, skis, or protective gear) are generally not eligible for coverage under the standard BOP. This restriction exists because used equipment carries a higher risk of failure or hidden defects, increasing product liability exposure significantly. Stores wishing to sell used goods must seek specialized coverage with enhanced underwriting scrutiny and may face higher premiums or additional exclusions.

This expanded and detailed guidance aims to assist underwriters in accurately assessing risks associated with sporting goods stores, ensuring appropriate coverage placement and risk mitigation.

3.105 Supermarkets & Grocery Stores

Underwriting Appetite Our underwriting appetite for supermarkets and grocery stores is guided by the size, operational complexity, and risk management practices of the business. The following classifications provide clarity on preferred, acceptable, and non-acceptable risks:

- **Preferred:**
 - Supermarkets with a minimum retail space of 3,000 square feet, demonstrating robust risk management programs including regular safety audits and documented compliance with local health and safety regulations.
 - Businesses with a clean claims history and no significant regulatory violations in the past five years.
 - Implementation of comprehensive theft prevention measures such as electronic article surveillance (EAS) systems, video monitoring, and employee training on loss prevention.
 - Active cyber awareness and data security training for employees, especially those handling online orders and payment processing, to mitigate risks of data breaches and cyber fraud.
- **Acceptable:**
 - Grocery stores that operate fuel sales facilities, provided they have documented environmental controls such as spill containment systems, regular tank inspections, and compliance with EPA regulations.
 - Businesses offering online shopping and delivery services with secure, encrypted networks and multi-factor authentication for customer data access.
 - Smaller stores (under 3,000 sq ft) may be considered on a case-by-case basis if risk controls are strong and exposures are limited.

- **Not Acceptable:**

- Operations involving propane or kerosene filling stations due to elevated fire and environmental risks that exceed typical BOP coverage parameters.
- Grocery stores with a history of repeated health code violations, unresolved regulatory actions, or significant unresolved claims related to foodborne illnesses.
- Businesses lacking formal risk management programs or with poor loss control practices.

Key Risk Considerations Underwriters should carefully evaluate the following risk factors, which are critical in assessing the insurability and pricing of supermarkets and grocery stores:

- **Food Safety and Spoilage:** Perishable inventory is highly susceptible to spoilage due to refrigeration failure, power outages, or contamination. Evaluate the adequacy of refrigeration equipment, backup power systems, and inventory turnover rates. Claims may arise from product recalls or customer illness linked to contaminated food.
Example: A refrigeration compressor failure leads to spoilage of thousands of dollars' worth of fresh produce, resulting in a spoilage claim and business interruption loss.
- **Cyber Attacks:** Increasing reliance on online ordering and electronic payment systems exposes grocers to cyber risks such as data breaches, ransomware attacks, and fraud. Assess the presence of firewalls, encryption, employee cyber training, and incident response plans.
Example: A ransomware attack locks the store's POS system, halting sales and causing significant business interruption losses.
- **Slip-and-Fall Hazards:** Wet floors, spills, and cluttered aisles create frequent slip-and-fall exposures for customers and employees. Review housekeeping protocols, floor maintenance schedules, and signage usage.
Example: A customer slips on spilled juice in an aisle without warning signs, resulting in a bodily injury claim.
- **Employee Injury:** Manual handling of heavy goods, use of forklifts, and repetitive tasks increase the risk of employee injuries. Confirm adherence to OSHA standards, use of personal protective equipment (PPE), and employee safety training programs.

Industry-Specific Restrictions Certain operations within supermarkets and grocery stores require specialized underwriting considerations and may be subject to restrictions:

- **Liquor Sales:** Coverage for liquor liability must be explicitly included if the store sells alcoholic beverages. Underwriters should verify appropriate licensing and compliance with local alcohol regulations.
- **Fuel Sales:** Fuel dispensing operations require environmental liability coverage and proof of compliance with EPA and state environmental regulations. Stores with underground storage tanks must provide recent inspection reports.
- **Delivery Services:** If the store offers home delivery, commercial auto coverage must be reviewed, and drivers should have valid commercial licenses and training.
- **Cyber Coverage:** Limits and terms of cyber coverage are influenced by the extent of online sales and data handling practices. Stores with minimal or no online presence may have limited cyber exposure.
- **Unique Restriction – Fresh Seafood Sourcing:** Supermarkets that sell fresh seafood must source products from suppliers who comply with FDA's Seafood Hazard Analysis and

Critical Control Point (HACCP) regulations. Failure to verify supplier compliance increases the risk of contamination claims and may lead to coverage exclusions for seafood-related spoilage or contamination losses. This restriction is necessary due to the high perishability and contamination risk associated with seafood products.

Preferred Optional Coverages To enhance protection and address unique exposures, the following optional coverages are recommended for supermarkets and grocery stores:

- **Liquor Liability:** Essential for stores selling alcoholic beverages to cover third-party claims arising from alcohol-related incidents.
 - **Cyber Liability:** Protects against data breaches, cyber extortion, and business interruption from cyber events.
 - **Equipment Breakdown:** Covers mechanical and electrical breakdowns of refrigeration units, HVAC systems, and other critical equipment.
 - **Spoilage Coverage:** Provides coverage for loss of perishable goods due to refrigeration or power failure.
 - **Employee Dishonesty:** Protects against losses from employee theft or fraud, which can be significant in retail environments.
 - **Business Interruption:** Covers loss of income and extra expenses resulting from covered property damage or operational disruptions.
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3.106 Tailors & Dressmakers

Underwriting Appetite

- **Preferred:**
 - Businesses with fewer than 10 employees, operating for more than 3 years, demonstrating a consistent history of clean claims and effective risk management practices.
 - Established client base with documented quality control procedures and clear inventory management.
 - Physical premises with appropriate fire safety measures, secure storage for customer garments, and limited exposure to flammable materials.
- **Acceptable:**
 - Businesses with 10 to 20 employees, with moderate safety and security measures in place.
 - Operations between 1 and 3 years, provided there is no significant claims history or underwriting red flags.
 - Some exposure to higher-risk activities such as limited alterations off-site or use of sub-contractors, but with documented controls.
- **Not Acceptable:**
 - Businesses with more than 20 employees or those operating less than 1 year without verifiable experience or financial stability.

- Poor claims history, including frequent customer complaints or unresolved workmanship disputes.
- Lack of any formal safety protocols, inadequate premises security, or absence of inventory controls.
- Operations involving hazardous materials beyond standard tailoring supplies (e.g., industrial dyeing or chemical treatments without proper controls).

Key Risk Considerations

- **Customer Property Damage:** Tailors and dressmakers often hold valuable customer garments for alterations or custom work. Risks include loss, theft, or damage (e.g., stains, tears, shrinkage). Proper inventory and receipt documentation are critical to mitigate disputes and claims.
- **Workmanship Issues:** Claims arising from faulty alterations, sizing errors, or missed deadlines can lead to customer dissatisfaction and potential liability. Professional Liability coverage is recommended to address these exposures.
- **Cyber/Data Breaches:** Increasingly, tailors maintain customer databases with personal information and payment details. Exposure to cyber risks such as data breaches or ransomware attacks necessitates cyber liability coverage.
- **Fire and Equipment Risks:** Use of sewing machines, irons, and pressing equipment presents fire and electrical hazards. Adequate premises protection and regular equipment maintenance reduce these risks.
- **Employee Theft:** Given the value of customer garments and materials, employee dishonesty or theft is a notable risk. Controls such as inventory audits and employee screening are important underwriting considerations.

Industry-Specific Restrictions

- **Mobile Services Exclusion:** Coverage excludes tailoring or alteration services performed off-premises (e.g., at customer homes or events) unless specifically endorsed. Mobile operations increase liability and property risks due to less controlled environments.
- **Employee Theft Exclusion:** Employee dishonesty coverage is excluded unless purchased as an endorsement. This restriction reflects the historically higher incidence of internal theft in this industry.
- **Workmanship Errors and Data Loss Exclusions:** Standard BOP policies exclude coverage for losses arising directly from workmanship errors or data loss. Tailors requiring protection against these risks should consider Professional Liability and Cyber Liability endorsements.
- **Use of Non-Domestic Fabrics Restriction:** Tailors sourcing fabrics or materials from countries with limited supply chain transparency or higher geopolitical risk (e.g., certain regions with known trade restrictions or quality control issues) may face coverage limitations or require additional underwriting scrutiny. This restriction helps mitigate risks related to counterfeit or substandard materials that could lead to customer claims or reputational damage.

Preferred Optional Coverages

- **Business Interruption:** Protects against loss of income due to covered perils that temporarily halt operations, such as fire or equipment breakdown.

- **Professional Liability (Errors & Omissions):** Covers claims arising from workmanship errors, missed deadlines, or failure to deliver contracted services to customer specifications.
- **Cyber and Theft Insurance:** Addresses exposures related to data breaches, cyber extortion, and employee theft of customer property or business assets.
- **Equipment Breakdown Coverage:** Recommended for protection against mechanical failure of sewing machines, pressing equipment, and other essential tools.
- **Bailee's Customer Goods Coverage:** Provides protection for customer garments in the insured's care, custody, and control, beyond the limits of standard property coverage.

Illustrative Examples

- **Customer Property Damage:** A tailor accidentally shrinks a customer's wedding dress during alteration, resulting in a claim for the cost of replacement or repair. Without Bailee's coverage, the tailor's property policy may not respond.
- **Workmanship Liability:** A dressmaker misses a deadline for a prom dress alteration, causing the customer to incur additional costs for last-minute alterations elsewhere. Professional Liability coverage can help cover legal defense and settlement costs.
- **Cyber Incident:** A tailor's client database is hacked, exposing personal and payment information of hundreds of customers. Cyber liability coverage assists with notification costs, credit monitoring, and legal fees.
- **Employee Theft:** An employee steals several high-end designer fabrics stored on-site. Employee dishonesty coverage reimburses the tailor for the loss.
- **Fire Damage:** A malfunctioning pressing machine causes a fire that damages the premises and inventory, resulting in business interruption. Property and Business Interruption coverages respond accordingly.

3.107 Tax Preparation & Accounting

Underwriting Appetite This class typically involves professional services with moderate property exposure but significant exposure to professional liability and cyber risks. Underwriters should carefully evaluate both physical and intangible risks when considering these accounts.

- **Preferred:**
 - Businesses with fewer than 3 claims or less than \$20,000 total loss over the past 5 years, demonstrating a strong risk management culture.
 - Business Personal Property (BPP) valued under \$500,000, typically office-based or fully remote operations with documented cyber security controls such as multi-factor authentication, endpoint protection, and regular vulnerability assessments.
 - Firms that maintain comprehensive E&O (Errors and Omissions) coverage or have a history of minimal professional liability claims.
 - Operations primarily focused on individual tax preparation, bookkeeping, and standard accounting services without involvement in complex financial advisory or investment services.
- **Acceptable:**

- BPP valued between \$500,000 and \$1,000,000 with active physical security measures such as monitored alarm systems, access controls, and fire suppression systems.
- Businesses with a slightly elevated loss history (e.g., 3–5 claims or losses between \$20,000 and \$50,000 over 5 years) that have implemented corrective risk mitigation measures, such as improved data backup protocols or staff training on regulatory compliance.
- Firms that provide additional services such as payroll processing or tax consulting but do not engage in high-risk activities like investment advising or forensic accounting.

- **Not Acceptable:**

- Businesses located in high-risk geographic areas including New York City boroughs (Manhattan, Brooklyn, Queens, Bronx, Staten Island), Nassau, Suffolk, and Westchester counties due to historically higher frequency of property and cyber claims.
- Firms with a history of frequent or severe losses, particularly those with multiple E&O claims exceeding \$50,000 each or unresolved regulatory actions.
- Operations lacking physical security measures (e.g., no alarm systems) combined with high-value contents (BPP exceeding \$1 million), increasing vulnerability to theft or vandalism.
- Businesses engaging in high-risk ancillary services such as cryptocurrency tax advising without specialized cyber liability coverage.

Key Risk Considerations

- **Errors & Omissions (E&O) Exposure:** Tax preparers and accountants face significant professional liability risks arising from errors in tax filings, miscalculations, or failure to comply with evolving tax laws. Claims may include penalties imposed on clients, loss of refunds, or regulatory fines.
Example: A tax preparer incorrectly files a client's return, resulting in an IRS audit and penalties. The client sues for damages, triggering an E&O claim.
- **Cyber and Data Breach Risks:** These businesses handle sensitive personal and financial data, making them prime targets for cyberattacks such as ransomware, phishing, or data theft. Loss or exposure of client data can lead to regulatory penalties and reputational damage.
Example: A ransomware attack encrypts client tax records, causing business interruption and potential data loss. Cyber liability coverage and robust IT controls are critical.
- **Regulatory Compliance:** Adherence to IRS regulations, state tax laws, and data privacy laws (e.g., GLBA, CCPA) is mandatory. Non-compliance can result in fines, license suspension, or legal action.
Example: Failure to properly safeguard client Social Security numbers leads to a data breach and subsequent regulatory investigation.
- **Physical Property Risks:** While generally low compared to other industries, risks include fire, theft, and water damage to office equipment, client records, and servers.
- **Business Interruption:** Disruption due to cyber incidents, natural disasters, or office closure can severely impact revenue, especially during tax season.

Industry-Specific Restrictions

- **Remote Work Security:** For firms with remote employees, all devices accessing client data must be encrypted and secured with endpoint protection software. Use of unsecured public

Wi-Fi without VPN is prohibited. This restriction mitigates the elevated cyber risk inherent in remote operations.

- **Cyber and Compliance Endorsements:** Policies must include cyber liability endorsements and regulatory compliance coverage endorsements tailored to financial services. This ensures coverage for data breaches, regulatory fines, and associated legal costs.
- **Restriction on Use of Third-Party Cloud Services Without SOC 2 Certification:** Tax preparation and accounting firms must not use third-party cloud storage or processing services unless those providers have a current SOC 2 Type II certification. This restriction is critical because client financial data is highly sensitive, and using unverified cloud services increases the risk of data breaches and regulatory non-compliance.

Preferred Optional Coverages

- **Employment Practices Liability (EPL):** Protects against claims related to wrongful termination, discrimination, harassment, and other employment-related issues, which can be prevalent in professional service firms.
 - **Business Interruption:** Covers loss of income and extra expenses resulting from covered perils, including cyber events that disrupt operations during critical periods such as tax season.
 - **Fidelity Bond and Reputation Risk Coverage:** Protects against employee dishonesty, fraud, and reputational harm from negative publicity or social media attacks, which can be particularly damaging in client-trust dependent industries.
 - **Cyber Liability Coverage:** Including coverage for ransomware, data breach notification costs, and regulatory fines.
 - **Professional Liability (E&O) Coverage:** Often purchased separately but essential for this industry to cover claims arising from professional errors or omissions.
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3.108 Tire & Automotive Centers

Underwriting Appetite The underwriting appetite for Tire & Automotive Centers is carefully calibrated to balance operational risk exposures with the typical services offered. These businesses primarily focus on tire sales, basic automotive maintenance, and minor repairs, avoiding high-risk operations that significantly increase liability or property exposures.

- **Preferred:**
 - Businesses emphasizing preventive safety services, such as tire inspections, rotations, balancing, and basic brake checks, without engaging in towing or contract wrecking operations.
 - Operations limited to basic repair work (e.g., oil changes, tire installation, battery replacement) and new tire sales from reputable manufacturers.
 - Facilities with well-trained staff, documented safety protocols, and minimal inventory of hazardous materials.
- **Acceptable:**
 - Centers offering delivery and pickup services for customer vehicles, provided these operations follow strict safety and driver qualification standards.

- Businesses selling used tires, contingent on documented compliance with safety standards (e.g., tread depth, no visible damage) and proper disclosure to customers.
- Shops performing light mechanical repairs that do not involve complex engine or transmission work.

- **Not Acceptable:**

- Operations involving body work, frame straightening, salvage vehicle processing, or high-risk repairs such as engine rebuilds or transmission overhauls.
- Facilities used for vehicle storage or impoundment, which increase liability and property exposure.
- Businesses employing untrained or uncertified personnel, or those maintaining excessive inventory of tires or automotive parts that pose significant fire or environmental hazards.

Key Risk Considerations Underwriters should carefully evaluate the following risk factors, as they directly influence both frequency and severity of potential claims:

- **Equipment Use and Maintenance:** Proper operation and upkeep of tire changers, balancers, lifts, and other automotive equipment are critical to prevent accidents and injuries. Equipment should be regularly inspected and maintained according to manufacturer guidelines.
- **Part Quality and Source:** Use of OEM (Original Equipment Manufacturer) or certified aftermarket parts reduces the risk of product failure and subsequent liability claims. Used tires must meet safety standards, including minimum tread depth and absence of structural damage.
- **Customer Injury and Premises Liability:** Slip-and-fall hazards, vehicle movement within the premises, and customer interaction areas must be managed to minimize injury risk. Clear signage, well-lit areas, and controlled traffic flow are essential.
- **Employee Training and Certification:** Staff should be trained in safe handling of tires and automotive parts, proper use of equipment, and emergency response procedures.
- **Environmental Exposure:** Proper storage and disposal of automotive fluids (oil, brake fluid, antifreeze) are necessary to prevent environmental contamination and regulatory penalties.

Industry-Specific Restrictions To mitigate underwriting risk and ensure compliance with industry standards, the following restrictions apply:

- **Repair Operations Limited to Light Automotive Work:** Repair activities must exclude heavy mechanical repairs, such as engine or transmission overhauls, and any structural bodywork. This restriction reduces exposure to complex liability and costly equipment breakdown claims.
- **Used Tire Sales are Limited and Safety-Verified:** Used tires may only be sold if they meet or exceed minimum safety criteria, including tread depth of at least 4/32 inch on front tires and 2/32 inch on rear tires, no visible sidewall damage, and proper labeling to inform customers of their used status.
- **Prohibition on On-Site Tire Retreading:** Due to the high risk of fire and chemical exposure, on-site tire retreading or vulcanizing operations are not permitted within the insured premises.

- **No Towing or Contract Wrecking Services:** These activities introduce elevated liability and physical damage exposures that are outside the scope of standard BOP underwriting for tire and automotive centers.
- **Inventory Restrictions:** Maximum inventory limits apply to tires and automotive parts to reduce fire hazard and storage risk. Excessive stockpiling without proper fire suppression systems will lead to declination.

Unique Industry-Related Restriction: Use of Automated Tire Inflation Systems Must Include Pressure Monitoring and Safety Shutoff Features. Automated tire inflation systems that lack real-time pressure monitoring and automatic shutoff mechanisms pose a risk of over-inflation, potentially causing tire blowouts during installation or customer use. Underwriters should verify that such systems comply with industry safety standards (e.g., SAE J267) to mitigate this hazard.

Preferred Optional Coverages Given the operational profile and risk exposures of tire and automotive centers, the following optional coverages are recommended to enhance protection:

- **Business Interruption Insurance:** Covers loss of income and ongoing expenses if the business is temporarily unable to operate due to a covered peril, such as fire or equipment breakdown.
- **Environmental and Inventory Insurance:** Protects against pollution liability arising from accidental spills of automotive fluids and covers the value of stored tires and parts against theft or damage.
- **Commercial Auto Insurance:** Essential for businesses offering vehicle delivery, pickup, or customer transportation services, ensuring coverage for liability and physical damage.
- **Equipment Breakdown Coverage:** Provides protection against mechanical or electrical failure of critical equipment such as tire changers, lifts, and diagnostic tools, minimizing downtime and repair costs.

Illustrative Examples

- **Claim Scenario – Customer Injury:** A customer slips on an oil spill near the service bay, resulting in a broken wrist. The claim highlights the importance of prompt spill cleanup and clear warning signage.
- **Risk Scenario – Equipment Failure:** A tire changer malfunctions due to lack of maintenance, causing damage to a customer's tire and rim. Equipment breakdown coverage would help cover repair or replacement costs.
- **Operational Risk – Used Tire Sale:** A used tire sold with insufficient tread fails on the highway, causing an accident. Proper inspection and disclosure protocols are critical to mitigate liability.
- **Environmental Exposure – Fluid Spill:** Improper disposal of used motor oil leads to soil contamination and regulatory fines. Environmental insurance and adherence to disposal regulations are essential.

3.109 Toy Stores

Underwriting Appetite

- **Preferred:**

- Toy stores with robust cyber security measures in place, including firewalls, data encryption, and regular employee training on phishing and data breaches.
- Comprehensive safety training programs for employees, particularly regarding product handling, customer interactions, and in-store safety protocols.
- Financially stable businesses with strong credit history and consistent revenue streams.
- Proven track record of clean claims history, especially no recent product liability or premises liability claims.
- Well-maintained inventory controls, including regular stock audits, secure storage, and clear documentation of toy sourcing and supplier vetting.

- **Acceptable:**

- Stores with moderate safety plans that may lack formal documentation but demonstrate reasonable employee training and safety awareness.
- Businesses with minor or infrequent claim history, such as small slip-and-fall incidents or minor cyber incidents without significant loss.
- Adequate but not comprehensive inventory management systems.

- **Not Acceptable:**

- Toy stores lacking any cyber security controls, exposing customer data or payment information to risk.
- Poorly maintained or nonexistent safety programs, leading to frequent injury claims or unsafe premises.
- Businesses with major or repeated claims, particularly involving product liability (e.g., selling recalled or unsafe toys), significant cyber breaches, or large premises liability losses.
- Stores with inconsistent or inadequate inventory controls, increasing the risk of theft, loss, or sale of prohibited items.

Key Risk Considerations

- **Product Liability:** Toy stores face significant exposure to product liability claims if toys sold are defective, improperly labeled, or recalled. Examples include choking hazards from small parts, toxic materials in toys, or malfunctioning electronic toys causing injury.
- **Cyber Exposure:** Many toy stores operate e-commerce platforms or maintain customer databases, making them vulnerable to data breaches, ransomware attacks, or payment fraud. Cyber liability coverage is essential to mitigate these risks.
- **Injury Risks:** Premises liability risks include slip-and-fall accidents, injuries from in-store displays or play areas, and incidents involving customers or employees. Proper safety protocols and regular maintenance reduce these risks.

- **Inventory Risks:** Theft, damage, or loss of inventory due to fire, water damage, or mismanagement can cause significant financial loss. Accurate inventory tracking and secure storage are critical.
- **Seasonality and Business Interruption:** Toy stores often experience seasonal sales spikes (e.g., holidays), increasing exposure to business interruption losses if a covered event disrupts operations during peak periods.

Industry-Specific Restrictions

- **No Recalled or Unsafe Toys:** Underwriters must verify that no recalled, banned, or unsafe toys are stocked or sold. This includes toys that fail to meet Consumer Product Safety Commission (CPSC) standards or contain hazardous materials such as lead paint or small detachable parts posing choking hazards.
- **Cyber Coverage Tied to Online Presence:** Cyber liability coverage is generally only offered if the toy store maintains an active online presence, such as an e-commerce website or digital customer database. Stores without online operations typically have limited cyber exposure and may not qualify for cyber coverage.
- **Restriction on Import of Toys from High-Risk Countries:** Toy stores sourcing inventory from countries with a history of non-compliance with international safety standards (e.g., certain regions with lax quality control or counterfeit goods) may face underwriting restrictions or require additional documentation. This helps mitigate risks related to defective or unsafe products entering the supply chain.

Preferred Optional Coverages

- **Cyber Liability:** Covers data breaches, ransomware attacks, and other cyber incidents affecting customer information or business operations.
- **Business Interruption and Inventory Coverage:** Protects against lost income and inventory damage due to covered perils such as fire, flood, or theft, especially important during peak sales seasons.
- **Flood Insurance:** Particularly relevant for stores located in flood-prone areas or regions with seasonal heavy rains.
- **Umbrella Liability Insurance:** Provides additional liability coverage beyond standard policy limits, useful for mitigating large product liability or premises liability claims.
- **Commercial Auto Insurance:** For toy stores that operate delivery vehicles or company cars.

Illustrative Claim Scenarios

- **Product Liability Claim:** A customer purchases a toy containing small detachable parts that were not properly labeled as choking hazards. A child is injured, resulting in a lawsuit against the store for failure to warn.
- **Cyber Incident:** A toy store's e-commerce website is hacked, exposing customer credit card information and leading to fraudulent charges. Cyber liability coverage helps cover notification costs, legal fees, and fines.
- **Premises Liability:** A customer slips on a wet floor near a toy display and suffers a broken wrist. The store faces a premises liability claim due to inadequate warning signs and floor maintenance.

- **Inventory Loss:** A fire damages a significant portion of the store's inventory just before the holiday season, causing substantial business interruption losses.

Unique Industry-Related Restriction

- **Restriction on Sale of Battery-Operated Toys Without UL Certification:** Due to the increased risk of fire and electrical hazards associated with battery-operated toys, underwriters require that all such toys sold by the store carry Underwriters Laboratories (UL) certification or equivalent safety approval. This restriction helps reduce the risk of product liability claims related to overheating, battery leakage, or electrical malfunctions. Stores unable to verify UL certification for battery-operated toys may be declined or subject to higher premiums.

3.110 Travel Agencies

Underwriting Appetite

- **Preferred:**
 - Online-only travel agencies that have implemented robust cybersecurity protocols, including multi-factor authentication, regular vulnerability assessments, and data encryption, to protect sensitive customer information.
 - Niche travel providers specializing in clearly defined customer segments (e.g., eco-tourism, adventure travel, luxury cruises) with demonstrated expertise and stable financials.
 - Agencies with documented risk management practices, including comprehensive Errors Omissions (E&O) policies and proactive client communication procedures.
- **Acceptable:**
 - Brick-and-mortar agencies with at least three years of operational history, established liability coverage, and evidence of employee training on compliance and customer service standards.
 - Agencies offering a mix of online and in-person services but lacking advanced cybersecurity measures, provided they have minimal claims history.
- **Not Acceptable:**
 - Agencies with frequent or recent E&O claims related to booking errors, misrepresentation, or failure to deliver promised services.
 - Those lacking any form of cyber protection or data breach response plans.
 - Agencies heavily involved in high-risk travel sectors without adequate risk mitigation, such as unregulated adventure tours in politically unstable regions.

Key Risk Considerations

- **Cyber and Data Breach Exposure:** Travel agencies collect and store sensitive personal and payment information, making them prime targets for cyberattacks. Loss or theft of customer data can lead to significant liability and reputational damage. Underwriters should assess the agency's cybersecurity infrastructure, including firewall protections, employee training, and incident response plans.

- **Errors Omissions (E&O) for Booking Errors:** Mistakes in booking flights, accommodations, or tours can result in client losses and subsequent claims. Agencies should maintain adequate E&O coverage to protect against such liabilities. Frequent claims or inadequate coverage are red flags.
- **Travel-Related Delays and Cancellations:** Agencies may face claims arising from delays, cancellations, or changes in travel plans, especially when caused by factors beyond their control (e.g., natural disasters, political unrest). Understanding the agency's policies on refunds, client communication, and vendor contracts is critical.
- **Regulatory Compliance:** Agencies must comply with consumer protection laws, including disclosure requirements and licensing. Non-compliance can lead to fines and increased liability.
- **Third-Party Vendor Risks:** Many agencies rely on third-party providers (airlines, hotels, tour operators). The financial stability and reliability of these vendors impact the agency's risk profile.

Industry-Specific Restrictions

- **Commercial Auto Coverage:** This applies only if the agency owns or operates vehicles for business purposes, such as shuttle services or guided tours. Purely office-based agencies or those that outsource transportation are excluded from commercial auto coverage.
- **Cyber and Employment Practices Liability Insurance (EPLI) Coverage Limits:** Due to the high exposure to data breaches and employee-related claims (e.g., wrongful termination, harassment), insurers may impose sub-limits or separate deductibles on cyber and EPLI coverages within the BOP.
- **Restriction on International Travel Bookings to High-Risk Destinations:** Agencies that frequently book travel to countries or regions under active travel advisories or sanctions (e.g., embargoed countries, conflict zones) may face underwriting restrictions or require additional risk mitigation measures. This is due to increased likelihood of trip cancellations, client claims, and regulatory scrutiny.

Preferred Optional Coverages

- **Business Interruption:** Protects against loss of income due to unforeseen events that disrupt normal operations, such as cyberattacks or office closures.
- **Legal Expense and Employee Dishonesty:** Covers legal defense costs and losses from employee theft or fraud, which are notable risks in agencies handling large volumes of client funds.
- **Event Cancellation:** Useful for agencies organizing or sponsoring travel-related events, conferences, or group tours that may be canceled due to unforeseen circumstances.
- **Umbrella Liability:** Provides additional liability limits beyond the BOP, especially valuable for agencies with substantial client exposure or high-value contracts.

Illustrative Examples

- **Cyberattack Scenario:** An online travel agency suffers a ransomware attack that encrypts customer booking data and payment information. Without adequate cyber coverage and response plans, the agency faces significant costs for data recovery, notification, and potential lawsuits.

- **E&O Claim Scenario:** A physical travel agency mistakenly books a client on the wrong flight date, causing missed connections and additional hotel expenses. The client files an E&O claim for reimbursement and damages.
 - **Event Cancellation Scenario:** A travel agency organizes a group tour that is canceled due to a sudden government travel ban. Event cancellation coverage reimburses non-refundable deposits and related expenses.
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3.111 Trophy & Awards Shops

Underwriting Appetite

- **Preferred:**
 - Businesses with a strong safety record, including documented maintenance schedules for engraving machines, laser cutters, and other specialized equipment.
 - Shops serving a diverse clientele, such as schools, corporations, sports leagues, and event organizers, which reduces dependency on a single market segment.
 - Retail locations with secure premises featuring alarm systems, surveillance cameras, and controlled access to minimize theft and vandalism risks.
 - Operations with formalized quality control processes to ensure product integrity and reduce product liability exposures.
- **Acceptable:**
 - Primarily online or phone-based trophy and awards shops that maintain strict inventory controls and secure shipping procedures.
 - Businesses that subcontract specialized engraving or finishing work to vetted third parties with appropriate insurance coverage.
 - Shops with moderate safety records but have implemented recent improvements in equipment maintenance and employee training.
- **Not Acceptable:**
 - Businesses with repeated safety violations, such as failure to maintain or inspect laser engraving equipment, posing fire or injury hazards.
 - Shops with poor equipment maintenance records leading to frequent breakdowns or safety incidents.
 - Operations lacking secure storage for inventory, especially high-value metals or glass trophies, increasing theft risk.
 - Businesses engaging in unlicensed or uncertified use of hazardous materials (e.g., certain chemicals used in engraving or finishing) without proper controls.

Key Risk Considerations

- **Equipment Breakdown:** Engraving machines, laser cutters, and polishing equipment are critical to operations but can be prone to mechanical or electrical failure. Breakdown can cause business interruption and costly repairs.
Example: A laser engraving machine overheats due to poor maintenance, causing a fire that damages the facility and inventory.
- **Product Quality Liability:** Defective or improperly engraved trophies can lead to customer dissatisfaction, claims for replacement costs, or liability if the product causes injury (e.g., sharp edges).
Example: A trophy with a poorly secured base breaks during an awards ceremony, causing injury to a recipient.
- **Theft and Property Damage:** High-value inventory such as custom trophies, plaques, and awards made from precious metals or glass are attractive targets for theft. Physical damage from accidents or vandalism is also a concern.
Example: A break-in results in the theft of several custom gold-plated trophies.
- **Cyber Risk:** Many trophy shops maintain customer databases with personal information and payment details. Cyberattacks or data breaches can result in financial loss and reputational damage.
Example: A ransomware attack locks the business out of its order management system, delaying deliveries and causing lost revenue.
- **Business Interruption:** Disruptions caused by equipment failure, property damage, or cyber incidents can halt production and delay order fulfillment, impacting revenue and client relationships.

Industry-Specific Restrictions

- **Flood Insurance Requirement:** In flood-prone areas designated by FEMA or local authorities, flood insurance must be included due to the vulnerability of inventory and equipment to water damage.
- **Cyber Liability Requirement:** If the business stores any digital customer data, processes online payments, or operates an e-commerce platform, cyber liability coverage is mandatory to mitigate data breach and cyberattack exposures.
- **Restriction on Use of Uncertified Laser Equipment:** Underwriters require that all laser engraving equipment be certified by recognized safety standards (e.g., FDA/CDRH in the U.S.) and regularly inspected. Use of uncertified or homemade laser devices is prohibited due to increased fire and injury risks.
Rationale: Laser equipment poses significant hazards if improperly maintained or uncertified, including fire, eye injury, and electrical shock. This restriction protects both the insured and insurer from elevated loss potential.
- **Prohibition on Sourcing Precious Metals from Unverified Suppliers:** Insurers require documentation verifying the ethical sourcing and authenticity of precious metals (e.g., gold, silver) used in trophies and awards. Use of metals from unverified or conflict sources is disallowed to avoid reputational and regulatory risks.

Preferred Optional Coverages

- **Workers' Compensation and Equipment Breakdown:** To cover employee injuries related to equipment operation and to protect against costly machinery failures.
 - **Crime and Cyber Liability:** To address risks of theft, employee dishonesty, and cyber incidents affecting customer data and business operations.
 - **Business Interruption Insurance:** To compensate for lost income and ongoing expenses during periods when production is halted due to covered perils.
 - **Product Liability Coverage:** Recommended to protect against claims arising from defective or harmful products.
 - **Inland Marine Coverage:** For protection of trophies and awards while in transit to customers or between locations.
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3.112 Upholstery Services

Underwriting Appetite

- **Preferred:**
 - Upholstery businesses primarily serving residential clients, where operations are conducted at secure, fixed premises with controlled access.
 - Staff are formally trained or certified in upholstery techniques, including fabric handling, cleaning, and repair, demonstrating adherence to industry best practices.
 - Strong financial stability and a clean claims history, indicating sound risk management and operational controls.
 - Use of industry-standard equipment and materials, with documented safety protocols for handling chemicals, adhesives, and machinery.
- **Acceptable:**
 - Mobile upholstery services (e.g., on-site vehicle or furniture upholstery) provided the business maintains comprehensive commercial auto insurance with appropriate liability limits.
 - Commercial upholstery services focused on office furniture, hospitality, or institutional clients, provided there are documented safety procedures and quality control measures.
 - Businesses with moderate inventory levels and adequate security measures, including alarm systems or off-site storage arrangements.
- **Not Acceptable:**
 - Operations exhibiting lax or undocumented safety controls, particularly around chemical use or machinery, increasing risk of injury or property damage.
 - Businesses with a history of frequent or severe claims related to workmanship errors, property damage, or bailee liability.
 - Entities lacking proper commercial auto coverage for mobile operations or with poor vehicle maintenance records.
 - Upholstery services involving hazardous materials not compliant with local environmental regulations (e.g., use of prohibited solvents).

Key Risk Considerations

- **Bailee Liability for Customer Items:** Upholstery businesses often take possession of customer property, such as furniture or automotive interiors, creating exposure for loss, theft, or damage while in their care, custody, or control. Underwriters should assess the adequacy of bailee liability coverage and the insured's inventory tracking and security procedures.
Example: A customer's antique sofa is damaged during cleaning or transport, resulting in a costly claim.
- **Auto Incidents During Mobile Operations:** Mobile upholstery services increase exposure to automobile liability, including accidents during transport or on-site service calls. The insured must maintain appropriate commercial auto policies and driver vetting procedures.
Example: A mobile upholsterer's van is involved in a collision while traveling between jobs, causing bodily injury and property damage claims.
- **Repair Liability and Workmanship Errors:** Faulty repairs or improper installation can lead to customer dissatisfaction, property damage, or bodily injury (e.g., use of flammable adhesives causing fire). Underwriters should evaluate quality control, employee training, and claims history related to workmanship.
Example: An improperly secured seat cover detaches in a client's vehicle, causing a distraction and accident.
- **Chemical and Environmental Risks:** Use of solvents, adhesives, and cleaning agents may pose fire, health, or environmental hazards. Compliance with safety data sheets (SDS), proper ventilation, and disposal procedures should be verified.
Example: Improper storage of flammable adhesives leads to a fire in the workshop.

Industry-Specific Restrictions

- **Inventory Limits:** For businesses with inventory values exceeding \$500,000, a monitored alarm system is mandatory to mitigate theft risk. Without such an alarm, coverage limits will be restricted or subject to higher deductibles. This ensures adequate protection of high-value fabrics, leather hides, and finished goods.
Rationale: Upholstery materials and finished products can be costly and attractive to thieves; alarm systems reduce potential loss exposure.
- **Exclusion for Owner-Caused Employee Dishonesty:** Coverage excludes dishonest acts committed by the business owner or partners against employees, reflecting the difficulty in underwriting internal fraud risks in closely held businesses.
- **Restriction on Use of Non-Industry-Standard Flame Retardants:** Upholstery services using flame retardant chemicals must comply with recognized industry standards (e.g., California TB117-2013 or equivalent). Use of unapproved or experimental flame retardants voids coverage related to fire damage arising from treated materials.
Reasoning: Flame retardants impact fire risk profiles; unapproved substances may increase hazard and complicate claims.

Preferred Optional Coverages

- **Bailee Liability:** Essential for protecting against claims arising from damage or loss of customer property while in the insured's care.
- **Commercial Auto:** Critical for mobile upholstery operations to cover liability and physical damage exposures.

- **Employment Practices Liability Insurance (EPLI):** Addresses risks related to employee claims such as wrongful termination or harassment, which can be significant in small businesses.
 - **Business Interruption:** Provides income replacement in the event of a covered loss causing operational downtime, such as fire or flood damage to premises.
 - **Repair Liability:** Covers claims arising from faulty workmanship or defective repairs.
 - **Cyber Liability:** Increasingly relevant as upholstery businesses adopt digital invoicing, customer records, and online scheduling, exposing them to data breaches or cyberattacks.
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3.113 Vacuum Cleaner Sales & Service

Underwriting Appetite

- **Preferred:**
 - Established retail stores specializing in vacuum cleaner sales, service, and customer training programs, with a minimum of 3 years in continuous operation. Preference is given to businesses demonstrating consistent safety protocols and documented employee training on product handling and repair procedures.
 - Operations that maintain dedicated service areas separate from retail spaces to reduce customer slip-and-fall or equipment damage exposures.
- **Acceptable:**
 - Online-only vacuum cleaner sales businesses that have implemented robust cybersecurity measures, including secure payment processing systems, regular vulnerability assessments, and data privacy policies compliant with applicable regulations (e.g., PCI DSS).
 - Small-scale service providers with limited onsite repair operations, provided they have documented safety and quality control procedures.
- **Not Acceptable:**
 - Businesses with a history of repeated or unresolved property damage or general liability claims, particularly those involving customer injuries or defective product incidents.
 - Operations lacking formal employee training programs or safety protocols, especially those performing onsite repairs or demonstrations without adequate supervision.
 - Entities engaged in wholesale distribution or manufacturing of vacuum cleaners, as these exposures typically require specialized underwriting beyond the scope of a standard BOP.

Key Risk Considerations

- **Product Defects or Misuse:** Vacuum cleaners may present risks related to electrical malfunctions, overheating, or mechanical failures that can cause property damage or bodily injury (e.g., fire hazards or electrical shocks). Underwriters should assess the vendor's product quality controls, recall history, and warranty policies. For example, a claim could arise if a vacuum cleaner sold by the insured overheats and causes a fire in a customer's home.

- **Onsite Repair or Demonstration Risks:** Service technicians performing repairs or product demonstrations at customer locations face exposures such as property damage, bodily injury, or theft. Slip-and-fall incidents during in-home demonstrations or accidental damage to customer property are common claim scenarios. Underwriters should verify that service personnel are trained and that appropriate liability coverage is in place.
- **Cybersecurity Threats to Point-of-Sale (POS) and Customer Data:** For businesses operating online or using electronic payment systems, cyber risks include data breaches, ransomware attacks, and fraudulent transactions. These exposures necessitate cyber liability coverage and strong IT security protocols.
- **Inventory and Equipment Risks:** Vacuum cleaners and related parts represent significant inventory value. Risks include theft, damage during transport, or equipment breakdown (e.g., repair tools and diagnostic machines). Proper inventory management and physical security measures reduce these risks.

Industry-Specific Restrictions

- **Commercial Auto Coverage:** Applies strictly to vehicles used for business operations such as delivery or service calls. Personal use of business vehicles is excluded to prevent coverage disputes and moral hazard.
- **Employment Practices Liability Insurance (EPLI):** Coverage is limited exclusively to employment-related claims such as discrimination, harassment, or wrongful termination. Claims arising from customer disputes or product liability are excluded.
- **Restriction on Use of Third-Party Repair Parts:** Policies exclude coverage for claims arising from the use of non-OEM (Original Equipment Manufacturer) or uncertified third-party parts in vacuum cleaner repairs. This restriction is due to increased risk of product malfunction or injury resulting from inferior or incompatible components, which can lead to liability claims against the insured. Underwriters should confirm repair practices and parts sourcing to ensure compliance.

Preferred Optional Coverages

- **Cyber Liability:** To protect against data breaches, cyber extortion, and liability arising from compromised customer information, especially critical for online sales operations.
- **Product Liability:** Essential for coverage of bodily injury or property damage claims resulting from defective vacuum cleaners or repair services.
- **Professional Liability:** Recommended for businesses providing training or consulting services related to vacuum cleaner use and maintenance, covering errors or omissions.
- **Equipment Breakdown:** Covers repair or replacement costs for essential business equipment such as diagnostic tools, repair machinery, and POS systems.
- **Flood Insurance:** Particularly relevant for businesses located in flood-prone areas with inventory and equipment vulnerable to water damage.
- **Umbrella Liability Insurance:** Provides additional liability limits above the BOP to protect against large or catastrophic claims.

3.114 Variety & General Merchandise Stores

Underwriting Appetite This category primarily includes retailers offering a broad range of consumer goods such as household items, apparel, toys, seasonal products, and small electronics. These stores often serve local communities and may operate through physical storefronts, online platforms, or a combination of both. Underwriting appetite is influenced by sales volume, the proportion of repair or offsite services offered, and the extent of e-commerce activity.

- **Preferred:**

- Annual sales less than \$500,000.
- Repair or offsite service operations constitute less than 25% of total business activities.
- Online sales exposure is low, typically less than 75% of total sales.
- Stores with strong inventory controls and loss prevention measures.

- **Acceptable:**

- Annual sales up to \$1 million.
- Online sales can be as high as 90%, provided the insured demonstrates robust cybersecurity protocols and fraud prevention controls.
- Repair or service components remain under 25%, with clear documentation of service scope.

- **Not Acceptable:**

- Annual revenue exceeding \$1 million without commensurate risk controls.
- Businesses where services (repair, installation, customization) exceed 50% of operations, as these typically require specialized underwriting beyond a standard BOP.
- Online sales exceeding 90% without adequate cybersecurity measures and fraud mitigation.
- Operations involving high-risk merchandise such as firearms, hazardous materials, or regulated pharmaceuticals.

Key Risk Considerations Underwriters should carefully evaluate the following risk factors that commonly affect variety and general merchandise stores:

- **Inventory Management:**

- High inventory turnover can increase exposure to theft, spoilage, or obsolescence.
- Stores with inadequate stock tracking or poor storage conditions may face increased shrinkage.
- Example: A store with seasonal merchandise (e.g., holiday decorations) must manage inventory carefully to avoid losses from unsold goods.

- **Online Order Fraud and Cyber Risk:**

- E-commerce platforms introduce risks such as payment fraud, account takeovers, and data breaches.

- Insureds should have secure payment gateways, fraud detection software, and regular cybersecurity audits.
- Example: A general merchandise store experiencing a spike in chargebacks due to fraudulent online orders may face significant financial loss and reputational damage.
- **Employee Theft and Product Liability:**
 - Employee dishonesty remains a significant cause of inventory shrinkage.
 - Product liability risks arise from defective or unsafe products sold, especially toys, electronics, or personal care items.
 - Example: A defective electronic toy causing injury could result in costly product liability claims.
- **Repair and Offsite Services:**
 - Services such as product repair or installation increase operational complexity and liability exposure.
 - Clear documentation and limits on the scope of services are essential to avoid coverage gaps.
 - Example: A store offering appliance repair must ensure technicians are properly trained and insured.

Industry-Specific Restrictions

- **Repair or Installation Services:** All repair or installation services must be explicitly described in the application and underwriting documentation. Services beyond minor repairs or installations (e.g., complex electrical or plumbing work) are excluded due to increased liability and specialized risk profiles.
- **Cyber Coverage:** Cyber insurance coverage under the BOP is limited strictly to risks arising from e-commerce activities. Cyber risks related to internal IT infrastructure, third-party vendors, or non-e-commerce data breaches require separate cyber policies.
- **Restriction on High-Risk Product Lines:** Stores selling lithium-ion battery-powered products (such as hoverboards, e-cigarettes, or portable power banks) are subject to additional scrutiny or exclusion due to fire and explosion hazards associated with battery malfunctions. This restriction is critical as these products have been linked to multiple fire claims in retail environments.

Preferred Optional Coverages To enhance protection and address common exposures, the following optional coverages are recommended for variety and general merchandise stores:

- **Business Interruption and Supply Chain Coverage:** Protects against income loss and extra expenses resulting from covered property damage or supply chain disruptions, which can be significant for stores reliant on timely inventory replenishment.
- **Employee Dishonesty and Employment Practices Liability Insurance (EPLI):** Addresses risks of internal theft and employment-related claims such as discrimination or wrongful termination.
- **Umbrella Liability and Product Liability Coverage:** Provides additional limits above primary policies and covers claims arising from defective or harmful products sold.

3.115 Video & Media Stores

Underwriting Appetite

- **Preferred:**
 - Established businesses with at least 3 years of continuous operation and a demonstrated low loss history.
 - Premises equipped with a professionally monitored alarm system, including burglar and fire alarms.
 - Locations with controlled access, adequate lighting, and security cameras to deter theft and vandalism.
 - Businesses that maintain comprehensive employee training programs focused on safety and loss prevention.
- **Acceptable:**
 - Specialty or niche video/media stores, including those operating primarily online or hosting occasional special events, provided appropriate endorsements are added.
 - Stores with moderate loss history but with clear mitigation measures implemented.
 - Businesses that have recently upgraded security systems or improved operational controls but have less than 3 years tenure.
- **Not Acceptable:**
 - Businesses without any alarm or security systems in place.
 - Locations with a history of frequent slip-and-fall claims or other liability losses indicating poor premises maintenance.
 - Stores with unresolved or repeated theft or vandalism claims within the past 12 months.
 - Businesses operating in high-crime areas without adequate security measures.

Key Risk Considerations

- **Theft and Burglary:** Video and media stores often carry high-value inventory such as DVDs, Blu-rays, gaming consoles, and electronic accessories, which are attractive targets for theft. Underwriters should assess the adequacy of physical security measures including alarm systems, surveillance cameras, and secure display cases.
Example: A store without a monitored alarm system experienced a break-in resulting in the loss of \$50,000 worth of inventory. This claim highlights the importance of robust security.
- **Cyber Risks:** Many media stores now operate online platforms for sales and rentals, exposing them to cyber threats such as data breaches, ransomware, and payment fraud. Cyber liability coverage is critical to protect against these exposures.
Example: An online media store suffered a data breach compromising customer payment information, resulting in regulatory fines and customer notification costs.
- **Event Crowd Safety:** Stores that host in-store events (e.g., product launches, gaming tournaments) must manage crowd control and safety risks. Liability exposures increase with the number of attendees and the nature of activities.
Example: During a promotional event, a customer slipped on a wet floor and sustained injuries, leading to a slip-and-fall liability claim.

- **Equipment Breakdown:** Point-of-sale systems, digital kiosks, and rental equipment are critical to operations. Equipment failure can cause business interruption and financial loss.
Example: A failure of the store's rental management software resulted in delayed transactions and lost revenue over several days.
- **Inventory Obsolescence:** Media formats evolve rapidly, and unsold inventory may become obsolete, impacting stock valuation and potential claims under business personal property coverage.

Industry-Specific Restrictions

- **Event Liability Endorsement Required for In-Store Events:** Any store hosting public or private events on premises must carry event liability coverage to address potential bodily injury or property damage claims arising from these gatherings.
- **Fire and Flood Endorsements May Apply:** Depending on location, additional endorsements for fire and flood coverage may be necessary due to the high value and flammability of some media products and electronic equipment.
- **Restriction on Rental of Unlicensed or Pirated Media:** Underwriters must verify that stores do not rent or sell unlicensed, pirated, or counterfeit media products. This restriction is critical to avoid exposure to intellectual property infringement claims and regulatory penalties.
- **Prohibition on Use of Drones for In-Store or Delivery Operations:** Due to privacy concerns and regulatory complexities, the use of drones for inventory surveillance or delivery is not permitted under the policy. This restriction mitigates risks associated with drone-related accidents, privacy violations, and compliance issues.

Preferred Optional Coverages

- **Event Liability and Employment Practices Liability Insurance (EPLI):** To protect against claims arising from in-store events and employee-related issues such as discrimination or wrongful termination.
- **Cyber Liability and Product Liability:** Cyber coverage addresses risks from data breaches and cyberattacks, while product liability protects against claims related to defective or harmful media products or electronic accessories sold or rented.
- **Business Interruption and Umbrella Coverage:** Business interruption coverage is essential to mitigate loss of income due to covered perils such as equipment breakdown or property damage. Umbrella policies provide excess liability limits for catastrophic losses.
- **Equipment Breakdown Coverage:** To cover repair or replacement costs of critical electronic equipment and systems that support daily operations.

3.116 Web Design & Online Services

Underwriting Appetite

- **Preferred:**
 - Businesses with robust cybersecurity policies in place, including multi-factor authentication, regular vulnerability assessments, and employee cybersecurity training.

- Business Personal Property (BPP) values under \$500,000, reflecting typical office equipment and servers without significant high-value hardware.
 - Operations limited strictly to web design, development, and maintenance services without involvement in advertising, broadcast media, or telecasting.
 - Established client base with at least 3 years of continuous operation and documented security update protocols.
- **Acceptable:**
 - Firms with some prior claims history related to cyber incidents or errors and omissions (E&O), provided claims are resolved and do not indicate systemic issues.
 - Newer businesses with less than 3 years tenure, but demonstrating proactive security measures such as regular software patching, secure coding practices, and incident response plans.
 - Businesses offering limited interactive design services (e.g., basic e-commerce functionality) with appropriate professional liability coverage.
 - **Not Acceptable:**
 - Entities engaged in telecasting, media production, advertising broadcast, or any form of content creation for mass media distribution due to elevated liability exposures.
 - Firms lacking any formal cybersecurity protocols or with unresolved significant cyber claims.
 - Businesses heavily reliant on third-party software without documented vendor risk management or indemnification agreements.

Key Risk Considerations

- **Data Breach and Cyber Liability:** Web design firms often handle sensitive client data, including proprietary code, customer information, and payment details. Risks include unauthorized access, ransomware attacks, and data leakage. For example, a breach exposing client login credentials could lead to significant reputational damage and legal claims.
- **Copyright and Intellectual Property (IP) Violations:** Use of unlicensed images, fonts, or code libraries can result in infringement claims. A typical scenario might involve a client alleging that the website design incorporates copyrighted material without permission.
- **Errors & Omissions (E&O) for Website Functionality:** Failures such as website downtime, broken links, or security vulnerabilities can cause client financial loss. For instance, if an e-commerce site developed by the insured experiences a prolonged outage during a sales event, the client may seek damages.
- **Third-Party Vendor Risks:** Reliance on external plugins or hosting services introduces additional exposures if these services fail or are compromised.
- **Business Personal Property (BPP) Exposure:** Includes office equipment, servers, and backup devices. Accurate valuation and protection against equipment breakdown or theft are important.

Industry-Specific Restrictions

- **Personal and Advertising Injury Exclusion:** Coverage for personal and advertising injury (such as libel, slander, or copyright infringement in advertising) is excluded due to the high frequency and severity of such claims in this sector. This exclusion underscores the importance of separate professional liability or media liability policies.
- **Mandatory Errors & Omissions (E&O) Coverage for Interactive Design:** Firms offering interactive or transactional website services (e.g., e-commerce platforms, user account management) must carry E&O insurance to address potential client losses from software errors or security failures.
- **Restriction on Use of Open-Source Code Without Proper Licensing:** Web design firms must demonstrate compliance with licensing terms for any open-source software incorporated into client projects. Failure to do so can lead to IP infringement claims and coverage disputes.
- **Prohibition on Cryptocurrency Payment Integration Without Prior Approval:** Due to the evolving regulatory landscape and heightened fraud risks, integration of cryptocurrency payment gateways is not permitted without explicit underwriting review and approval. This restriction helps mitigate exposure to volatile financial transactions and potential money laundering claims.

Preferred Optional Coverages

- **Cyber Liability:** Provides coverage for data breaches, cyber extortion, and related liabilities. Essential given the digital nature of the business.
- **Employment Practices Liability Insurance (EPLI):** Protects against claims of wrongful termination, discrimination, or harassment, which are common in small to medium-sized tech firms.
- **Equipment Breakdown:** Covers physical damage and business interruption from mechanical or electrical failure of critical office or server equipment.
- **Professional Liability (Errors & Omissions):** Addresses claims arising from negligent acts, errors, or omissions in the performance of professional services.
- **Umbrella/Excess Liability:** Provides additional limits over underlying policies, useful for firms with growing client bases or higher-value contracts.

Illustrative Example: A web design firm develops an e-commerce website for a retail client. Due to a coding error, the checkout process fails intermittently, causing lost sales and customer dissatisfaction. The client sues for financial damages. With proper E&O coverage, the web design firm's insurer can defend and indemnify against such claims, mitigating financial impact.

Additional Note: Underwriters should verify that web design firms maintain documented cybersecurity protocols and regularly update software to reduce the likelihood of cyber incidents. Firms lacking these controls should be carefully scrutinized or declined.

Summary: Web design and online services businesses present moderate liability risks primarily related to cyber exposure and professional errors. Underwriting should emphasize strong cyber hygiene, appropriate professional liability coverage, and clear operational boundaries excluding media production or broadcasting activities. The unique restriction on cryptocurrency payment integration reflects emerging risks in digital financial transactions and should be carefully monitored as the industry evolves.

3.117 Wedding Services & Chapels

Underwriting Appetite Our underwriting appetite for wedding services and chapels focuses on managing exposure related to venue size, guest capacity, and ancillary services such as catering and entertainment. The following guidelines help identify risks that align with our appetite:

- **Preferred:**

- Venues up to 7,500 square feet with seating capacity not exceeding 150 guests. These smaller, more manageable venues typically present lower liability and property risks.
- Limited on-site catering and entertainment services, where food and beverage offerings represent less than 10% of total revenue and alcohol sales do not exceed 50% of beverage sales. This reduces exposure to liquor liability and food contamination claims.
- Established safety protocols for crowd control, fire safety, and alcohol service, including trained staff and appropriate licensing.

- **Acceptable:**

- Businesses offering ancillary grooming services (e.g., bridal hair and makeup) or those with seasonal downtime, provided they implement adequate risk controls during operational periods.
- Venues with moderate catering services (up to 10% of revenue) but with enhanced risk mitigation measures such as third-party caterers with their own insurance.

- **Not Acceptable:**

- Venues where alcohol sales exceed 50% of total beverage sales or where catering services constitute more than 10% of total revenue, due to heightened liquor liability and foodborne illness risks.
- Venues operating beyond stated capacity limits or those lacking specific event liability coverage, as this significantly increases the risk of claims related to overcrowding, injuries, or property damage.
- Facilities without proper licensing for alcohol service or food preparation.

Example: A chapel with 6,000 sq ft and seating for 120 guests, offering light catering through a licensed third-party vendor and limited alcohol service (wine and beer only), would be considered preferred. Conversely, a large banquet hall with 300 seats, a full bar with hard liquor, and in-house catering would likely fall outside our appetite.

Key Risk Considerations When underwriting wedding services and chapels, several key risk factors must be carefully evaluated:

- **Liquor Liability:** Alcohol service is a primary source of liability claims, including intoxication-related injuries or property damage. Assess whether alcohol is served by trained, licensed bartenders and if there are controls to prevent underage drinking or overconsumption.
- **Food Contamination and Foodborne Illness:** Catering services introduce risks of food poisoning or allergic reactions. Verify food safety practices, vendor certifications, and whether food preparation is done on-site or by insured third parties.

- **Special Event and Venue Risks:** Weddings often involve temporary setups such as tents, stages, or electrical equipment, which can increase fire, slip-and-fall, or equipment failure risks. Evaluate the presence of safety inspections, emergency plans, and crowd management procedures.
- **Property and Premises Liability:** Consider the physical condition of the venue, including maintenance of walkways, stairways, and parking areas to prevent accidents.
- **Seasonal Operations:** For venues with seasonal closures or reduced activity, confirm that appropriate risk controls remain in place during off-season periods to prevent vandalism or theft.

Example Claim Scenario: A guest at a wedding becomes intoxicated and causes a vehicular accident after leaving the venue. The insured venue could be held liable if alcohol service controls were inadequate. Another example is a foodborne illness outbreak traced back to improperly stored catering food, leading to multiple guest hospitalizations.

Industry-Specific Restrictions To maintain underwriting discipline and control loss exposure, the following industry-specific restrictions apply:

- **Venue Size and Alcohol Thresholds:** As noted, venues exceeding 7,500 sq ft or 150 seats, or those with alcohol sales over 50% of beverage revenue, are generally excluded due to increased liability risks.
- **Auto and Cyber Coverage Limitations:** Auto coverage is only extended if the insured operates vehicles directly related to the business (e.g., shuttle services for guests). Cyber coverage eligibility depends on the service model—venues handling online bookings or storing sensitive client data require enhanced cyber protections.
- **Restriction on Use of Unlicensed Vendors:** The insured must use only licensed and insured third-party vendors for catering, entertainment, and equipment rentals. Use of unlicensed vendors is prohibited due to increased liability and coverage gaps.
- **Prohibition on Fireworks and Open Flames:** Due to high fire risk, the use of fireworks, open flame candles (except enclosed votives), or pyrotechnics during events is not permitted unless specifically endorsed with additional underwriting review.
- **Unique Restriction – Drone Usage:** Use of drones for photography or videography during events is restricted unless the operator holds a valid FAA Part 107 certification and the drone is insured separately. This restriction is due to the increased risk of property damage, bodily injury, and privacy claims associated with drone operations in crowded venues.

Preferred Optional Coverages To enhance protection for wedding services and chapels, the following optional coverages are recommended and often preferred:

- **Event Cancellation Coverage:** Protects against financial losses due to unforeseen cancellations or postponements caused by weather, vendor failure, or other covered perils.
- **Liquor Liability Coverage:** Provides additional protection for claims arising from alcohol-related incidents beyond standard liability limits.
- **Food Contamination Coverage:** Covers losses related to foodborne illness outbreaks or contamination events.

- **Cyber Liability Coverage:** Important for venues that manage online reservations, store client payment information, or maintain digital guest lists, protecting against data breaches and cyberattacks.
- **Special Event Liability Endorsement:** Extends coverage to temporary structures, equipment rentals, and activities specific to wedding events.

Example: A chapel that offers online booking and stores credit card information should strongly consider cyber liability coverage to mitigate risks of data breaches. Similarly, a venue hosting outdoor weddings with rented tents and stages should add special event liability to cover these exposures.

3.118 Window Treatments & Blinds

Underwriting Appetite

- **Preferred:**
 - Businesses operating primarily from a fixed showroom or retail location, with less than 25% of operations conducted offsite (e.g., installation or consultation at client premises). This model reduces risks associated with transportation and on-site work.
 - Firms demonstrating strong loss control measures, such as secured inventory storage, employee background checks, and documented installation training.
- **Acceptable:**
 - Businesses engaged in construction partnerships, such as subcontracting window treatment installation for larger projects, or providing specialized cleaning and maintenance services for blinds and shades.
 - Operations with moderate offsite work (up to 50%), provided there is evidence of proper safety protocols and adequate insurance coverage for installation activities.
- **Not Acceptable:**
 - Businesses without a physical location (e.g., home-based or purely online operations) due to increased difficulty in verifying inventory and higher risk of theft or fraud.
 - Entities with a history of frequent or severe claims, particularly related to installation liability or inventory loss.
 - Operations heavily reliant on subcontractors with insufficient oversight or insurance.

Key Risk Considerations

- **Inventory Theft and Damage:** Window treatments and blinds often represent a significant inventory investment, including delicate fabrics, custom woodwork, and motorized components. Secure storage and accurate inventory tracking are essential to mitigate theft or damage risks.
- **Installation Liability:** Installation work exposes the business to potential property damage or bodily injury claims if blinds or window treatments are improperly installed or cause accidents (e.g., falling fixtures, electrical hazards from motorized blinds).

- **Damage to High-Value Fixtures:** Some clients may have expensive or historic window frames and architectural features. Damage during installation or removal can lead to costly claims.
- **Transportation Risks:** Offsite services involve transporting fragile and often custom-made products, increasing the risk of damage or loss in transit.
- **Employee Training and Certification:** Proper training reduces installation errors and liability claims. Verification of employee qualifications and use of standardized installation procedures are important underwriting factors.

Industry-Specific Restrictions

- **Work in Disaster Zones:** Installation or repair work conducted in declared disaster areas (e.g., post-hurricane or wildfire zones) requires a specific endorsement due to heightened risks of property damage, theft, and liability claims. This endorsement adjusts coverage terms and premiums accordingly.
- **Installation Work Requirements:** Installation activities must be performed by trained and certified personnel. Proof of training programs and adherence to industry safety standards is mandatory to qualify for coverage.
- **Restriction on Use of Unlicensed Subcontractors:** The use of subcontractors for installation or repair work is permitted only if they hold valid licenses and carry their own liability insurance. This restriction reduces the insurer's exposure to uninsured subcontractor claims.
- **Limitation on Motorized or Automated Systems:** Coverage excludes installation or servicing of motorized window treatments that integrate with home automation systems unless the business employs certified electricians or technicians trained in low-voltage electrical systems. This restriction addresses the increased risk of electrical damage or injury.

Preferred Optional Coverages

- **Installation Floater:** Provides coverage for window treatments and blinds while in transit, at the installation site, or temporarily stored off-premises. This is critical for businesses with significant offsite installation work.
- **Commercial Auto:** Covers vehicles used to transport inventory, tools, and personnel to job sites, addressing liability and physical damage exposures.
- **Business Interruption:** Protects against income loss due to covered property damage events that disrupt operations, such as fire or theft at the showroom or warehouse.
- **Employment Practices Liability Insurance (EPLI):** Addresses risks related to employee claims such as wrongful termination, discrimination, or harassment, which can be significant in labor-intensive installation businesses.

Illustrative Examples

- A window treatment company with a secured showroom and trained installation staff suffers a theft of custom motorized blinds valued at \$50,000. Proper inventory controls and insurance coverage allow for a timely claim settlement, minimizing business disruption.
- During installation at a high-end residential property, an employee accidentally damages a historic window frame. The installation liability coverage responds to repair costs and resulting client claims.

- A business without a fixed location experiences repeated claims for damaged goods during transit and installation, leading to non-renewal due to unacceptable risk exposure.

Unique Industry-Related Restriction

- **Prohibition on Installation of Lead-Containing Window Treatments:** Due to increasing regulatory scrutiny and health concerns, insurers restrict coverage for businesses installing window treatments containing lead-based paints or components. This restriction is particularly relevant for firms servicing older buildings or historic properties where such materials may still be present. The rationale is to avoid liability and cleanup costs associated with lead exposure, which can result in significant environmental and bodily injury claims.